

July 17, 2026

The Corporate Service
Department
BSE Limited
P J Towers, Dalal Street
Mumbai - 400 001
Scrip Code: **533553**

The Listing Department
The National Stock Exchange of India Ltd.
Exchange Plaza, Bandra- Kurla Complex
Bandra (East)
Mumbai - 400 051
Symbol: **TDPOWERSYS**

TD Power Systems Limited
(CIN -L31103KA1999PLC025071)

REGISTERED OFFICE & FACTORY:
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Dabaspet, Nelamangala Taluk
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Dear Sir/Mam,

SUB: SUBMISSION OF ANNUAL REPORT FOR THE FINANCIAL YEAR 2025-26 AND NOTICE OF THE 27TH ANNUAL GENERAL MEETING (AGM) OF THE COMPANY.

We wish to inform you that, the 27th Annual General Meeting (AGM) of the Company will be held on Wednesday, August 12, 2026 at 02:00 P.M (IST) through Video Conferencing ("VC") / Other Audio- Visual Means ("OAVM").

Pursuant to Regulation 34 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the Annual Report including Notice of 27th Annual General Meeting of the Company for the financial year 2025-26.

Further, in accordance with Regulation 36(1)(b) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Company has initiated sending a letter to the Shareholders whose e-mail addresses are not registered with the Company/RTA/DPs, providing a web-link from where the Annual Report can be accessed on the website of the Company.

The Annual Report containing the notice is also uploaded on the company's website www.tdps.co.in

This is for your information and records.

Thanking you,
For **TD Power Systems Limited**

**BHARAT
RAJWANI**

Bharat Rajwani

Company Secretary & Compliance Officer

Digitally signed by BHARAT
RAJWANI
Date: 2026.07.17 16:52:40
+05'30'

Encl: A/a



Powering Global **Momentum.**
Expanding Horizons **Across Markets.**

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Investor Information

CIN	L31103KA1999PLC025071
BSE Code	533553
NSE Symbol	TDPOWERSYS
AGM Date	August 12, 2026
AGM Mode	Video Conferencing (“VC”)/Other Audio-Visual Means (“OAVM”)

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Scan this QR Code to access the Investor Relations page



POWERING
GLOBAL
MOMENTUM.
EXPANDING
HORIZONS
ACROSS
MARKETS.

Momentum creates possibilities. It drives industries forward, accelerates infrastructure development and opens pathways to new opportunities across the world. Wherever growth takes shape, the need for reliable power follows. At TD Power Systems, this momentum is reflected in an expanding global footprint, growing customer trust and a commitment to engineering solutions that perform where it matters most. As the Company reaches new markets and broadens its capabilities, it continues to support the systems, industries and ambitions that keep the world moving. Guided by innovation, strengthened by manufacturing excellence and inspired by the opportunities ahead, TDPS is not only participating in global momentum.

It is helping power possibilities across markets.

Disclaimer

This document contains statements about expected future events and financials of TD Power Systems Limited (‘The Company’), which are ‘forward-looking’. By their nature, forward-looking statements require the Company to make assumptions and are subject to inherent risks and uncertainties. There is a significant risk that the assumptions, predictions, and other forward-looking statements may not prove to be accurate. Readers are cautioned not to place undue reliance on forward-looking statements as several factors could cause assumptions, actual future results and events to differ materially from those expressed in the forward-looking statements. Accordingly, this document is subject to the disclaimer and qualified in its entirety by the assumptions, qualifications and risk factors referred to in the Management Discussion and Analysis section of this Annual Report.

About the Company

ENGINEERING POWER. ENABLING POSSIBILITY.

Driven by engineering excellence and manufacturing expertise, TD Power Systems Limited ('TDPS' or 'the Company') delivers AC generators and motors that power critical infrastructure across the world. Its solutions cater to diverse power generation requirements spanning both conventional and renewable energy applications.

The Company's portfolio includes generators for steam, gas engines, gas turbines, hydro and diesel power plants, as well as geothermal and wind applications. It also serves specialised industrial sectors, including oil & gas, through its motor offerings. Supported by leading OEMs and utilities, TDPS has established a strong position in global power equipment markets.

4

(Including Turkey)
Manufacturing
Facilities

8,055

(including 105 motors)
Generators and
Motors Supplied

68

Service Centres



Message from the Managing Director

BUILDING ON MOMENTUM. EXPANDING POSSIBILITIES.



Nikhil Kumar
Managing Director
TD Power Systems Limited



We delivered our highest-ever revenue, profitability and order inflows, reflecting strong execution across businesses and sustained demand across key markets.



Dear Shareholders,

The world today is being shaped by powerful forces of change.

Across economies, investments in energy infrastructure, industrial manufacturing, transportation networks and digital technologies are creating new opportunities at an unprecedented scale. Businesses have expanding capacity, governments are strengthening critical infrastructure, and emerging technologies are redefining how industries operate and grow. At the centre of these developments

lies an increasing need for dependable, efficient and technologically advanced power solutions.

For TDPS, Fiscal 2026 was a year of participating in this global momentum and converting opportunity into performance. Demand strengthened across several of our key markets, customer relationships deepened, and our products found increasing acceptance across geographies and applications. As a result, we delivered the strongest financial and operational performance in the Company's history.

What makes this achievement particularly meaningful is the breadth of its foundation. Growth was not concentrated in any single market, product line or customer segment. Instead, it reflected the strength of our diversified business model, the resilience of our global presence and the sustained investments we have made in engineering, manufacturing and customer engagement over many years. To appreciate this opportunity, it is worth considering the global forces that shaped the year and continue to define our markets.

Momentum across a Changing Global Landscape

The year unfolded against a backdrop of geopolitical and economic uncertainty. Uncertainty surrounding United States tariff policies and evolving trade measures disrupted global trade dynamics, influenced investment decisions and accelerated supply-chain realignments across regions. Rising tensions in the Middle East towards the latter part of the year added to concerns over energy security and market stability. Together, these developments reinforced the importance of resilience, localisation and energy security across economies.

Despite these challenges, global growth remained resilient at approximately 3.4%, supported by sustained investments in infrastructure, manufacturing, transportation and energy systems. Across regions, governments and businesses continued to prioritise industrial competitiveness, reliable energy access and long-term capacity creation, creating favourable conditions for the engineering and power equipment sectors.

A defining trend shaping the future is the rapid adoption of artificial intelligence and cloud computing. The expansion of hyperscale data centres is driving significant investments in power generation, grid infrastructure and distributed energy systems. As digitalisation accelerates, reliable power infrastructure is becoming increasingly critical, creating new opportunities across the markets we serve.

These structural trends reinforce our confidence in the long-term outlook for generators and electric motors. Demand continues to be supported by investments in energy infrastructure, industrial expansion, transportation modernisation and electrification across both developed and emerging economies. Applications such as gas turbines, hydroelectric projects and railway traction systems remain integral to this growth story.

Against this backdrop, TDPS is well positioned to capitalise on emerging opportunities. With products operating in 113 countries, a diversified portfolio, expanding manufacturing capabilities and enduring customer relationships, we continue to strengthen our presence across global markets while maintaining resilience through changing economic cycles.

India further enhances this opportunity landscape. As one of the world's fastest-growing major economies, the country continues to invest heavily in infrastructure, manufacturing and power capacity. These investments, coupled with a sustained focus on industrial development and energy security, create a supportive environment for long-term growth and reinforce our confidence in the opportunities ahead.

Delivering Our Strongest-Ever Performance

Against this backdrop, Fiscal 2026 was a landmark year for TDPS and a reflection of the strength of our strategy, capabilities and customer relationships.

We delivered our highest-ever revenue, profitability and order inflows, reflecting strong execution across businesses and sustained demand across key markets. Consolidated total income grew by 44% to ₹ 1,878 Crore, while profit after tax and total comprehensive income increased by 36% to ₹ 236 Crore. Order inflows reached a record ₹ 2,238 Crore, up 51% over the previous year, resulting in an order book of ₹ 1,973 Crore at year-end and providing strong visibility for future growth.

What is particularly encouraging is not just the scale of this performance, but its quality. Nearly 80% of our annual order inflows came from export and deemed export markets, underscoring the increasing acceptance of TDPS products and solutions across the world. This reflects our ability to compete successfully in demanding international markets while maintaining strong relationships with customers who value reliability, engineering excellence and execution capability.

Over the years, we have steadily built a global footprint that today extends across 113 countries. Our products support a wide range of applications, from power generation and industrial infrastructure to transportation and specialised sectors. Since inception, we have supplied 8,055 generators and motors worldwide, including 105 motors, creating a strong foundation of customer trust and market credibility.

These achievements did not happen overnight. They are the outcome of years of disciplined investment in technology, manufacturing excellence, quality systems and people. They also reaffirm our conviction that a company built on strong engineering capabilities, customer focus and operational discipline can compete successfully on the global stage while creating enduring value for all stakeholders.

Expanding Horizons across Markets

One of the most encouraging aspects of Fiscal 2026 was the breadth of opportunities across our businesses, reflecting the strength and diversity of our portfolio.

The strongest momentum came from our Gas Turbine and Gas Engine Generator business. Growing investments in data centres, distributed power and industrial infrastructure drove robust demand from North America and Europe. Supported by long-standing relationships with leading global OEMs, we strengthened our participation in what we believe is a long-term growth cycle.

Our Steam Turbine and Hydro Generator businesses also delivered strong performances. While steam turbine demand remained supported by captive power, biomass, waste heat recovery and industrial applications, the hydro



Nearly 80% of our annual order inflows came from export and deemed export markets, underscoring the increasing acceptance of TDPS products and solutions across the world. This reflects our ability to compete successfully in demanding international markets while maintaining strong relationships with customers who value reliability, engineering excellence and execution capability.



business secured important projects across India, Nepal and Vietnam and expanded its presence in the refurbishment and modernisation segment, a market with significant long-term potential.

The Motors business continued to gain traction across domestic and international markets, supported by a healthy order pipeline and ongoing customer qualification programmes in the United States and Europe. During the year, we also sharpened our manufacturing focus to support the next phase of growth.

Meanwhile, the Railway and Traction business made steady progress through ongoing supplies and qualification programmes. As investments in transportation and mobility infrastructure continue to increase globally, we remain optimistic about the opportunities this segment presents.

The diversity of these growth drivers not only strengthened our performance during the year but also enhances our confidence in the sustainability of our growth journey.

Building the Foundations for the Future

While Fiscal 2026 was a year of strong performance, it was equally a year of preparation for the future.

A key milestone was the successful commissioning and ramp-up of our third

manufacturing facility. This investment significantly enhances our manufacturing capabilities, improves operational flexibility and strengthens our ability to support increasing customer demand.

We also initiated a structured Business Excellence programme built around Total Quality Management, Kaizen, Quality Circles and 5S. These initiatives are helping us strengthen process discipline, improve productivity and create a more scalable operating model capable of supporting future growth.

Innovation remains central to our long-term strategy. Through our R&D centre in the United Kingdom, we are advancing the development of larger generators ranging from 40 MW to 200 MW. This initiative expands our participation in larger applications across data centres, industrial power systems and grid stability projects while significantly increasing our addressable market.

Powering the Next Phase of Growth

As we look forward, we do so with confidence. The long-term drivers of our business remain firmly in place. Supported by a record order book, expanding global presence, enhanced manufacturing capabilities and a growing technology portfolio, we have built a strong platform for sustained growth. Based on our current

order pipeline and business visibility, we expect revenues to exceed ₹ 2,400 Crore in Fiscal 2027.

More importantly, we believe we are still in the early stages of a much larger opportunity. The combination of expanding global markets, technology-led demand and the investments we are making in capacity, innovation and organisational capability positions TDPS for its next phase of growth.

As I reflect on the achievements of Fiscal 2026, I would like to express my sincere gratitude to our employees for their commitment and pursuit of excellence. I thank our customers for their trust, our suppliers and partners for their



Through our R&D centre in the United Kingdom, we are advancing the development of larger generators ranging from 40 MW to 200 MW.



collaboration, our banking partners for their support, and our shareholders for their continued confidence in our vision.

The progress we achieved this year is not merely a reflection of strong performance; it is evidence of the foundation we have

built for the future. With expanding opportunities across markets and strengthening capabilities across our organisation, we are well positioned to create enduring value for all stakeholders.

Together, we will continue powering global momentum and expanding our horizons across markets.

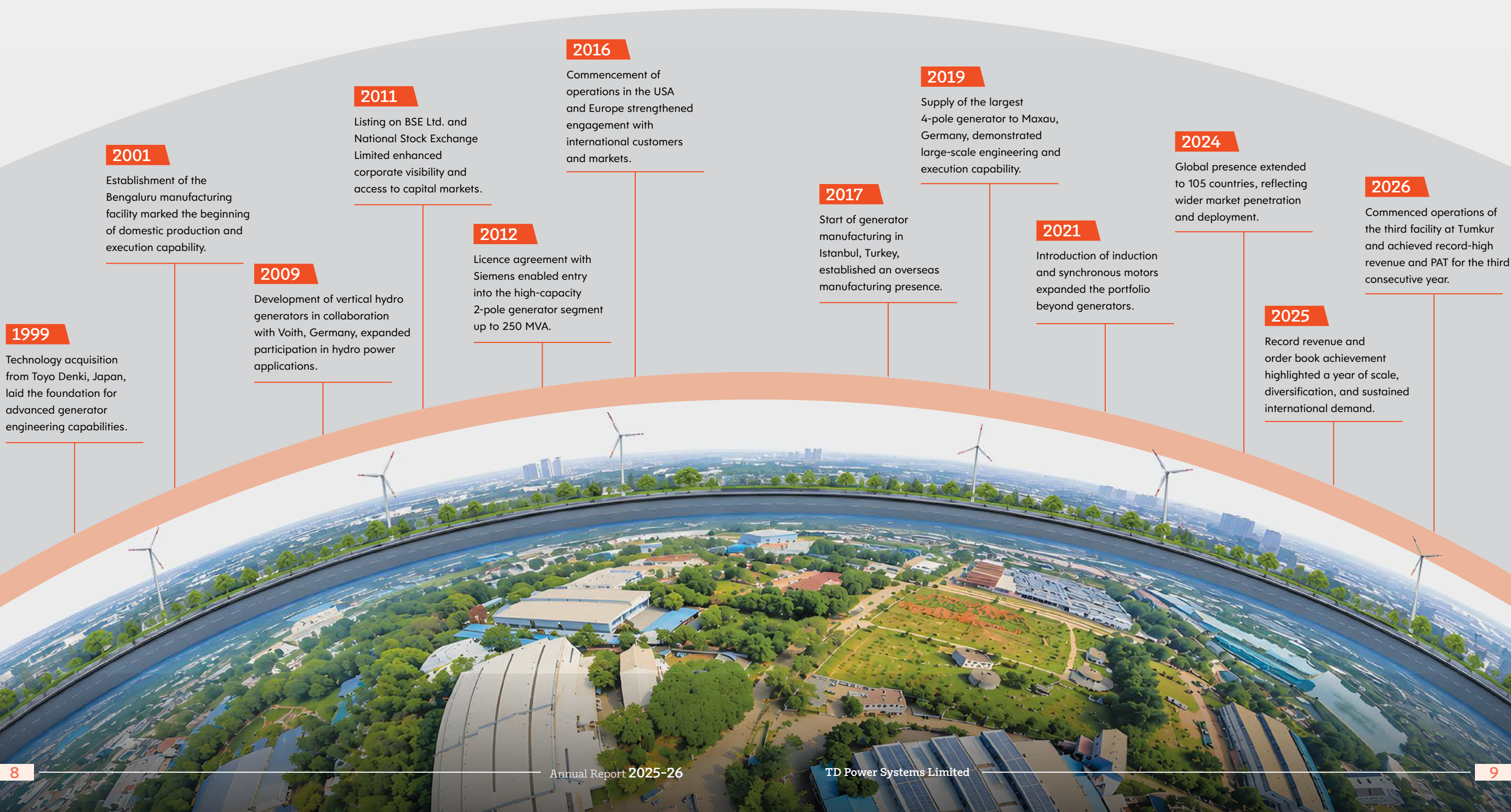
Warm regards,

Nikhil Kumar
Managing Director
TD Power Systems Limited



Journey

SCALING WITH PURPOSE.



Manufacturing Capabilities

BUILT FOR PRECISION. DESIGNED TO PERFORM.

TDPS maintains a strong manufacturing presence through three facilities in India: two in Bengaluru and one in Tumkur, including a specialised large-format generator plant that supports the Company's diverse customer and industry requirements. The commissioning of its third facility during Fiscal 2026 further strengthened capacity and operational flexibility. Complementing its India operations are a facility in Turkey and engineering capabilities in the United Kingdom, supporting international markets and future product development.

Manufacturing Units

India



FACILITY 1: Dabaspet, Bengaluru



FACILITY 2: Dabaspet, Bengaluru



FACILITY 3: Japanese Industrial Township, Vasanthanarasapura, Tumkur District

Turkey



FACILITY 4: Izmir, Turkey

Certifications, Quality Control and Compliance

Manufacturing and quality systems are aligned with internationally recognised standards to meet customer, regulatory, and application-specific requirements across global markets.



Key Certifications & Approvals

ISO 9001:2015 -
Quality Management
Systems

ISO 14001:2015 -
Environmental
Management Systems

ISO 45001:2018 -
Occupational Health
& Safety

ISO 3834-2 -
Inspection of
Welding Process

EN 15085 - Welding
of railway vehicles
and components

ATEX/IECEx -
Hazardous
Area Solutions

DNV -
Wind Solutions

Lloyd's Register/
Class NK -
Marine Applications

AAR M-1003 -
Rail Applications

IRS (Indian Register
of Shipping) -
Naval Solutions

CE/UKCA -
European Markets

GOST-R/TRCU -
Russia & CIS Markets

CSA -
Canadian Market

UL -
American Market

TSE -
Turkish Market

PESO - Petroleum
& Explosives
Safety Organisation

Strategic Manufacturing Features

Three integrated manufacturing facilities

Built-in capacity for future expansion

Advanced robotics and automation

Extensive in-house manufacturing
and testing

Dedicated generator and motor
production lines

Global manufacturing support across
India and Turkey

Precision-driven and flexible operations

Geographical Presence

North America

485 Generators

Central America

50 Generators

TDPS Sales Office
(Ohio, USA)

South America

59 Generators

Asia (including Eurasia & Middle East)

5,431 Generators

TDPS Headquarters (India)

TDPS Sales Office (Japan)

Europe

1,522 Generators

TDPS Sales Office
(Frankfurt, Germany)

TDPS Factory
(Istanbul, Turkey)

Africa

306 Generators

Oceania

202 Generators

**POWER
DEPLOYED.
REACH
EXTENDED.**

A widespread geographic footprint reflects the scale and diversity of power requirements served across global markets. With installations spanning multiple regions and operating environments, the Company's presence mirrors the breadth of industrial and infrastructure demand worldwide.

Key Indicators

113

Countries Served

8,055

(including 105 motors)
Generators and
Motors Supplied

Disclaimer: This map is a generalised illustration for ease of understanding and not to be considered to scale or for reference. Boundaries and geographical names may not reflect actual positions. The Company accepts no responsibility for its use or accuracy.

ENGINEERED FOR POWER. DESIGNED FOR PURPOSE.

WHAT TDPS Offers

For over two decades, TDPS has combined engineering expertise, advanced manufacturing and end-to-end service capabilities to deliver generators, motors and power solutions that support critical infrastructure, industrial operations and energy systems worldwide.

Generators

TDPS manufactures AC generators designed to operate across a wide spectrum of prime movers and operating conditions. The portfolio addresses both conventional and renewable power applications, with configurations tailored to site-specific and system-level requirements.



Steam Turbine Generators
- Up to 250 MVA



Gas Turbine Generators
- Up to 250 MVA



Hydro Turbine Generators
- Up to 75 MVA



Gas Engine Generators
- Up to 25 MVA



Diesel Engine Generators
- Up to 25 MVA

Motors

The motor portfolio is designed to support high-load, continuous-duty, and specialised industrial applications. TDPS supplies motors across multiple configurations to meet torque, speed, and operational demands.



Induction Motors
- Up to 20 MW



Synchronous Motors
- Up to 60 MW

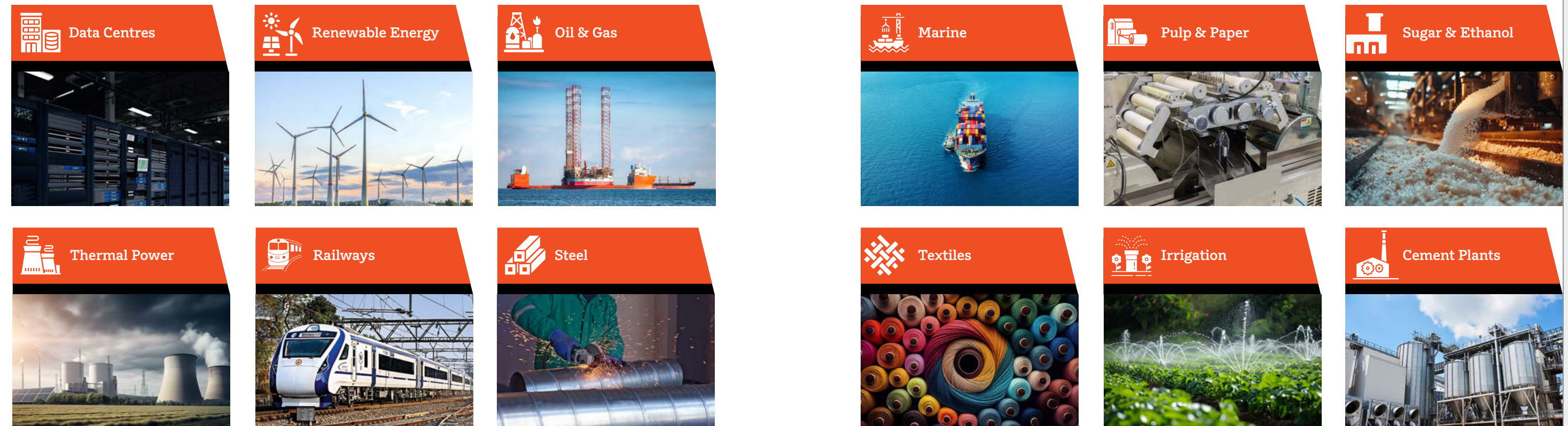


Application-specific Motors
(including traction)
- Up to 1,250 kW

WHERE THESE PRODUCTS ARE USED

TDPS equipment is deployed across industries where reliability, precision, and operating continuity are critical.

Key End-User Applications



How the Company Engages across the Product Lifecycle

Design and Manufacturing

At TD Power Systems, value creation begins with a closely integrated engineering and manufacturing model, enabling the delivery of customised power generation solutions across steam, gas, hydro, diesel, and specialised applications, including geothermal, solar thermal and the oil & gas market segments. Product development is closely aligned with customer operating requirements, ensuring solutions are designed for performance, reliability, and long-term asset efficiency.

The Company's manufacturing capabilities are anchored by three advanced facilities equipped with high-precision infrastructure and supported by automation and robotics across key processes, including coil winding, dynamic balancing, and core stacking. This manufacturing ecosystem supports consistency, scalability, and robust quality assurance across the production lifecycle.

A disciplined framework of process controls and multi-stage quality validation is embedded throughout manufacturing, reinforcing product reliability, operational performance, and customer confidence across a diverse global installed base.

After-Sales Service

Customer engagement continues well beyond commissioning through a structured global service network supported by 68 service centres worldwide. In-house service teams based in Bengaluru provide commissioning assistance, diagnostics, repairs, overhauls, and planned maintenance across operating locations.

Service delivery is organised to ensure timely response and continuity of operations, enabling customers to address maintenance requirements and manage downtime efficiently across varying operating conditions. Major critical spares are strategically stocked at service centres based on regional machine population, enabling rapid equipment restoration and minimising customer downtime.

Spares & Refurbishment

Lifecycle support is further strengthened through replacement and refurbishment solutions designed to extend equipment usability and maintain system performance. TDPS has executed machine replacements across installations from multiple OEMs, offering customised alternatives that integrate with existing configurations.

Spare parts supply and refurbishment services are tailored to site-specific requirements, supporting long-term equipment operation and ongoing customer relationships.

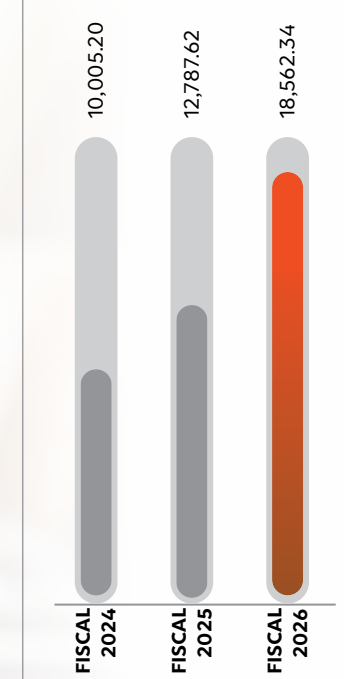


SUSTAINING MOMENTUM. SCALING PERFORMANCE.

Building on a year of record performance, Fiscal 2026 marked a third consecutive year of peak financial outcomes for TDPS. Strong execution, sustained demand across markets, and disciplined capital allocation enabled the Company to extend its growth trajectory while reinforcing its long-term value creation framework.

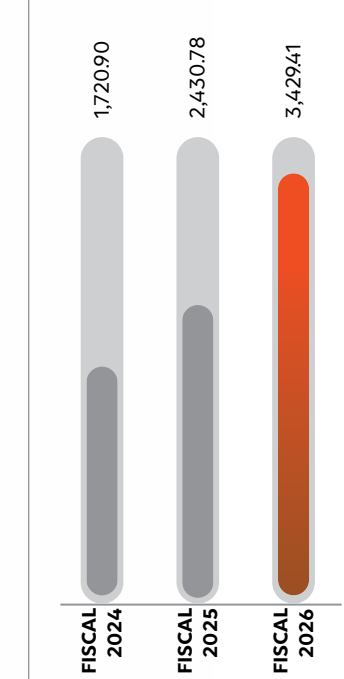
Revenue from Operations

(₹ Million)



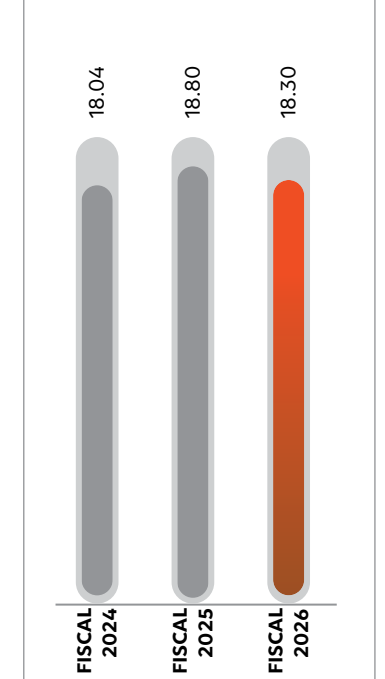
EBITDA (incl. Other Operational Income)

(₹ Million)



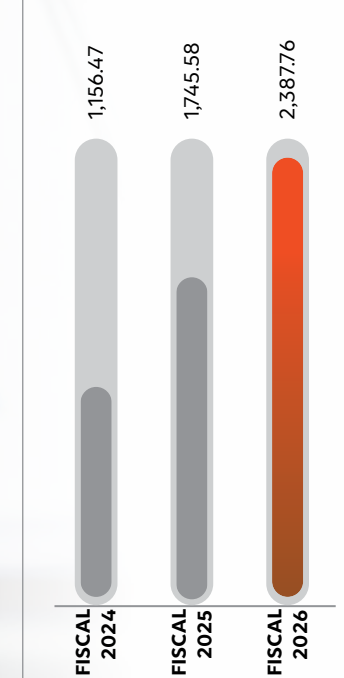
EBITDA Margin

(%)



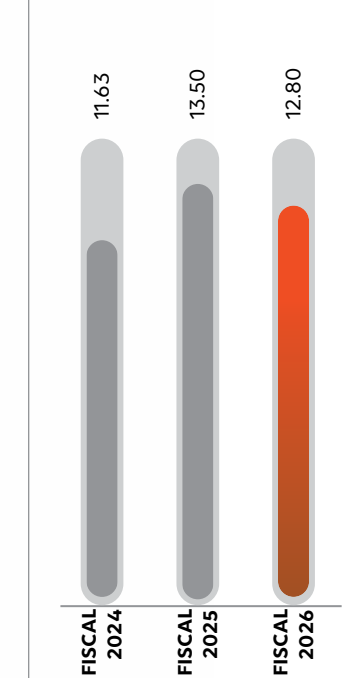
Profit After Tax

(₹ Million)



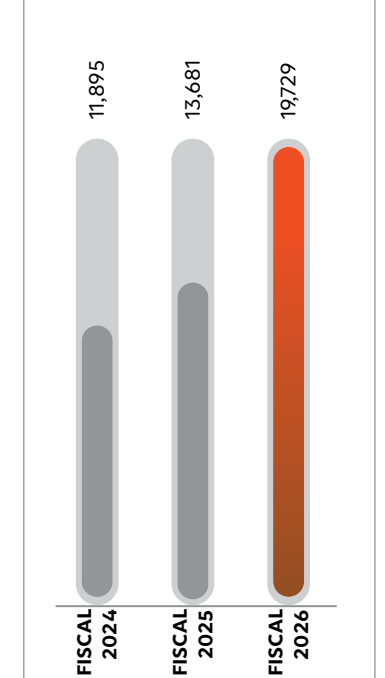
PAT Margin

(%)



Order Book

(₹ Million)



Environment

SUSTAINING OPERATIONS. THINKING RESPONSIBLY.

Environmental responsibility is approached through disciplined operational practices that focus on managing energy use, emissions, water resources, and waste. Sustainability considerations are embedded into everyday decision-making to support efficiency, compliance, and long-term business continuity.

Energy Efficiency and Resource Optimisation

Efficient energy management is integral to TDPS's manufacturing operations. The Company focuses on optimising energy consumption through targeted operational improvements and continuous monitoring, enabling responsible resource utilisation while supporting productivity and operational excellence.

SNAPSHOT

- Continuous monitoring of energy consumption across manufacturing facilities
- Focus on energy-efficiency improvements within operational processes
- Responsible utilisation of energy resources to support sustainable manufacturing



Responsible Water Stewardship

Water is a critical resource supporting production, cooling, and sanitation requirements. TDPS promotes efficient water management through regular monitoring, conservation measures, and responsible utilisation practices aimed at preserving long-term water availability.

SNAPSHOT

- Regular monitoring of water consumption and usage patterns
- Focus on water conservation and efficient utilisation
- Engagement with stakeholders to encourage sustainable water management



Emissions Management

TDPS recognises the importance of managing emissions associated with manufacturing and related activities. The Company adopts a proactive approach to reducing emissions through operational controls, efficiency improvements, and responsible environmental practices.

SNAPSHOT

- Monitoring and management of direct and indirect emissions
- Focus on operational efficiency to reduce emission intensity
- Integration of emissions considerations into business operations



Waste Management and Responsible Disposal

TDPS follows a structured approach to managing waste generated across its operations. Through responsible handling, segregation, and disposal practices, the Company seeks to minimise environmental impact and uphold high standards of environmental compliance.

SNAPSHOT

- Segregation of hazardous and non-hazardous waste at source
- Disposal through authorised recyclers and treatment agencies
- Focus on environmentally responsible waste management practices



Human Resources



THE POWER OF PEOPLE. BUILDING POSSIBILITY.

People are central to long-term value creation. The Company focuses on building an environment that enables growth, accountability, inclusion, and safety, ensuring that talent development remains aligned with business priorities.



Recruitment & Selection

TDPS follows a structured and equitable hiring framework designed to attract individuals aligned with role requirements and organisational values. Recruitment practices emphasise fairness, transparency, and merit, while supporting internal mobility and long-term leadership development.

Snapshot

- Equal-opportunity, non-discriminatory hiring practices
- Structured recruitment aligned with functional needs
- Clear pathways for internal growth and leadership progression



Training & Development

Continuous learning underpins TDPS's people strategy. The Company focuses on strengthening technical expertise, operational excellence, and behavioural capabilities, ensuring employees remain skilled, compliant, and future-ready.

Snapshot

- Regular technical and safety training programmes
- Focus on manufacturing efficiency and compliance
- Skill development across functions and levels



Diversity & Inclusion

TDPS is committed to fostering a diverse and inclusive work environment where every employee's contribution is valued. The Company continues to strengthen representation across functions while encouraging participation and career advancement.

Snapshot

- 1,550 employees and workers
- Multi-location, multi-functional workforce
- Ongoing initiatives to promote workplace inclusion



Health & Safety

Workplace safety remains a critical priority at TDPS. The Company operates a structured Occupational Health and Safety framework to proactively identify risks, enforce preventive measures, and promote a culture of safety across operations.

Snapshot

- OHS framework aligned with ISO 45001:2018
- Regular hazard identification and safety audits
- On-site occupational health support for employees

POWERING PURPOSE. EMPOWERING COMMUNITIES.

Social responsibility is rooted in the belief that long-term progress is meaningful only when it uplifts communities. The Company's CSR initiatives are designed to go beyond support, focusing on building capabilities, strengthening access, and enabling sustainable outcomes through responsible partnerships and measurable impact.



CSR Focus Areas

At TDPS, our Corporate Social Responsibility initiatives are guided by a commitment to creating sustainable and inclusive value for society. During Fiscal 2025-26, the Company continued to advance community development through focused interventions in education, healthcare, environmental sustainability, sports development, skill enhancement and infrastructure creation. Through collaborations with trusted institutions, foundations and community organisations, the Company seeks to create long-term social impact while contributing to inclusive and sustainable growth.

CSR at a Glance

- ₹ 337.89 lakhs invested towards CSR initiatives during Fiscal 2025-26 (including set off of excess CSR expenditure incurred in the previous year)
- 12 capital assets created through CSR interventions
- 4 government educational institutions equipped with solar rooftop photovoltaic systems
- Contributed to the distribution of 2.5 Crore cloth bags and 2.5 Crore steel water bottles across 31 districts of Karnataka under the Single-Use-Plastic-Free Karnataka campaign



Education and Inclusive Learning

Education remained a key focus area during the year, with initiatives aimed at strengthening foundational learning, promoting inclusive education and enhancing educational infrastructure.

In partnership with Keyed Foundation, the Company implemented the School Readiness Programme across government schools in Bengaluru to support early childhood education and strengthen foundational learning in alignment with the National Education Policy. The programme focused on

creating engaging learning environments that help children develop cognitive, social and behavioural skills during their formative years.

Recognising the importance of inclusive education, TD Power Systems partnered with the Spastics Society of Karnataka to provide rehabilitation and remedial support for children with learning difficulties. Through specialised interventions and personalised support, the initiative sought to improve learning outcomes and enable greater participation in mainstream education.

The Company also partnered with Trinity Care Foundation to install rooftop solar photovoltaic systems at four government educational institutions in Koratagere. The initiative enhanced access to reliable electricity while promoting clean energy adoption in educational settings.

In addition, support was extended to government educational institutions through the provision of basic utilities and equipment, helping strengthen learning infrastructure and improve access to educational resources.

Key Highlights

- School Readiness Programme implemented in partnership with Keyed Foundation
- Rehabilitation and remedial support provided through the Spastics Society of Karnataka
- Four government educational institutions equipped with rooftop solar photovoltaic systems in partnership with Trinity Care Foundation
- Infrastructure and utility support extended to government schools and colleges



Healthcare and Community Well-being

The Company continued to support initiatives aimed at improving healthcare access and community well-being. Through the Healthy India Mission initiated by Dr. B. Ramana Rao, free medical treatment, healthcare equipment and mid-day meals were provided to underserved rural communities in T. Begur, Bengaluru.

The initiative reflects the Company's commitment to supporting preventive and curative healthcare interventions that improve quality of life and strengthen community welfare.





Environmental Sustainability

Environmental stewardship remains an integral part of the CSR approach of TDPS. During the year, the Company partnered with Utkarsh Global Foundation to support the 'Single-Use-Plastic-Free Karnataka' campaign, promoting environmentally responsible practices and sustainable lifestyles.

The solar rooftop installations undertaken at government educational institutions further contributed to renewable energy adoption and environmental awareness.

Key Highlights

- Supported the distribution of 2.5 Crore cloth bags and 2.5 Crore steel water bottles across 31 districts of Karnataka
- Promoted clean energy adoption through solar-powered educational infrastructure



Sports Development

The Company continued its efforts to nurture sporting talent and promote excellence in athletics. During the year, support was extended to athletes and para-athletes preparing for the Los Angeles 2028 Olympic and Paralympic Games, helping them pursue high-performance training and competitive excellence.

TDPS also partnered with Sports Excellence Trust to support athlete development programmes and promote sports as a catalyst for community development. These initiatives seek to create opportunities for aspiring sportspersons while fostering resilience, discipline and high performance.

Key Highlights

- Supported athletes and para-athletes preparing for the Los Angeles 2028 Olympic and Paralympic Games
- Partnered with Sports Excellence Trust to promote sports excellence and athlete development



Skill Development and Employability

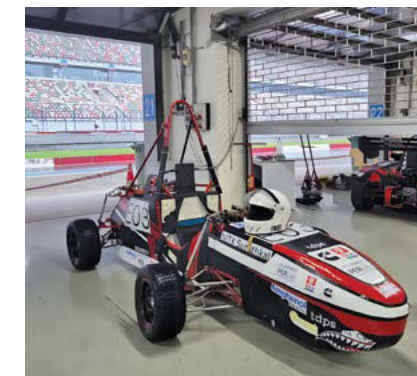
The Company remained committed to enhancing employability and nurturing future-ready talent through focused skill development initiatives.

During the year, support was extended to a student-led race car project at the National Institute of Technology Karnataka, Surathkal, providing students with practical exposure to automotive engineering, innovation and applied problem-solving.

TDPS also continued to undertake skill development and apprenticeship programmes aimed at strengthening technical competencies, improving employability and providing hands-on industry experience to young individuals.

Key Highlights

- Supported a student-led engineering innovation project at NIT Karnataka, Surathkal
- Continued skill development and apprenticeship programmes to enhance employability and practical learning outcomes

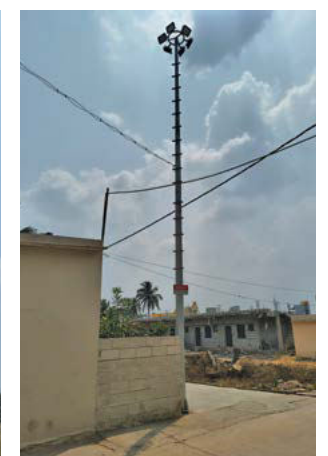


Community Infrastructure Development

The Company invested in infrastructure projects that contribute to safer and more accessible communities. During the year, high mast lighting systems were installed across locations in and around Nelamangala Taluk, improving visibility, enhancing public safety and contributing to the overall well-being of the community.

Key Highlights

- High mast lighting systems installed across multiple community locations
- Enhanced public safety and accessibility through improved illumination of public spaces
- 12 capital assets created through CSR interventions during Fiscal 2025-26
- Through these initiatives, TDPS continued to create meaningful social impact while reinforcing its commitment to inclusive growth, environmental stewardship and community development



Governance

PROVIDING STRATEGIC DIRECTION. STRENGTHENING LONG-TERM VALUE.

The Company is guided by a Board of Directors that brings together deep industry expertise, disciplined governance, and strategic foresight. Through balanced oversight and diverse perspectives across engineering, finance, operations, sustainability, and governance, the Board provides clear direction while upholding the highest standards of transparency, accountability, and ethical leadership.

Board of Directors



Mr. Mohib N. Khericha
Chairman & Non-Executive Director



Mr. Nikhil Kumar
Managing Director



Ms. Prabhamani S
Non-Executive Director



Ms. Prathibha Shastry
Independent Director



Mr. Rahul Matthan
Independent Director



Mr. Alexander Olsson
Independent Director

Our Leaders



Mr. Nikhil Kumar
Managing Director



Mr. Deepak Kumar Sinha
Chief Executive Officer



Ms. M. N. Varalakshmi
Chief Financial Officer



Mr. Ramakrishna Varma
Chief Technical Officer



Mr. Vinay Hegde
Global Head – Sales & Marketing



Mr. Bharat Rajwani
Company Secretary & Compliance Officer



Ms. Ramya Ramesh
Head – Sales and Project Execution (Motors)



Mr. Kamachiraja M
Head - Services



Mr. Pon Selvan Balakrishnan
Head - Engineering

CORPORATE INFORMATION

www.tdps.co.in
CIN: L31103KA1999PLC025071

Registered Office & Unit 1

27, 28 & 29, KIADB Industrial Area
Dobaspet, Nelamangala Taluk
Bengaluru Rural District, Bengaluru - 562 111, India
Tel.: +91-80-2299 5700/6633 7700
Fax: +91-80-7734 439/2299 5718

Unit 2

Survey No. 59/2, Yedehalli Village
Dobaspet, Nelamangala Taluk
Bengaluru Rural District, Bengaluru - 562 111, India

Unit 3

27, 28, 29, 30 & 31, Japanese Industrial Township
Vasanthanarasapura
3rd Phase Industrial Area, Tumkur District

Japan Branch Office

3-3 Kitashinagawa
3 Chome, Shinagawa-KU, Tokyo
Japan Zip code No. 140-0001

UK Branch Office

First Floor 5b The Courtyard,
Sutton Coldfield,
Reddicap Trading Estate, B75 7BU

Wholly Owned Subsidiaries

DF Power Systems Private Limited
TD Power Systems (USA) Inc.
TD Power Systems Europe GmbH
TD Power Systems Generator Sanayi A.S. – Turkey

Bankers

Bank of Baroda
Kotak Mahindra Bank
HDFC Bank Limited

Statutory Auditors

Varma & Varma
Chartered Accountants
Bengaluru - 560 043

Secretarial Auditor

Sudhir V. Hulyalkar
Company Secretary in Practice
Bengaluru - 560 004

Cost Auditors

Rao, Murthy & Associates
Cost Accountants
Bengaluru - 560 004

Investor Information – Stock Exchanges

(Where the shares of the Company are listed)
BSE Limited – 533553
National Stock Exchange of India Ltd – TDPOWERSYS

Registrar and Transfer Agents (RTA)

MUFG Intime India Private Limited
(formerly known as Link Intime India Private Limited)
Website: in.mpms.mufg.com
Email: rnt.helpdesk@in.mpms.mufg.com

Investors' Grievance Redressal – Email ID

investor.relations@tdps.co.in

DIRECTORS' REPORT

Dear Members,

Your Directors present the Twenty-Seventh Annual Report (Report) together with the Audited Financial Statements of TD Power Systems Limited ("the Company"/"TDPS") for the fiscal 2026 (April 01, 2025 to March 31, 2026).

FINANCIAL RESULTS

(₹ in lakhs)

Particulars	For the year ended	
	March 31, 2026	March 31, 2025
Revenue from operations and other Income	1,73,667.29	1,28,849.06
Earnings before interest, tax, depreciation and amortisation including other income and exceptional item	31,811.47	23,107.13
Finance cost	190.32	305.84
Depreciation and amortisation	2,213.58	1,885.07
Profit before Tax (PBT) including exceptional items	29,407.57	20,916.22
Tax expense	7,763.22	5,545.22
Profit after Tax (PAT) including exceptional item	21,644.35	15,371.00
Other Comprehensive Income "(net)"	107.45	(75.35)
Total Comprehensive Income including exceptional item	21,751.80	15,295.65

Note: The above figures are on a standalone basis and are extracted from the standalone financial statement of the Company.

On a standalone basis, total income increased by ₹ 44,818.23 lakhs, or 34.78 %, to ₹ 1,73,667.29 lakhs in Fiscal 2026 from ₹ 1,28,849.06 lakhs in Fiscal 2025. Earnings Before interest, tax, depreciation and amortisation including other income and exceptional item (EBITDA) increased by ₹ 8,704.34 lakhs or 37.67% to ₹ 31,811.47 lakhs in fiscal 2026 as compared to ₹ 23,107.13 lakhs in fiscal 2025. Profit before tax including exceptional item increased by ₹ 8,491.35 lakhs, or 40.60%, to ₹ 29,407.57 lakhs in fiscal 2026 from ₹ 20,916.22 in fiscal 2025. Profit after tax including exceptional item increased by ₹ 6,273.35 lakhs to ₹ 21,644.35 lakhs in Fiscal 2026 from ₹ 15,371.00 lakhs in fiscal 2025. Total comprehensive income increased by ₹ 6,456.15 lakhs or 42.21% to ₹ 21,751.80 lakhs in fiscal 2026 as compared to ₹ 15,295.65 lakhs in fiscal 2025. Exceptional items represents provision for diminution in the value of investment of ₹ 300.00 lakhs in Fiscal 2026 as compared to ₹ 300 lakhs in Fiscal 2025, being balance 50% of the investment value in its subsidiary D F Power Systems Private Limited.

The net worth of the Company in fiscal 2026 stands at ₹ 1,02,882.07 lakhs (including Capital redemption reserve) as compared to ₹ 83,588.56 lakhs in fiscal 2025.

On consolidated basis, the total income increased by ₹ 57,512.08 lakhs, or 44.16%, to ₹ 1,87,753.20 lakhs

in Fiscal 2026 as compared to ₹ 1,30,241.12 lakhs in Fiscal 2025. Earnings Before interest, tax, depreciation and amortisation including other income & exceptional item (EBITDA) increased by ₹ 9,660.34 lakhs or 37.97% to ₹ 35,101.38 lakhs in fiscal 2026 as compared to ₹ 25,441.04 lakhs in fiscal 2025. The Profit before tax increased by ₹ 9,446.36 lakhs, or 40.78%, to ₹ 32,611.71 lakhs in Fiscal 2026 as compared to ₹ 23,165.35 lakhs in Fiscal 2025. The Profit after tax including exceptional item increased by ₹ 6,419.98 lakhs, to ₹ 23,877.49 lakhs in Fiscal 2025 as compared to ₹ 17,457.51 lakhs in Fiscal 2025. Total comprehensive income increased by ₹ 6,268.46 lakhs or 36.16 % to ₹ 23,604.28 lakhs in fiscal 2026 compared to ₹ 17,335.82 lakhs in fiscal 2025.

The standalone and consolidated financial statements for the fiscal ended March 31, 2026 forming part of this Annual Report, have been prepared in accordance with the Indian Accounting Standards (Ind AS) as notified by the Ministry of Corporate Affairs.

DIVIDEND

During the fiscal 2026, the Company paid a final dividend of ₹ 0.65/- (Sixty-Five paise) per equity share with a face value of ₹ 2/- each for the fiscal 2025, following shareholders' approval. Additionally, the Board of Directors declared an interim dividend of

DIRECTORS' REPORT (CONTD.)

₹ 1/- (One Rupee) per equity share having a face value of ₹ 2/- each for the fiscal 2026 during their meeting held on October 30, 2025. The Board of Directors of your Company has recommended a final dividend of ₹ 1.10/- (One Rupee & Ten paise) per equity share (face value of ₹ 2/- each) for fiscal 2026. The dividend payable is subject to tax deducted at source as applicable. The aforesaid dividend is subject to approval of shareholders at the ensuing Annual General Meeting (AGM) of the Company.

The Dividend Distribution Policy, in terms of Regulation 43A of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") is available on the Company's website at www.tdps.co.in.

TRANSFER TO INVESTOR EDUCATION AND PROTECTION FUND AUTHORITY (IEPF)

Pursuant to Section 124 of the Companies Act, 2013 ("the Act") read with the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules 2016, the following remittance/transfer was made by the Company to IEPF during the fiscal 2026:

DIVIDEND REMITTED

During the year, the Company transferred the dividend which remained unclaimed/unpaid for a period of seven years to IEPF as below:

Year	Nature of dividend	Dividend per share	Date of Declaration	Date of Transfer to IEPF	Amount
2017-18	Final	₹ 1.80	26-09-2018	14-11-2025	₹ 39,808.80 /-

SHARES TRANSFERRED

During the year, the Company transferred the shares in respect of which the dividend remained unclaimed/unpaid for a period of seven years to IEPF as below:

Year	Nature of Shares	Number of Shares	Date of Transfer to IEPF
2017-18	Equity Shares	50	15-11-2025

CHANGES IN SHARE CAPITAL & THE COMPANY'S TDPSE EQUITY BASED COMPENSATION PLAN 2019 (PLAN)

The paid-up equity capital of the Company as of March 31, 2026, was ₹ 31,24,29,660 (comprising 15,62,14,830 Equity Shares with a face value of ₹ 2/- each) as compared to ₹ 31,23,67,224 (comprising 15,61,83,612 Equity Shares with a face value of ₹ 2/- each) as on March 31, 2025.

During the fiscal 2026 under the TDPSE Equity-Based Compensation Plan 2019:

38,333 ESARs were exercised by the grantees, resulting in the issuance and allotment of 31,218 equity shares with a face value of ₹ 2 each.

The said plan is in compliance with the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 ("Regulations"). A certificate from Secretarial Auditors of the Company that the plan is implemented in accordance with the said Regulations has been obtained and it shall be made available at the ensuing Annual General Meeting for inspection by members. The applicable disclosure as stipulated under the Regulations with respect to the plan is disclosed in **Annexure 10** to the

report and available on the website of the Company at www.tdps.co.in.

PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS

The details of loans, investments, securities and guarantees are disclosed in note no.6 of the Standalone Financial Statements for the year ended March 31, 2026. All loans have been repaid by the subsidiaries and none of them have any outstanding loans with the Company. The advance bank & performance guarantees were issued to customers on behalf of subsidiary companies for business purposes.

PARTICULARS OF CONTRACTS OR ARRANGEMENTS MADE WITH RELATED PARTIES

All transactions with related parties are placed before the Audit Committee for its approval. An omnibus approval is obtained for the related party transactions, which are repetitive in nature. In case of transactions which are unforeseen, the Audit Committee grants an omnibus approval to enter into such unforeseen transactions,

DIRECTORS' REPORT (CONTD.)

provided the transaction value does not exceed the limit of ₹ 1 Crore per transaction, in a financial year. The Audit Committee reviews all transactions entered into pursuant to the omnibus approvals so granted, on a quarterly basis.

Transactions entered into with related parties during the fiscal year 2026 were at arm's length basis and in the ordinary course of business. During the year under review, there were no transactions for which consent of the Board was required to be taken in terms of Section 188(1) of the Act. The details of material transactions in term of the Company's policy for determining material related party transaction under Regulation 23 of SEBI Listing Regulations is disclosed in Form AOC-2 which is appended as **Annexure 2** to the Report. The said policy is available on the Company's website <https://www.tdps.co.in>.

MANAGEMENT DISCUSSION AND ANALYSIS

Pursuant to Regulation 34 read with Schedule V of SEBI Listing Regulations, the Management Discussion and Analysis Report covering operations, performance and outlook of the Company is appended as **Annexure 8** to the Report.

CORPORATE GOVERNANCE REPORT

In terms of Regulation 34 read with Schedule V of SEBI Listing Regulations, a report on Corporate Governance along with a Compliance Certificate issued by a Practicing Company Secretary is appended as **Annexure 9** and forms an integral part of this Report (hereinafter referred to as "Corporate Governance Report").

Note on Code of conduct, Board evaluation, Board Diversity Policy, Training of independent directors - familiarisation of directors, Whistle Blower policy/Vigil mechanism & Nomination and Remuneration policy form part of the Corporate Governance Report.

DECLARATION BY INDEPENDENT DIRECTOR

The Company has received the necessary declaration from Independent Directors that they meet the criteria of independence laid down in Section 149(6) of the Act, rules made thereunder and Regulation 16 and other applicable provisions of SEBI Listing Regulations.

POLICY ON DIRECTORS' APPOINTMENT AND REMUNERATION

The current policy is to have an appropriate mix of executive and independent directors to maintain the

independence of the board and separate its functions of governance and management.

The policy of the Company on directors' appointment and remuneration, including criteria for determining qualifications, positive attributes, independence of directors and other matters as required under Section 178(3) of the Companies Act, 2013 is available on the Company's website www.tdps.co.in. There has been no change in the policy since the last fiscal year. We affirm that, the remuneration paid to the directors is as per the terms laid out in the Nomination and Remuneration policy of the Company. Details of Policy on directors' appointment and remuneration form part of the Corporate Governance Report appended as **Annexure 9**.

SUBSIDIARIES

As of March 31, 2026, the Company has four (4) wholly owned subsidiaries - DF Power Systems Private Limited (an Indian Subsidiary), TD Power Systems (USA) Inc., in the United States of America, TD Power Systems Europe GmbH in Germany and TD Power Systems Jenerator Sanayi Anonim Sirketi in Turkey. All the above subsidiaries are directly owned 100% by the Company.

Furthermore, during the year, the Board of Directors reviewed the affairs of the said subsidiaries every quarter. In accordance with Section 129(3) of the Companies Act, 2013, read with Rule 8 of Companies (Accounts) Rules, 2014, the Company has prepared its consolidated financial statements, including all the said subsidiaries which form part of this Report. A statement containing the salient features of the financial statements of the said subsidiaries in the prescribed format Form AOC-1 is appended as **Annexure 1** to the Report.

In accordance with Section 136 of the Act, the audited financial statements, including the consolidated financial statements and related information of the Company and audited accounts of each of its subsidiaries, are being made available on our website www.tdps.co.in. These documents will also be available for inspection during business hours at our registered office in Bengaluru, India.

A review of the operations of the subsidiaries is as follows:

INDIAN SUBSIDIARY

No businesses were undertaken in this subsidiary during the fiscal year. The total revenue of the Company during fiscal 2026 is ₹ 5.44 lakhs as compared to fiscal

DIRECTORS' REPORT (CONTD.)

2025 is ₹ 6.50 lakhs being interest on deposits with bank. After accounting for other fixed costs, the earnings before interest, tax, depreciation & amortisation including other income amounts to a loss of ₹ 8.75 lakhs as compared to fiscal 2025 ₹ 6.23 lakhs. The loss after tax is ₹ 8.75 lakhs as compared to ₹ 6.23 lakhs in the previous year ended March 31, 2025.

US SUBSIDIARY

The total revenue of the Company during fiscal 2026 is ₹ 19,960.78 lakhs as compared to fiscal 2025 is ₹ 14,564.49 lakhs. The profit before tax for the fiscal 2026 is ₹ 1,704.01 lakhs as compared to ₹ 1,576.63 lakhs in fiscal 2025. The total comprehensive income (after accounting for foreign exchange difference on translation of foreign operations) for the fiscal 2026 is ₹ 781.44 lakhs as compared to fiscal 2025 is ₹ 1,466.39 lakhs.

The market for TDPS Generators in North America, Central America, and South America continues to expand at a historic rate. The current outlook for critical markets such as Oil & Gas, onshore pipelines, fracking, and offshore drilling/production is flourishing under the new US Administration, which is limiting the barriers for new projects. With the current world situation and the immense pressure being applied due to high energy costs, more opportunities will be available for us. Power support for new AI data facilities is driving massive demand for our gas turbine-driven and engine-driven generator products.

The renewables and steam markets remain somewhat soft with few new hydro projects in North America. There are opportunities in the geothermal energy sector, however, participation by US office is limited due to the location of OEMs for geothermal turbines (Europe). Solar and wind projects are not accessible to us. The majority of hydro activity involves the rehabilitation of existing facilities and equipment, although we see some potential opportunities in this area.

Opportunities in the steam sector are active, particularly in Latin and South America for applications in sugar/ethanol, pulp, biomass and waste heat markets.

The steam and gas markets present significant growth opportunities. In the upcoming year, growing Co-gen projects, hydrogen plants, projects related to sugar, ethanol, paper, water, and Oil sand & replacement machines present good opportunities in the Steam generator market. Efforts are underway to maximise these opportunities with captive OEMs and packagers.

In the gas market, we aim to increase our participation in land-based projects and offshore projects with new machines, approved products for mobile applications with existing customers, and certain new projects, including replacements.

During the year, new customers were added & special project machines were also supplied by the Company. Efforts are also being made to strengthen the presence of our products in the market with existing customers. Entry into the 2-pole generator market for gas and steam turbine-driven generators is also seen as high potential for volume increase. The Company is experiencing increased activity levels, with a higher volume of offers being sent out and we anticipate that order intake will grow yet again in the upcoming year.

TDPS generators have gained full acceptance among major OEMs and packagers in North America, Central America, and South America. All our current partners in these regions are highly satisfied with TDPS's pricing, lead times and overall support.

GERMAN SUBSIDIARY

The total revenue of the Company during fiscal 2026 is ₹ 33,690.18 lakhs as compared to fiscal 2025 is ₹ 21,623.38 lakhs. Profit before tax for the fiscal 2026 is ₹ 965.77 lakhs as compared to ₹ 458.87 lakhs in fiscal 2025. The total comprehensive income (after accounting for foreign exchange difference on translation of foreign operations) for the fiscal 2026 is ₹ 704.34 lakhs as compared to fiscal 2025 is ₹ 286.54 lakhs.

The gas engine market was the standout segment this year, showing strong global growth and a stable outlook ahead. The steam turbine generator market also grew significantly, supported by combined cycle, waste-to-heat, and heat recovery projects. While the hydro turbine generator market underperformed in the region, addition of new customers will drive growth in the coming year. Overall, the European market recorded strong growth, with a positive outlook of around 15–20% for the next year.

TURKEY SUBSIDIARY

The total revenue of the Company during fiscal 2026 is ₹ 3,094.42 lakhs as compared to fiscal 2025 is ₹ 1,510.54 lakhs. The Profit before tax for fiscal 2026 is ₹ 28.84 lakhs as compared loss of (₹ 25.35) lakhs in fiscal 2025. The total comprehensive loss for the fiscal 2026 is ₹ 84.89 lakhs as compared to fiscal 2025 is ₹ 5.67 lakhs.

DIRECTORS' REPORT (CONTD.)

The Turkish market continues to face a significant downturn in local manufacturing projects, primarily due to the ongoing economic slowdown and the Government's incentive policy favouring locally manufactured power equipment, including generators. This trend remains unchanged, and the outlook remains bleak. Nevertheless, we will continue to use the Turkey plant primarily for manufacturing small machines for the Turkish market. In addition, the facility serves as a backup service shop to address our larger population of machines in the European market.

INTERNAL FINANCIAL CONTROL AND ADEQUACY

The Company has designed and implemented a process-driven framework for Internal Financial Controls ("IFC") within the meaning of the explanation to Section 134(5)(e) of the Act. The Board is of the opinion that the Company's IFC is commensurate with the nature and size of its business operations and operates effectively with no material weakness. The Company has a process in place to continuously monitor the IFC, identify gaps, if any, and implement new and/or improved controls wherever the effect of such gaps would have a material effect on the Company's operations.

DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to Section 134(3)(c) of the Companies Act, 2013, with respect to the Directors' Responsibility Statement, it is hereby confirmed that:

- a. In the preparation of the annual accounts for the fiscal ended March 31, 2026, the applicable Indian accounting standards "(Ind As)" have been followed along with proper explanation relating to material departures;
- b. The directors have selected such accounting policies and applied them consistently and made judgements and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the Fiscal and of the profit and loss of the Company for that period;
- c. The directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- d. The directors have prepared the annual accounts on a going concern basis;

- e. The directors, have laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and were operating effectively and
- f. The directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

BOARD OF DIRECTORS, COMMITTEES & MEETINGS

The details of composition of the Board and its committees are disclosed in the report on Corporate Governance forming part of this Report. In compliance with the Act and SEBI Listing Regulations, the Company has five (5) Committees of the Board as on March 31, 2026, i.e. Audit Committee, Nomination and Remuneration Committee, Stakeholders Relationship Committee, Corporate Social Responsibility Committee and Risk Management Committee.

During the fiscal 2026, Board and Committees meetings were held as prescribed. The details of such meetings are provided in the Corporate Governance Report that forms part of this Report. As prescribed by the Act, the maximum gap between any two meetings of the Board and Audit Committee did not exceed 120 days.

Pursuant to provisions of the Act and Articles of Association of the Company, Ms. S Prabhamani (DIN: 09695003) retires by rotation at the ensuing 27th Annual General Meeting of the Company and, being eligible, offers herself for re-appointment.

KEY MANAGERIAL PERSONNEL

In terms of the Act, Mr. Nikhil Kumar, Managing Director, Ms. M N Varalakshmi, Chief Financial Officer and Mr. Bharat Rajwani, Company Secretary, are the Key Managerial Personnel of the Company as of March 31, 2026. Mr. Deepak Kumar Sinha has been appointed as Chief Executive officer of the Company with effect from April 03, 2026.

RISK MANAGEMENT

A policy on Enterprise Risk Management has been developed and implemented by the Company to oversee various risks that the Company may encounter including strategic, commercial, safety, operations, compliance, internal control and finance, cyber risk etc. Further details on Risk Management, indicating development, identification of elements of risk and their mitigation measures are provided in the Management Discussion

DIRECTORS' REPORT (CONTD.)

and Analysis Report appended as **Annexure 8** to the Report.

The Board has constituted a Risk Management Committee, which is responsible for implementation, monitoring, evaluating the adequacy and periodically reviewing the Risk Management Policy considering the changing industry dynamics and the requirements of the SEBI Listing Regulations. The Enterprises Risk Management Policy is made available on the Company's website at www.tdps.co.in.

AUDITORS & REPORTS

Statutory Auditors

M/s. Varma & Varma, Chartered Accountants, Bengaluru, were re-appointed as Statutory Auditors of the Company at the 23rd Annual General Meeting (AGM) held on September 27, 2022 for a period of 5 years, commencing from the conclusion of 23rd AGM till the conclusion of 28th AGM.

The Auditors' Report on the financial statements for the fiscal year 2026 does not contain any qualification, reservation or adverse remark. There have been no instances of fraud committed against the Company by its officers or employees during the year reportable by the Auditors in terms of Section 143(12) of the Act.

Secretarial Auditor

As required under Section 204 of the Act read with regulation 24A of SEBI Listing Regulations, based on the recommendation of the Audit Committee, the Board of Directors of the Company at its meeting held on May 12, 2025, subsequently approved by the shareholders at the Annual General Meeting held on August 6, 2025, the appointment of Mr. Sudhir Vishnupant Hulyalkar, Company Secretary in Practice (Membership No. 6040, Certificate of Practice No. 6137), Bengaluru, as the Secretarial Auditor of the Company for a term of five (5) consecutive financial years, from Financial Year 2025–26 to Financial Year 2029–30.

The Secretarial Auditors' Report for the fiscal 2026 does not contain any qualification, reservation or adverse remark nor any instances of fraud committed against the Company by its officers or employees during the year. The Secretarial Auditors' Report is appended as **Annexure 7** to the Report.

As provided in the SEBI Listing Regulations, the certificate on corporate governance and Directors'

appointment and continuation on the Board of Directors forms part of the Corporate Governance Report. These certificates are issued by Mr. Sudhir V. Hulyalkar, a practicing Company Secretary and do not contain any qualification, reservation or adverse remarks.

Cost Auditor, Cost Accounts and Records

In terms of Section 148 of the Companies Act 2013, read with the Companies (Cost Records and Audit) Amendment Rules, 2014, M/s. Rao, Murthy and Associates, Cost Accountants, Bangalore, were appointed as Cost Auditors of the Company for the fiscal 2026. In terms of Section 148 of the Act, the Company has maintained cost accounts for the year ended March 31, 2026, as prescribed which are subject to a Cost Audit.

DISCLOSURE

Extract of the Annual Return

In accordance with Section 92(3) read with 134(3) of the Act, the Annual Return of the Company as of March 31, 2026, is made available on the website of the Company at www.tdps.co.in.

Conservation of Energy, Research and Development, Technology Absorption, Foreign Exchange Earnings and Outgo

Information required under Section 134(3)(m) of the Companies Act, 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014 for the fiscal 2026 in relation to the Conservation of Energy, Technology Absorption and Foreign Exchange Earnings and Outgo appended as **Annexure 3** to the Report.

Business Responsibility & Sustainability Report (BRSR)

The BRSR in terms of Regulation 34(2) of SEBI Listing Regulations is appended as **Annexure 11** of this report. The said report has been prepared in accordance with SEBI Guidelines for Business Responsibility and Sustainability Reporting. The said report indicates the Company's performance against the nine principles of the National Guidelines on Responsible Business Conduct.

Particulars of Employees and Related Disclosures

The information as required under Section 197 of the Act, read with Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 is provided in **Annexure 4** to the Board's Report.

DIRECTORS' REPORT (CONTD.)

The particulars of employees drawing remuneration in excess of limits set out in Rule 5(2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, are provided in **Annexure 5** to the Board's Report. However, as per the provisions of Section 136 of the Act, the Annual Report is being sent to all the members of the Company, excluding the aforesaid information. The said information is available for inspection by the members at the registered office of the Company, up to the date of the ensuing AGM. Any member interested in obtaining such particulars may write to the Company Secretary at the registered office of the Company.

CORPORATE SOCIAL RESPONSIBILITY COMMITTEE

The Corporate Social Responsibility (CSR) Committee of the Board sets the Company's CSR Policy. The details of composition of the CSR Committee, terms of reference and Annual Report on CSR activities as required under the Companies (Corporate Social Responsibility Policy) Rules, 2014 are as per **Annexure 6** and form an integral part of this Report. Your Company's Corporate Social Responsibility Policy (CSR Policy) is available on the website of the Company at www.tdps.co.in.

SECRETARIAL STANDARD

The Company complies with the secretarial standards on meetings of the Board of Directors and General Meetings issued by the Institute of Company Secretaries of India.

GENERAL

Your Directors state as follows:

- No significant or material orders were passed by the Regulators or Courts or Tribunals impacting the going concern status and the Company's operations in the future.
- There was no issue of equity shares with differential rights, as to voting, dividend or otherwise.
- Details of shares issued during this fiscal 2026 under the TDPSE Equity Based Compensation Plan 2019 have been disclosed above and no sweat equity shares were issued.
- There were no deposits covered under Chapter V of the Companies Act, 2013.
- During the year, no loan has been given by the Company to the TDPSE Employee Welfare Trust for the purchase of its own shares under TDPSE Equity Based Compensation Plan 2019.
- The Managing Director draws a part of his remuneration from TD Power Systems Europe GmbH.
- The Company has in place an Anti-Sexual Harassment Policy in line with the requirements of the Sexual Harassment of Women at the Workplace (Prevention, Prohibition and Redressal) Act, 2013.
- Internal Complaints Committee (ICC) has been set up to redress complaints received regarding sexual harassment. The details of sexual harassment complaints that were filed, disposed of, and pending during the financial year are provided in the Business Responsibility and Sustainability Report of this Annual Report.
- The Company has been in full compliance with the Maternity Benefit Act, 1961, ensuring that all eligible women employees received the maternity benefits, leave entitlements and protections as mandated under the Act.
- During fiscal 2026, the Company has not transferred any amount to reserve.

GREEN INITIATIVE

As part of this initiative, hitherto soft copies of the Annual Report and the Notice of Annual General Meeting (AGM) were sent to all members whose email addresses are registered with the Company/Depository Participants. Physical copies of the same were sent in the permitted mode only to members whose email addresses were unavailable.

In accordance with Section 101 of the Companies Act, 2013, read with Rule 18 of the Companies (Management and Administration) Rules, 2014, the MCA circulars, and Regulation 36(1)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, the Annual Report of the Company for fiscal 2026 including the Notice convening 27th Annual General Meeting, will be sent to shareholders at their email addresses registered with the Company or Depositories or the Company's Registrar and Share Transfer Agent.

Further, as per Regulation 36(1)(b) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, a letter providing the weblink of the Annual Report for the fiscal 2026, will be sent to those shareholders who have not registered their email address with Company or Depositories or the Company's Registrar and Share Transfer Agent. The shareholders may request a hard

DIRECTORS' REPORT (CONTD.)

copy of the full annual report by sending an email to investor.relations@tdps.co.in.

Members whose email ID are not registered with the Company may write to investor.relations@tdps.co.in or rnt.helpdesk@in.mpms.mufg.com to obtain a soft copy of the Annual Report and the Notice of AGM.

ACKNOWLEDGEMENT

Your Directors place on record their appreciation of the contribution and support of the employees at all levels. They also place on record their appreciation of the continued support and faith extended during the year by the Company's customers, suppliers, bankers and shareholders.

For and on behalf of the Board of Directors

Ahmedabad
May 14, 2026

Mohib N. Khericha
Chairman

ANNEXURE – 1

FORM AOC – 1

Statement containing the salient features of the Financial Statements of Subsidiaries/Associate Companies/Joint Ventures

[Pursuant to first proviso to Sub-section (3) of Section 129 of the Companies Act, 2013
read with Rule 5 of the Companies (Accounts) Rules, 2014]

Part “A”: Subsidiaries

(Amount in ₹ lakhs)

Name of the Subsidiary	DF Power Systems Pvt. Ltd.	TD Power Systems (USA) Inc.	TD Power Systems Europe GmbH	TD Power Systems Generator Sanayi Anonim Sirketi
The date since when subsidiary was acquired/ Incorporated	22/09/2008	20/02/2013	13/01/2016	21/06/2017
Reporting period for the subsidiary concerned, if different from the holding Company's Reporting period	NA	NA	NA	NA
Reporting Currency and Exchange rate as on the last date of the relevant Fiscal in the case of foreign subsidiaries ⁽¹⁾	INR	USD	EURO	Turkish Lira (TL)
	-	1USD = ₹ 94.52 (Buy Rate)	1 EUR = ₹ 108.24 (Buy Rate)	1 TL = ₹ 2.13 (Buy Rate)
	-	1USD = ₹ 95.68 (Sell Rate)	1 EUR = ₹ 110.50 (Sell Rate)	1 TL = ₹ 2.13 (Sell Rate)
	-	1USD = ₹ 95.1 (Avg. Rate)	1 EUR = ₹ 109.37 (Avg. Rate)	1 TL = ₹ 2.13 (Avg. Rate)
Share Capital	600.00	481.78	414.12	159.35
Reserves and Surplus	221.61	1,364.43	1,529.39	578.93
Total Assets	823.64	18,573.11	6,963.05	4,354.76
Total Liabilities	2.03	16,726.90	5,019.54	3,616.48
Investments	-	-	-	-
Total Revenue	-	19,852.73	33,613.09	3,092.85
Profit/(Loss) before taxation	(8.75)	1,704.01	965.77	28.84
Provision for taxation	-	471.08	356.03	89.96
Profit/(Loss) after taxation	(8.75)	1,232.93	609.74	(61.12)
Comprehensive Income	-	(451.49)	94.60	(23.77)
Total Comprehensive income	(8.75)	781.44	704.34	(84.89)
Proposed Dividend	-	-	-	-
Extent of shareholding (in percentage)	100	100	100	100

Notes: ⁽¹⁾ All foreign assets are translated using the buying exchange rate and foreign liabilities using the selling exchange rate, as of the last date of the fiscal year 2026. The average exchange rate is applied for total revenue, profit/(loss) before taxation, profit/(loss) after taxation and comprehensive income.

There are no subsidiaries which are yet to commence operations or sold during the fiscal year 2026.

Part “B”:

Associates and Joint Ventures - The Company has no Associates or Joint Ventures.

For and on behalf of the Board of Directors

Mohib N. Khericha
Chairman
Ahmedabad

Nikhil Kumar
Managing Director
Frankfurt

May 14, 2026

ANNEXURE – 2

FORM AOC – 2

(Pursuant to clause (h) of sub-section (3) of Section 134 of the Companies Act, 2013 and Rule 8(2) of the Companies (Accounts) Rules, 2014)

Form for disclosure of particulars of contracts or arrangements entered into by the Company with related parties referred to in sub-section (1) of section 188 of the Companies Act, 2013 including certain arm's length transactions under fourth proviso thereto:

1. Details of contracts or arrangements or transactions not at arm's length basis:

All transactions made during the fiscal 2026 were at arm's length basis.

2. Details of material contracts or arrangement or transactions at arm's length basis for the fiscal 2026 as follows:

There have been material contract/arrangement/transactions with TD Power Systems Europe GmbH and TD Power Systems (USA) Inc, wholly owned subsidiaries of the Company. The details of transactions are as follows:

Name(s) of the related party and nature of relationship	Nature of contracts/ arrangements/ transaction	Duration of the contracts arrangements /transactions	Salient terms of the contracts or arrangements or transactions including the value, if any:	Date(s) of approval by the Board, if any	Amount paid as advances, if any
TD Power Systems Europe GmbH	Sale and purchase transaction, Loan, Interest on loan	These transactions are ongoing in nature and do not have a fixed duration.	Payment terms: not exceeding 180 days. Advance against Purchase order -Back to back basis with subsidiary Company terms. Advance/Performance guarantee Back to back with subsidiary Company terms. Transactions value for Fiscal 2026 ₹ 25,628.33 lakhs	The transactions are periodically placed before the Audit Committee and Board for noting. As they are between the holding company and its wholly-owned subsidiary, conducted at arm's length and in the ordinary course of business, Board approval is not required.	Nil
TD Power Systems (USA) Inc			Payment terms: not exceeding 180 days. Advance against Purchase order -Back to back basis with subsidiary Company terms. Advance/Performance guarantee Back to back with subsidiary Company terms. Transactions value for Fiscal 2026 ₹ 16,707.65 lakhs		

Notes:

- The definition of material contract or transaction is not defined under the Companies Act, 2013 therefore, the Company determines materiality of its transactions as defined in its policy for determining material related party transactions with related parties and Regulation 23 of SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015.
- Special resolution under the first proviso to section 188 of the Act and SEBI Listing Regulations is not applicable as these inter-corporate transactions were entered into with the wholly owned subsidiaries of the Company.
- For further details on related party transactions, please refer to note no 44 of the accompanying standalone financial statements for the Financial Year ended on March 31, 2026.

For and on behalf of the Board of Directors

Mohib N. Khericha

Chairman
Ahmedabad

Nikhil Kumar

Managing Director
Frankfurt

May 14, 2026

ANNEXURE – 3

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO

[Section 134(3) (m) of the Companies Act, 2013 read with Rule 8(3) of the Companies (Accounts) Rules, 2014]

A.	Conservation of Energy	Details as of March 31, 2026
	Steps taken or impact on conservation of energy	The following systematic energy conservation measures were undertaken across the Company's units: - Replacement of conventional/CFL lamps with LED lighting, resulting in reduced power consumption and savings of around 8,800 units annually in Unit 1 and Unit 2. - Replacement of 14 conventional air conditioners with 4-star rated energy-efficient air conditioners, resulting in approximately 15% energy savings and annual savings of around 2,700 kW and 1080 kW in Unit 1 and Unit 2, respectively. - Conducted continuous training and engagement programmes for workers on effective utilisation of energy resources with reference to ISO 50001 guidelines. - Implementation of administrative controls for effective and need-based usage of power consumption on shop floors and in office premises. - Conversion of two 24 kW conventional contactor-based ovens into thyristor-based ovens, resulting in power savings of approximately 5,760 kW per annum. - Use of battery-operated material handling equipment such as forklifts, stackers, and pallet trucks, leading to reduced diesel consumption. - Installation of 25 HVLS (High Volume Low Speed) fans in Unit 3 in place of 130 conventional Almonard fans, resulting in estimated savings of around 28,000 units of power annually. With the above measures, the Company achieved collective savings of approximately 22,340 units of power (equivalent to ₹ 2.23 lakhs per annum) in Unit 1 and Unit 2 and expects to achieve savings of approximately 28,000 units of power (equivalent to ₹ 2.60 lakhs per annum) in newly commissioned Unit 3.
	Steps taken by the Company for utilising alternate sources of energy	The Company has the option to utilise renewable energy sources to reduce dependency on grid power and diesel during periods of peak demand.
	Capital investment on energy conservation Equipment	During the year, the Company made a collective investment of ₹ 12.3 lakhs in energy conservation equipment for Unit 1 and Unit 2. Further, Unit 3 was constructed and commissioned during the year, keeping in view the requirements relating to optimum resource utilisation and energy conservation.
B.	Technology Absorption	
1	Efforts made towards technology absorption	The Company continues to undertake research and development activities focused on optimising know-how and improving products, processes and systems related to equipment manufacturing. Product Development During the year, the Company successfully developed a range of 2-pole to 10-pole, 60 Hz High Tension (HT) motors conforming to the stringent requirements of the API 541 standard, thereby significantly strengthening the Company's R&D and engineering capabilities for critical high-performance industrial applications. With this achievement, With this development, the Company believes it is among the few manufacturers in India capable of developing motors compliant with the stringent requirements of API 541 standards.

ANNEXURE – 3 (CONTD.)

		Insulation System Development A 20 kV insulation system was successfully developed and implemented during the year. Using this insulation system, the Company manufactured and supplied a 9.52 MW, 4-pole, 50 Hz, 0.85 PF generator. This development marks a significant milestone in enhancing the Company's capabilities in high-voltage generator insulation technology. Cost Reduction Initiatives As part of the Company's continuous cost optimisation initiatives, a segmental rotor construction was successfully developed for a 3.2 MW, 20-pole induction motor supplied to Nuclear Power Corporation of India Limited (NPCIL). The motor supplied under this project is notably the largest induction motor deployed by NPCIL to date, representing a significant achievement in indigenous design, manufacturing capability, and optimised engineering execution. Additionally, the following process improvements were implemented across the Company's units to enhance operational efficiency: 1. The manual banding process was upgraded to a semi-automated system, resulting in approximately 200% increase in productivity and around 50% reduction in manpower requirement. 2. DC drives used in generator testing applications were upgraded to AC drives, eliminating future operational difficulties and enabling high-speed testing without the need for a gearbox. 3. The high-voltage testing facility was upgraded from a conventional system to a PLC/HMI-controlled system with screen-mirroring capability for real-time process monitoring. 4. Conventional oven systems were upgraded to HMI/PLC-controlled automatic systems, thereby minimising human intervention. 5. HVLS (High Volume Low Speed) fans, together with exhaust units and Fresh Air Handling Units (FAHU), were implemented to improve ventilation, cooling, and air circulation in industrial areas compared to the earlier system. 6. LCS cranes were deployed in place of conventional EOT cranes in Shop 1, providing advantages such as smoother manual movement, low or negligible power consumption, and easier maintenance. 7. The Sewage Treatment Plant (STP) installed in Unit 3 operates through an HMI/PLC-controlled automated process involving minimal human intervention. 8. Battery-operated material handling equipment such as forklifts, stackers, and pallet trucks are being used, resulting in reduced diesel consumption. These initiatives are aimed at strengthening the Company's internal capabilities, improving operational efficiency and supporting continued product development.
2	Benefits derived like product improvement, cost reduction, product development or import Substitution	The initiatives taken, have resulted in product quality improvement, process effectiveness, conservation of energy, substantial reduction in power consumption and consequent reduction in carbon emission, instances of mitigating risk of unsafe incidents.

ANNEXURE – 3 (CONTD.)

3	In case of imported technology (imported during the last three years reckoned from the beginning of the Fiscal),	Not applicable
	a. Technology Imported	Not applicable
	b. Year of Import	
	c. Has technology been fully absorbed	
	d. If not fully absorbed, areas where this has not taken place, reasons thereof	
	Expenditure incurred on Research and Development	(₹ in lakhs)
	a. Capital	Nil
	b. Recurring	₹ 872.50
	c. Total	₹ 872.50
	d. Total R&D expenditure as a percentage of turnover	0.51%
C.	Foreign Exchange Earnings and Outgo	
	Earnings in foreign Exchange [Value of Exports on FOB basis]	
	Export of goods calculated on FOB basis.	₹ 95,597.92 lakhs
	Royalty, Knowhow, professional and consultancy fees	₹ 1,260.61 lakhs
	Total	₹ 96,858.53 lakhs
	Foreign Exchange outgo (Expenditure in foreign currency)	₹ 19,058.15 lakhs

For and on behalf of the Board of Directors

Mohib N. Khericha

Chairman
Ahmedabad

Nikhil Kumar

Managing Director
Frankfurt

May 14, 2026

ANNEXURE – 4

DETAILS OF RATIO OF REMUNERATION OF DIRECTOR [SECTION 197(12), OF THE COMPANIES ACT, 2013, READ WITH RULE 5 OF COMPANIES (APPOINTMENT AND REMUNERATION OF MANAGERIAL PERSONNEL), RULES, 2014]

Sl. No.	Particulars	Details		
i.	The ratio of the remuneration of each director to the median remuneration of the employees of the Company for the financial year	Name of the Director	Designation	Ratio to the Median
		Mr. Nikhil Kumar	Managing Director	18:1
ii.	The percentage increase in remuneration of each director, Chief Financial Officer, Chief Executive Officer, Company Secretary or Manager, if any, in the Fiscal.	Particulars		% Increase
		Mr. Nikhil Kumar – Managing Director		Nil
		Mr. Bharat Rajwani - Company Secretary		15%
		Ms. M N Varalakshmi-CFO		47%
iii.	The percentage increase in the median remuneration of employees in the fiscal	15%		
iv.	The number of permanent employees on the rolls of Company	970		
v.	Average percentile increase already made in the salaries of employees other than the managerial personnel in the last Fiscal and its comparison with the percentile increase in the managerial remuneration and justification thereof and point out if there are any exceptional circumstances for increase in the managerial remuneration	The average annual Increase in the salary of employees (including senior management, FTE/TT, workmen, MGT etc.) was in the range of 18%. The increase in remuneration is in line with the market trends. The increase in managerial salaries for the year was 14%		
vi.	Affirmation that the remuneration is as per the remuneration policy of the Company	Yes		

For and on behalf of the Board of Directors

Mohib N. Khericha

Chairman

Ahmedabad

Nikhil Kumar

Managing Director

Frankfurt

May 14, 2026

ANNEXURE – 6

ANNUAL REPORT ON CORPORATE SOCIAL RESPONSIBILITY ACTIVITIES (CSR)

[Pursuant to Section 135 of the Companies Act, 2013 read with Companies (CSR) Rules, 2014 as amended]

Brief outline on CSR Policy of the Company

The CSR policy of the Company outlines its commitment to contributing towards sustainable and inclusive development through structured and impactful initiatives. The policy serves as a guiding framework for undertaking activities that promote the well-being of society and the environment. The Company's CSR initiatives focus on key areas such as education, healthcare, environment, sports and other socially relevant sectors. The Policy aims to ensure that the CSR activities undertaken result in meaningful impact in the communities. The policy also sets out a formal process for planning and implementation of CSR activities based on the recommendations of the CSR Committee and with the approval of the Board of Directors. It ensures proper governance, transparency and compliance with the statutory requirement. The policy is aligned with the requirements of the Companies Act 2013 and activities undertaken pursuant to this policy are based on Schedule VII of the Companies Act. The policy on CSR is uploaded on the Company's website.

CSR activities:

In pursuance of the CSR policy, several CSR initiatives were undertaken by the Company during the year, either directly or through NGOs. Key highlights of the activities are as follows:

- Implemented a School Readiness Programme (Early Childhood Education) in partnership with Keyed Foundation in Govt. Schools, Bengaluru.
- Installed Solar Rooftop PV Power System in partnership with Trinity Care Foundation in Government Schools, Bengaluru.
- Provided rehabilitation and remedial support for children with learning difficulties, in partnership with the Spastics Society of Karnataka.
- Extended support to Govt. schools by providing basic utilities around the Company's premises.
- Supported Healthy India Mission, initiated by Dr. B Ramana Rao, providing free medical treatment, healthcare equipment and mid-day meals to underserved rural communities in T Begur, Bangalore.
- Supported athletes and para-athletes in their preparation for LA 2028 Olympics and Paralympics.
- Supported athletes promoting sports excellence and community welfare in partnership with the Sports Excellence Trust.
- Contribution towards skill development in automotive engineering by supporting a student-led race car project at the National Institute of Technology Karnataka, Surathkal.
- Supported the "Single-Use-Plastic-Free Karnataka" Campaign through the Environmental Protection Campaign & Distribution of 2.5 Crore cloth bags and 2.5 Crore Steel Water Bottles in 31 Districts of Karnataka in partnership with Utkarsh Global Foundation.
- The Company invested in infrastructure projects that contribute to safer and more accessible communities. During the year, high mast lighting systems were installed across locations in and around Nelamangala Taluk, improving visibility, enhancing public safety and contributing to the overall well-being of the community.
- Skill Development and Apprenticeship Programme undertaken to enhance employability and provide practical training opportunities.

Composition of CSR Committee:

Sl. No.	Name of Director	Designation / Nature of Directorship	Number of meetings of CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
i)	Ms. Prathibha Sastry	Chairperson-Non executive Independent Director	1	1
ii)	Mr. Nikhil Kumar	Member, Executive Director	1	1
iii)	Ms. S. Prabhamani	Member, Non-Independent Director	1	1

ANNEXURE – 6 (CONTD.)

3.	Web-link where the Composition of CSR committee, CSR Policy and CSR projects approved by the Board are disclosed on the website of the Company.	
	Composition of the CSR Committee Link:	https://www.tdps.co.in/investor-relations/corporate-governance
	CSR Policy Link:	https://www.tdps.co.in/investor-relations/corporate-governance
	CSR Projects Link:	https://www.tdps.co.in/corporate-social-responsibility
4.	Executive summary along with web-link(s) of Impact Assessment of CSR Projects carried out in pursuance of sub-rule (3) of rule 8, if applicable	Not applicable
5	Average net profit of the Company as per sub-section (5) of section 135	₹ 16,877.68 lakhs
	Two percent of average net profit of the Company as per sub-section (5) of section 135	₹ 337.55 lakhs
	Surplus arising out of the CSR Projects or programmes or activities of the previous financial years	Nil
	Amount required to be set-off for the financial year, if any	₹ 11.90 lakhs
	Total CSR obligation for the financial year [(b)+(c)-(d)]	₹ 325.65 lakhs
6	Amount spent on CSR Projects (both Ongoing Project and other than Ongoing Project)	₹ 325.99 lakhs
	Amount spent in Administrative Overheads	Nil
	Amount spent on Impact Assessment, if applicable	Nil
	Total amount spent for the Financial Year [(a)+(b)+(c)]	₹ 325.99 lakhs

6. (e) CSR amount spent or unspent for the financial year:

Total Amount Spent for the Financial Year (in ₹)	Amount Unspent (in ₹)				
	Total Amount transferred to Unspent CSR Account as per section 135(6)		Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5)		
	Amount	Date of transfer	Name of the Fund	Amount	Date of transfer
₹ 325.99 lakhs	Not applicable				

6 (f) Excess amount for set off, if any:

Sl. No.	Particulars	Amount (in ₹)
(i)	Two percent of average net profit of the Company as per section 135(5)	₹ 337.55 lakhs
(ii)	Total amount spent for the Financial Year	₹ 337.89 lakhs
(iii)	Excess amount spent for the financial year [(ii)-(i)]	0.34 lakhs
(iv)	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	Nil
(v)	Amount available for set off in succeeding financial years [(iii)-(iv)]	0.34 lakhs

ANNEXURE – 6 (CONTD.)

7. Details of Unspent CSR amount for the preceding three financial years:

1	2	3	4	5	6		7	8
Sl. No.	Preceding Financial Year	Amount transferred to Unspent CSR Account under subsection (6) of section 135 (in ₹ lakhs)	Balance Amount in Unspent CSR Account under subsection (6) of section 135 (in ₹ lakhs)	Amount Spent in the Financial Year (in ₹ lakhs)	Amount transferred to a Fund as specified under Schedule VII as per second proviso to sub-section (5) of section 135, if any		Amount remaining to be spent in succeeding financial year (in ₹ lakhs)	Deficiency, if any
					Amount (in ₹)	Date of transfer		
1	2024-25	Nil						-
2	2023-24							
3	2022-23							

8. Details of Capital Assets Created/Acquired during the Financial Year:

The number of Capital Assets Created/Acquired- 12

Sl. No.	Short Particulars of the Property or Asset(s) (including complete address and location of the property)	Pin code of the property of asset(s)	Date of Creation	Amount of CSR Spent (₹)	Details of entity/Authority/beneficiary of the registered owner		
					CSR Reg. Number	Name	Registered Address
1	15Kva Solar Rooftop PV Power Infrastructure Development Project - Karnataka Public School, Irakasandra, Koratagere	572129	25-Aug-25	17.75 lakhs	NA	Karnataka Public School, Irakasandra Colony	Irakasandra Colony, Koratagere Taluk, Tumkur District - 572129
2	5Kva Solar Rooftop PV Power Infrastructure Development Project - Karnataka Public School, Holavanahalli, Koratagere	572121			NA	Govt. Junior College, Koratagere	Koratagere Town, Koratagere Taluk, Tumkur District - 572129
3	15Kva Solar Rooftop PV Power Infrastructure Development Project - Govt. Junior College, Koratagere	572129	03-Oct-25	17.75 lakhs	NA	Karnataka Public School, Holavanahalli, Koratagere	Holavanahalli, Koratagere Taluk, Tumkur District - 572121
4	5Kva Solar Rooftop PV Power Infrastructure Development Project - Govt. Girls High School, Koratagere	572129			NA	Govt. Girls High School, Koratagere	Koratagere Town, Koratagere Taluk, Tumkur District - 572129

ANNEXURE – 6 (CONTD.)

Sl. No.	Short Particulars of the Property or Asset(s) (including complete address and location of the property)	Pin code of the property of asset(s)	Date of Creation	Amount of CSR Spent (₹)	Details of entity/Authority/beneficiary of the registered owner		
					CSR Reg. Number	Name	Registered Address
5	One -HP Color Laser 150nw Printer 1 year warranty direct OEM & One - HP Laser MFP1188fnw Printer 1 year warranty direct OEM - Government First Grade College Thyamagondlu, Nelamangala Tq Banaglore Rural District	562132	20-02-2026	0.51 lakhs	NA	Government First Grade College	Thyamagondlu, Nelamangala Tq Banaglore Rural District - 562132
6	Five - 12 mtr Hight Mini Mast 150Watt LED Flood light(6nos)Civil Work Installation - Bharathi pura Somapura Hobli, Nelamangala Taluk, Bengaluru Rural	562111	03-03-2026	7.31 lakhs	NA	Sompura Gram Panchayat	Near Narasimharaju house, Bharathi pura Somapura hobli, Nelamangala Taluk, Bengaluru Rural - 562111 Near Pooja Narasaiaha house, Bharathi pura Somapura hobli, Nelamangala Taluk, Bengaluru Rural - 562111 Near Krishnappa (S/O Kambaiah) house, Bharathi pura Somapura hobli, Nelamangala Taluk, Bengaluru Rural - 562111 Near Venkatesh house, Bharathi pura Somapura hobli, Nelamangala Taluk, Bengaluru Rural - 562111

ANNEXURE – 6 (CONTD.)

Sl. No.	Short Particulars of the Property or Asset(s) (including complete address and location of the property)	Pin code of the property of asset(s)	Date of Creation	Amount of CSR Spent (₹)	Details of entity/Authority/beneficiary of the registered owner		
					CSR Reg. Number	Name	Registered Address
							Near BP Shrinivas Murthy house, Bharathi pura Somapura hobli, Nelamangala Taluk, Bengaluru Rural - 562111
	One- 9mtr Hight Mini Mast 150Watt LED Flood light(4nos) civil work and installation - Bharathi pura Somapura Hobli, Nelamangala Taluk, Bengaluru Rural						Near Basavanna Devasathana, Bharathi pura Somapura hobli, Nelamangala Taluk, Bengaluru Rural - s562111

5. Specify the reason(s), if the Company has failed to spend two per cent of the average net profit as per section 135(5) – Not applicable.

For and on behalf of the Board of Directors

Mohib N. Khericha

Chairman
Ahmedabad

Nikhil Kumar

Managing Director
Frankfurt

Prathibha Sastry

Chairperson – CSR committee
Bangalore

May 14, 2026

ANNEXURE – 7

FORM NO. MR-3

SECRETARIAL AUDIT REPORT

FOR THE FINANCIAL YEAR ENDED ON MARCH 31, 2026

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No. 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

To,
The Members,
TD Power Systems Limited
Bengaluru

I have conducted the secretarial audit of the compliance of applicable statutory provisions and the adherence to good corporate practises by TD Power Systems Limited (CIN: L31103KA1999PLC025071) (hereinafter called the Company). Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/ statutory compliances and expressing my opinion thereon.

Based on my verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorised representatives during the conduct of secretarial audit, I hereby report that in my opinion, the Company has, during the audit period covering the financial year ended on March 31, 2026, complied with the statutory provisions listed hereunder and also that the Company has proper Board processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other records maintained by TD Power Systems Limited ("the Company") for the financial year ended on March 31, 2026, according to the provisions of:

- i. The Companies Act, 2013 (the Act) and the rules made thereunder;
- ii. The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
- iii. The Depositories Act, 1996 and the Regulations and Bye-Laws framed thereunder;
- iv. Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings;
- v. The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act'):

- (a) Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015;
- (b) Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
- (c) Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;
- (d) Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 (No instances for compliance requirements during the year);
- (e) The Securities and Exchange Board of India (Share Based Employee Benefits and Sweat Equity) Regulations, 2021;
- (f) Securities and Exchange Board of India (Issue and Listing of Non-Convertible Securities) Regulations, 2021 (No instances for compliance requirements during the year);
- (g) Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client; and
- (h) Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021 (No instances for compliance requirements during the year);
- (i) Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018 (No instances for compliance requirements during the year);
- (j) Securities and Exchange Board of India (Depositories and Participants) Regulations, 2018
- vi. All other Labour, Employee and Industrial or factory Laws to the extent of necessary permissions, licenses, compliance mechanisms, controls and any violations noted by the respective authorities as applicable to the Company;

I have also examined compliance with the applicable clauses of Secretarial Standards issued by the Institute of Company Secretaries of India.

ANNEXURE – 7 (CONTD.)

During the period under review, the Company has generally complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above wherever applicable.

I further report that

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. Changes in the composition of the Board of Directors that took place during the period under review were carried out in compliance with provisions of the Act.

Adequate notices were given to all Directors to schedule the Board meetings, agenda and detailed notes on agenda were sent at least seven days in advance and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

All decisions were carried through majority and recorded in the minutes and there were no dissenting views.

I further report that there are adequate systems and processes in the Company commensurate with size

and operations of the Company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.

I further report that during the audit period there were following specific actions having major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards, etc. referred to above:

1. During the year under review, the Company has granted 49,500 Employee Stock Appreciation Rights (ESAR) to the eligible employees of the Company on various dates pursuant to Company's TDPSL Equity Based Compensation Plan 2019 out of which 22,500 ESARS were lapsed due to resignation with the balance ESARs remaining 27,000 as of March 31, 2026.
2. The Company has issued and allotted in total 31,218 equity shares of ₹ 2 each on various dates during the year to the eligible employees of the Company pursuant to Company's TDPSL Equity Based Compensation Plan 2019.

Sudhir Vishnupant Hulyalkar

Company Secretary in Practice

FCS No.: 6040 CP No.: 6137

Place: Bengaluru Peer Review Certificate No.6166/2024

Date: May 14, 2026 UDIN:F006040H000367973

ANNEXURE – 7 (CONTD.)

Annexure to Secretarial Audit Report (Auditors Responsibility)

To,

TD Power Systems Limited

Bengaluru

Our report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the Company. Our responsibility is to express an opinion on these secretarial records based on our audit.
2. We have followed the audit practises and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practises, we followed provide a reasonable basis for our opinion.
3. We have not verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Wherever required, we have obtained the Management representation about the compliance of laws, rules and regulations and happening of events etc.
5. The compliance of the provisions of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. Our examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

Sudhir Vishnupant Hulyalkar

Company Secretary in Practice

FCS No.: 6040 CP No.: 6137

Peer Review Certificate No.6166/2024

UDIN: F006040H000367973

Place: Bengaluru

Date: May 14, 2026

ANNEXURE – 8

MANAGEMENT DISCUSSION AND ANALYSIS

INDUSTRY STRUCTURE AND DEVELOPMENTS

GLOBAL ECONOMY

The global economy in 2026 is projected to grow by 3.1%, reflecting a resilient but structurally moderate expansion amid renewed geopolitical uncertainties. Growth remains uneven, with stronger momentum in the United States and select Asian economies, while Europe continues to face relatively slower expansion due to fiscal constraints, elevated energy costs and transition challenges.

Global disinflation has moderated, with inflation expected to rise to 4.4%, driven by geopolitical disruptions in the Middle East impacting energy, freight and commodity prices. Core inflation and wage pressures remain persistent in developed economies, leading central banks to maintain cautious, data-driven monetary policies with relatively elevated interest rates.

Global trade growth is expected to moderate to 2.8%, with structural shifts reshaping trade dynamics. Supply chain diversification, near-shoring and geoeconomic fragmentation are influencing production networks, while industrial policies, tariffs and strategic priorities are redirecting capital flows towards advanced manufacturing, semiconductors and clean energy sectors.

In the power and infrastructure space, energy security and transition remain key priorities. Investments continue to focus on grid modernisation, renewable integration and gas infrastructure to address supply volatility. Infrastructure spending across

transport, logistics and power systems is supporting medium-term growth across major regions.

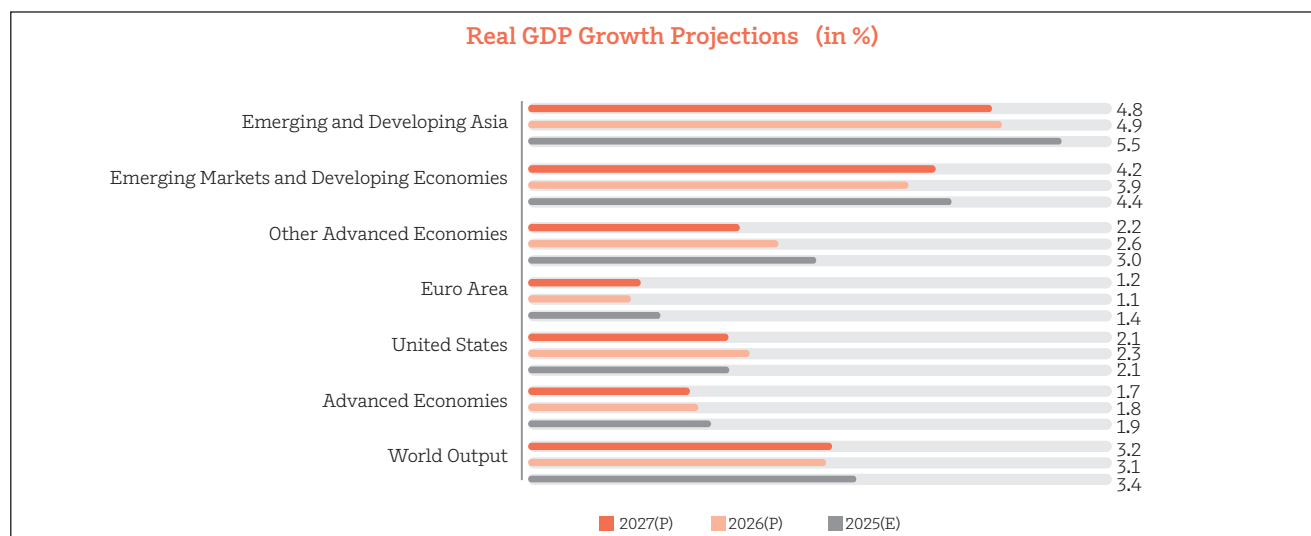
Digital infrastructure investment remains strong, driven by rising demand for data centres supported by artificial intelligence, cloud computing and high-performance computing. Increasing electricity consumption from these segments is expected to shape long-term energy demand. Overall, the global outlook reflects moderate growth, supported by sustained investment in physical and digital infrastructure.

INDIAN ECONOMY

India's economy remains among the fastest growing globally in Fiscal 2026, with real Gross Domestic Product growth estimated at 7.4% and Gross Value Added growth at 7.3%, reflecting resilient consumption and investment trends. According to the Economic Survey 2025-26, India continues to be the fastest-growing major economy globally, supported by strong domestic demand, expanding private consumption and sustained public capital expenditure, despite ongoing global geopolitical and trade uncertainties.

GDP Growth Rate (%)

Year	Fiscal 2021	Fiscal 2022	Fiscal 2023	Fiscal 2024	Fiscal 2025
GDP Growth Rate (%)	8.7	7.0	7.6	6.4	7.4



MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

Performance of Eight Core Industries

Sector	Coal	Crude Oil	Natural Gas	Refinery Products	Fertilisers	Steel	Cement	Electricity	Overall Index
Weight	10.33	8.98	6.88	28.04	2.63	17.92	5.37	19.85	100.00
Fiscal 2013	103.2	99.4	85.6	107.2	96.7	107.9	107.5	104.0	103.8
Fiscal 2014	104.2	99.2	74.5	108.6	98.1	115.8	111.5	110.3	106.5
Fiscal 2015	112.6	98.4	70.5	108.8	99.4	121.7	118.1	126.6	111.7
Fiscal 2016	118.0	97.0	67.2	114.1	106.4	120.2	123.5	133.8	115.1
Fiscal 2017	121.8	94.5	66.5	119.7	106.6	133.1	122.0	141.6	120.5
Fiscal 2018	124.9	93.7	68.4	125.2	106.6	140.5	129.7	149.2	125.7
Fiscal 2019	134.1	89.8	69.0	129.1	107.0	147.7	147.0	156.9	131.2
Fiscal 2020	133.6	84.5	65.1	129.4	109.8	152.6	145.7	158.4	131.6
Fiscal 2021	131.1	80.1	59.8	114.9	111.6	139.4	130.0	157.6	123.2
Fiscal 2022	142.3	77.9	71.3	125.1	112.4	163.0	156.9	170.1	136.1
Fiscal 2023	163.5	76.6	72.4	131.2	125.1	178.1	170.6	185.2	146.7
Fiscal 2024	182.7	77.1	76.8	135.9	129.8	200.4	185.7	198.3	157.8
Fiscal 2025	192.0	75.4	75.9	139.7	133.5	214.1	197.4	208.6	164.9
Apr-Dec 2025-26*	176.3	74.1	74.6	138.8	136.9	229.2	204.2	210.5	166.3

*Provisional

Public investment continues to anchor growth, with Union Budget 2026-27 capital expenditure at approximately ₹ 12.22 lakhs Crore, supporting infrastructure across transport, logistics, power and strategic sectors. The Government has maintained a fiscal deficit target of 4.3%, while continuing counter-cyclical fiscal measures to strengthen manufacturing and long-term economic resilience.

Inflation remained largely under control during most of the fiscal year, supporting macroeconomic stability and consumption trends. Headline Consumer Price Index inflation stood at 3.4% in March 2026, reflecting a limited impact from global energy market volatility. In response to changing crude oil price dynamics, the Reserve Bank of India maintained the policy repo rate at 5.25% in April 2026, reflecting a neutral monetary stance.

Manufacturing activity strengthened alongside services, supported by demand, credit expansion and policy initiatives. Production Linked Incentive schemes continue to attract investments, including approximately ₹ 11,887 Crores in speciality steel, reinforcing domestic manufacturing capabilities. 'Make in India', export diversification, foreign direct investment reforms and

regulatory streamlining continue to improve ease of doing business and support formal sector growth.

Structural reforms and tax rationalisation measures also supported consumption growth. The reduction in Goods and Services Tax on essential consumer durables from 28% to 18% in September 2025 helped stimulate household demand across urban and semi-urban markets.

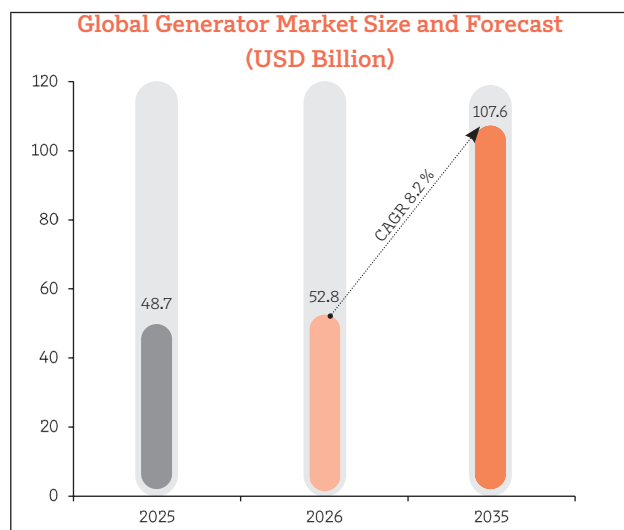
Power sector expansion remains a key enabler, with installed capacity exceeding 520.51 gigawatts. Renewable energy additions, particularly in solar and wind, continue to accelerate, supported by higher budgetary allocations for clean energy. Overall, India's growth trajectory continues to be supported by strong fiscal policy, infrastructure investment, resilient domestic consumption and manufacturing expansion, despite evolving global uncertainties.

Global Generator Market

Reliable and uninterrupted access to electricity remains critical across industrial, commercial and residential operations, driving the widespread adoption of generator systems for primary, standby and supplementary power requirements. Generators convert mechanical energy

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

into electrical energy and are commonly deployed to support operations in regions facing grid instability, transmission limitations or fluctuating power availability. A typical generator system comprises an engine, alternator, fuel system, cooling and exhaust mechanisms, along with integrated control systems that collectively enable efficient and regulated power generation.



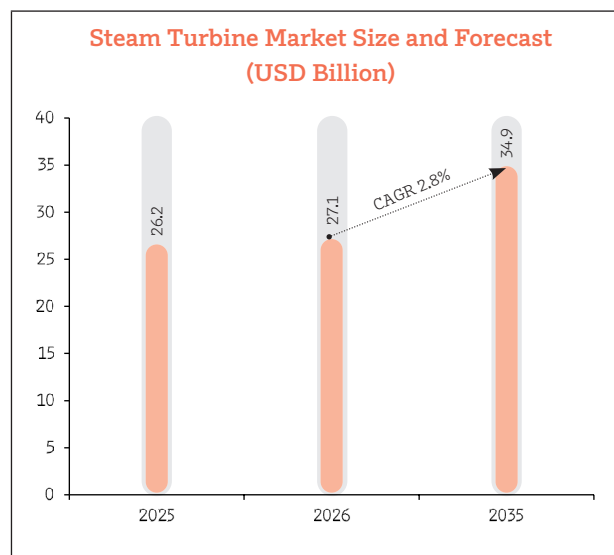
CAGR (2026-2035): 8.2%

The global generator market continues to expand, supported by industrialisation, infrastructure development and rising electricity demand across both developed and emerging economies. Rapid urbanisation and construction activity, particularly in Asia-Pacific, are contributing significantly to market growth. Increasing investments in commercial facilities, data centres and critical infrastructure are further strengthening demand for reliable backup and decentralised power solutions. In addition, recurring power disruptions, rising peak-load requirements and gaps in transmission and distribution infrastructure are accelerating the adoption of on-site generation systems. Environmental considerations and evolving emission standards are also influencing market dynamics, with growing preference for fuel-efficient and lower-emission technologies alongside conventional diesel-powered generators.

Steam Turbine

The global steam turbine market is expected to witness steady growth over the medium term, supported by

sustained electricity demand and industrial energy requirements. Demand remains anchored in thermal and combined-cycle power generation, where reliable and continuous output is critical. In parallel, increasing adoption of captive and on-site power solutions across steam-intensive industries is supporting deployment. Key applications include sugar mills, refineries, pulp & paper, chemicals and waste heat recovery systems, where steam turbines enhance process efficiency and energy utilisation. Continued infrastructure development and expansion of power generation capacity in emerging economies are expected to provide structural support to the market.

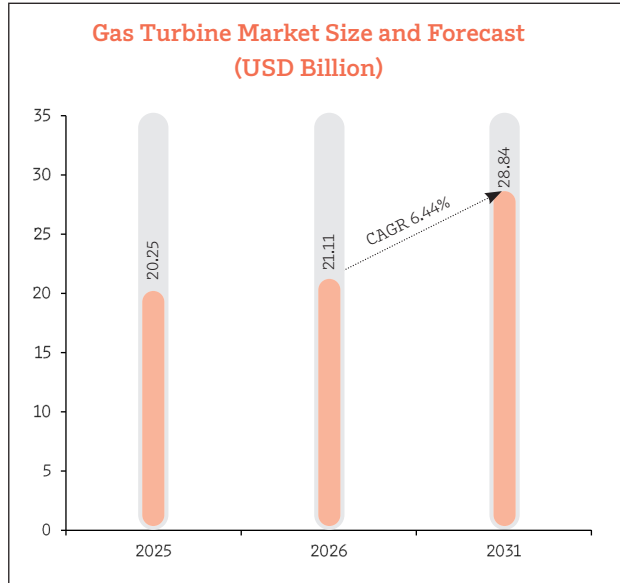


CAGR (2026-2035): 2.8%

Gas Turbines

The global gas turbine market is witnessing strong growth, driven by rising electricity demand and increasing investments in gas-based power generation infrastructure. Gas turbines remain integral to modern power systems due to their relatively lower emissions and high operational efficiency. Growth is supported by the expansion of combined-cycle power plants and the increasing use of natural gas as a transition fuel across developed and emerging economies. Technological advancements in turbine design, materials and digital diagnostics are enhancing efficiency, reducing downtime and improving lifecycle performance. Additionally, improved operational flexibility, including faster ramp-up capabilities, is enabling better integration with renewable energy sources and supporting grid stability.

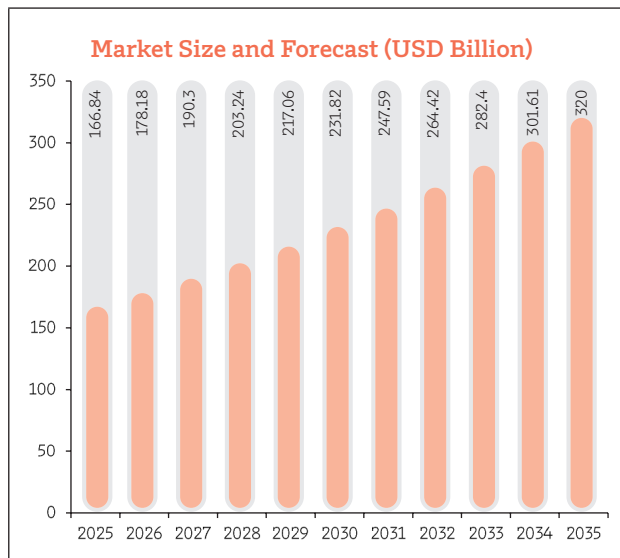
MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)



CAGR (2026-2031): 6.44%

Hydro Generators

The global hydro generators market is expanding steadily, supported by sustained investments in renewable energy infrastructure and the critical role of hydropower in grid stabilisation. Hydropower continues to be prioritised as a reliable and scalable low-carbon energy source. Technological advancements in generator efficiency and digital control systems are enhancing operational performance and reliability.

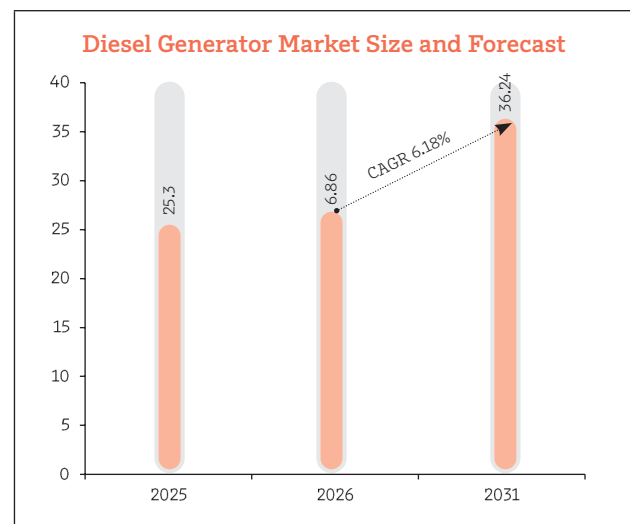


Asia-Pacific remains the primary growth driver, led by large-scale hydropower projects and

increasing electricity demand, alongside rising adoption of small and micro-hydro solutions for decentralised energy needs. In Europe, growth is supported by renewable transition mandates and the modernisation of ageing infrastructure, with increasing focus on refurbishment, efficiency upgrades and integration of digital monitoring systems.

Diesel Generator

The diesel generator market is expected to witness steady growth, supported by sustained demand for reliable backup and continuous power solutions across infrastructure and industrial applications. Demand is primarily driven by recurring power outages, natural disasters and ongoing grid stability concerns across regions. Adoption remains strong across sectors such as oil & gas, construction and manufacturing, where dependable power is critical, particularly in remote and high-intensity operating environments. Growth is further supported by rising industrial activity, expanding energy needs and increasing investments in energy management, reinforcing the role of diesel generators as a reliable and widely deployed power source.



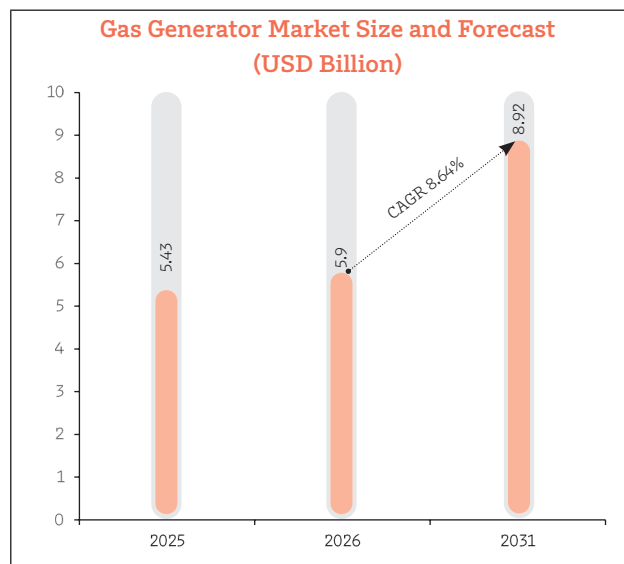
CAGR(2026-2031): 6.18%

Gas Generator

The global gas generator market is witnessing steady growth, driven by rising energy demand and expanding industrial activity. Demand is supported by the need for reliable and continuous power across commercial

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

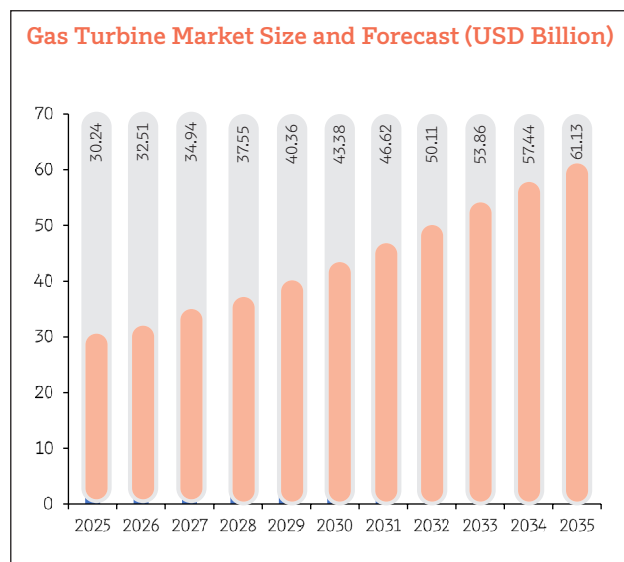
and industrial sectors. Growth is further reinforced by increasing digitalisation, with data centres and communication infrastructure requiring uninterrupted power to ensure operational continuity. Gas generators are widely deployed to meet rising electricity consumption, offering a relatively cleaner and efficient alternative for dependable power supply across diverse applications.



CAGR(2026-2031): 8.64%

Gas Turbine

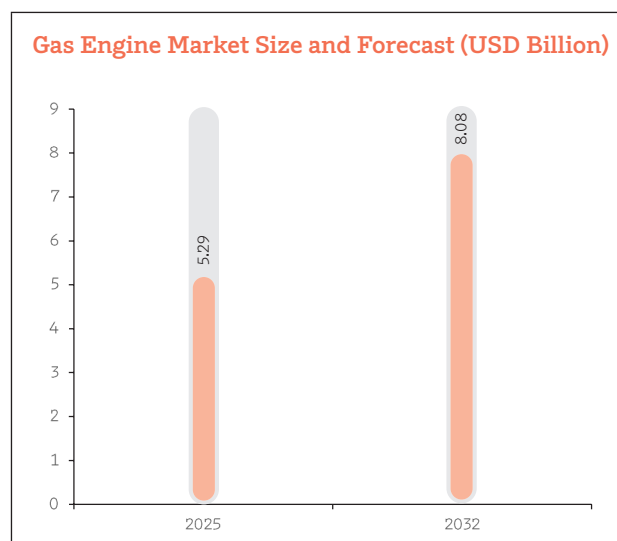
The global gas turbine market is set for strong expansion, supported by rising electricity demand and the ongoing transition toward cleaner power generation. Growth is



driven by increasing deployment across emerging and industrialising economies, where reliable and scalable energy solutions are critical. Adoption is further supported by a shift away from coal-based generation toward lower-emission alternatives, with gas turbines, particularly in combined-cycle configurations, offering improved efficiency and reduced environmental impact. Their relatively lower emissions position them as a key transitional technology in decarbonising energy systems. In addition, their ability to support grid stability and complement renewable energy integration reinforces their strategic importance in evolving power infrastructure.

Gas Engine

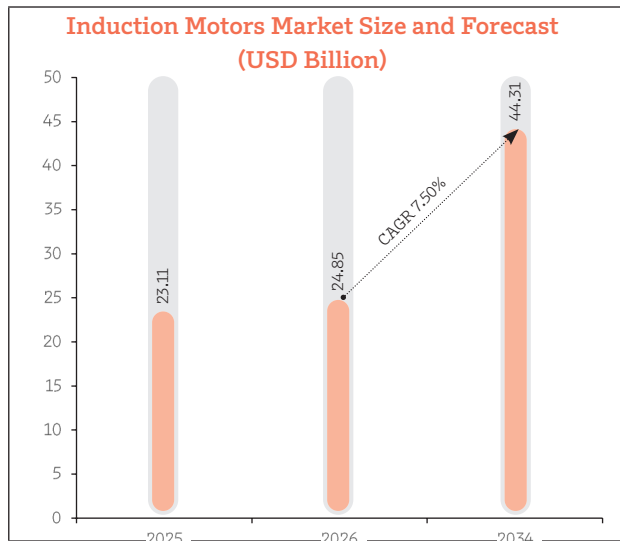
The global gas engine market is witnessing steady growth, supported by rising demand for efficient and reliable power systems across industrial and commercial applications. Growth is driven by increasing energy consumption, infrastructure development and the need for continuous power solutions across sectors. Gas engines are widely used across industrial machinery, power generation, oil & gas and construction equipment, reflecting their versatility across applications. Technological advancements are improving efficiency, durability and operational flexibility, enhancing overall performance and lifecycle value. In parallel, the shift toward cleaner and energy-efficient solutions, supported by policy incentives and decarbonisation efforts, is strengthening adoption across power generation and industrial segments.



MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

Induction Motors

The global induction motors market is witnessing strong growth, driven by expanding industrialisation, automation and increasing emphasis on energy-efficient solutions across manufacturing, utilities and infrastructure sectors. Induction motors continue to see widespread adoption due to their durability, reliability and cost-effectiveness, with applications spanning pumps, HVAC systems, material handling and compressed air systems. Growth is further supported by rising integration in renewable energy systems and electric mobility applications. Technological advancements in motor design and control systems, including IoT-enabled smart motors, are enhancing operational efficiency and enabling predictive maintenance. Regionally, demand remains strong in developed markets due to automation initiatives, while Asia-Pacific is emerging as a key growth driver supported by rapid urbanisation, infrastructure development and industrial capacity expansion.

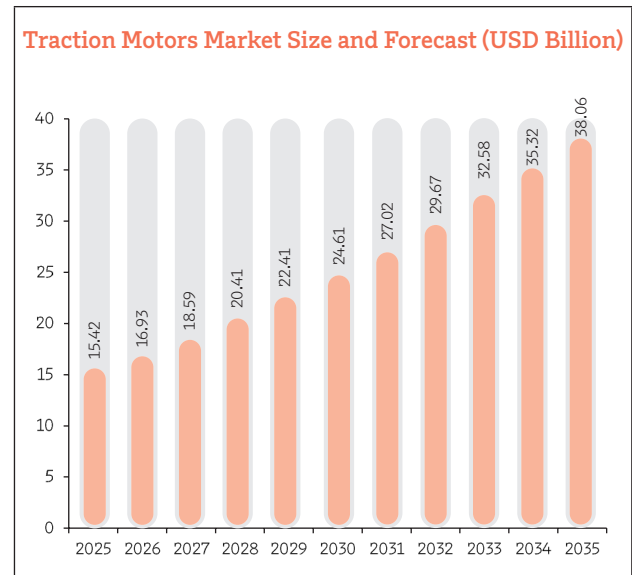


CAGR(2024-2034): 7.50%

Traction Motors

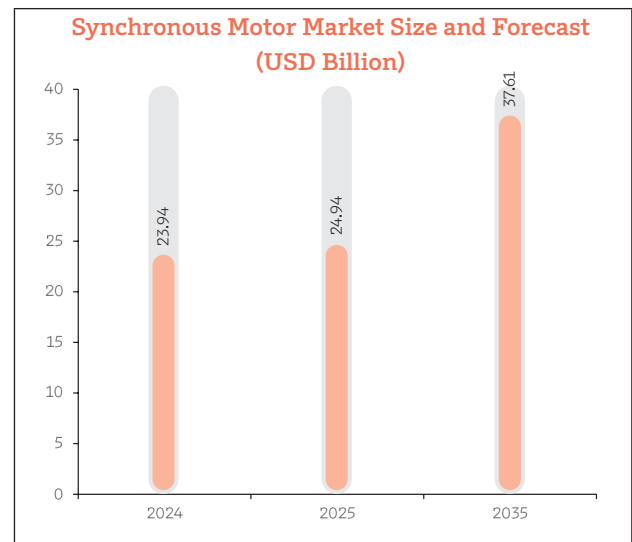
Traction motors are specialised electric motors that convert electrical energy into mechanical force to propel vehicles, playing a central role across electric vehicles, hybrid vehicles, electric buses and modern rail systems. They are designed to deliver high torque at low speeds, ensuring energy efficiency, smooth acceleration and reliable performance across mobility platforms. The global traction motor market is witnessing strong growth, driven by accelerating adoption of electrified mobility, expansion of EV manufacturing and increasing

investments in railway electrification. Demand is further supported by government incentives and regulatory focus on cleaner transportation solutions. Technological advancements in motor control systems and integration of smart technologies are enhancing performance and efficiency. Regionally, Asia-Pacific leads growth supported by industrialisation and policy push, while developed markets continue to see adoption driven by emissions regulations and EV demand.



Synchronous Motors

Synchronous motors are high-performance systems designed to operate at constant speed in line with supply frequency, making them suitable for heavy-duty and precision industrial applications.



MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

They are widely used across oil & gas, power generation, mining, cement, water treatment and large manufacturing facilities, where operational stability, power factor correction and energy efficiency are critical. The global synchronous motor market is expanding steadily, supported by industrial automation, infrastructure investments and increasing focus on energy-efficient equipment. Demand is driven by the need for reliable high-power motors in energy-intensive industries, along with replacement of ageing systems and regulatory emphasis on energy optimisation. Regionally, Asia-Pacific leads growth on the back of industrialisation and capacity expansion, while developed markets are supported by modernisation initiatives and adoption of advanced motor control technologies.

OPPORTUNITIES AND THREATS

Opportunities		Threats
<u>Electrification Momentum:</u> Rising adoption across transportation, industrial processes and infrastructure driving demand for motors and generators in EVs, rail and energy-intensive sectors		<u>Input Cost Volatility:</u> Fluctuations in copper, electrical steel and rare earth materials impacting cost structures and margins
<u>Energy Efficiency Mandates:</u> Regulatory push for high-efficiency systems accelerating replacement demand for advanced motors and generators		<u>Competitive Intensity:</u> Presence of global and low-cost manufacturers exerting pricing and market share pressure
<u>Renewable Integration:</u> Expansion of wind, solar and hybrid systems increasing demand for grid-compatible and decentralised power solutions		<u>Policy Uncertainty:</u> Shifts in trade, localisation and environmental regulations influencing investment decisions
<u>Industrial Automation:</u> Industry 4.0 and robotics driving need for precision motors and digitally integrated systems		<u>Technological Shifts:</u> Rapid advancements in propulsion and power electronics requiring continuous innovation and R&D
<u>Infrastructure Expansion:</u> Growth in metro rail, smart cities, water and industrial infrastructure supporting sustained demand		<u>Supply Chain Risks:</u> Geopolitical and logistics disruptions affecting component availability and execution timelines

COMPANY OVERVIEW AND BUSINESS OUTLOOK

TD Power Systems Ltd (*'TDPS'* or *'the Company'*) is a manufacturer of AC generators catering to steam, gas, hydro and diesel-based power plants. Its portfolio includes steam turbine generators up to 250 MW, gas turbine generators up to 250 MVA, hydro generators up to 45 MW and diesel/gas engine generators up to 25 MVA.

Beyond generators, the Company manufactures synchronous motors up to 50 MW, induction motors up to 20 MW and traction motors up to 1,250 kW, addressing diverse industrial and mobility applications. TDPS operates two manufacturing facilities in Bengaluru, including a dedicated large-generator unit and commissioned a third facility during the year to enhance capacity across generators, motors and components. The Company also maintains an international manufacturing presence in Turkey.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

The Company has supplied 8,055 generators and motors to 113 countries worldwide, reaffirming continued global confidence in its design, reliability, and manufacturing capabilities. This international presence underscores the fact that an Indian generator manufacturer can deliver dependable products while meeting stringent testing standards and competing effectively on the global stage.

SEGMENT-WISE AND PRODUCT-WISE PERFORMANCE

In Fiscal 2026, TDPS delivered its highest-ever revenue and profit after tax for the third consecutive year, reflecting strong execution across key product segments and sustained momentum in international markets. The manufacturing business continued to remain the core growth driver for the Company, with healthy order inflows across generators, motors and railway applications. Export and deemed export orders continued to dominate the order mix during the year, accounting for a significant share of total order inflow, supported by strong brand recognition and expanding customer engagement across global markets.

The gas turbine and gas engine business emerged as the strongest-performing segment during the year, recording substantial growth driven primarily by demand from AI and data centre applications in the United States, along with distributed power and industrial applications across international markets.

The Company secured significant volume orders from major global OEMs and also received breakthrough prototype orders, strengthening its position for long-term platform opportunities. The continued growth in this segment reflects increasing global demand for flexible and efficient power solutions.

The steam turbine segment maintained a strong and steady performance during Fiscal 2026, supported by healthy demand from captive power plants, biomass and waste heat recovery applications in both domestic and export markets. The Company also saw increasing opportunities from the steel industry in India. The market continued to witness a gradual shift towards larger units and combined-cycle applications, reinforcing the long-term growth potential of the segment. Gas Engine Generators emerged as a larger contributor to the Company's overall turnover during the year, followed by Steam Turbine Generators.

The hydro segment demonstrated encouraging momentum during Fiscal 2026, supported by growing refurbishment opportunities in India and overseas

markets. The Company remained active in small and mid-sized hydro projects while strengthening its presence in the refurbishment business, which is emerging as an important vertical within the segment. The hydro business is expected to achieve one of its highest revenue contributions in the coming year, supported by a healthy pipeline of opportunities.

The motors business continued to strengthen its position as a focused growth vertical for the Company. The induction and synchronous motors business recorded healthy progress across domestic and export markets, supported by a strong order pipeline and ongoing customer qualifications in the United States and Europe. To improve operational focus and execution efficiency, the Company has initiated the separation of manufacturing lines for motors and generators. The business continued to demonstrate strong potential for long-term growth.

The railway business also recorded steady progress during the year, supported by long-term supply arrangements for traction motor components and growing opportunities in domestic and export markets. The Company continued to expand its presence in locomotive applications and initiated qualification activities for international traction motor programmes.

Other product lines such as diesel generators, wind applications, spares and aftermarket services remained smaller contributors during the year. The spares and aftermarket business continued to witness gradual growth, supported by increasing refurbishment and service opportunities across installed equipment.

During Fiscal 2026, the Company also continued to invest in future-ready technologies and product capabilities. TDPS is building design and manufacturing capabilities for larger generators ranging from 40 MW to 200 MW through its R&D branch office in the United Kingdom. These developments are expected to strengthen the Company's participation in larger global opportunities in the years ahead.

Considering the strong order pipeline, increasing export opportunities and healthy momentum across core product segments, the Company expects to achieve a revenue of ₹ 2,400+ Crore for the Fiscal 2027.

Barring unforeseen events, the Company expects to maintain a higher level of operational and financial performance driven by strong order inflow, improved execution and a favourable product mix in Fiscal 2027.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

BREAKTHROUGH EFFORTS AND OPPORTUNITIES

Some of the important breakthrough orders, qualifications from OEMs/Customers and business developments during Fiscal 2026 are as follows:

Generators

- Secured significant volume orders from a major US-based gas turbine OEM for generators catering to AI and data centre applications
- Received breakthrough prototype (NPI) orders from a global OEM in the gas engine segment, creating pathways for long-term platform business
- Continued supplies for high-profile international projects in the gas turbine and gas engine segments, including installations for advanced AI and data centre applications
- Received orders for hydro turbine generators for projects in Vietnam, including 2 x 7.7 MW, 6.3 kV, 600 rpm horizontal hydro turbine generators
- Secured package orders for supply of hydro turbine generators for multiple projects across India and Nepal
- Strengthened presence in hydro refurbishment business through refurbishment opportunities in India and international markets
- Continued to witness healthy order inflow for steam turbine generators driven by captive power, biomass and waste heat recovery applications
- Expanded opportunities in larger steam turbine generator applications with increasing demand for 30 MW to 60 MW range generators
- Continued participation in specialised applications including marine, locomotive, geothermal, solar thermal and testing equipment segments
- Strengthened capabilities for larger generators ranging from 40 MW to 200 MW through ongoing design and development initiatives undertaken by the Company's UK-based R&D Branch office

Motors

- The induction and synchronous motors business continued to witness healthy growth supported by strong domestic and export demand
- Initiated customer qualification activities for motors in the United States and European markets, with volume production expected to commence following successful approvals

- Continued supplies of stators and rotors for traction motors under long-term arrangements for railway applications
- Offered qualification units for traction motor applications in international markets, including Russian locomotive programmes
- Undertook operational initiatives to separate manufacturing lines for motors and generators to improve execution efficiency and strengthen focus on the growing motors business

The above breakthrough orders, qualifications and business developments reflect promising growth opportunities and are expected to contribute significantly to the Company's order book and future business prospects.

DRIVING OPERATIONAL EXCELLENCE THROUGH TRANSFORMATION

During the year, the Company initiated a structured Business Excellence programme to strengthen operational efficiency, process reliability and manufacturing consistency across its operations. Led by a dedicated Business Excellence team, the initiative reflects TDPS' strategic focus on building simple, robust and scalable production systems capable of delivering world-class quality standards while supporting future growth requirements.

The initiative is aimed at reducing operational inefficiencies, improving process discipline and minimising manufacturing challenges through the adoption of globally recognised continuous improvement practices. The Company plans to progressively implement methodologies such as Total Quality Management (TQM), Kaizen, Quality Circles and 5S across functions, tailored to its operating environment and business requirements. These initiatives are expected to enhance productivity, strengthen quality consistency, improve shop-floor efficiency and create a more agile manufacturing ecosystem.

As part of this journey, the Business Excellence team will work closely with employees across departments to drive awareness, capability building and structured implementation of improvement practices. The programme is designed to foster a culture of continuous improvement and proactive problem-solving, enabling teams to transition from reactive 'firefighting' approaches towards sustainable process optimisation and operational discipline.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

The Company believes that strengthening manufacturing excellence and process standardisation will be critical to supporting future scale-up plans, improving execution capabilities and enhancing overall competitiveness. With increasing production requirements and expanding market opportunities across generators and motors, TDPS remains focused on creating a resilient operational framework capable of supporting long-term growth with improved efficiency, reliability and quality outcomes.

DISCUSSION ON FINANCIAL PERFORMANCE WITH RESPECT TO OPERATIONAL PERFORMANCE

Financial Performance

The opening order book for Fiscal 2026 was ₹ 1,36,801.40 lakhs (₹ 1,33,912.44 lakhs for India and ₹ 2,888.98 lakhs for Turkey), including traction business of ₹ 31,636.77 lakhs. During Fiscal 2026 the total order inflows were ₹ 2,23,848.20 lakhs including ₹ 4,889.04 lakhs at Turkey. Domestic order inflows stood at 21%, while exports, including deemed exports, orders stood at 79% of the order inflow. While top 10 customers contributed 84% of consolidated revenues in fiscal 2026 (84% in fiscal 2025). The total sales on a standalone basis were ₹ 1,71,666.38 lakhs in fiscal 2026 as compared to ₹ 1,26,539.62 lakhs in fiscal 2025, an increase of 35.66%.

Exports and deemed exports contributed 66% (Fiscal 2026: 64%) of total sales and domestic revenues contributed 34% (Fiscal 2025: 36%) in Fiscal 2026.

The pending order book as on April 01, 2026 is ₹ 1,97,288.60 lakhs (April 01, 2026: ₹ 1,36,801.40 lakhs) including traction business of ₹ 24,762.20 lakhs (Previous Year: ₹ 31,636.77 lakhs). Out of this, ₹ 1,94,399.60 lakhs for India and ₹ 2,889.00 lakhs for Turkey (Previous Year: ₹ 1,33,912.44 lakhs for India and ₹ 2,888.98 lakhs for Turkey). The share of exports and deemed exports is 76% (Previous Year: 62%) of order book excluding traction business.

Consolidated Basis

Total income increased by ₹ 57,512.08 lakhs, or 44.16%, to ₹ 1,87,753.20 lakhs in Fiscal 2026 from ₹ 1,30,241.12 lakhs in Fiscal 2025, predominantly due to increase in sales volume. Sales increased by ₹ 57,747.21 lakhs, or 45.16%, to ₹ 1,85,623.38 lakhs in Fiscal 2026 from ₹ 1,27,876.17 lakhs in Fiscal 2025, predominantly due to an increased sales volume. Expressed as a percentage of total income, net sales contributed 98.87% in Fiscal 2026 from 98.18% in Fiscal 2025.

Other income contributed 1.13% and 1.82% of the total income in Fiscal 2026 and 2025, respectively. Other income decreased by ₹ 235.13 lakhs, or 9.94%, to ₹ 2,129.82 lakhs in Fiscal 2026 from ₹ 2,364.95 lakhs in Fiscal 2025. The profit after tax and other comprehensive income was ₹ 23,604.28 lakhs in Fiscal 2026 as compared to ₹ 17,335.82 lakhs in Fiscal 2025, an increase of 36.16%. The performance review of the overseas subsidiaries is covered in the Directors' Report to the Members.

Consolidated

The results of operations for the year ended March 31, 2026, and 2025 on a consolidated basis are as follows:

Particulars	Fiscal 2026 (₹ in lakhs)	% of Total Income	Fiscal 2025 (₹ in lakhs)	% of Total Income
Income:				
Sales	1,85,623.38	98.87	1,27,876.17	98.18
Other Income	2,129.82	1.13	2,364.95	1.82
Total Income	1,87,753.20	100.00	1,30,241.12	100.00
Expenditure:				
Consumption of Raw Material, Stores, Spare Parts and Components	1,24,100.78	66.10	83,084.46	63.79
Operating and Other Expenses	28,551.04	15.21	21,715.62	16.67
Interest and Finance Charges	190.32	0.10	305.84	0.23
Depreciation and Amortisation of Technical Know-How	2,299.35	1.22	1,969.85	1.51
Total Expenditure	1,55,141.49	82.63	1,07,075.77	82.21
Profit Before Tax	32,611.71		23,165.35	—

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

Particulars	Fiscal 2026 (₹ in lakhs)	% of Total Income	Fiscal 2025 (₹ in lakhs)	% of Total Income
Current Tax	8,830.93		5,467.25	—
Deferred Tax	(96.71)		240.59	—
Profit/(Loss) after Tax	23,877.49		17,457.51	—
Other Comprehensive Income				
Exchange Difference on Translation of Foreign Operations	(312.17)		(28.95)	—
Income Tax on the Above	(17.24)		(4.38)	—
Re-measurement of Defined Benefit Plans	75.10		(118.08)	—
Income Tax on the Above	(18.90)		29.72	—
Total	(273.21)		(121.69)	—
Total Comprehensive Income	23,604.28		17,335.82	—

FISCAL 2026 COMPARED TO FISCAL 2025 Income

Total income increased by ₹ 57,512.08 lakhs, or 44.16%, to ₹ 1,87,753.20 lakhs in Fiscal 2026 from ₹ 1,30,241.12 lakhs in Fiscal 2025, predominantly due to increased sales volume.

Sales

Sales increased by ₹ 57,747.21 lakhs, or 45.16%, to ₹ 1,85,623.38 lakhs in Fiscal 2026 from ₹ 1,27,876.17 lakhs in Fiscal 2025, predominantly due to increased exports sales volume.

Expressed as a percentage of total income, net sales remain flat at 98.87% in Fiscal 2026 from 98.18% in Fiscal 2025.

Other income

Other income contributed 1.13% and 1.82% of our total income in Fiscal 2026 and 2025, respectively.

Other income decreased by ₹ 235.13 lakhs, or 9.94%, to ₹ 2,129.82 lakhs in Fiscal 2026 from ₹ 2,364.95 lakhs in Fiscal 2025, mainly due to reduction in interest rates on term deposits.

Expenditure

Total expenditure increased by ₹ 48,065.72 lakhs, or 44.89%, to ₹ 1,55,141.49 lakhs in Fiscal 2026 from ₹ 1,07,075.77 lakhs in Fiscal 2025, primarily due to increased sales volumes.

Consumption of raw material, stores, spare parts and components

Consumption of raw material, stores, spare parts and components expenses increased by ₹ 41,016.32 lakhs to ₹ 1,24,100.78 lakhs in Fiscal 2026 from ₹ 83,084.46

lakhs in Fiscal 2025, primarily due to increased sales volume.

Expressed as a percentage of total income, raw material consumption contributed 66.10% in Fiscal 2026 compared to 63.79% in Fiscal 2025.

Operating and other expenses

- Our operating and other expenses increased by ₹ 6,835.42 lakhs, or 31.48%, to ₹ 28,551.04 lakhs in Fiscal 2026 from ₹ 21,715.62 lakhs in Fiscal 2025.
- Power and fuel expenses increased by ₹ 247.24 lakhs, or 22.01%, to ₹ 1,370.69 lakhs in Fiscal 2026 from ₹ 1,123.45 lakhs in Fiscal 2025 on account of increased production.
- Personnel expenses through salaries, wages and bonuses increased by ₹ 3,085.90 lakhs, or 33.96%, to ₹ 12,174.09 lakhs in Fiscal 2026 from ₹ 9,088.19 lakhs in Fiscal 2025 on account of adding manpower to support capacity expansion along with salary revision to catch-up the inflationary increase.
- Welfare expenses increased by ₹ 723.58 lakhs, or 32.95%, to ₹ 2,919.53 lakhs in Fiscal 2026 from ₹ 2,195.95 lakhs in Fiscal 2025 on account of capacity expansion.
- Rent charges increased by ₹ 99.53 lakhs, or 54.65%, to ₹ 281.65 lakhs in Fiscal 2026 from ₹ 182.12 lakhs in Fiscal 2025 primarily on account of inflationary increase from our Turkey subsidiary.
- Repair expenses increased by ₹ 362.48 lakhs, or 40.96%, to ₹ 1,247.43 lakhs in Fiscal 2026 from ₹ 884.95 lakhs in Fiscal 2025.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

- Carriage, freight and selling expenses increased by ₹ 348.06 lakhs, or 17.18%, to ₹ 2,373.56 lakhs in Fiscal 2026 from ₹ 2,025.50 lakhs in Fiscal 2025 on account of the increase in sales volume.
- Vehicle maintenance expenses remain flat at ₹ 94.18 lakhs in Fiscal 2026 from ₹ 82.73 lakhs in Fiscal 2025.
- Insurance expenses increased by ₹ 43.25 lakhs, or 20.10%, to ₹ 258.46 lakhs in Fiscal 2026 from ₹ 215.21 lakhs in Fiscal 2025.
- Printing and stationery expenses remain flat at ₹ 79.19 lakhs in Fiscal 2026 from ₹ 55.88 lakhs in Fiscal 2025.
- Travelling expenses increased by ₹ 680.98 lakhs, or 44.88%, to ₹ 2,198.27 lakhs in Fiscal 2026 from ₹ 1,517.29 lakhs in Fiscal 2025 due to the increase in travelling.
- Postage and telephone charges remain flat at ₹ 68.16 lakhs in Fiscal 2026 from ₹ 55.31 lakhs in Fiscal 2025.
- Audit Fee remain flat at ₹ 29.73 lakhs in Fiscal 2026 from ₹ 28.49 lakhs in Fiscal 2025.
- Consultancy and professional charges increased by ₹ 300.31 lakhs, or 32.76%, to ₹ 1,217.07 lakhs in Fiscal 2026 from ₹ 916.76 lakhs in Fiscal 2025 due to the increase in consultancy services & product related certifications.
- Bank charges increased by ₹ 104.69 lakhs, or 22.52% to ₹ 569.62 lakhs in Fiscal 2026 from ₹ 464.93 lakhs in Fiscal 2025 due to the increased volume.
- Royalty charges decreased by ₹ 6.72 lakhs, or 9.38%, to ₹ 64.89 lakhs in Fiscal 2025 from ₹ 71.61 lakhs in Fiscal 2025 due to lower sales of product under license agreement.
- Direction charges, including other expenses increased by ₹ 334.43 lakhs, or 27.46%, to ₹ 1,552.26 lakhs in Fiscal 2026 from ₹ 1,217.83 lakhs in Fiscal 2025.
- Manufacturing expenses increased by ₹ 192.56 lakhs, or 131.70%, to ₹ 338.77 lakhs in Fiscal 2026 from ₹ 146.21 lakhs in Fiscal 2025 on account of increased production.
- Rates and taxes decreased by ₹ 36.18 lakhs, or 16.57% to ₹ 182.17 lakhs in Fiscal 2026 from ₹ 218.35 lakhs in Fiscal 2025.
- Software expenses remain flat at ₹ 670.99 lakhs in Fiscal 2026 from ₹ 639.06 lakhs in Fiscal 2025.
- Expressed as a percentage of total income, operating and other expenses is 15.21% in Fiscal 2026 when compared to 16.67% in Fiscal 2025.

Interest and finance charges

Our interest and finance charges decreased by ₹ 115.52 lakhs, or 37.77%, to ₹ 190.32 lakhs in Fiscal 2026 from ₹ 305.84 lakhs in Fiscal 2025, due to change in payment terms to MSMED vendors.

Depreciation and amortisation of technical know-how

Our depreciation and amortisation of technical know-how expense increased by ₹ 329.50 lakhs, or 16.73% to ₹ 2,299.35 lakhs in Fiscal 2026 from ₹ 1,969.85 lakhs in Fiscal 2025 on account of capacity expansion resulting in increased capitalisation of assets.

Profit before tax

Profits before tax increased by ₹ 9,446.36 lakhs, or 40.78%, to ₹ 32,611.71 lakhs in Fiscal 2026 from ₹ 23,165.35 lakhs in Fiscal 2025.

Taxation

Our tax expense increased by ₹ 3,026.38 lakhs, or 53.02%, to ₹ 8,734.22 lakhs in Fiscal 2026 from ₹ 5,707.84 lakhs in Fiscal 2025 due to higher profit.

Profit after tax

Consequently, our profit after tax increased by ₹ 6,419.98 lakhs, to ₹ 23,877.49 lakhs in Fiscal 2026 from ₹ 17,457.51 lakhs in Fiscal 2025.

Net worth

The consolidated net worth stands at ₹ 1,07,176.43 lakhs an increase of ₹ 21,145.99 lakhs from ₹ 86,030.44 lakhs in Fiscal 2025.

Standalone basis

Total income increased by ₹ 44,818.23 lakhs, or 34.79%, to ₹ 1,73,667.29 lakhs in Fiscal 2026 from ₹ 1,28,849.06 lakhs in Fiscal 2025, predominantly due to an increase in sales volume. Total sales increased by ₹ 45,126.76 lakhs, or 35.67%, to ₹ 1,71,666.38 lakhs in Fiscal 2026 from ₹ 1,26,539.62 lakhs in Fiscal 2025, predominantly due to an increase in sales volume. Expressed as a percentage of total income, net sales contributed 98.85% in Fiscal 2026 versus 98.21% in Fiscal 2025.

Other income contributed 1.15% and 1.79% of the total income in Fiscal 2026 and 2025, respectively. Other income decreased by ₹ 308.53 lakhs, or 13.36%, to ₹ 2,000.91 lakhs in Fiscal 2026 from ₹ 2,309.44 lakhs in Fiscal 2025.

Profit before tax (before exceptional items) increased by ₹ 8,491.35 lakhs, or 40.56%, to ₹ 29,407.57 lakhs in Fiscal 2026 from ₹ 20,916.22 lakhs in Fiscal 2025. Profit after tax and other comprehensive income was ₹ 21,751.80 lakhs in Fiscal 2026 as compared to ₹ 15,295.65 lakhs in Fiscal 2025, an increase of 42.21%.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

Standalone

The results of operations for the year ended March 31, 2026, and 2025 on a standalone basis are as follows:

Particulars	Fiscal 2026 (₹ in lakhs)	% of Total Income	Fiscal 2025 (₹ in lakhs)	% of Total Income
Income:				
Sales	1,71,666.38	98.85	1,26,539.62	98.21
Other Income	2,000.91	1.15	2,309.44	1.79
Total Income	1,73,667.29	100.00	1,28,849.06	100.00
Expenditure:				
Consumption of Raw Material, Stores, Spare Parts and Components	1,16,012.12	66.80	85,526.45	66.38
Operating and Other Expenses	25,543.70	14.71	19,915.48	15.46
Interest and Finance Charges	190.32	0.11	305.84	0.24
Depreciation and Amortisation of Technical Know-How	2,213.58	1.27	1,885.07	1.46
Total Expenditure	1,43,959.72	82.89	1,07,632.85	83.53
Profit Before Tax and Exceptional Item	29,707.57		21,216.22	—
Exceptional Items	(300.00)		(300.00)	—
Profit Before Tax	29,407.57		20,916.22	—
Current Tax	7,913.86		5,250.70	—
Deferred Tax	(150.64)		294.52	—
Profit After Tax	21,644.35		15,370.99	—
Other Comprehensive Income				
Exchange Difference on Translation of Foreign Operations	68.49		17.39	—
Income Tax on Exchange Difference	(17.24)		(4.38)	—
Re-measurement of Defined Benefit Plan	75.10		(118.08)	—
Income Tax on Re-measurement of Defined Benefit Plan	(18.90)		29.27	—
Total	107.45		(75.35)	—
Total Comprehensive Income	21,751.80		15,295.65	—

Fiscal 2026 compared to Fiscal 2025

Income

Total income increased by ₹ 44,818.23 lakhs, or 34.78%, to ₹ 1,73,667.29 lakhs in Fiscal 2026 from ₹ 1,28,849.06 lakhs in Fiscal 2025, predominantly due to an increase in sales volume.

Total sales

Total sales increased by ₹ 45,126.76 lakhs, or 35.66%, to ₹ 1,71,666.38 lakhs in Fiscal 2026 from ₹ 1,26,539.62 lakhs in Fiscal 2025, predominantly due to an increase in export sales volume.

Expressed as a percentage of total income, net sales contribute 98.85% in Fiscal 2026 versus 98.21% in Fiscal 2025.

Other income

Other income contributed 1.15% and 1.79% of our total income in Fiscal 2026 and 2025, respectively.

Other income decreased by ₹ 308.53 lakhs to ₹ 2,000.91 lakhs in Fiscal 2026 from ₹ 2,309.44 lakhs in Fiscal 2025 due to reduction in interest rates on term deposits.

Expenditure

Total expenditure increased by ₹ 36,326.88 lakhs, or 33.75%, to ₹ 1,43,959.72 lakhs in Fiscal 2026 from ₹ 1,07,632.84 lakhs in Fiscal 2025.

Consumption of raw materials, stores, spare parts and components

Consumption of raw material, stores, spare parts and components expenses increased by ₹ 30,485.66 lakhs to ₹ 1,16,012.12 lakhs in Fiscal 2026 from ₹ 85,526.45 lakhs in Fiscal 2025, primarily due to an increase in sales volume.

Expressed as a percentage of total income, raw material consumption contributed to 66.80% in Fiscal 2026 from 66.38% in Fiscal 2025.

Operating and other expenses

- Our operating and other expenses increased by ₹ 5,628.22 lakhs, or 28.26%, to ₹ 25,543.70 lakhs in Fiscal 2026 from ₹ 19,915.48 lakhs in Fiscal 2025.
- Expressed as a percentage of total income, operating and other expenses is 14.71% in Fiscal 2026 when compared to 15.46% in Fiscal 2025.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

- Power and fuel expense has increased by ₹ 247.24 lakhs, or 22.01%, to ₹ 1,370.69 lakhs in Fiscal 2026 from ₹ 1,123.45 lakhs in Fiscal 2025 on account of increased production.
- Personnel expenses through salaries, wages and bonuses increased by ₹ 2,723.16 lakhs, or 31.92%, to ₹ 11,254.64 lakhs in Fiscal 2026 from ₹ 8,531.48 lakhs in Fiscal 2025 on account of adding manpower to support capacity expansion along with salary revision to catch up the inflationary increases.
- Welfare expenses increased by ₹ 711.19 lakhs, or 34.22%, to ₹ 2,789.47 lakhs in Fiscal 2026 from ₹ 2,078.28 lakhs in Fiscal 2025.
- Rent charges remain flat at ₹ 49.73 lakhs in Fiscal 2026 from ₹ 32.43 lakhs in Fiscal 2025.
- Repair expenses increased by ₹ 333.03 lakhs, or 37.71 %, to ₹ 1,216.10 lakhs in Fiscal 2026 from ₹ 883.07 lakhs in Fiscal 2025.
- Carriage, freight and selling expenses increased by ₹ 348.06 lakhs, or 17.18%, to ₹ 2,373.56 lakhs in Fiscal 2026 from ₹ 2,025.50 lakhs in Fiscal 2025 on account of increase in sales volume.
- Vehicle maintenance expenses increased by ₹ 13.30 lakhs, or 19.54%, to ₹ 81.36 lakhs in Fiscal 2026 from ₹ 68.06 lakhs in Fiscal 2025.
- Insurance expenses increased by ₹ 33.13 lakhs, or 18.94% to ₹ 208.05 lakhs in Fiscal 2026 from ₹ 174.92 lakhs in Fiscal 2025.
- Printing and stationery expenses increased by ₹ 22.93 lakhs or 43.22%, to ₹ 75.98 lakhs in Fiscal 2026 from ₹ 53.05 lakhs in Fiscal 2025.
- Travelling expenses increased by ₹ 661.42 lakhs, or 44.30%, to ₹ 2,154.35 lakhs in Fiscal 2026 from ₹ 1,492.93 lakhs in Fiscal 2025 due to increased travelling.
- Postage and telephone charges increased by ₹ 9.95 lakhs, or 22.02%, to ₹ 55.13 lakhs in Fiscal 2026 from ₹ 45.18 lakhs in Fiscal 2025.
- Audit Fee remains flat at ₹ 28.92 lakhs in Fiscal 2026 from ₹ 27.68 lakhs in Fiscal 2025.
- Consultancy and professional charges increased by ₹ 109.59 lakhs, or 15.32%, to ₹ 824.91 lakhs in Fiscal 2026 from ₹ 715.32 lakhs in Fiscal 2025 due to an increase in consultancy services and product related certifications.
- Bank charges increased by ₹ 81.02 lakhs, or 18.67% to ₹ 514.97 lakhs in Fiscal 2026 from ₹ 433.95 lakhs in Fiscal 2025 due to the increased volume.

- Royalty charges decreased by ₹ 6.72 lakhs, or 9.38%, to ₹ 64.89 lakhs in Fiscal 2026 from ₹ 71.61 lakhs in Fiscal 2025 due to decrease in sales of product under license agreement.
- Direction charges including other expenses increased by ₹ 105.12 lakhs, or 16.04%, to ₹ 760.43 lakhs in Fiscal 2026 from ₹ 655.31 lakhs in Fiscal 2025.
- Manufacturing expenses increased by ₹ 192.56 lakhs, or 131.70%, to ₹ 338.77 lakhs in Fiscal 2026 from ₹ 146.21 lakhs in Fiscal 2025.
- Software expenses remain flat at ₹ 670.99 lakhs in Fiscal 2026 from ₹ 639.06 lakhs in Fiscal 2025.
- Rates and taxes decreased by ₹ 24.15 lakhs, or 12.30%, to ₹ 172.13 lakhs in Fiscal 2026 from ₹ 196.28 lakhs in Fiscal 2025.

Interest and finance charges

Our interest and finance charges decreased by ₹ 115.52 lakhs, or 37.77 %, to ₹ 190.32 lakhs in Fiscal 2026 from ₹ 305.84 lakhs in Fiscal 2025, due to change in payment terms to MSMED vendors.

Depreciation and amortisation of technical know-how

Our depreciation and amortisation of technical know-how expense increased by ₹ 328.51 lakhs, or 17.43% to ₹ 2,213.58 lakhs in Fiscal 2026 from ₹ 1,885.07 lakhs in Fiscal 2025 on account of capacity expansion resulting in increased capitalisation of assets.

Profits before tax and exceptional items

Profits before tax and exceptional items increased by ₹ 8,491.35 lakhs, or 40.02%, to ₹ 29,707.57 lakhs in Fiscal 2026 from ₹ 21,216.22 lakhs in Fiscal 2025.

Exceptional items

Exceptional items include a provision for the diminution in the value of investment in Indian subsidiary D F Power Systems Private Limited for ₹ 300.00 lakhs for the Fiscal 2026 as compared to ₹ 300.00 lakhs in Fiscal 2025.

Profit before tax

Profits before tax increased by ₹ 8,491.35 lakhs, or 40.60%, to ₹ 29,407.57 lakhs in Fiscal 2026 from ₹ 20,916.22 lakhs in Fiscal 2025.

Taxation

Our tax expense including deferred tax increased by ₹ 2,218.00 lakhs, to ₹ 7,763.22 lakhs in Fiscal 2026 from ₹ 5,545.22 lakhs in Fiscal 2025 due to higher profit.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

Profit after tax:

Our profit after tax increased by ₹ 6,273.35 lakhs to ₹ 21,644.35 lakhs in Fiscal 2026 from ₹ 15,371.00 lakhs in Fiscal 2025 due to higher profit.

Key Financial Ratios:

The key financial ratios, such as debtor turnover (trade receivables turnover), inventory turnover, current ratio, debt-equity ratio and net profit margin (net profit ratio), have been disclosed in note no.54 of the Standalone financial statements with explanation provided. The additional ratios required under listing regulations are stated below on a standalone basis:

Particulars	Fiscal 2026	Fiscal 2025
Operating Profit Margin (%)	17.54	16.67
Net Profit Margin (%)	12.52	11.87
Return on Net Worth (%)	21.14	18.30

RISKS AND CONCERNS

Risk	Risk Description	Risk Mitigation Strategy
Economic Slowdown and Market Concentration	Demand for generators and motors linked to economic cycles; dependence on select markets may impact order inflow	Regional diversification, export expansion, broader customer base and product portfolio diversification
Product Concentration Risk	Revenue concentration in select segments, particularly steam turbine generators, increases exposure to demand cycles and substitution risks	Investment in R&D, expansion across hydro, gas, and motor segments, and application diversification
Technology Risk	Evolving efficiency standards and rapid technological changes may affect competitiveness	Continuous R&D, product upgrades, energy-efficient designs and adherence to global standards
Competition Risk	Presence of global OEMs with advanced capabilities leading to pricing and margin pressures	Competitive pricing, differentiated products, strong execution and global sales and service network
Risk from Transnational Sale of Products	Exposure to regulatory, legal, tax and geopolitical complexities across export markets	Strong contractual frameworks, compliance processes, quality controls and market diversification
Manufacturing Facilities and Workforce Risk	Operational disruptions, supply chain constraints and skilled manpower shortages may impact delivery timelines	Investment in automation, process optimisation, supplier diversification and structured talent development

INTERNAL CONTROL SYSTEMS AND THEIR ADEQUACY

The Company has established an internal control framework aligned with the scale and complexity of its operations, ensuring operational efficiency, reliability of financial reporting, asset protection and regulatory compliance. The systems are periodically reviewed through structured management assessments and internal audits, with observations addressed through timely corrective actions under the oversight of the finance function and Audit Committee. The framework is continuously strengthened to align with evolving business requirements. A detailed review of internal financial controls is presented in the Directors' Report.

MANAGEMENT DISCUSSION AND ANALYSIS (CONTD.)

ENVIRONMENT, HEALTH AND SAFETY (EHS)

TDPS maintains integrated management systems for environment, health, safety and operations, certified under ISO 9001:2015, ISO 14001:2015, ISO 45001:2018 and EN ISO 3834-2, aligned with international standards. The Company follows a zero-discharge policy and implements stringent environmental safeguards across operations.

EHS focus areas include:

- Safeguarding employee and stakeholder health and occupational safety
- Ensuring compliance with applicable health and safety regulations, with safety embedded in performance evaluation
- Promoting SHE awareness through structured training and communication
- Driving accountability for safe practices across the workforce
- Enforcing safety compliance across contractors and associated partners
- Integrating EHS considerations into operational and procurement decisions
- Periodic risk assessments, safety audits and quality reviews are conducted, with timely corrective and preventive actions to strengthen compliance and operational resilience

MATERIAL DEVELOPMENTS IN HUMAN RESOURCES AND INDUSTRIAL RELATIONS

TDPS continues to focus on workforce capability development, aligned with evolving technologies and industry requirements. During Fiscal 2026, the Company conducted structured training across manufacturing

excellence, quality systems, safety, leadership, technical skills and compliance. Key areas included statistical process control, equipment maintenance, generator design, communication and operational practices. Employee relations remained stable during the year, supported by a culture of collaboration, accountability and performance orientation. As at the end of Fiscal 2026, the Company had 991 permanent employees, excluding contract personnel and trainees.

Equal Opportunity and Workplace Conduct

The Company follows equal opportunity and merit-based recruitment, without discrimination across gender, caste, religion or social background, while actively promoting diversity and inclusion. Women employees are supported in leadership roles through structured training, mentoring and development initiatives. The Company maintains a zero-tolerance approach to workplace harassment, with policies aligned to the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, supported by established preventive and redressal mechanisms. Leadership continues to focus on employee engagement, safety participation, corporate responsibility and structured communication to sustain an inclusive and performance-driven workplace culture.

Forward-Looking Statements

Statements contained in the Management Discussion and Analysis describing the Company's plans, estimates and projections may constitute 'forward looking' statements within the meaning of applicable securities laws and regulations. Actual results may materially differ from those expressed or implied in the report. The Company assumes no responsibility to publicly amend, modify or revise any such statements on the basis of subsequent developments, information or future events.

For and on behalf of the Board of Directors

Mohib N. Khericha
Chairman
Ahmedabad

Nikhil Kumar
Managing Director
Frankfurt

May 14, 2026

ANNEXURE – 9

CORPORATE GOVERNANCE REPORT

COMPANY'S PHILOSOPHY

Your Company i.e. TD Power Systems Limited (“we”) / (“The Company”) / (“TDPS”) is committed to ethical business practises and regulatory compliances and continues to practice good Corporate Governance. We have complied with the requirements of corporate governance contained in SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (Listing Regulations/LODR), particularly those relating to composition of Board of Directors (“The Board”), constitution of Committees such as an Audit Committee, Stakeholders Relationship Committee, Nomination and Remuneration Committee & Risk Management Committee.

Our Corporate Governance Report for fiscal 2026 forms part of this Annual Report.

I. Board of Directors and Procedures

The composition of the Board of Directors as on March 31, 2026 comprised of six directors consisting of a Non-Executive Chairman, a Managing Director (“MD”), a Non-Executive Non-Independent Director and three Independent Directors. The Company’s Board comprises two women directors out of which one is Independent Director. The positions of the Chairman of the Board and the Managing Director (Chief Executive Officer) of the Company are held by separate individuals. The Chairman of the Board is a Non-Executive Non-Independent Director and one of the promoters of the Company.

A. Composition and Category of Directors, Attendance at Board Meetings and Annual General Meeting, Membership of other Boards/Committees as of March 31, 2026:

Name	Category	Board Meeting entitled or held during the year	Board meetings attended during the year	Attendance at Last AGM	Directorship in companies		Chairmanship/ Committee membership in other Companies	
					Public Company	Private Company	Chairman	Member
Mr. Mohib N. Khericha	Non-Executive Chairman (Promoter)	4	4	Yes	4	1	Nil	2
Mr. Nikhil Kumar	Managing Director (Promoter)	4	4	Yes	2	2	Nil	Nil
Ms. S Prabhamani	Non-Executive Non Independent Director	4	4	Yes	2	Nil	Nil	Nil
Mr. Alexander Olsson	Independent Director	4	4	Yes	1	Nil	Nil	Nil
Mr. Rahul Matthan	Independent Director	4	4	Yes	2	Nil	Nil	Nil
Ms. Prathibha Sastry	Independent Director	4	4	Yes	1	Nil	Nil	Nil

Other Disclosures;

- As required under Regulation 26 of the SEBI Listing Regulations, disclosure considers chairpersonship (in Listed Companies) and membership of Audit Committee & Stakeholders’ Relationship Committee of Public Limited companies.
- The necessary disclosure regarding change in Committee positions, if any, have been made by all the Directors, during the year under review. None of the Director is a Member of more than 10 Committees or Chairman of more than 5 Committees across all Indian Listed public limited Companies in which he/she is a Director.
- None of the Directors had any relationship inter-se.
- As on March 31, 2026, Ms. S Prabhamani and Ms. Prathibha Sastry are Non- Executive Directors who holds 2,62,130 equity shares and 2000 equity shares of face value of ₹ 2 each of the Company, respectively.
- None of the Non-executive Directors held convertible instruments of the Company during the fiscal 2026.

ANNEXURE – 9 (CONTD.)

- The Company has proper systems to enable the Board to periodically review compliance Reports of all laws applicable to the Company, as prepared by the Company.

A(i). Details of directorship of Board Members in other listed entities:

S. No.	Particulars	Name of other listed entity	Category
1	Mohib N. Khericha	Chartered Capital and Investment Limited	Managing Director
		Mazda Limited	Non-Executive – Non Independent Director, Chairperson
2	Rahul Matthan	Indiqube Spaces Limited	Non-Executive - Independent Director

Note: Except above, none of the Directors of TDPS holds directorship in any other listed entity as of March 31, 2026.

B. Board Meetings

The Board meets at least once in a quarter to review the quarterly results and other items on the agenda. During the year, the Board met four times on May 12, 2025, August 06, 2025, October 30, 2025, and January 29, 2026. The maximum gap between any two Board Meetings was less than one hundred and twenty days. Agenda papers and minutes of Board meetings were circulated to directors. It contains vital and adequate information facilitating deliberations at the meetings.

All material information was circulated to the directors before the meetings or placed at the meetings, including the following minimum information as mentioned in the Part A of Schedule II of SEBI Listing Regulations, as and when occasion arises:

- Annual Business Plan which includes capital expenditure and manpower budget. The capital expenditure proposals sanctioned and actual amounts incurred are reported on a quarterly basis. Reasons for variance between the budget and actuals are also explained.
- Information on recruitment and remuneration of senior officers just below the Board level, including appointment or removal of Chief Financial Officer and Company Secretary if any.
- Report on statutory compliance, show cause notices, penalties, demands, suits filed by/ against the Company and shareholders grievances, etc.
- Quarterly financial results for the Company and for the group companies with analysis of performance.
- Minutes of the meetings of committee of the Board of Directors.
- Significant labour problems, if any, and their proposed solutions, wage agreements etc.
- Safety issues – fatal or serious accidents in the plants, dangerous occurrences, any material effluent or pollution problems if any.
- Any material default in financial obligations if any to and by the Company.
- Any issue, which involves possible public or product liability claims of substantial nature, including any judgement or order which may have passed strictures on the conduct of the Company or taken an adverse view regarding another enterprise that can have negative implications on the Company.
- Matters relating to related party transactions and statutory compliance report.
- Minutes of meeting of the Board of Directors, financial statements and significant transactions relating to wholly owned subsidiaries.
- Details of any joint venture or collaboration agreement, if any.
- Non-compliance of any regulatory, statutory or listing requirements and shareholders service such as non-payment of dividend, delay in share transfer etc.
- Quarterly details of foreign exchange exposures and the steps taken by management to limit the risks of adverse exchange rate movement, if material.
- Transactions that involve substantial payment towards goodwill, brand equity, or intellectual property, if any.
- Sale of investments, subsidiaries, assets which are material in nature and not in normal course of business.

ANNEXURE – 9 (CONTD.)

C. Code of Conduct

The Company has in place a comprehensive Code of Conduct (“the Code”) applicable to all the employees and Non-executive Directors including Independent Directors. The Code gives guidance and support needed for ethical conduct of business and compliance of law. A copy of the Code has been placed on the Company’s website (www.tdps.co.in). The Code has been circulated to Directors and Management Personnel and its compliance is affirmed by them annually. A declaration signed by the Chief Executive Officer forms part of this Report. The code of conduct has incorporated the duties of Independent Directors as laid down in the Companies Act, 2013.

D. Disclosure regarding Appointment or Reappointment of a Director

Ms. S Prabhamani (DIN: 09695003) retires by rotation.

Pursuant to provisions of the Companies Act, 2013 and Articles of Association of the Company, Ms. S Prabhamani (DIN: 09695003) retires by rotation at the ensuing 27th Annual General Meeting of the Company and being eligible, offers herself for re-appointment.

E. Independent Directors

- Independent Director means a Non-Executive Director, who fulfils the criteria as laid down in Regulation 16 read with regulation 25 of the SEBI Listing Regulations.
- None of the Independent Directors of the Company serve as an Independent Director in more than seven listed companies and where any Independent Director is serving as whole-time director in any listed Company, such director is not serving as Independent Director in more than three listed companies.
- The maximum tenure of Independent Directors is in accordance with the Companies Act, 2013 and rules made thereunder, in this regard, from time to time.
- During the year, a separate meeting of the Independent Directors was held on January 29, 2026 without the attendance of non-independent directors and members of

the management. All Independent Directors attended the said meeting.

The Company issues formal letter of appointment to its Independent Directors and the terms and conditions of said Letter are published on the website of the Company www.tdps.co.in.

In the opinion of the Board, the independent directors of the Company fulfilled the conditions specified under SEBI LODR 2015 and also, they were independent towards any decision of the management.

F. Familiarisation Programme for Non-Executive/ Independent Directors of the Company

In terms of SEBI Listing Regulations, the Company adopted a Familiarisation Programme for its Non-Executive Directors including Independent Directors comprising two segments:-

1. Familiarisation upon induction of new Directors
 - Inductee was provided with a copy of all the applicable codes and policies formulated and adopted by the Company.
 - An orientation on the Company’s products, markets, customers and functions.
 - Introduction to and interaction with certain key members of the senior management of the Company.
 - A detailed briefing to the inductee on the roles and responsibilities as Director/ Independent Director.
2. Annual Familiarisation Programme

On an annual basis, the Company briefs its Directors inter alia about the Company’s Industry structure, business model, shareholder profile, financial details, Overview of amendments in applicable laws, their roles, rights and responsibilities in the Company. The Board is also periodically briefed on the various changes in the regulations governing the conduct of Independent Directors. The above familiarisation programme is placed on our website at <https://www.tdps.co.in/investor-relations/corporate-governance>.

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G. Skills, expertise and competence of Directors

The table given below described the core skill, expertise and competence of directors of the Company as of March 31, 2026 as required and possessed in the context of operations of the Company:

Particulars	List of core Skills/Expertise/Competencies identified by the Board				
	Planning	Finance & Taxation	Legal	Administration	Technical
Mr. Mohib N Khericha	✓	✓	✓	✓	✓
Mr. Nikhil Kumar	✓	✓	✓	✓	✓
Ms. S Prabhamani	✓	-	-	✓	✓
Mr. Alexander Olsson	✓	✓	✓	✓	✓
Mr. Rahul Matthan	✓	✓	✓	✓	✓
Ms. Prathibha Sastry	✓	✓	-	✓	-

Note: The mark is allocated based upon their competencies in the respective areas as stated above. However, in view of the experience and current positions in respective businesses, the directors possess working knowledge in all the aforesaid areas.

H. Board Evaluation

The Board monitors and reviews the Board evaluation framework. The Board works with the Nomination and Remuneration Committee to lay down the evaluation criteria for the performance of executive/non-executive/independent directors. The questionnaire of the survey is a key part of the process of reviewing the functions and effectiveness of the board and identifying possible path for improvement. Each Board member is requested to evaluate the effectiveness of the board dynamics and relationship, information flow, decisions making of the directors, relationship with the stakeholders, Company performance and strategy, and the effectiveness of the whole board and its various committees. Feedback on each director is encouraged. The evaluation process for fiscal 2026 has been completed.

An Independent directors' meeting was held to review the following:

Review the performance of non-independent directors and the Board as a whole.

- Review the performance of the Chairperson of the Company, taking into account the views of executive directors and non-executive directors.
- Assess the quality, quantity and timeliness of flow of information between the Company management and the Board that is necessary for the Board to effectively and reasonably perform their duties.

I. Remuneration of Directors

There are no pecuniary relationships or transactions with the Non-Executive Directors, except for the payment of sitting fees for attending Board/Committee Meetings and consultancy charges paid to Ms. S Prabhamani, Director in her professional capacity. The sitting fees shall not exceed Rupees One lakh per meeting of the Board or Committee or such amount as may be prescribed by the Central Government from time to time. No commission/share of profit is payable to them.

Disclosures with respect to remuneration paid to Individual Directors:

- i) Details of the remuneration (sitting fee) on a standalone basis to Non-executive Directors for the year ended March 31, 2026:

Particulars	(₹ in lakhs)
Mr. Mohib N Khericha	7.35
Mr. Alexander Olsson	5.65
Ms. S Prabhamani	4.80
Ms. Prathibha Sastry	7.65
Mr. Rahul Matthan	6.25

- ii) Details of the remuneration on standalone basis to Executive Director (Nikhil Kumar, Managing Director) for the year ended March 31, 2026:

Particulars	(₹ in lakhs)
Salary & Allowances	745.04
Employer PF contribution	11.96

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Particulars	(₹ in lakhs)
Commission	410.00
Service Contract/Tenure	5 years
Notice Period	NA
Severance Fees	Nil
Stock Options	Nil

The details of remuneration on a consolidated basis have been disclosed in note No.44 of the related party statement of the consolidated financial statement.

9. Remuneration Policy

Policy relating to the Remuneration for the Whole time Director, KMP and Senior Management Personnel

The remuneration/compensation/commission etc. to the Whole-time Director, Key Managerial Personnel (KMP) and Senior Management Personnel will be determined by the Committee and recommended to the Board for approval. The remuneration/compensation/commission etc. shall be subject to the approval of the Shareholders of the Company, if required.

The remuneration and commission to be paid to the Whole-time Director shall be in accordance with the provisions of the Act.

Increments to the existing remuneration/compensation structure may be recommended by the Committee to the Board which should be within the slabs approved by the Shareholders in the case of Whole-time Director.

Where any insurance is taken by the Company on behalf of its Whole-time Director, Chief Financial Officer ("CFO"), the Company Secretary ("CS") and any other employees for indemnifying them against any liability, the premium paid on such insurance shall not be treated as part of the remuneration payable to any such personnel. Provided that if such person is proved to be guilty, the premium paid on such insurance shall be treated as part of the remuneration.

Remuneration to Whole-time Director, KMP and Senior Management Personnel

Remuneration:

The Whole-time Director/KMP and Senior Management Personnel shall be eligible for fixed

and/ or variable remuneration payable monthly or annually as may be approved by the Board on the recommendation of the Nomination and Remuneration Committee. In the case of whole-time director including Managing Director, the breakup of remuneration and quantum of perquisites including, employer's contribution to P.F, medical expenses etc. shall be decided and approved by the Board/the person authorised by the Board on the recommendation of the Committee and approved by the shareholders, if required.

Minimum Remuneration

If, in any fiscal year, the Company has no profits or its profits are inadequate, the Company shall pay remuneration to its Whole-time Director in accordance with the provisions of Schedule V of the Act (in the form as stated under "remuneration" aforesaid) and if it is not able to comply with such provisions, with the approval of shareholders by special resolution.

Provisions for excess Remuneration

If any Whole-time Director draws or receives, directly or indirectly by way of remuneration any such sums in excess of the limits prescribed under the Act or without the prior sanction of the shareholders, where required, he/she shall refund such sums to the Company and until such sum is refunded, hold it in trust for the Company. The Company shall not waive recovery of such sum refundable to it unless approved by shareholders by special resolution within two years from the date the sum becomes refundable.

Profit-linked Commission

The profit-linked Commission or Incentive remuneration may be paid within the monetary limit approved by shareholders.

Severance fees

In the event of determination of the contract by the Company before the contract period, the Company shall pay executive director, a compensation for the unexpired period of the contract at equal to and same terms had the contract been continued.

Stock Options

Pursuant to the provisions of the Act, an Independent Director shall not be entitled to stock options of the Company.

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II Board Committees:

A. Audit committee

The Audit Committee (“Committee”) presently consists of three Independent Directors and a non-Independent Director as follows:

Mr. Alexander Olsson	Independent Director	Chairman
Mr. Rahul Matthan	Independent Director	Member
Ms. Prathibha Sastry	Independent Director	Member
Mr. Mohib N. Khericha	Non-Independent Director	Member

The constitution of the Committee meets the requirements of section 177 of the Companies Act, 2013 along with Regulation 18 of SEBI Listing Regulations.

All the current members of the Committee have relevant experience in financial matters and Mr. Mohib N. Khericha is a Chartered Accountant.

The Company Secretary Mr. Bharat Rajwani, is the Secretary of the Audit Committee.

The Audit Committee Chairman, Mr. Alexander Olsson, attended the 26th Annual General Meeting held on Wednesday, August 06, 2025.

The Audit Committee met four (4) times during the fiscal ended March 31, 2026, on May 12, 2025, August 06, 2025, October 30, 2025, and January 29, 2026. Particulars of attendance by the members of the Committee during the year ended March 31, 2026 are as follows:

Date of meeting	Members Present
May 12, 2025	All the members attended all the meetings.
August 06, 2025	
October 30, 2025	
January 29, 2026	

The Managing Director and the Chief Financial Officer attends Audit Committee meetings by invitation. The Statutory Auditors attends Audit Committee meetings as special invitees to provide comments and share concerns, if any, with the Audit Committee. Recommendations made by the Audit Committee during the year were accepted by the Board.

The powers, role and terms of reference of the Audit Committee covers the areas as contemplated

under Regulation 18 and Part C of Schedule II of SEBI Listing Regulations and Section 177 of the Companies Act, 2013, as applicable, besides other terms may be referred by the Board of Directors including the following:

Review of Management Discussion and Analysis of financial condition and results of operations, statements of significant related party transactions submitted by management, management letters/ letters of internal control weaknesses issued by the statutory auditors, Internal Audit Reports relating to internal control weaknesses and the appointment, removal and terms of remuneration of the internal auditor.

Review inter alia related party transactions and the financial statements, minutes of Board meetings of the Company’s unlisted Wholly Owned Subsidiaries (“WOS”) and all significant transactions and arrangements entered into by the said Subsidiary.

B. Nomination and Remuneration Committee

The Nomination and Remuneration Committee (“Committee”) presently consists as follows:

Mr. Rahul Matthan	Independent Director	Chairman
Ms. Prathibha Sastry	Independent Director	Member
Mr. Mohib N. Khericha	Non-Independent Director	Member

The Company Secretary Mr. Bharat Rajwani is the Secretary of the Nomination and Remuneration Committee.

During the fiscal 2026, two meetings were held on May 12, 2025 and August 06, 2025, and all the members were present.

The powers, role and terms of reference of the Nomination and Remuneration Committee covers the areas as contemplated under Regulation 19 and Part D of the Schedule II of SEBI Listing Regulations and Section 178 of the Companies Act, 2013 and includes the following:

- Formulation of the criteria for determining qualifications, positive attributes and independence of a Director and recommend to the Board a policy, relating to the remuneration of the Directors, Key Managerial Personnel and other employees.

ANNEXURE – 9 (CONTD.)

- Formulation of criteria for evaluation of Independent Directors and the Board.
- Devising a policy on Board diversity.
- Identifying persons who are qualified to become Directors and who may be appointed in senior management in accordance with the criteria laid down and recommend to the Board their appointment and removal.

Performance evaluation criteria for Independent Directors

The criteria for performance evaluation covers the areas relevant to the functioning as Independent Directors such as preparation, participation, conduct and effectiveness. The performance evaluation of Independent Directors was done by the entire Board of Directors and in the evaluation, the Directors who are subject to evaluation did not participate.

C. Stakeholders' Relationship Committee

Stakeholders' Relationship Committee ("The Committee") presently consists as follows:

Mr. Mohib N. Khericha	Non-Independent Director	Chairman
Ms. S Prabhamani	Non-Independent Director	Member
Ms. Prathibha Sastry	Independent Director	Member

The Company Secretary Mr. Bharat Rajwani is the Secretary of the Stakeholders' Relationship Committee.

During the year, one meeting was held on January 29, 2026 and all the members were present. The Company has received one investor grievance request through the SEBI SCORES portal, which was resolved within the stipulated timeframe. The same was reported in the quarterly reporting filed under SEBI Listing Regulations.

Role of the Stakeholders' Relationship Committee covers the areas as contemplated under Regulation 20 and Part D of the Schedule II of SEBI Listing Regulations.

D. Risk Management Committee

Risk Management committee ("The Committee") presently consists as follows:

Mr. Mohib N. Khericha	Non-Independent Director	Chairman
Mr. Nikhil Kumar	Executive Director	Member
Ms. Prathibha Sastry	Independent Director	Member
Ms. M N Varalakshmi	Chief Financial Officer	Member

Particulars of attendance by the members of the Committee during the year ended March 31, 2026 are as follows:

Date of meeting	Members Present
October 07, 2025	All the members of the Risk Management Committee were present.
March 24, 2026	

The role and responsibilities of the Risk Management Committee include functions specified in Part D of Schedule II of SEBI Listing Regulations.

E. Corporate Social Responsibility Committee

The Corporate Social Responsibility Committee ("The Committee") presently consists as follows:

Ms. Prathibha Sastry	Independent Director	Chairperson
Mr. Nikhil Kumar	Executive Director	Member
Ms. S. Prabhamani	Non-Independent Director	Member

During the year, one meeting was held on August 06, 2025 and all members were present.

The role of the Corporate Social Responsibility Committee covers the areas contemplated under Section 135 and Schedule VII of the Companies Act 2013, read with the Companies (Corporate Social Responsibility Policy) Rules, 2014.

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III Senior Management

The details of Senior Management team as of date (March 31, 2026) and the changes therein, are as below:

a) Senior Management as of the report date are as follows:

Sl. No.	Name	Designation
1	Mr. Deepak Kumar Sinha	Chief Executive Officer
2	Mrs. M N Varalakshmi	Chief Financial Officer
3	Mr. Bharat Rajwani	Company Secretary & Compliance Officer
4	Mr. Vinay Hegde	Global Head, Sales & Marketing
5	Mr. Ramakrishna Varna	Chief Technical Officer
6	Mr. Swapnil Kaushik	Director - Business Development
7	Mr. Krishna Murthy T R	Head - Quality Assurance
8	Ms. Ramya Ramesh	Head - Sales and Project Execution (Motors) and Head of IT
9	Mr. Pon Selvan Balakrishnan	Head - Engineering
10	Mr. Mahesh Kumar K V	Head - Design & Development
11	Mr. Vikas Y. Kanade	Head - Sourcing (Vendor Development)
12	Mr. Kamachiraja M	Head - Servicing
13	Mr. Ramesh K N	Head - Procurement
14	Mr. Prashanth Kumar	Head - Human Resources
15	Mr. Bhavan Kumar	Head - Business Excellence

b) Changes during the financial year in the senior management team are as follows;

- Mr. Deepak Kumar Sinha has been appointed as Chief Executive Officer effective April 03, 2026.
- Mr. Ramakrishna Varna was redesignated as Chief Technical Officer effective October 15, 2025.
- Mr. Pon Selvan Balakrishnan has been appointed as Head of Engineering effective September 01, 2025.
- Ms. Ramya Ramesh has been redesignated as Head - Sales and Project Execution (Motors) and Head of IT effective February 01, 2026.
- Mr. Vikas Y. Kanade was appointed as Head - Supply Chain on July 21, 2025 and redesignated as Head - Sourcing (Vendor Development) effective March 01, 2026.
- Mr. Ramesh K N has been redesignated as Head - Procurement effective March 01, 2026.
- Mr. Bhavan Kumar has been appointed as Head - Business Excellence effective March 01, 2026.
- Mr. Sanju Davis was appointed as Head of Operations effective October 15, 2025 and ceased to be in service effective March 12, 2026.

IV. Subsidiaries

As per the provisions of Regulation 24 of the SEBI Listing Regulations, details of the subsidiaries are as follows:

During the fiscal 2026 the Company had four Wholly Owned Subsidiaries (WOS) i.e. one Indian and three overseas subsidiaries. The detailed summary of these subsidiaries are as follows;

Indian Subsidiary

DF Power Systems Private Limited (DFPS) is an Unlisted Indian Subsidiary. Mr. Mohib N Khericha, Mr. Nikhil Kumar and Ms. S Prabhamani are the Directors of the Company.

The Board monitors performance of DFPS, inter alia, as follows:

- The Audit Committee of the Company reviews the financial statements of DFPS.
- All minutes of Board meetings of DFPS are placed before the Company's Board meetings and taken on record.
- A statement containing all significant transactions and arrangements entered into by DFPS is placed before the Company's Board if any.

This subsidiary does not have income or net worth exceeding 10% of the consolidated income or net worth respectively of TD Power Systems Limited - the holding Company and its subsidiaries, in the immediately

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preceding accounting year. Accordingly, it is not a material subsidiary in terms of Regulation 16 of SEBI Listing Regulations.

Overseas Subsidiaries

USA Subsidiary

TD Power Systems (USA) Inc. (TDPS USA) was incorporated on February 20, 2013 as a Delaware Corporation and the principal place of business of the Company located in Ohio, USA. The TDPS USA consists of 4 directors out of which three Directors of the Company Mr. Mohib N. Khericha, Mr. Nikhil Kumar and Ms. S Prabhmani are Directors of TDPS USA.

The financial statements of TDPS USA are reviewed by the Audit Committee and overall operational performance is reviewed by the Board.

In terms of Regulation 16 of SEBI Listing Regulations, TD Power Systems (USA) Inc is a material subsidiary of the Company for the Fiscal 2026 on account of its turnover exceeding 10% of the consolidated turnover of TD Power Systems Limited - the holding Company and its subsidiaries in the immediately preceding accounting year.

The date of incorporation of the subsidiary have been disclosed in Annexure 1 of the report under Form AOC 1. As per applicable US laws, the appointment of statutory auditors for this subsidiary is not mandatory.

German Subsidiary

TD Power Systems Europe GmbH. (TDPS Europe) Office of the Company is located at Paul - Ehrlich - Strasse 1a, 63225 Langen. Mr. Nikhil Kumar, Managing Director of TD Power Systems Limited, is the Managing Director of TDPS Europe.

The financial statements of the TDPS Europe are reviewed by the Audit Committee and overall operational performance is reviewed by the Board.

In terms of Regulation 16 of SEBI Listing Regulations, TD Power Systems Europe GmbH is a material subsidiary of the Company for the FY 2026 on account of its turnover exceeding 10% of the consolidated turnover of TD Power Systems Limited - the holding Company and its

subsidiaries in the immediately preceding accounting year.

The date of incorporation of the subsidiary have been disclosed in Annexure 1 of the report under Form AOC 1. As per applicable European laws, the appointment of statutory auditors for this subsidiary is not mandatory.

Turkey Subsidiary

TD Power Systems Jenerator Sanayi Anonim Sirketi was incorporated in Turkey on June 21, 2017 under the Turkish Commercial code and its registered office is located at Esentepe Mahallesi Kore ehitleri Cad. No.37/6 Susli/Istanbul Turkey. Mr. Nikhil Kumar, Managing Director, Ms. Prathibha Sastry, Independent Director and Ms. M N Varalakshmi are Directors of TDPS Turkey. The financial statements of the TDPS Turkey are reviewed by the Audit Committee and overall operational performance is reviewed by the Board.

This subsidiary turnover or net worth not exceeding 10% of the consolidated turnover or net worth, respectively of TD Power Systems Limited - the holding Company and its subsidiaries, in the immediately preceding accounting year. Accordingly, it is not a material subsidiary in terms of Regulation 16 of SEBI Listing Regulations.

The Company has formulated a policy on determining material subsidiaries which is available on our website www.tdps.co.in.

V. Related Party Transaction

During the fiscal 2026, the Company had no materially significant Related Party Transactions, which is considered to have potential conflict with the interests of the Company at large.

The Company has formulated a policy on materiality of Related Party Transactions and also on dealing with Related Party Transactions. The said policy is made available on the website of the Company www.tdps.co.in.

Details of transactions with related parties are provided in Annexure 2 of the Directors Report in Form AOC 2 and note No.44 to the Standalone Financial Statements of the Company.

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VI. General Body Meetings

The details of the last three Annual General Meetings held and summary of Special Resolutions passed therein are furnished below:

Fiscal Ended	Date and Time	Venue	Special Resolutions passed
31-03-2025	06-08-2026 And 2:30 PM	Through video conferencing ("VC") / other audio-visual means ("OAVM")	Re-appointment of Mr. Nikhil Kumar (Din: 00062243) as Managing Director of the Company for a further term of five years
31-03-2024	13-08-2024 And 2:00 PM	Through video conferencing ("VC") / other audio-visual means ("OAVM")	Nil
31-03-2023	09-08-2023 And 2:00 PM	Through video conferencing ("VC") / other audio-visual means ("OAVM")	Nil

During the Fiscal 2026, no special resolution was passed through postal ballot. None of the businesses proposed to be transacted in the ensuing Annual General Meeting required a special resolution through postal ballot.

VII. Means of Communication

Quarterly/Half Yearly/Yearly Results

Pursuant to provisions of the SEBI Listing Regulations, periodical financial results of the Company are being published in widely circulated English Newspaper (Business line - All India editions) and vernacular Eesanje newspaper (Bangalore edition).

Financial results, duly approved by the Board, are filed with Stock Exchanges (BSE and NSE) and also displayed on the Company's Website www.tdps.co.in. Along with the financial results, other information as per SEBI Listing Regulations such as Annual Report, Integrated Governance Report, Shareholding Pattern and official news/press releases are filed with BSE on <https://listing.bseindia.com> and with NSE through <https://neaps.nseindia.com/NEWLSTINGCORP/> and also on the Company's website www.tdps.co.in. The Company conducts earnings calls after the board meeting to discuss financial results of the Company for the quarter, half year and year ended as the case may be. The presentations made to the institutional investors or analysts, if any, are sent to Stock Exchanges and also made available on the website of the Company at www.tdps.co.in.

VIII. General Shareholder Information

a.	Annual General Meeting Date, Time and Venue	Wednesday, 12 th day of August 2026 at 2:00 p.m. through Video Conferencing ("VC") / Other Audio Visual Means ("OAVM"), The venue of the AGM shall be deemed to be the registered Office of the Company.
b.	Financial Year	A twelve-month period starting from April 01, 2025 to March 31, 2026.
c.	Dividend Payment Date	The final dividend, as recommended by the Board of Directors, if declared at the ensuing Annual General Meeting will be paid within the statutory period of 30 days.
d.	Record date	As mentioned in the Notice of this AGM.
e.	Listing on Stock Exchanges	The Equity Shares of the Company are listed on BSE Limited (BSE) and National Stock Exchange of India Ltd (NSE) BSE LIMITED P J Towers, Dalal Street, Mumbai 400 001 NATIONAL STOCK EXCHANGE OF INDIA LIMITED, Bandra-Kurla Complex, Bandra (East), Mumbai 400 051 The listing fees dues as on the date has been paid to the respective stock exchanges.



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f.	ISIN No.	INE419M01027																							
g.	Registrar and Transfer Agents (RTA)	MUFG Intime India Private Limited (formerly known as Link Intime India Private Limited) C 101, 247 Park, L B S Marg, Vikhroli West, Mumbai 400 083 Tel No: +91 22 49186000																							
h.	Share Transfer System	Share transfers are registered and returned in the normal course within a period of 15 days from the date of receipt.																							
i.	Distribution of shareholding as on March 31, 2026	(As per Annexure A)																							
j.	Shareholding Pattern as on March 31, 2026	(As per Annexure B)																							
k.	Dematerialisation of Shares and Liquidity as on March 31, 2026	<table><tr><th>Description</th><th>No. of Holders</th><th>No. of Shares</th><th>% of Equity</th></tr><tr><td>Physical</td><td>0</td><td>0</td><td>0.00%</td></tr><tr><td>NSDL</td><td>2,77,15</td><td>11,66,68,658</td><td>74.68%</td></tr><tr><td>CDSL</td><td>8,97,55</td><td>3,95,46,172</td><td>25.32%</td></tr><tr><td>Total</td><td>1,17,470</td><td>15,62,14,830</td><td>100.00%</td></tr></table>				Description	No. of Holders	No. of Shares	% of Equity	Physical	0	0	0.00%	NSDL	2,77,15	11,66,68,658	74.68%	CDSL	8,97,55	3,95,46,172	25.32%	Total	1,17,470	15,62,14,830	100.00%
Description	No. of Holders	No. of Shares	% of Equity																						
Physical	0	0	0.00%																						
NSDL	2,77,15	11,66,68,658	74.68%																						
CDSL	8,97,55	3,95,46,172	25.32%																						
Total	1,17,470	15,62,14,830	100.00%																						
l.	Outstanding GDRs/ADRs/Warrants or any Convertible instruments, conversion date and likely impact on equity	No outstanding GDRs/ADRs/Warrants or any Convertible Instruments																							
m.	Commodity price risk or Foreign exchange risk and hedging activities	Nil																							
o.	Factory (Plant Location) and Registered Office	Unit I: # 27, 28 and 29 KIADB Industrial Area, Dabaspeth, Nelamangala Taluk, Bangalore, Karnataka - 562 111 Unit II: Sy. No. 59/2, Yedehalli Village Nelamangala Taluk, Sompura Hobli Dabaspeth, Bangalore, Karnataka - 562 111 Unit III: 27,28,29,30 AND 31, JAPANESE INDUSTRIAL TOWNSHIP, 3 rd Main Road, Smcc Construction Site Office, Vasanthanarasapura Industrial Area 3 rd Phase, Vasanthanarasapura Industrial Area, Tumakuru, Karnataka – 572 128, India																							
p.	Compliance Officer and Company Secretary	Bharat Rajwani																							
q.	Address for correspondence	Shareholders/Beneficial owners are requested to correspond with the Company's RTA (Registrar and Share Transfer Agents) with respect to any query, request, information or clarification pertaining to shares and are further advised to quote their folio number, DP and Client ID number as the case may be, in all correspondence with it. In addition to the RTA, the shareholders may correspond at the following addresses; Registered Office and Factory TD POWER SYSTEMS LIMITED # 27, 28 and 29 KIADB Industrial Area Dabaspeth, Nelamangala Taluk Bangalore, Karnataka - 562 111 Tel: 080-2299 5700 Fax: 080-2299 5718																							
R	Credit Rating during the year	During the financial year 2025-26, the rating agency M/s. Crisil Ratings Limited ("CRISIL") has reaffirmed Company's long-term and short-term rating at Crisil A+/Positive and Crisil A1 respectively.																							

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Annexure A

Distribution of shareholding as on March 31, 2026

Shareholding of Nominal Shares	Shareholders	% to Total Shareholders	Total Shares	% of Paid up Capital
1 to 500	1,07,738	91.72	87,37,619	5.59
501 to 1,000	5,369	4.57	3839,284	2.46
1,001 to 2,000	2,170	1.85	30,75,421	1.97
2,001 to 3,000	721	0.61	17,82,641	1.14
3,001 to 4,000	330	0.28	11,60,222	0.74
4,001 to 5,000	236	0.20	10,92,939	0.70
5,001 to 10,000	356	0.30	25,58,959	1.64
Above 10,000	550	0.47	13,39,67,745	85.76
Total	1,17,470	100	15,62,14,830	100

Annexure B

Shareholding pattern as on March 31, 2026

Category of Shareholder	Number of Shares	% of Shares
A. Promoter and Promoter Group	41978661	26.87
B. Public Shareholding		
Mutual Fund	2,98,08,790	19.08
Alternate Investment Funds	49,38,678	3.16
Foreign Portfolio Investors Category I	3,83,89,923	24.58
Foreign Portfolio Investors Category II	32,90,563	2.11
Directors and their relatives (excluding Independent Directors and nominee Directors)	2,62,130	0.17
Key Managerial Personnel	2,92,873	0.19
Investor Education and Protection Fund (IEPF)	2,935	0.00
Resident Individual holding nominal share capital up to ₹ 2 lakhs	2,41,82,818	15.48
Resident individual holding nominal share capital in excess of ₹ 2 lakhs	52,05,734	3.33
Non Resident Indians (NRIs)	22,18,976	1.42
Foreign Companies	50,000	0.03
Bodies Corporate	28,16,906	1.80
Other	27,75,843	1.78
Total Public Shareholding	11,42,36,169	73.13
C. Non Promoter–Non-Public shareholder		
TDPSP Employee Welfare Trust	-	-
Grand Total (A + B + C)	15,62,14,830	100.00

IX. Other Disclosure

1. Details of non-compliance by the Company, penalties and strictures imposed on the Company by the Stock Exchange(s), SEBI or any other statutory authority.

The equity shares of the Company are listed on BSE Limited, Mumbai and National Stock Exchange

of India Limited, Mumbai. The Company has complied with all the applicable requirements of capital markets and no penalties or strictures have been imposed on the Company by Stock Exchanges, SEBI or any other statutory authority, on any matter relating to the capital markets, during the last three years.

ANNEXURE – 9 (CONTD.)

2. Whistle Blower Policy / Vigil Mechanism and Affirmation that no personnel has been denied access to the Audit Committee.

The Company is committed to ethical and lawful business conduct, which is not only essential to the Company's success, but also a fundamental shared value of its Board of Directors (the "Board"), senior management personnel and employees. Consistent with these principles, the Board has adopted a Code of Business conduct and Ethics (the "Code") as a guide to the principles and standards that should govern the actions of its Board and senior management personnel.

Any actual or potential violation of the Code or any deviation from the key Company policies howsoever insignificant or perceived as such, is a matter of serious concern for the Company and should be reported appropriately for remedial/penal action.

To enable Reporting (Whistle blower) of actual or potential violation of the Code or any deviation from the key Company policies, a fair and proactive mechanism is imperative fortified by an appropriate protection policy.

This Whistle Blower Policy and Vigil Mechanism ("the Policy" or "this Policy") has been formulated with a view to provide a mechanism for Directors/ Employees of the Company to approach the Chairperson of the Audit Committee of the Company or Chairman of the Company. Vigil Mechanism as envisaged in the Companies Act, 2013 and the Rules prescribed is implemented through this Whistle Blower Policy to provide for adequate safeguards to the whistle blowers against victimisation of persons who use such mechanism and make provision for direct access to the Chairperson of the Audit Committee in terms of Regulation 22 of SEBI Listing Regulations and Section 177 of the Companies Act, 2013. During the year under review, no personnel was denied access to the Audit Committee. The above policy is available on our website www.tdps.co.in.

3. CEO / CFO Certification

As required by SEBI Listing Regulations, the CEO and Chief Financial Officer of the Company have certified to the Board of Directors, inter alia, the accuracy of financial statements and adequacy of internal controls for the financial Reporting purpose

as required under the SEBI Listing Regulations, for the year ended March 31, 2026. The said certificate forms part of this Report.

4. Compliance certificates from Practicing Company Secretary

As required by schedule V of the SEBI Listing Regulations, a separate certificate from Mr. Sudhir V. Hulyalkar, Practicing Company Secretary, Bangalore, confirming that:

- Compliance of conditions on Corporate Governance and
- None of the Directors on the Board of the Company have been debarred or disqualified from being appointed or continuing as directors of companies by the Board/Ministry of Corporate Affairs or any such statutory authority.

The said certificates form part of this Report.

5. Disclosure on acceptance of recommendations made by the Board Committees

There was no instance wherein the Board had not accepted the recommendations made by the Board committees during the financial year.

6. Details of total fees paid to Statutory Auditors:

The details of total fees for all services paid by the Company and its subsidiary, on a consolidated basis, to statutory auditor is as follows;

(₹ in lakhs)

Particulars	Fiscal 2026	Fiscal 2025
Audit Fees (including audit of consolidated financial statements)	16.56	16.56
Limited Review (Quarterly financial results including consolidated financial results)	10.05	10.05
Other services – Certifications fees	3.12	1.88

During the year, there was no payment to any entity in the network firm/network entity of which the statutory auditor is a part.

7. Disclosure about Sexual Harassment

The details of complaints filed, disposed of and pending during the financial year pertaining to sexual harassment are provided in the Business Responsibility and Sustainability Report of this Annual Report.

ANNEXURE – 9 (CONTD.)

8. Loans and advances in the nature of loans to Companies in which directors are interested by name and amount are provided in notes 44 of the Standalone financial statements.

9. Accounting treatment in preparation of Financial Statements (Ind As)

The guidelines/Accounting Standards (AS) laid down by the Institute of Chartered Accountants of India (ICAI) and prescribed under Section 133 of the Companies Act, 2013 have been followed in the preparation of the financial statements of the Company in all material respects.

10. Code for prevention of Insider Trading/Fair Disclosure

Pursuant to the SEBI (Prohibition of Insider Trading) Regulations, 2015 (“SEBI PIT Regulations”), the Company has adopted a Code for Prevention of Insider Trading. The objective of the code is to restrict an insider from dealing in the shares of the Company either directly or indirectly when in possession of unpublished price sensitive information (UPSI) and also to restrict communication of such UPSI. The code is applicable to the directors and designated employees. The code enumerates the procedure to be followed for dealing in the shares of the Company and periodic disclosures to be made. It also restricts the insiders from dealing in the Company’s shares during the period when the ‘Trading Window’ is announced closed. The Company Secretary has been designated as the Compliance Officer. In terms of the SEBI PIT Regulations a Code of practises and procedures for fair disclosure of Unpublished Price Sensitive Information has been formulated by the Company and made available on Company’s website www.tdps.co.in.

11. Management Discussion and Analysis Report

The Management Discussion and Analysis Report forms part of Directors’ Report as Annexure 8.

12. Board Diversity

The Company recognises the benefits of a Board that possesses a balance of skills, experience, expertise and diversity of perspectives appropriate to the requirements of the business of the Company. The Company maintains that Board appointment should be based on merit that complements and expands the skills, experience and expertise of the Board as a whole, taking into account gender, age, professional experience and qualifications,

cultural and educational background, and any other factors that the Board might consider relevant and applicable from time to time towards achieving a diverse Board. The Nomination and Remuneration Committee (the “Committee”) is responsible for reviewing and assessing the composition and performance of the Board, as well as identifying appropriately qualified persons to occupy Board positions. The Board of Directors of the Company have an optimum combination of Executive and Non-Executive Directors with at least one woman director and the composition of the Board is in accordance with requirements of the Articles of Association of the Company, the Companies Act, 2013, SEBI Listing Regulations and the statutory, regulatory obligations of the Company. The Board Diversity Policy is available on our website www.tdps.co.in.

13. E-Voting

In compliance of the Companies Act, 2013 and Regulation 44 of SEBI Listing Regulations, the Company provides e-voting facility to its shareholders, in respect of all shareholders’ resolutions, to be passed at General Meeting. The procedure/instructions for e-voting are included in the Notice of the ensuing Annual General Meeting of the Company.

14. Mandatory Requirements

The Company has complied with all the mandatory requirements specified in Regulations 17 to 27 and clauses (b) to (i) of sub regulation (2) of Regulation 46 of the SEBI Listing Regulations. The Company has complied compliance requirement of corporate governance under Sub para 2 to 10 of the corporate governance Report in respect of schedule V of SEBI Listing Regulations.

15. Agreements binding listed entities

Pursuant to Regulation 30A of the SEBI Listing Regulations, no agreement has been entered or executed by the shareholders, promoters, promoter group entities, related parties, directors, key managerial personnel and employees of the Company during the financial year.

16. Outstanding unclaimed shares

Pursuant to Regulation 34(3) and Part F of Schedule V to the Listing Regulations, the Company does not have its equity shares in the demat suspense account or unclaimed suspense account.



ANNEXURE – 9 (CONTD.)

17. Discretionary Requirements

The status of adoption of the discretionary requirements as specified in Regulation 27(1) of the SEBI Listing Regulations are as follows:

Separate posts of Chairman, Managing Director or CEO – The Chairman, Managing Director and CEO are separate persons.

Reporting of Internal Auditor - The Internal Auditor Reports directly to the Audit Committee.

Audit Qualifications - The Company has unmodified financial statements for Fiscal 2026.

18. Information through Company's Website

The disclosure as stipulated under Regulation 46(2) of the SEBI Listing Regulations has been disseminated on the Company's website.

For and on behalf of the Board of Directors

Ahmedabad
May 14, 2026

Mohib N. Khericha
Chairman

ANNEXURE – 9 (CONTD.)

COMPLIANCE CERTIFICATE BY CHIEF EXECUTIVE OFFICER AND CHIEF FINANCIAL OFFICER AS PER REGULATION 17(8) OF THE SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015

The Board of Directors

TD Power Systems Limited (Company)

27, 28 and 29, KIADB Industrial Area
Dabaspeta, Nelamangala Taluk
Bangalore 562 111

This is to certify that:

We have reviewed financial statements and the cash flow statement for the year ended March 31, 2026 and that to the best of our knowledge and belief:

These statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;

These statements together present a true and fair view of the Company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.

There are, to the best of our knowledge and belief, no transactions entered into by the Company during the year which are fraudulent, illegal or violative of the Company's code of conduct.

We accept responsibility for establishing and maintaining internal controls for financial Reporting and that we have evaluated the effectiveness of internal control systems of the Company pertaining to financial Reporting and we have disclosed to the auditors and the audit committee, deficiencies in the design or operation of such internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.

We have indicated to the auditors and the Audit committee;

That there have been no significant changes in internal control over financial Reporting during the year;

That there have been no significant changes in accounting policies during the year needing specific disclosure in the notes to the financial statements; and

There have been no instances of significant fraud of which we have become aware and confirmed that no member of the management or an employee having a significant role in the Company's internal control system over financial Reporting is involved therein.

May 14, 2026

Deepak Kumar Sinha
Chief Executive Officer
Bangalore

M N Varalakshmi
Chief Financial Officer
Bangalore



ANNEXURE – 9 (CONTD.)

DECLARATION PURSUANT TO SEBI (LISTING OBLIGATIONS AND DISCLOSURE REQUIREMENTS) REGULATIONS, 2015, REGARDING ADHERENCE TO THE CODE OF BUSINESS CONDUCT AND ETHICS**The Board of Directors****TD Power Systems Limited (Company)**

27, 28 and 29 KIADB Industrial Area

Dabaspet, Nelamangala Taluk

Bangalore 562 111

On the basis of the written declarations received from members of the board and senior management personnel in terms of Regulation 26(3) read with Schedule V of Para D of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, it is hereby certified that, for the year ended March 31, 2026, both the members of the board and the senior management personnel of the Company have affirmed compliance with the respective provisions of the Code of Business Conduct and Ethics of the Company, as laid down by the board.

Bangalore
May 14, 2026

Deepak Kumar Sinha
Chief Executive Officer

ANNEXURE – 9 (CONTD.)

CERTIFICATE ON CORPORATE GOVERNANCE

To,
The Members,
TD Power Systems Limited
Bengaluru

I have examined the compliance of conditions of corporate governance, as stipulated in Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 by **TD Power Systems Limited** (the Company) for the year ended on March 31, 2026.

The compliance of conditions of corporate governance is the responsibility of the management. My examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of the Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In my opinion and to the best of my information and according to the explanations given to me, I certify that the Company has complied with all the applicable conditions of Corporate Governance as stipulated in the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

I further state that such compliance is neither an assurance as to future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

Place: Bengaluru
Date: May 14, 2026

Sudhir Vishnupant Hulyalkar
Company Secretary in Practice
FCS No.: 6040 CP No.: 6137
Peer Review Certificate No.6166/2024
UDIN: F006040H000367951



ANNEXURE – 9 (CONTD.)

CERTIFICATE ON DIRECTORS' APPOINTMENT AND CONTINUATION ON THE BOARD OF DIRECTORS OF TD POWER SYSTEMS LIMITED (THE COMPANY)

(In terms of Regulation 34(3) read with Para C, Sub Para 10 (i) of the Schedule V to the Securities Exchange Board of India (Listing Obligations and Disclosure Requirement) Regulations, 2015)

I have examined the relevant records of the Company and disclosures made by the directors of the Company, relevant information on disqualification and proclaimed offenders as declared by Courts and disseminated on the website of Ministry of Corporate affairs, the Orders and other information available on the website of Securities and Exchange Board of India and the stock exchanges, Reserve Bank of India and information on wilful defaulters as declared by the banks and made available at the web sites of credit information companies registered with the Reserve Bank of India and based upon such examination, I hereby certify that none of the directors on the board of **TD POWER SYSTEMS LIMITED (CIN: L31103KA1999PLC025071)** as on March 31, 2026 have been debarred or disqualified from being appointed or continuing as directors of companies by the Securities and Exchange Board of India, Ministry of Corporate Affairs, Reserve Bank of India and other statutory authorities.

Sudhir Vishnupant Hulyalkar

Company Secretary in Practice

FCS No.: 6040 CP No.: 6137

Peer Review Certificate No.6166/2024

UDIN: F006040H000367918

Place: Bengaluru

Date: May 14, 2026

ANNEXURE – 10

DISCLOSURE WITH RESPECT TO EMPLOYEES STOCK OPTION SCHEME (ESOS) & STOCK APPRECIATION RIGHTS SCHEME (SAR) OF THE COMPANY AS ON MARCH 31, 2026 (PURSUANT TO REGULATION 14 OF THE SEBI (SHARE BASED EMPLOYEE BENEFITS AND SWEAT EQUITY) REGULATIONS 2021):

S. No.	Particulars	TDPSL Equity Based Compensation Plan 2019	
		ESOP	ESAR
A	Relevant disclosures in terms of the accounting standards prescribed by the Central Government in terms of section 133 of the Companies Act, 2013 (18 of 2013) including the 'Guidance note on accounting for employee share-based payments' issued in that regard from time to time.	Please refer to Notes No. 1.13 and 50 of Standalone Financial Statements for the Financial Year ended on March 31, 2026.	
B	Diluted EPS on issue of shares pursuant to all the schemes covered under the regulations shall be disclosed in accordance with 'Accounting Standard 20 - Earnings Per Share' issued by Central Government or any other relevant accounting standards as issued from time to time.	Please refer to Note No.1.24 and No.38 of Standalone Financial Statements for the Financial Year ended on March 31, 2026.	
C	Details related to ESOS & SAR		
(i)	A description of each ESOS/SAR that existed at any time during the year, including the general terms and conditions of each ESOS/SAR, including –	The Company has a collective Scheme for ESOP and SAR namely, TDPSL Equity Based Compensation Plan 2019	
	(a) Date of shareholders' approval	12.08.2019	
	(b) Total number of options/SARs approved under ESOS/ SAR	28,19,420 (i.e. 5,63,884 Options before sub-division)	19,96,080 (i.e. 3,99,216 ESAR before sub-division)
	(c) Vesting requirements	Stock Options/ESAR granted under TDPSL Equity Based Compensation Plan 2019 would vest not earlier than one year from the date of grant. The vesting shall happen every year equally, with 33.33% of the number of options granted for 3 years from the date of grant of the options/ ESAR and would be subject to continued employment with the Company. Vesting of Stock options/ ESAR would be subject to fulfilment of conditions as stated in the said plan and performance criteria as may be decided by the Nomination and Remuneration Committee (NRC). The specific Vesting schedule and Vesting Conditions subject to which Stock Options/ESAR would vest are detailed in writing and provided to the Stock Option/ESAR Grantee at the time of the Grant of Options.	
	(d) Exercise/SAR price or pricing formula	The exercise price decided by the NRC for each Option and ESAR granted on August 16, 2019 is ₹ 67.25/- and ₹ 10 (i.e. face value of share) respectively.	

ANNEXURE – 10 (CONTD.)

S. No.	Particulars	TDPSSL Equity Based Compensation Plan 2019	
		ESOP	ESAR
		However, owing to sub-division of shares of the Company during Fiscal 2023, the exercise price of each stock option and ESAR have been adjusted to one fifth (1/5) of the price fixed at the time of grant. The NRC granted a fresh 27,000 ESAR on August 06, 2025 at an exercise price of ₹ 2 each. For further details on Employee Stock Benefit Plans, please refer to Note No.50 of Standalone Financial Statements for the Financial Year ended on March 31, 2026.	
	(e) Maximum term of options/SAR granted	Stock Options/ESAR granted under TDPSSL Equity Based Compensation Plan 2019 shall be capable of being exercised within a period not more than four years from the date of vesting of respective employees' stock options/ESAR.	
	(f) Method of settlement (whether in cash or equity)	-	Equity
	(g) Choice of settlement (with the Company or the employee or combination)	-	With the Company
	(h) Source of shares (primary, secondary or combination)	Secondary	Primary
	(i) Variation in terms of options /Scheme	None	
(ii)	Method used to account for ESOS/SAR - Intrinsic or fair value	Fair value	
(iii)	Where the Company opts for expensing of the options/SAR using the intrinsic value of the options/SAR, the difference between the employee compensation cost so computed and the employee compensation cost that shall have been recognised if it had used the fair value of the options/SAR shall be disclosed. The impact of this difference on profits and on EPS of the Company shall also be disclosed.	Not applicable	
(iv)	Option/SAR movement during the year		
	Number of options/SAR outstanding at the beginning of the period i.e. April 01, 2025	Nil	1,12,690 ESARs
	Number of options/SAR granted during the year i.e.2025-26	Nil	49,500 ESARs
	Number of options/SAR forfeited / lapsed during the year i.e. 2025-26	Nil	22,500 ESARs
	Number of options/SAR vested during the year i.e.2025-26	Nil	32,970 ESARs
	Number of options exercised / SARs exercised / settled during the year i.e. 2025-26	NIL	38,333 ESARs

ANNEXURE – 10 (CONTD.)

S. No.	Particulars	TDP SL Equity Based Compensation Plan 2019	
		ESOP	ESAR
	Number of shares arising as a result of exercise of options during i.e. 2025-26	Nil	During the year, on account of exercise of ESAR, 31,218 Equity Shares of face value of ₹ 2 each were issued & allotted by the Company.
	Money realised by exercise of options (₹), if scheme is implemented directly by the Company during 2025-26	Not applicable as the scheme is implemented by TDP SL Trust.	Nil
	Loan repaid by the Trust during the year from exercise price received	Nil	
	Number of Stock options/SAR outstanding at the end of the year	Nil	1,01,357 ESARs
	Number of options/SAR exercisable at the end of the year	Nil	41,387 ESARs
(v)	Weighted-average exercise prices and weighted-average fair values of options shall be disclosed separately for options whose exercise price either equals or exceeds or is less than the market price of the stock.	Please refer to Note No.50 of the Standalone Financial Statements for the financial year ended March 31, 2026. -	

(vi) Employee wise details (name of employee, designation, number of options/SAR granted during the year, exercise price) of options/SAR granted to –

“Senior Management” as defined under regulation 16(1)(d) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015:

S. No.	Employee Name	Designation	SAR granted	Exercise price
1	Mr. Pon Selvan Balakrishnan	Head, Engineering	27,000	Face value of share
2	Mr. Sanju Davis	Head, Operations	22,500*	Face value of share

*The SARs granted were lapsed due to cessation of service with the Company before completion of the vesting period.

Any other employee who receives a grant in any one year of option/SAR amounting to 5% or more of option granted during that year – Not applicable

Identified employees who were granted option/SAR, during any one year, equal to or exceeding 1% of the issued capital (excluding outstanding warrants and conversions) of the Company at the time of grant - Nil

(vii) A description of the method and significant assumptions used during the year to estimate the fair value of options including the following information:

(a)	the weighted-average values of share price, exercise price, expected volatility, expected option life, expected dividends, the risk-free interest rate and any other inputs to the model;	Please refer to Note No.50 of the Standalone Financial Statements for the financial year ended March 31, 2026.
(b)	the method used and the assumptions made to incorporate the effects of expected early exercise;	Not applicable

ANNEXURE – 10 (CONTD.)

(c)	how expected volatility was determined, including an explanation of the extent to which expected volatility was based on historical volatility; and	Since each vest has been considered as a separate grant, the volatility for periods corresponding to the expected lives of different vests, prior to the grant date. Volatility has been calculated based on the daily closing market price of the Company's stock price on NSE over these years,
(d)	Whether and how any other features of the option grant were incorporated into the measurement of fair value, such as a market condition.	There are no market conditions attached to the grants or vests. There are no other specific features of the option except option grant price and Vesting period that were incorporated into the measurement of fair value.

Details related to Trust:

The following details, *inter alia*, in connection with transactions made by the Trust meant for the purpose of administering the TDPSL Equity Based Compensation Plan 2019 scheme under the regulations are as follows:

(i) General information:

S. No.	Particulars	Details
1	Name of the Trust	TDPSL EMPLOYEE WELFARE TRUST
2	Details of the Trustee(s)	Mr. Ramakrishna Varna Mr. Vinay Hegde
3	Amount of loan disbursed by Company / any Company in the group, during the year	₹ Nil
4	Amount of loan outstanding (repayable to Company / any Company in the group) as at the end of the year	Nil
5	Amount of loan, if any, taken from any other source for which Company / any Company in the group has provided any security or guarantee	Not applicable
6	Any other contribution made to the Trust during the year	Not applicable

(ii) Brief details of transactions in shares by the Trust;

S. No.	Particulars	Details
1	Number of shares held at the beginning of the year;	Nil
2	Number of shares acquired during the year through (i) primary issuance (ii) secondary acquisition, also as a percentage of paid up equity capital as at the end of the previous financial year, along with information on weighted average cost of acquisition per share;	Primary Issuance: During the year under ESAR, 31,218 Equity Shares, being 0.02% of paid-up capital as on March 31, 2026 were issued & allotted by the Company to TDPSL Trust and thereafter it was transferred to ESAR allottees through off- market transaction. The weighted average cost of acquisition was ₹ 2/- per share.
3	Number of shares transferred to the employees / sold along with the purpose thereof;	During the year, 31,218 Equity shares having a face value of ₹ 2 each were transferred to employees by TDPSL Trust, which were issued & allotted by the Company on account of exercise by ESAR allottees.
4	Number of shares held at the end of the year.	Nil

ANNEXURE – 10 (CONTD.)

(iii) In case of secondary acquisition of shares by the Trust

Number of shares	As a percentage of paid-up equity capital as at the end of the year immediately preceding the year in which shareholders' approval (i.e August 12, 2019) was obtained.
Held at the beginning of the year	Nil
Acquired during the year	Nil
Sold during the year	Nil
Transferred to the employees during the year	Nil
Held at the end of the year	Nil

For and on behalf of the Board of Directors

Ahmedabad
May 14, 2026

Mohib N. Khericha
Chairman

ANNEXURE - 11

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT

FY 2025-26

SECTION A: GENERAL DISCLOSURES

I. Details of listed entity

1. Corporate Identity Number (CIN) of the Listed Entity	L31103KA1999PLC025071
2. Name of the Listed Entity	TD Power Systems Limited
3. Year of incorporation	April 16, 1999
4. Registered office address	27, 28 and 29, KIADB Industrial Area, Nelamangala Taluk, Bengaluru Rural District, Dobbaspeta, Karnataka, 562111
5. Corporate address	
6. E-mail	tdps@tdps.co.in
7. Telephone	080-22995700/6633 7700
8. Website	https://www.tdps.co.in/
9. Financial year for which reporting is being done	FY 2025-26
10. Name of the Stock Exchange(s) where shares are listed	BSE Ltd. (BSE) National Stock Exchange of India Ltd. (NSE)
11. Paid-up Capital	3124.2966 lakhs
12. Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Mr. Bharat Rajwani Email: investor.relations@tdps.co.in
13. Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	Standalone basis
14. Name of assurance provider	-
15. Type of assurance obtained	-

II. Products/Services

16. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1.	Manufacturing	Manufacturing of Generator	97%

17. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% of total Turnover contributed
1.	AC Generator and its spares/components	27101	97%

III. Operations

18. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	3	1	4
International	1	4	5

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (CONTD.)

19. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	All states in India
International (No. of Countries)	113 Countries

b. What is the contribution of exports as a percentage of the total turnover of the entity?

Response: 67%

c. A brief on types of customers

Response: TDPS has a customer base of manufacturers of prime movers such as gas turbines, steam turbines, gas engines, diesel engines, and hydro turbines.

IV. Employees

20. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

Sr. No.	Particulars	Total	Male		Female	
		(A)	No. (B)	% (B/A)	No. (C)	% (C/A)
EMPLOYEES						
1	Permanent (D)	730	678	92.88%	52	7.12%
2	Other than Permanent (E)	0	0	0	0	0
3	Total employees (D + E)	730	678	92.88%	52	7.12%
WORKERS						
4	Permanent (F)	240	240	100.00%	0	0.00%
5	Other than Permanent (G)	580	576	99.31%	4	0.69%
6	Total workers (F + G)	820	816	99.51%	4	0.49%

b. Differently abled Employees and workers:

Sr. No.	Particulars	Total	Male		Female	
		(A)	No. (B)	% (B/A)	No. (C)	% (C/A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	0	0	Nil	0	Nil
2.	Other than Permanent (E)	0	0	Nil	0	Nil
3.	Total employees (D + E)	0	0	Nil	0	Nil
DIFFERENTLY ABLED WORKERS						
4	Permanent (F)	0	0	Nil	0	Nil
5	Other than Permanent (G)	0	0	Nil	0	Nil
6	Total workers (F + G)	0	0	Nil	0	Nil

21. Participation/Inclusion/Representation of women:

	Total (A)	No. and percentage of females	
		No. (B)	% (B/A)
Board of Directors	6	2	33.33%
Key Management Personnel	3	1	33.33%

22. Turnover rate for permanent employees and workers:

Particular	FY 2025-26			FY 2024-25			FY 2023-24		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	0.99%	0.72%	0.97%	11.7%	12.3%	11.7%	0.9%	2%	1%
Permanent Workers	0.10%	0%	0.10%	0.8%	0%	0.8%	0.3%	0%	0.3%

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (CONTD.)

V. Holding, Subsidiary and Associate Companies (including joint ventures)

23. Names of holding / subsidiary / associate companies / joint ventures

Response: Please refer to Annexure 1 (Form AOC-1) of the Annual Report for the details of subsidiaries, joint ventures and associate companies. The subsidiaries of the Company do not participate directly in the Business Responsibility initiatives. However, all these subsidiaries generally adopt the same practises as carried out by the Company.

VI. CSR Details

24. (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: (Yes/No): Yes

(ii) Turnover (₹ in lakhs): 1,71,666.38

(iii) Net worth (₹ in lakhs): 1,02,882.07

VII. Transparency and disclosures compliances

25. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2025-26			FY 2024-25		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes, the details are disclosed in Essential Indicator 3 of principle 8	Nil			Nil		
Investors (other than shareholders)	Yes, Company is registered on Scores portal of SEBI to redress grievance of shareholders also a tab is created on the Company's website exclusively for investors related queries & grievance	Nil			Nil		
Shareholders	The Company through its Registrar and Transfer Agent (RTA), provides redressal to shareholder grievances. The Company has specific e-mail addresses earmarked for receiving shareholders complaints, viz investor.relations@tdps.co.in and helpdesk@in.mpms.mufg.com	1	0				

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Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2025-26			FY 2024-25		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Employees and workers	Yes, group email ID, suggestion box, grievance form, drop	Nil			Nil		
Customers	Yes, (A dedicated customer Support team is in place to address their complaints)	309	41	Open due to - Waiting for customer feedback, shutdown updates, machine under observation	362	3	Open due to - Customer shutdown updates
Value Chain Partners	Yes, (A set procedure exists on the Company's intranet)	Nil			Nil		

26. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format:

S. No.	Material Issue Identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (indicate positive or negative implications)
1	Energy	Opportunity	With the increasing demand for high-efficiency products, innovation and delivering advanced, future ready solutions through continuous R&D, product upgrades, energy efficient designs, will be key to strengthening our position as a leader in sustainable energy technology within the rapidly evolving energy market.	-	Positive

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S. No.	Material Issue Identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (indicate positive or negative implications)
2	Emissions	Risk	Given the nature of our operations, the release of GHG emissions is evident. With investors increasingly prioritising environmental responsibility, our commitment to reducing emissions is a critical step toward advancing our sustainability goals and aligning with stakeholder expectations	We continue to account for our GHG emissions across within our operations as well as value chain. In the coming years, we will actively track our emissions intensity and establish company-wide reduction targets to drive continuous improvement in our environmental performance.	Negative
3	Occupational Health & Safety	Risk	It is imperative for us to maintain strict adherence to safety protocols on the shopfloor due to the high-risk nature of our operations. Any lapse in safety compliance can lead to workplace incidents, potentially disrupting production schedules and increasing employee absenteeism. By prioritising operational precision and safety, we aim to ensure business continuity, protect our workforce, and uphold productivity	We maintain a comprehensive Hazard Identification and Risk Assessment (HIRA) register that documents safety related activities, potential hazards, and associated risks. Additionally, regular safety meetings are conducted under the guidance of the safety committee to proactively identify workplace hazards, evaluate risk exposure, and report any incidents, thereby fostering a safe and secure work environment.	Negative

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S. No.	Material Issue Identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (indicate positive or negative implications)
4	Supply Chain	Opportunity	We engage with a broad and diverse network of suppliers for sourcing raw materials and processed goods used in our products, recognising supplier diversity as a key contributor to a resilient and sustainable value chain. Through regular inspections and assessments focused on ESG criteria, we promote responsible sourcing practises, ensure compliance with applicable regulations, and strengthen sustainability performance across our supply chain. To further enhance operational efficiency and long-term business resilience, we continue to invest in automation.	-	Positive
5	Product Quality & Safety	Opportunity	By complying with applicable standards and regulations throughout the production process, we ensure that our products meet the highest benchmarks of safety and quality, thereby fulfilling customer expectations effectively.	-	Positive

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)					Yes				
b. Has the policy been approved by the Board? (Yes/No)					Yes				



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Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
c. Web Link of the Policies, if available	https://www.tdps.co.in/investor-relations/corporate-governance Further the following policies are on our intranet: • Code of Ethics and Conduct • Non-Discrimination Policy • Policy on POSH • Policy On Prevention or Prohibition of Sexual Harassment of Women in Company's Workplace • Grievance & Harassment Redressal Policy • Career Development Policy • Employees Health Policy • Prevention of forced labour at Workplace • Freedom to join Association • Anti-bribery Policy • Prohibition of Child Labour Policy • Policy on Human Trafficking Slavery • Cybersecurity Policy • Data Privacy Policy								
2. Whether the entity has translated the policy into procedures. (Yes / No)	Yes								
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Yes								
4. Name of the national and international codes/certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	The details of the certifications can be accessed at https://www.tdps.co.in/certifications								
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	- Enhance energy efficiency through process optimisation and technology adoption to reduce operating costs. - Initiate the utilisation of renewable energy sources and increase installation capacity as per requirement and feasibility to reduce reliance on conventional grid power during peak demand.								
6. Performance of the entity against the specific commitments, goals, and targets along-with reasons in case the same are not met.	- Cumulative energy savings of approx. 22,340 units and cost savings of ₹ 2.23 lakhs through energy efficiency adoption. - Significant technological absorption initiatives undertaken to enhance process effectiveness, product quality, and energy conservation.								

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Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
Governance, leadership and oversight									
7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure). Response: "At TDPS, we believe that sustainable business practises are fundamental to creating enduring value for all stakeholders. Sustainability is not viewed as a standalone agenda but as an integral part of our strategy, decision-making, and long-term vision. As we continue to grow, we remain committed to conducting our business responsibly, creating positive social impact, and managing our environmental footprint with diligence and accountability. Our approach is guided by the principles of ethical governance, transparency, and stakeholder inclusiveness. We recognise that our responsibilities extend beyond business performance to encompass the well-being of our employees, communities, customers, business partners, and the environment. By fostering a culture of integrity, innovation, and continuous improvement, we seek to build a resilient and future-ready organisation. The Company's sustainability framework is aligned with the nine principles of the National Guidelines on Responsible Business Conduct (NGRBC), which provide the foundation for our efforts towards responsible growth. These principles guide us in embedding ethics, environmental stewardship, employee well-being, human rights, stakeholder responsiveness, and inclusive development into the way we operate and create value. As we look ahead, we remain steadfast in our commitment to integrating sustainability across our business, strengthening stakeholder trust, and contributing meaningfully to a more sustainable and inclusive future. Through responsible leadership and collective action, we aim to create lasting value for generations to come." Nikhil Kumar Managing Director									
8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	The Board of Directors holds responsibility for implementing and overseeing business responsibility initiatives, which encompass a range of policies aligning with our Company's code of conduct and operational standards.								
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	No, we do not have a dedicated committee. The Board of Directors assumes responsibility for making decisions regarding sustainability-related matters.								
10. Details of Review of NGRBCs by the Company:									
Subject for review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee								
	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	All our policies are reviewed by the Board of Directors on an annual basis								
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	The Board of Directors reviews the compliance of statutory requirements on a quarterly basis								
	P1	P2	P3	P4	P5	P6	P7	P8	P9
11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	No								

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12.	If answer to question (1) above is “No” i.e. not all Principles are covered by a policy, reasons to be stated:	
	The entity does not consider the Principles material to its business (Yes/No)	
	The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)	No
	The entity does not have the financial or/ human and technical resources available for the task (Yes/No)	
	It is planned to be done in the next financial year (Yes/No)	
	Any other reason (please specify)	

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable

Essential Indicators

- Percentage coverage by training and awareness programmes on any of the principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Board of Directors	4	Overview of Management Discussion and Analysis Report 2025, containing Industry Structure and Development, segment-wise performance, outlook etc.	100%
Key Managerial Personnel		Presentation on Company's sales, products, business outlook, strategies and Market Scenario. Presentation on CSR Annual Action Plan containing projects aligned with the Company's theme. Update on compliance status of the applicable laws and Cost Audit Report. Conducted a Startegic meeting to deliberate on the Company's operational strategy, business excellence initiatives, Overall future prospects. An Overview of the new Labour Code and the Company's compliance status and other necessary programmes to familiarise the Directors with the matters concerning the Company.	

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (CONTD.)

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by the awareness programmes
Employees other than BoD and KMPs	72	Energy management, occupational health and workplace safety, and other and behavioural functional trainings pertaining to the NGRBC principles.	80.5%
Workers	16	Workplace safety, POSH, and other technical and functional training.	50%

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
Particular	NGBRC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In ₹)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/Fine			Nil		
Settlement					
Compounding fee					

Non-Monetary				
Particular	NGBRC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment			Nil	
Punishment				

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
	Nil

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Response: Yes, the Company has an anti-bribery policy that highlights the categories of bribery and corruption, provides guidance to employees for adhering to the policy, and outlines actions pertaining to violation of the policy. The policy is available on the Company intranet

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (CONTD.)

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

Particular	FY 2025-26	FY 2024-25
Directors	Nil	Nil
KMPs		
Employees		
Workers		

6. Details of complaints with regard to conflict of interest:

Case Details	FY 2025-26		FY 2024-25	
	Number	Remark	Number	Remark
Number of complaints received in relation to issues of Conflict of Interest of the Directors	None		None	
Number of complaints received in relation to issues of Conflict of Interest of the KMPs				

7. Provide details of any corrective action taken or underway on issues related to fines/ penalties/ action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Response: Not applicable

8. Number of days of accounts payables ((Accounts payable *365) / Cost of goods/services procured) in the following format:

	FY 2025-26	FY 2024-25
Number of days of accounts payables	86 days	71 days

9. Open-ness of business

Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2025-26	FY 2024-25
Concentration of Purchases	a. Purchases from trading houses as % of total purchases	3.44	10.26
	b. Number of trading houses where purchases are made from	24	30
	c. Purchases from top 10 trading houses as % of total purchases from trading houses	88.59%	94.97
Concentration of Sales	a. Sales to dealers/distributors as % of total sales	Nil	Nil
	b. Number of dealers/distributors to whom sales are made	0	0
	c. Sales to top 10 dealers / distributors as % of total sales to dealers / distributors	Nil	Nil
Share of RPTs in	a. Purchases (Purchases with related parties / Total Purchases)	1%	0.56%
	b. Sales (Sales to related parties / Total Sales)	24%	28.23%
	c. Loans & advances (Loans & advances given to related parties / Total loans & advances)	No Loans & advances given by Holding Company to related parties	Nil
	d. Investments (Investments in related parties / Total Investments made)	100%	99.96%

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (CONTD.)

Leadership Indicators

- Awareness programmes conducted for value chain partners on any of the principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
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Nil

- Does the entity have processes in place to avoid/ manage conflicts of interest involving members of the Board? (Yes/ No) If Yes, provide details of the same.

Response: Within its governance framework, the Company has adopted best practises for reviewing Directors' conflicts of interest. The Company regularly assesses disclosures provided by Board members regarding their involvement with other entities, ensuring that necessary approvals are obtained before engaging in transactions with such entities.

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe.

Essential Indicators

- Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of products and processes to total R&D and capex investments made by the entity, respectively.

Sr. No.	Particular	FY 2025-26	FY 2024-25	Details of improvements in environmental and social impacts
1	R&D	8%	100%	20kV insulation system development.
2	Capex	44%	100%	EMS, Laptops with 64GB Ram, PLM License, ACAD Mechanical License

- Does the entity have procedures in place for sustainable sourcing? (Yes/No)

Response: Yes, a policy for sustainable sourcing has been developed. Additionally, relevant training and awareness sessions are being conducted for the suppliers.

- If yes, what percentage of inputs were sourced sustainably?

Response: While the Company conducts training for the suppliers on sustainable sourcing, the percentage for the year has not been measured yet.

- Describe the processes in place to safely reclaim your products for reusing, recycling, and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

Response: There are no products or parts that require recycling back into the manufacturing process within the Company. Once dispatched to the site/customer, it is the customer's responsibility to adhere to the Operation and Maintenance manual and comply with relevant regulatory requirements based on local regulations.

- Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Response: Yes, all operations of TDPS fall under the purview of Extended Producer Responsibility (EPR), and the waste collection plan aligns with the EPR proposal submitted to the Karnataka State Pollution Control Board (KSPCB). Following this submission, the Company obtained consent from the KSPCB.

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Leadership Indicators

- Has the entity conducted Life Cycle Perspective/Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format:

NIC Code	Name of product/ service	% of total Turnover contributed	Boundary for which the Life Cycle Perspective/ Assessment was conducted	Whether conducted by independent external agency (Yes/No)	Results communicated in public domain. (Yes/No) If yes, provide the web-link.
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No LCA has been carried out in FY 2025-26

- If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Name of product/service	Description of the risk/concern	Action Taken
Since no product life cycle assessment has been conducted and certified by the NIC code, it is not applicable. However, processed waste items such as copper, steel, resin, oil, cotton waste mixed with oil/resin are disposed off via authorised agencies.		

- Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Indicate input material	Recycled or re-used input material to total material	
	FY 2025-26	FY 2024-25
Construction waste	We use original mill certified material to achieve the specified efficiency results. Hence, no input material is recycled/reused.	

- Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

	FY 2025-26			FY 2024-25		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	All products are packaged using new materials, including plywood and pinewood, prior to shipment to customers across both domestic and international markets. Due to the impracticality and high cost associated with retrieving scrapped or damaged parts post-delivery, product reclamation processes at the end of the product lifecycle have not been implemented.					
E-waste						
Hazardous waste						
Other waste						

- Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Indicate product category	Reclaimed products and their packaging materials as % of total products sold in respective category
All products are packaged using new materials, including plywood and pinewood, prior to shipment to customers across both domestic and international markets. Due to the impracticality and high cost associated with retrieving scrapped or damaged parts post-delivery, product reclamation processes at the end of the product lifecycle have not been implemented.	

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PRINCIPLE 3: Businesses should respect and promote the well-being of all employees, including those in their value chains.

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	Total (A)	% of employees covered by									
		Health Insurance		Accident Insurance		Maternity benefits		Paternity benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent Employees											
Male	678	Nil	Nil	678	100%	Nil	Nil	Nil	Nil	Nil	Nil
Female	52	Nil	Nil	52	100%	52	100%	Nil	Nil	Nil	Nil
Total	730	Nil	Nil	730	100%	52	7%	Nil	Nil	Nil	Nil
Other than Permanent Employees											
Male	576	Nil	Nil	576	100%	Nil	Nil	Nil	Nil	Nil	Nil
Female	4	Nil	Nil	4	100%	4	100%	Nil	Nil	Nil	Nil
Total	580	Nil	Nil	580	100%	4	0.7%	Nil	Nil	Nil	Nil

- b. Details of measures for the well-being of workers:

Category	Total (A)	% of workers covered by									
		Health Insurance		Accident Insurance		Maternity benefits		Paternity benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent Workers											
Male	240	240	100%	240	100%	0	0%	0	0%	0	0%
Female	0	0	0	0	0%	0	0%	0	0%	0	0%
Total	240	240	100%	240	100%	0	0%	0	0%	0	0%
Other than Permanent Workers											
Male	576	0	0%	576	100%	0	0	0	0%	0	0%
Female	4	0	0%	4	100%	4	100%	0	0%	0	0%
Total	580	0	0%	580	100%	4	0.68%	0	0%	0	0%

- c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format:

Particular	FY 2025-26	FY 2024-25
Cost incurred on well-being measures as a % of total revenue of the Company	0.12%	0.60%

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2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY 2025-26			FY 2024-25		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Y	100%	100%	Y
Gratuity	100%	100%	Y	100%	100%	Y
ESI	100%	100%	Y	100%	100%	Y
Others – please specify	Nil			Nil		

3. Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Response: Yes, our premises are accessible to differently abled employees and workers. Additionally, Unit II has a lift facility for further convenience.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Response: Yes, the policy is available on the Company's intranet.

5. Return to work and Retention rates of permanent employees and workers who took parental leave.

Gender	Permanent Employees		Permanent Workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	0	0	0	0
Female	2	100%	0	0
Total	2	100%	0	0

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

	Yes/No (If yes, then give details of the mechanism in brief)
Permanent Workers	Yes, we have different committees to address various grievances of members.
Other than Permanent Workers	Workers may approach the committee or Welfare officers directly
Permanent Employees	Yes, We have different committees to address various grievances of members.
Other than Permanent Employees	Workers may approach the committee or Welfare officers directly

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7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2025-26			FY 2024-25		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Total Permanent Employees	730	0	0%	569	0	0%
Male	678	0	0%	527	0	0%
Female	52	0	0%	42	0	0%
Total Permanent Workers	240	240	100%	245	245	100%
Male	240	240	100%	245	245	100%
Female	0	0	0	0	0	0

8. Details of training given to employees and workers:

Category	FY 2025-26					FY 2024-25				
	Total (A)	On Health and Safety measures		On skill upgradation		Total (D)	On Health and Safety measures		On skill upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Male	678	678	100%	473	69.7%	527	527	100%	527	100%
Female	52	52	100%	45	86.5%	42	42	100%	42	100%
Total	730	730	100%	518	70.9%	569	569	100%	569	100%
Workers										
Male	240	240	100%	240	100%	245	245	100%	245	100%
Female	0	0	Nil	0	0	0	0	Nil	0	0
Total	240	240	100%	240	100%	245	245	100%	245	100%

9. Details of performance and career development reviews of employees and worker:

Category	FY 2025-26			FY 2024-25		
	Total (A)	No. (B)	% (B/A)	Total (C)	No. (D)	% (D/C)
Employees						
Male	678	678	100%	527	527	100%
Female	52	52	100%	42	42	100%
Total	730	730	100%	569	569	100%
Workers						
Male	240	240	100%	245	245	100%
Female	0	0	100%	0	0	0%
Total	240	240	100%	245	245	100%

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10. Health and safety management system:

- a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Response: Yes, across our Company and its operations, occupational health and safety management system is implemented and adhered by enforcing policies and due procedures. The management system is applicable to all employees within the Company. Our employee health policy focuses on the objective of promoting health and wellbeing through hiring and periodically monitoring the same across the workforce.

- b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Response: We maintain a comprehensive Hazard Identification and Risk Assessment (HIRA) register that documents safety activities, potential hazards, and associated risks, and specifies the preventive measures implemented to mitigate those hazards and minimise safety exposure.

- c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Response: Yes, we hold regular safety meetings, chaired by the Safety Committee, to identify workplace hazards, evaluate associated risks, and document any incidents.

- d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Response: Yes, we maintain ongoing partnerships with medical centres—Ravi Kirloskar Hospital as KLE Hospitals, Bangalore, Siddaganga Medical College & Research Institute Tumkur, Fortis Hospital, Yeshwanthpur and Narayana Nethralaya, Bangalore, providing all employees and workers access to their medical services. In addition, the Company operates an on-site occupational medical and healthcare centre, offering comprehensive health and wellness services that address both work-related and general medical needs.

11. Details of safety-related incidents, in the following format:

Safety Incident/Number	Category	FY 2025-26	FY 2024-25
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0	0
	Workers	3.01	5.16
Total recordable work-related injuries	Employees	0	0
	Workers	8	9
No. of fatalities	Employees	0	0
	Workers	0	0
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	0	0

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

Response: To ensure a safe and healthy workplace, we have implemented a range of initiatives and proactive measures. A PPE matrix is prominently displayed across the facility to promote proper usage and enhance safety. We conduct capacity-building programmes that include training and awareness sessions on various safety-related topics. Additionally, we have established clear guidelines, including a list of dos and don'ts, along with engineering controls to ensure the safe handling of equipment and products.

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13. Number of Complaints on the following made by employees and workers:

	FY 2025-26			FY 2024-25		
	Filed during this year	Pending resolution at the end of year	Remarks	Filed during this year	Pending resolution at the end of year	Remarks
Working Conditions	37	5	Unsafe working conditions leading to replacement of certain equipment.	41	3	Unsafe working conditions leading to replacement of certain equipment.
Health & Safety	15	3	Physical health (sprains and strains) leading to retrofits in equipment (use of trolleys)	8	1	Physical health (sprains and strains) leading to retrofits in equipment (use of trolleys)

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health & Safety practises	100%
Working Conditions	100%

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practises and working conditions.

Response: We provide extensive training on a wide range of safety topics to proactively manage risks. A key element of our programme is the annual 'National Safety Week,' which raises awareness of essential safety issues. Strategically placed safety posters throughout our facility reinforce protocols and help prevent unsafe behaviours. Furthermore, we have automated critical areas of our operations with robotic technology, significantly reducing personnel exposure to hazardous conditions.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

Response: Yes, we provide statutory benefits, including Employees' Deposit Linked Insurance, Gratuity, and Employee General Insurance.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

Response: The Company monitors the GST charged by value chain partners to ensure they comply with statutory regulations. We track all GST transactions carefully to verify that partners deposit the collected GST with the Government. This helps maintain accurate records and ensures we can claim input tax credit without any complications. For additional checks and to ensure compliance with all statutory obligations throughout the value chain, the Company includes a compliance clause in agreements with its partners whenever possible. By these measures, we ensure partners meet statutory requirements, supporting our overall compliance efforts.

3. Provide the number of employees / workers having suffered high consequence work related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment.

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Response:

	Total no. of affected employees/workers		No. of employees/workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2025-26	FY 2024-25	FY 2025-26	FY 2024-25
Employees	Nil	Nil	Nil	Nil
Workers	Nil	Nil	Nil	Nil

4. Does the entity provide transition assistance programmes to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

Response: Yes, Case to Case Basis in case of Retirement.

5. Details on assessment of value chain partners

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practises	56%
Working Conditions	56%

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practises and working conditions of value chain partners.

Response: There were no risks or concerns identified post the assessment.

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders.

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

Response: Stakeholder groups are determined according to their level of involvement with the entity. Core stakeholders encompass individuals, groups, or institutions that contribute value to the Company's business chain. This includes employees, investors, customers, suppliers, and various other stakeholders.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder group	Whether identified as Vulnerable & Marginalised Group (Yes/No)	Channels of communication	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Employees	No	Emails, suggestion boxes, Annual Town Hall, HR One Portal	Employee engagement surveys, career development surveys conducted annually	Information about company's business growth plan and performance
Investors		Emails, post	Need based and quarterly	To understand company's major events, and results
Customers		Emails, communication from customer care department, social networking	Need based	Information on business offerings
Suppliers		Emails	Need based	To get information about new market trends and responsible procurement

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Leadership Indicators:

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

Response: Consultation between stakeholders, such as investors, and the Board of Directors is done through conference calls to discuss the Company's financial performance every quarter. These interactions are led by the Managing Director. For Social and Environmental Responsibility initiatives, the Company collaborates with NGOs that act as intermediaries. These NGOs assess stakeholders needs in areas such as education, healthcare and environmental conservation and propose projects aligned with the Company's CSR goals. The Board of Directors reviews these projects while granting approval. Additionally, the Company provides the Board with a comprehensive report detailing the impact of each project.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Response: No

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/marginalised stakeholder groups.

Response: None of our stakeholders represent vulnerable/marginalised groups. Hence, no concerns have been raised.

PRINCIPLE 5: Businesses should respect and promote human rights.

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2025-26			FY 2024-25		
	Total (A)	No. of employees/Workers (B)	%B/A	Total (C)	No. of employees/Workers (D)	% D/C
Employees						
Permanent	730	730	100%	569	569	100%
Other than Permanent	0	0	0%	0	0	0%
Total Employees	730	730	100%	569	569	100%
Workers						
Permanent	240	240	100%	245	245	100%
Other than Permanent	580	580	100%	0	0	0%
Total Employees	820	820	100%	245	245	100%

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY 2025-26					FY 2024-25				
	Total (A)	Equal to Minimum wage		More than Minimum wage		Total (D)	Equal to Minimum wage		More than Minimum wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent										
Male	678	0	0%	678	100%	527	0	0%	527	100%
Female	52	0	0%	52	100%	42	0	0%	42	100%

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Category	FY 2025-26					FY 2024-25				
	Total (A)	Equal to Minimum wage		More than Minimum wage		Total (D)	Equal to Minimum wage		More than Minimum wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Other than Permanent										
Male	576	0	0%	576	100%	Nil	Nil	Nil	Nil	Nil
Female	4	0	0%	4	100%	Nil	Nil	Nil	Nil	Nil
Workers										
Permanent										
Male	240	0	0	240	100%	245	0	0	245	100%
Female	0	0	NA	0	0%	0	0	NA	0	NA
Other than Permanent										
Male	576	0	0	576	100%	1,063	0	0 0%	1,063	100%
Female	4	0	NA	4	100%	42	0	0 0%	42	100%

3. Details of remuneration/salary/wages

a. Median remuneration / wages

	Male		Female	
	Number	Median remuneration/salary/ wages of respective category	Number	Median remuneration/salary/ wages of respective category
Board of directors (BoD)	1	7,57,00,184	0	0
Key Managerial Personnel	2	67,85,940	1	1,02,02,498
Employees other than BoD and KMP*	676	5,69,067	51	5,73,756
Workers*	240	6,65,030	0	0

b. Gross wages paid to females as % of total wages paid by the entity, in the following format

	FY 2025-26	FY 2024-25
Gross wages paid to females as % of total wages	6.89%	7.2%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business?

Response: Yes, our welfare officer serves as the focal point for addressing human rights impacts and issues along with support of the HR team.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Response: Our grievance policy outlines the procedures for addressing human rights-related concerns. Further, employees can raise their concerns directly with the human resources department through emails and individual discussions.

6. Number of Complaints on the following made by employees and workers.

	FY 2025-26			FY 2024-25		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	0	0	Nil	1	1	This has been resolved after the year - end

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	FY 2025-26			FY 2024-25		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Discrimination at workplace	0	0	Nil	0	0	Nil
Child Labour						
Forced Labour/Involuntary Labour						
Wages						
Other human rights related issues						

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, in the following format.

	FY 2025-26	FY 2024-25
Total Complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 (POSH)	0	1
Complaints on POSH as a % of female employees / workers	0%	1.19%
Complaints on POSH upheld	0	0

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.
Response: We have policies in place for discrimination and harassment, these policies are briefed to all the members. In the event of any such cases, employees may reach out to the HR Department or the Senior Management Team for assistance. Appropriate mechanisms and safeguards have been established to ensure that, should any complaint arise, the complainant is protected from any adverse consequences or victimisation.

9. Do human rights requirements form part of your business agreements and contracts?
Response: Yes, we consider all pertinent human rights criteria when engaging in business activities and entering into contracts.

10. Assessments for the year

Particulars	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	100%
Forced/involuntary labour	
Sexual harassment	
Discrimination at workplace	
Wages	
Others- please specify	

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

Response: No significant risks or concerns were identified during the assessment. Accordingly, no corrective actions were required or are currently underway.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints.

Response: None of our business processes have been modified, since there have been no complaints/grievances relating to human rights.

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2. Details of the scope and coverage of any Human rights due diligence conducted.

Response: :Various customer audits have taken place on the above subject

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Response: Yes, our premises are accessible to differently abled visitors, Additionally, Unit II has a lift facility for further convenience.

4. Details on assessment of value chain partners:

Particulars	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	56%
Discrimination at workplace Child Labour	55%
Child Labour	55%
Forced Labour	60%
Involuntary Labour Wages	55%
Others-please specify	55%

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

Response: No significant risks or concerns were identified during the assessment. Accordingly, no corrective actions were required or are currently underway.

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment.

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format

Parameter	FY 2025-26	FY 2024-25
From Renewable sources		
Total electricity Consumption (A)		
Total Fuel Consumption (B)		
Energy consumption through other sources (C)	Nil	Nil
Total energy consumed from renewable sources (A+B+C)		
From Non-renewable sources		
Total electricity consumption (D)	51,283.7 GJ	44,061.5 GJ
Total fuel consumption (E)	15,206.14 GJ	14,577.5 GJ
Energy consumption through other sources (F)	Nil	Nil
Total energy consumed from non-renewable sources (D+E+F)	66,489.84 GJ	58,639.00 GJ
Total energy consumed (A+B+C+D+E+F)	66,489.84 GJ	58,639.00 GJ
Energy intensity per rupee of turnover (Total energy consumed / Revenue from operations)	0.0000038732 GJ/₹	0.0000046341 GJ/₹
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total energy consumed / Revenue from operations adjusted for PPP)	0.00007878	0.000094683
Energy intensity in terms of physical output	3.7	4.2
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency.
Response: No.

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2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Response: Not Applicable

3. Provide details of the following disclosures related to water, in the following format

Parameter	FY 2025-26	FY 2024-25
Water withdrawal by source (in kilolitres)		
(i) Surface water	0	0
(ii) Groundwater	0	60,660
(iii) Third party water	24,868	7,861
(iv) Seawater / desalinated water	0	0
(v) Others	0	0
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	24,868	68,521
Total volume of water consumption (in kilolitres)	5,963	49,801
Water intensity per rupee of turnover (Total water consumption / Revenue from operations)	0.00000035 kL/₹	0.00000394 kL/₹
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption / Revenue from operations adjusted for PPP)	0.00000707	0.00008041
Water intensity in terms of physical output	0.33	3.63
Water intensity (optional) the relevant metric may be selected by the entity	-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Response: No.

4. Provide the following details related to the water discharged.

Parameter	FY 2025-26	FY 2024-25
Water discharge by destination and level of treatment (in kilolitres)		
i. To Surface Water		
- No Treatment	0	0
- With treatment- 2 stage treatment	0	0
ii. To Groundwater		
- No Treatment	0	0
- With treatment- please specify level of treatment	18,905	18,720
iii. To Seawater		
- No Treatment	0	0
- With treatment- please specify level of treatment	0	0
iv. Sent to third parties		
- No Treatment	0	0
- With treatment- please specify level of treatment	0	0
v. Others		
- No Treatment	0	0
- With treatment- please specify level of treatment	0	0
Total water discharged (in kilolitres)	18,905	18,720

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Response: No.

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5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Response: Yes, we operate both a Sewage Treatment Plant (STP) and an Effluent Treatment Plant (ETP) to effectively manage common effluents (CETP). Recycled water is utilised for gardening purposes to minimise discharge, and any sludge generated during operations is responsibly disposed of through authorised agencies.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY 2025-26	FY 2024-25
NO _x	Ppm	13.56	14.88
SO _x	Ppm	7.1	7.55
Particulate Matter (PM)	Mg/Nm ³	60.02	65.22
Persistent organic pollutants (POP)		0	0
Volatile organic compounds (VOC)		0	0
Hazardous air pollutants (HAP)		0	0
Others – please specify		0	0

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Response: Bangalore Analytical Research Centre Pvt. Ltd.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format.

Parameter	Unit	FY 2025-26	FY 2024-25
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	1,343.48	1,134.62
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	10,114.3	8,898
Total Scope 1 and Scope 2 emission intensity per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)		0.0000006674	0.0000007928
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Power Purchasing Parity (PPP)		0.00001358	0.00001650
Total Scope 1 and Scope 2 emission intensity in terms of physical output		0.64	0.74
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Response: No.

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

Response: Yes, during FY 2025-26, at TDPS we undertook significant initiatives to reduce GHG emissions. Highlighted below are some of these initiatives:

- Replacement of conventional CFL lamps with LED lighting, thereby resulting in reduced consumption and savings of around 8,800 units annually in Units 1 and 2.
- Replacement of 14 conventional air conditioners with 4-star rated energy efficient air conditioners, resulting in approximately 15% energy savings in Units 1 and 2.
- Battery-operated material handling equipment such as forklifts, stackers, and pallet trucks are being used, resulting in reduced diesel consumption.

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- d. LCS cranes were deployed in place of conventional EOT cranes in Shop 1, providing advantages such as low or negligible power consumption, smoother manual movement, and easier maintenance.

These initiatives have resulted in conservation of energy, substantial reduction in power consumption and consequent reduction in GHG emissions, in addition to product quality improvement and process effectiveness.

9. Provide details related to waste management by the entity, in the following format

Parameter	FY 2025-26	FY 2024-25
Total waste generated (in metric tonnes)		
Plastic waste (A)	0	0
E-waste (B)	0.412	1.8
Bio-medical waste (C)	0.0128	0
Construction and demolition waste (D)	0	0
Battery waste (E)	0	0
Radioactive waste (F)	0	0
Other hazardous waste. Please specify, if any (G)	32.54	46.21
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	4,761.14	3,987.95
Total (A+B + C + D + E + F + G + H)	4794.1048	4035.96
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations)	0.0000002793	0.0000003189
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP)	0.00000568	0.00000651
Waste intensity in terms of physical output	0.27	0.29
Waste intensity (optional) – the relevant metric may be selected by the entity		
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	4,794.35	4,034.17
(ii) Reused	0	0
(iii) Other recovery options	0	0
Total	4,794.35	4,034.17
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
Category of waste		
(i) Incineration	0.0128	0
(ii) Landfilling	0	0
(iii) Other disposal options	0	0
Total	0	0

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Response: No.

The waste generation figures reported for the previous financial year have been restated due to updates in the reporting of hazardous and non-hazardous waste generation.

10. Briefly describe the waste management practises adopted in your establishments. Describe the strategy adopted by your Company to reduce usage of hazardous and toxic chemicals in your products and processes and the practises adopted to manage such wastes.

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Response: We maintain a scrap yard for the storage of hazardous waste and closely monitor the volume of scrap generated. However, at present, we have not established any reduction targets aimed at minimising the quantity of waste generated.

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

S. No.	Location of operations/offices	Type of operations	Whether the conditions of environmental approval / clearance are being complied with? (Y/N). If no, the reasons thereof and corrective action taken, if any.
We do not have any operations/offices in/around ecologically sensitive areas.			

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Name and brief details of project	EIA Notification No.	Date	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain (Yes/No)	Relevant Web link
Not Applicable					

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

Response:

S. No.	Specify the law / regulation/ guidelines which was not complied with	Provide details of the non-compliance	Any fines / penalties / action taken by regulatory agencies such as pollution control boards or by courts	Corrective action taken, if any
Yes, the entity is compliant with the applicable environmental law/regulations/guidelines in India, for which, the Company has received the consent from KSPCB.				

Leadership Indicators

1. Water withdrawal, consumption, and discharge in areas of water stress (in kilolitres):

For each facility / plant located in areas of water stress, provide the following information:

- Name of the area
- Nature of operations
- Water withdrawal, consumption, and discharge in the following format

	FY 2025-26	FY 2024-25
Water withdrawal by source (in kilolitres)	Nil	Nil
(i) Surface water		
(ii) Groundwater		
(iii) Third party water		
(iv) Seawater/desalinated water		
(v) Others		
Total volume of water withdrawal (in kilolitres)		
Total volume of water consumption (in kilolitres)		

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	FY 2025-26	FY 2024-25
Water intensity per rupee of turnover (Water consumed / turnover)	Nil	Nil
Water intensity (optional) – the relevant metric may be selected by the entity		
Water discharge by destination and level of treatment (in kilolitres)		
(i) Surface water		
- No treatment		
- With treatment – please specify level of treatment		
(ii) Groundwater		
- No treatment		
- With treatment – please specify level of treatment		
(iii) Seawater		
- No treatment		
- With treatment – please specify level of treatment		
(iv) Sent to third parties		
- No treatment		
- With treatment – please specify level of treatment		
(v) Others		
- No treatment		
- With treatment – please specify level of treatment		

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Unit	FY 2025-26	FY 2024-25
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	78,755.43	61,100.32
Total Scope 3 emissions per rupee of turnover	MtCO ₂ e/₹	0.0000046	0.0000048
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency. Response: No.

The Scope 3 GHG emissions reported for the previous financial year have been restated following updates to Category 5: Waste Generated in Operations.

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Response: Not Applicable.

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4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

S. No.	Initiative Undertaken	Details of the initiative (Web-link, if any, may be provided along with summary)	Outcome of the initiative
1.	CETP, Rain Harvesting	We utilised wastewater treated by the Common Effluent Treatment Plant (CETP) for gardening purposes and recharged the groundwater by channeling rainwater into bore wells, thereby enhancing our groundwater resources.	The outcomes of these initiatives were quite negligible to quantify.
2.	LED Lightings,	By replacing conventional or CFL lamps with LED lights, we achieved a 30% reduction in power consumption, around 5280 Units saved,	The outcomes of these initiatives were quite negligible to quantify.
3.	AC Replacement	Conventional type of 10 no's AC'S replaced with 4 star rating ac's to save's 15% of energy, Saving this around 2700KW per year	The outcomes of these initiatives were quite negligible to quantify.
4.	Oven 24 kw 2 nos thyristor replaced	2 nos of 24 kw Ovens conventional type of contactor base converted to thyristor base to save power of 5760kw per year	The outcomes of these initiatives were quite negligible to quantify.

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.
Response: Yes, at TDPS, we have established a comprehensive Business Continuity and Disaster Management Plan that covers three critical business areas: manufacturing operations, data and IT infrastructure, and outsourced process materials. The plan outlines potential disaster scenarios for each area, categorised by their likelihood of occurrence (ranging from 'Low' to 'Medium') and severity (ranging from 'Low' to 'Very High').
6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.
Response: Recognising the significant environmental impact of carbon emissions, we at TDPS have initiated regular interactive sessions with our suppliers to educate them and raise awareness about strategies and techniques for reducing emissions. Further, we have also planned for the implementation of ISO 50001:2018 Energy Management System for TDPS.
7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.
Response: 80%
8. How many Green Credits have been generated or procured:
a. By the listed entity: Not Applicable
b. By the top ten (in terms of value of purchases and sales, respectively) value chain partners
Response: Not Applicable

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (CONTD.)

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

Response: 3

- b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/ National)
1.	Bangalore Chamber of Industry and Commerce (BCIC)	National
2.	Federation of Karnataka Chambers of Commerce and Industry	National
3.	Indo German Chambers of Commerce	International

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

Response: Not Applicable

Leadership Indicators

1. Details of public policy positions advocated by the entity:

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly / Others – please specify)	Web Link, if available
Nil					

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development.

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

S. No.	SIA Notification No.	Date of notification	Whether conducted by independent external agency (Yes / No)	Results communicated in public domain? (Yes / No)	Relevant Web link
Not Applicable					

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

S. No.	Name of Project for which R&R is ongoing	State	District	Project Affected Families (PAFs)	% of PAFs covered by R&R	Amounts paid to PAFs in the FY (In ₹)
Not Applicable						

3. Describe the mechanisms to receive and redress grievances of the community.

Response: Our dedicated Industrial Relations department effectively addresses community grievances through various channels, including one-on-one and group discussions with beneficiaries. We also utilise meetings and correspondence to provide opportunities for receiving and resolving grievances.

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (CONTD.)

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2025-26	FY 2024-25
Directly sourced from MSMEs/ small producers	55%	52%
Directly sourced from within India	78%	81%

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis) in the following locations, as % of total wage cost.

	FY 2025-26	FY 2024-25
Rural	0%	0%
Semi-urban	0%	0%
Urban	100%	100%
Metropolitan	0%	0%

Note: The reported data for the previous period has been restated to ensure alignment with the SEBI BRSR Core guidelines.

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Details of negative social impact identified	Corrective action taken
Not Applicable	

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by government bodies:

S. No.	State	Aspirational District	Amount spent (in ₹)
Nil			

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalised /vulnerable groups? (Yes/No).

Response: No

- (b) From which marginalised /vulnerable groups do you procure?

Response: Not Applicable

- (c) What percentage of total procurement (by value) does it constitute?

Response: Not Applicable

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

S. No.	Intellectual Property based on traditional knowledge	Owned/ Acquired (Yes/No)	Benefit shared (Yes / No)	Basis of calculating benefit share
Not Applicable				

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Name of the authority	Brief on the case	Corrective action taken
Not Applicable		

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (CONTD.)

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalised groups
The brief details of each CSR project undertaken by the Company during FY 2025-26 are disclosed in Annexure 6 of the Annual Report.			

PRINCIPLE 9: Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

- Describe the mechanisms in place to receive and respond to consumer complaints and feedback.
Response: At TDPS, customer complaints and grievances are handled via emails that are received from them. Further, our customer care department interacts with customers through phone calls. Customers can also write to us from our website at tdps@tdps.co.in.

- Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

	As a % of total turnover
Environmental and social parameters relevant to the product	100%
Safe and responsible usage	100%
Recycling and/or safe disposal	Not Applicable

- Number of consumer complaints in respect of the following:

	FY 2025-26			FY 2024-25		
	Received during the year	Pending resolution at end of year	Remarks	Received during the year	Pending resolution at end of year	Remarks
Data Privacy	Nil	None		Nil	None	
Advertising						
Cyber-security						
Delivery of essential services						
Restrictive Trade Practises						
Unfair Trade Practises						
Other						

- Details of instances of product recalls on account of safety issues:

	Number	Reasons for recall
Voluntary Recalls	Nil	None
Forced Recalls	Nil	

- Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Response: Yes, the Company has policies on cyber security and data privacy. These policies are available on the Company's intranet.

- Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Response: Not Applicable

BUSINESS RESPONSIBILITY & SUSTAINABILITY REPORT (CONTD.)

7. Provide the following information relating to data breaches:

- a. Number of instances of data breaches

Response: 0

- b. Percentage of data breaches involving personally identifiable information of customers

Response: Nil

- c. Impact, if any, of the data breaches

Response: Since there have been no data breaches, no impacts were reported.

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

Response: Details regarding our products and services are available on the Company's website <https://www.tdps.co.in/>.

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

Response: At TDPS, we ensure safety and responsible use of our products and services when dealing with customers. In lieu of that, we provide an operation and maintenance manual along with every product that we supply. Further, all our products are equipped with warning labels and signs to help the customer be aware of the safe handling of the product while in operation.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

Response: In any case of disruption of essential services, TDPS takes a proactive approach in informing its customers of the same through emails, as well as phone calls.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No).

Response: Yes, all our products are equipped with name plates to help the customer understand the design and technical specifications of the product being procured by them. This helps them to utilise the product in a safe manner within the prescribed conditions. Further, we carry out customer satisfaction surveys on a regular basis to gather the perception of our customers through the products we deliver and always try to enhance our offerings through the feedback we receive.

For and on behalf of the Board of Directors

Ahmedabad
May 14, 2026**Mohib N. Khericha**
Chairman

STANDALONE FINANCIAL STATEMENTS

126-195

INDEPENDENT AUDITOR'S REPORT

To

The Members of **TD POWER SYSTEMS LIMITED**

Report on the Audit of the Standalone Financial Statements

OPINION

We have audited the accompanying standalone financial statements of **TD Power Systems Limited** ("the Company"), which comprise the Standalone Balance Sheet as at 31st March, 2026, the Standalone Statement of Profit and Loss (including Other Comprehensive Income), the Standalone Statement of Changes in Equity and the Standalone Statement of Cash Flows for the year then ended, and notes to the standalone financial statements, including material accounting policies and other explanatory information (hereinafter referred to as "the Standalone Financial Statements") in which are included the financial statements of the Japan Branch for the year ended on that date audited by the branch auditor of the Company located at Japan.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2026, its profit, total comprehensive income, changes in equity and its cash flows for the year ended on that date.

BASIS FOR OPINION

We conducted our audit of the Standalone Financial Statements in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Standalone Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India ("ICAI") together with the ethical requirements that are relevant to our audit of the Standalone Financial Statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence we have obtained is sufficient

and appropriate to provide a basis for our audit opinion on the standalone financial statements.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Standalone Financial Statements of the current period. These matters were addressed in the context of our audit of the Standalone Financial Statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

REVENUE RECOGNITION FOR CONTRACTS WITH CUSTOMERS

Reasons why the matter was determined to be a key audit matter: The Company generates a significant portion of the business by manufacturing AC Generators and Electric Motors for various applications which are specifically designed and tailor-made to suit the needs of the customers based on their requirements and specifications. The Company recognizes revenue in accordance with IND AS 115 Revenue from contracts with customers, generally when or as the entity satisfies a performance obligation by transferring a promised goods, services to a customer; i. e. when the customer is able to direct the use of the transferred goods or services and obtains substantially all of the remaining benefits, provided a contract with enforceable rights and obligations exists and amongst others collectability of consideration is probable taking into account the creditworthiness of the customers (Refer to note 1.5 & 26 to the Standalone Financial Statements). These assessments include, in particular, the scope of deliveries and services required to fulfil contractually defined obligations.

Auditor's response: As part of our audit, in view of the significance of the matter, the following key audit procedures were performed by us.

- Assessed the compliance of the Company's revenue recognition accounting policies with applicable Indian Accounting Standards.
- We obtained an understanding of the Company's internally established methods, processes and control mechanisms from order to delivery. We have also assessed the design and operating effectiveness of the internal controls by obtaining an understanding of such business transactions, and testing controls over these processes.

INDEPENDENT AUDITOR'S REPORT (CONTD.)

- As part of our substantive audit procedures, we evaluated the management's assumptions based on a risk-based selection of a sample of contracts. We have carried out verification of documents relating to these sales that include the documents for final testing, dispatch of goods or acknowledgment of acceptance of the goods. We performed cut-off procedures to ensure that year-end sales are in accordance with the revenue recognition policy of the Company. The performance of obligations is considered complete, generally when the testing of goods is completed/customer has accepted the goods.

INFORMATION OTHER THAN THE FINANCIAL STATEMENTS AND AUDITOR'S REPORT THEREON

The Company's Board of Directors is responsible for the other information. The other information comprises the Management Discussion and Analysis, Board of Directors' report, Corporate Governance Report and other information published along with but does not include the Standalone Financial Statements and the Consolidated Financial Statements and our auditor's report thereon. The Management Discussion and Analysis, Board of Directors' Report, Corporate Governance Report etc., is expected to be made available to us after the date of this auditor's report.

Our opinion on the Standalone Financial Statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the Standalone Financial Statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the Standalone Financial Statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. When we read the Management Discussion and Analysis, Board of Directors' Report, Corporate Governance Report etc., if, we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance. In case of uncorrected material misstatement, we are required to communicate to other stakeholders as appropriate as well as to take action applicable under applicable laws and regulations, if any.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE STANDALONE FINANCIAL STATEMENTS

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies

Act, 2013 ("the Act") with respect to the preparation of these Standalone Financial Statements that give a true and fair view of the financial position, financial performance including other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Standalone Financial Statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Standalone Financial Statements, the Board of Directors is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The Board of Directors are also responsible for overseeing the Company's financial reporting process.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE STANDALONE FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the Standalone Financial Statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these Standalone Financial Statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

INDEPENDENT AUDITOR'S REPORT (CONTD.)

- Identify and assess the risks of material misstatement of the Standalone Financial Statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Standalone Financial Statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Standalone Financial Statements, including the disclosures, and whether the Standalone Financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal financial control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Standalone Financial Statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

OTHER MATTER

We did not audit the Financial statements of Japan Branch included in the Standalone Financial Statements of the Company whose financial statements reflect total assets of Rs.1,488.25 lakhs as at 31st March, 2026 and total revenues of Rs.2,707.26 Lakhs for the year ended on that date, as considered in the Standalone Financial Statements. The financial statements of the Branch have been audited by the branch auditor whose report has been furnished to us, and our opinion in so far as it relates to the amounts and disclosures included in respect of the Branch, is based solely on the report of such branch auditor.

Our opinion is not modified in respect of this matter.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

1. As required by the Companies (Auditor's Report) Order, 2020 ('the Order') issued by the Central Government of India in terms of section 143(11) of the Act, we give in the '**Annexure A**' a statement on the matters specified in the paragraph 3 and 4 of the said Order, to the extent applicable.
2. As required by Section 143 (3) of the Act, we report that:
 - a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;

INDEPENDENT AUDITOR'S REPORT (CONTD.)

- b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books and proper returns adequate for the purpose of our audit have been received from the Branch not visited by us, but one branch is audited by the branch auditor except for the matters stated in the paragraph 2(i) (vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.
- c. The report on the accounts of one branch office audited under section 143 by a person other than the company's auditor has been forwarded to us as required by sub-section (8) of section 143 and have been properly dealt with in preparing our report in the manner considered necessary by us;
- d. The Standalone Balance Sheet, the Standalone Statement of Profit and Loss including Other Comprehensive Income, the Standalone Statement of Changes in Equity, and the Standalone Statement of Cash Flow dealt with by this Report are in agreement with the books of account and with the returns received from the branch not visited by us but audited by the branch auditor.
- e. In our opinion, the aforesaid Standalone Financial Statements comply with the Ind AS specified under Section 133 of the Act.
- f. On the basis of the written representations received from the directors as on 31st March, 2026 taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 2026 from being appointed as a director in terms of Section 164 (2) of the Act.
- g. The modifications relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2(b) above on reporting under Section 143(3) (b) of the Act and paragraph 2(i)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.
- h. With respect to the adequacy of the internal financial controls with reference to these Standalone Financial Statements of the Company and the operating effectiveness of such controls, refer to our separate report in '**Annexure B**';
- i. With respect to the other matters to be included in the Auditor's report in accordance

with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

- i. the Company has disclosed pending litigations in its Standalone Financial Statements, the impact if any on the final settlement of these litigations on its financial position is not ascertainable at this stage – Refer Note No. 36 of Standalone Financial Statements;
- ii. the Company has made provision as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts – Refer Note No 41(b) of standalone financial statements; and
- iii. there has been no delay in transferring amounts, required to be transferred to the Investor Education and Protection Fund by the Company during the year – Refer Note 41(c) of Standalone Financial Statements.
- iv.
 - (a) The Management has represented that, to the best of their knowledge and belief, as disclosed in Note No.41(d) of the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
 - (b) The Management has represented, that, to the best of their knowledge and belief, as disclosed in Note No.41(e) of the standalone financial



INDEPENDENT AUDITOR'S REPORT (CONTD.)

statements, no funds have been received by the Company from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

- (c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement;
- v.
- (a) The final dividend paid by the Company during the year, in respect of the dividend declared for the previous year is in accordance with Section 123 of the Act, to the extent it applies to the payment of dividend.
- (b) The interim dividend declared and paid by the Company during the year and until the date of this audit report is in accordance with the section 123 of the Companies Act, 2013.
- (c) As stated in note 47(b) to the Standalone Financial Statements, the Board of Directors of the Company have proposed final dividend for the

year which is subject to the approval of the members at the ensuing Annual General Meeting. The dividend proposed is in accordance with the section 123 of the Act to the extent it applies to proposed dividend, as applicable.

- vi. Based on our examination and audit procedures carried by us which included test checks, the Company has used accounting software systems for maintaining its books of account which have the feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software systems except for Audit trail for Bank Master creation was not enabled during the year.

Further, during the course of our audit we did not come across any instance of the audit trail feature being tampered with and the audit trail has been preserved by the Company as per the statutory requirements for record retention.

3. With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended;

In our opinion and to the best of our information and according to the explanations given to us and as per the verification of the records of the company, the remuneration paid by the Company to its directors during the year is within the limit laid down under the provisions of section 197 of the Act. The remuneration paid to any director by the Company is not in excess of the limit laid down under Section 197 of the Act. The Ministry of Corporate Affairs has not prescribed any other details under Section 197(16) of the Act which are required to be commented upon by us.

For **VARMA & VARMA**
Chartered Accountants
FRN 004532S

ABRAHAM BABY CHERIAN

Partner

M. No. 218851

ICAI UDIN : 26218851PDKATI5921

Place : Bangalore
Date : May 14, 2026

ANNEXURE A TO THE INDEPENDENT AUDITOR'S REPORT

Annexure referred to in paragraph 1 under the heading 'Report on Other Legal and Regulatory Requirements' of our Independent Auditor's Report of even date on the Standalone Financial Statements of TD Power Systems Limited for the year ended 31st March 2026.

- i. In respect of its property, plant and equipment and intangible assets:
 - a) A. The Company has maintained proper records which are showing full particulars, including quantitative details and situation of Property, Plant and Equipment.
 - B. The Company has maintained proper records showing full particulars of intangible assets.
 - b) The Company has a programme of physical verification of Property, Plant, and Equipment of the Company, which in our opinion, is reasonable having regard to the size of the Company and nature of its assets. Pursuant to the programme, certain Property, Plant, and Equipment were physically verified by the management during the year. According to the information and explanations given to us, there were no material discrepancies identified on such verification when compared with available records of the Company.
 - c) According to the information and explanations given to us and as per the verification of the records of the Company, the title deeds of the all immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in the Standalone Financial Statements, are held in the name of the Company.
 - d) The Company has not revalued any of its Property, Plant and Equipment (including ROU Assets) or intangible assets or both during the year.
 - e) According to the information and explanations given to us and as per our verification of the records of the Company, no proceedings have been initiated during the year or are pending against the Company as at 31st March, 2026 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 and rules made thereunder.
- ii. a) The inventory has been physically verified by the management during the year and at the year end. In our opinion, the frequency of verification is reasonable and the coverage and procedure of such verification by the management is appropriate. No discrepancies of 10% or more in the aggregate for each class of inventory were noticed on such physical verification.
- b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks on the basis of security of current assets. The quarterly returns or statements filed by the Company with such banks in respect of the gross value of collateral security (excluding the impact of quarterly book closure adjustments & other adjustments) are in agreement with the books of account of the Company (Refer to Note 53 of standalone financial statements). The Company has not been sanctioned any working capital limit from the financial institutions.
- iii. According to the information and explanations provided to us and based on our verification of the records of the Company, during the year, the Company has not made any investments in, provided any financial guarantee or security or granted any loans or advances in the nature of loans (excluding loans to employees), secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties.
 - a) According to the information and explanations given to us, during the year, the Company has not provided advances in the nature of loans, or financial guarantee, or provided security to any other entity during the year. Hence reporting under clause 3(iii)(a) of the Order is not applicable.
 - b) The Company has not made investments, provided guarantees or given securities during the year. Hence reporting under clause 3(iii)(b) of the Order is not applicable.
 - c) According to the information and explanation given to us, during the year, the Company

ANNEXURE A TO THE INDEPENDENT AUDITOR'S REPORT (CONTD.)

has not provided any loans to its subsidiaries during the year. Hence reporting under clause 3(iii)(c) of the Order is not applicable.

- d) According to the information and explanations given to us, the Company has not granted any loans or advances in the nature of loans during the year and there were no outstanding balances of loans at the beginning of the year. Accordingly, reporting under clause 3(iii)(d) of the Order is not applicable.
- e) According to the information and explanations given to us, there were no loans or advances in the nature of loans granted by the Company which had fallen due during the year. Further, the Company has not granted any loans or advances in the nature of loans during the year. Accordingly, reporting under clause 3(iii)(e) of the Order is not applicable.
- f) According to the information and explanations given to us, the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment during the year. Hence, reporting under clause 3(iii)(f) is not applicable.
- iv. In our opinion and according to the information and explanations given to us, the Company has complied with the provisions of Sections 185 and 186 of the Companies Act, 2013 in respect of loans granted, investments made and guarantees and securities provided to the subsidiaries, as applicable. There was no loan granted or guarantee provided to other parties.
- v. According to the information and explanations given to us, the Company has not accepted any

deposit and there were no amounts which are deemed to be deposits. Accordingly, the provisions of paragraph 3(v) of the Order are not applicable.

- vi. We have broadly reviewed the books of account and records maintained by the Company pursuant to the Rules made by the Central Government, for the maintenance of cost records under Section 148(1) of the Companies Act, 2013 and are of the opinion that prima facie, the prescribed accounts and records have been made and maintained. We have, however, not made a detailed examination of the accounts and records with a view to determining whether they are accurate or complete.
- vii. a) According to the information and explanations given to us and as per our verification of the records of the Company, the Company has been generally regular in depositing undisputed statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income-tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues to the appropriate authorities during the year to the extent applicable. There are no arrears of undisputed statutory dues of a material nature outstanding as at the last day of the financial year for a period of more than six months from the date on which they became payable.
- b) According to the information and explanations given to us and as per our verification of the records of the Company, there were no disputed amounts of statutory dues referred to in sub-clause (a) that have not been deposited with appropriate authorities as at 31st March 2026, except for the following:

Name of the Statute	Nature of the dues	Amount (Rs. In Lakhs)	Period (financial year) to which the amount relates to	Forum where dispute is pending
Income Tax Act, 1961	Income Tax	15.80	2011-12	Commissioner of Income Tax (Appeals)
Income Tax Act, 1961	Income Tax	27.56	2015-16	Commissioner of Income Tax (Appeals)
Income Tax Act, 1961	Income Tax	1,942.67	2016-17	High Court of Karnataka
Goods and Service Tax Act, 2017	Goods and Service Tax	6.89	July 2017 to March 2018	GST Appellate Tribunal (GSTAT)
Goods and Service Tax Act, 2017	Goods and Service Tax	113.96	2021-2022	Joint Commissioner of Commercial Taxes

ANNEXURE A TO THE INDEPENDENT AUDITOR'S REPORT (CONTD.)

- viii. According to the information and explanations provided to us and based on our verification of records of the Company, there were no transactions not recorded in the books of account which were surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961. Hence, the paragraph 3(viii) of the Order is not applicable.
- ix. a) According to the information and explanations provided to us and based on our verification of the records of the Company, Company has not defaulted in repayment of loans or other borrowings or in the payment of interest thereon to any lender.
- b) The Company has not been declared wilful defaulter by any bank or financial institution or other lender.
- c) The Company has not taken any term loan during the year and there are no outstanding term loans at the beginning of the financial year and hence, reporting under clause 3(ix)(c) of the Order is not applicable.
- d) On an overall examination of the Standalone Financial Statements of the Company, funds raised on short-term basis have, prima facie, not been used during the year for long-term purposes by the Company.
- e) On an overall examination of the Standalone Financial Statements of the Company, the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries.
- f) The Company has not raised any loans during the year on the pledge of securities held in its subsidiaries and hence reporting on clause 3(ix)(f) of the Order is not applicable.
- x. a) According to the information and explanations given to us and as per our verification of records of the Company, the Company has not raised money by way of initial public offer or further public offer (including debt instruments) during the year. Accordingly, the provisions of paragraph 3(x)(a) of the Order are not applicable.
- b) According to the information and explanations given to us and as per our verification of records of the Company, the Company has not made preferential allotment or private placement of shares or convertible debentures (fully, partially or optionally convertible) during the year and hence reporting under clause 3(x)(b) of the Order is not applicable.
- xi. a) According to the information and explanations given to us and as per our verification of records of the Company, no fraud by the Company or any fraud on the Company has been noticed or reported during the year.
- b) According to the information and explanation given to us and as per our verification of the records of the company, no report under sub-section (12) of section 143 of the Companies Act has been filed in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government, during the year and up to the date of this report.
- c) According to the information and explanations given to us and as per our verification of records of the Company, no whistle-blower complaints have been received during the year by the Company.
- xii. According to the information and explanations provided to us and based on our verification of the records of the Company, the Company is not a Nidhi company. Accordingly, paragraph 3(xii) of the Order is not applicable.
- xiii. According to the information and explanations given to us and as per our verification of records of the Company, transactions with the related parties are in compliance with the sections 177 and 188 of the Act and details of such transactions have been disclosed in the Standalone Financial Statements as required by the applicable Indian Accounting Standards (Ind AS).
- xiv. a) In our opinion the Company has an internal audit system which is commensurate with the size and the nature of its business.
- b) We have considered, the internal audit reports for the year under audit, issued to the Company.
- xv. According to the information and explanations given to us and as per our verification of records of the Company, the Company has not entered into non-cash transactions with the directors or persons connected with the directors. Accordingly, paragraph 3 (xv) of the Order is not applicable.

ANNEXURE A TO THE INDEPENDENT AUDITOR'S REPORT (CONTD.)

- xvi. a) According to the information and explanations given to us the Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.
- b) The Company is not engaged in any Non-Banking Financial or Housing Finance activities. Accordingly, the requirement to report on clause (xvi)(b) of the Order is not applicable to the Company.
- c) According to the information and explanations given to us the company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Hence, reporting under clause 3(xvi)(c) of the Order is not applicable.
- d) As represented to us by the management, there is no core investment company as defined in the regulations made by the Reserve Bank of India within the Group. Hence, reporting under clause 3(xvi)(d) of the Order is not applicable.
- xvii. The Company has not incurred cash losses during the financial year and the immediately preceding financial year.
- xviii. There has been no resignation of the statutory auditors of the Company during the year and accordingly requirement to report on Clause 3(xviii) of the Order is not applicable to the Company.
- xix. On the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information

accompanying the financial statements and our knowledge of the Board of Directors and Management plans, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

- xx. a) In our opinion and according to the information and explanation given to us, there are no unspent amounts towards Corporate Social Responsibility (CSR) on other than ongoing projects requiring a transfer to a Fund specified in Schedule VII to the Companies Act in compliance with second proviso to sub-section (5) of Section 135 of the said Act. Accordingly, reporting under clause 3(xx)(a) of the Order is not applicable.
- b) In our opinion and according to the information and explanations given to us, there are no amount remaining unspent in respect of ongoing projects at the end of the financial year. Accordingly, reporting under clause (xx) (b) of the Order is not applicable.

For **VARMA & VARMA**
Chartered Accountants
FRN 004532S

ABRAHAM BABY CHERIAN
Partner
M. No. 218851
ICAI UDIN : 26218851PDKATI5921

Place : Bangalore
Date : May 14, 2026

ANNEXURE B TO THE INDEPENDENT AUDITOR'S REPORT

Annexure Referred to in Para 2 (H) "Report on Other Legal and Regulatory Requirements" of the Independent Auditor's Report

REPORT ON THE INTERNAL FINANCIAL CONTROLS UNDER CLAUSE (I) OF SUB-SECTION 3 OF SECTION 143 OF THE COMPANIES ACT, 2013 ("THE ACT")

We have audited the internal financial controls with reference to Standalone Financial Statements of **TD Power Systems Limited** ("the Company") as of 31st March, 2026 in conjunction with our audit of the Standalone Financial Statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ("the ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to these Standalone Financial Statements based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India and the Standards on Auditing prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to these Standalone Financial Statements was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to these Standalone Financial Statements.

Meaning of Internal Financial Controls with reference to these Standalone Financial Statements

A company's internal financial controls with reference to these Standalone Financial Statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to these standalone financial statements includes those policies and procedures that;

- 1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- 2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorizations of management and directors of the Company; and
- 3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Company's assets that could have a material effect on the financial statements.

ANNEXURE B TO THE INDEPENDENT AUDITOR'S REPORT (CONTD.)

Inherent Limitations of Internal Financial Controls with reference to Standalone Financial Statements

Because of the inherent limitations of internal financial controls with reference to standalone financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to standalone financial statements to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls with reference to Standalone Financial Statements and such internal financial controls with reference to Standalone Financial Statements were operating effectively as at 31st March, 2026, based on the internal financial control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For **VARMA & VARMA**
Chartered Accountants
FRN 004532S

ABRAHAM BABY CHERIAN

Partner
M. No. 218851
ICAI UDIN : 26218851PDKATI5921

Place : Bangalore
Date : May 14, 2026

STANDALONE BALANCE SHEET

AS AT MARCH 31, 2026

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Note No.	As at March 31, 2026		As at March 31, 2025	
I. ASSETS					
Non - current assets					
Property, plant and equipment	2	26,004.35		17,573.37	
Capital work in progress	3	1,732.46		1,658.94	
Right-of-use assets	4	1,934.92		1,720.07	
Other intangible assets	5	1,005.39		941.35	
Financial assets:					
Investments	6	1,055.75		1,355.75	
Other financial assets	7	225.23		156.72	
Other non-current assets	8	1,470.91	33,429.01	2,603.70	26,009.90
Current assets					
Inventories	9	49,681.21		33,145.52	
Financial assets					
Trade receivables	10	70,865.41		48,427.58	
Cash and cash equivalents	11	1,617.82		2,447.00	
Bank balances other than cash and cash equivalents	12	11,950.11		12,313.24	
Other financial assets	13	4,444.47		3,329.99	
Other current assets	14	5,194.29	1,43,753.31	5,569.84	1,05,233.17
TOTAL ASSETS			1,77,182.32		1,31,243.07
II. EQUITY AND LIABILITIES					
Equity:					
Equity share capital	15	3,124.30		3,123.67	
Other equity	16	99,757.77	1,02,882.07	80,464.89	83,588.56
Liabilities:					
Non - current liabilities					
Financial Liabilities - Lease Liabilities	20	0.75		0.82	
Provisions	17	980.10		886.17	
Deferred tax liabilities (Net)	18	180.08	1,160.93	330.72	1,217.71
Current Liabilities					
Financial Liabilities:					
Borrowings	19	1,809.62		1,220.75	
Lease Liabilities	20	0.37		0.22	
Trade payables	21				
- total outstanding dues of micro enterprises and small enterprises		4,871.60		2,380.30	
- total outstanding dues of creditors other than micro enterprises and small enterprises		33,774.55		20,602.06	
Other financial liabilities	22	11,970.89		8,881.50	
Other current liabilities	23	17,478.50		11,733.25	
Provisions	24	884.67		644.97	
Current tax liabilities-Net	25	2,349.12	73,139.32	973.75	46,436.80
TOTAL EQUITY AND LIABILITIES			1,77,182.32		1,31,243.07

Material Accounting Policies

1

The accompanying notes form an integral part of the standalone financial statements

This is the balance sheet referred to in our report of even date attached

For and on behalf of Board of Directors of
TD Power Systems Limited
 CIN No. L31103KA1999PLC025071

For VARMA & VARMA
 Chartered Accountants
 Firm Registration No. 004532S

MOHIB N KHERICHA
 Chairman
 DIN: 00010365
 Place: Ahmedabad

NIKHIL KUMAR
 Managing Director
 DIN:00062243
 Place: Frankfurt

DEEPAK KUMAR SINHA
 Chief Executive Officer
 Place: Bangalore

ABRAHAM BABY CHERIAN
 Partner
 Membership No.218851
 Place: Bangalore
 Date : May 14, 2026

M N VARALAKSHMI
 Chief Financial Officer
 Place: Bangalore

BHARAT RAJWANI
 Company Secretary
 Membership No. A50096
 Place: Bangalore

Date : May 14, 2026

STANDALONE STATEMENT OF PROFIT & LOSS

FOR THE YEAR ENDED MARCH 31, 2026

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Note No.	Year ended March 31, 2026		Year ended March 31, 2025	
I REVENUE FROM OPERATIONS	26		1,71,666.38		1,26,539.62
II Other income	27		2,000.91		2,309.44
III TOTAL INCOME (I + II)			1,73,667.29		1,28,849.06
IV EXPENSES					
Cost of materials consumed	28	1,23,867.01		88,435.88	
Purchases for spares & after market business, net of changes in inventories of stock in trade	29	2,064.67		702.79	
Changes in inventories of finished goods and work in progress	30	(9,919.56)	1,16,012.12	(3,612.22)	85,526.45
Employee benefits expenses	31		14,715.63		11,137.98
Finance costs	32		190.32		305.84
Depreciation and amortisation expense	33		2,213.58		1,885.07
Other expenses	34		10,828.07		8,777.50
TOTAL EXPENSES			1,43,959.72		1,07,632.84
V Profit before exceptional items and tax (III-IV)			29,707.57		21,216.22
VI Exceptional items	35		(300.00)		(300.00)
VII Profit before tax (V+VI)			29,407.57		20,916.22
VIII Tax expense: (Refer Note No.39(a) & (b))					
Current tax		7,913.86		5,250.70	
Deferred tax (credit)		(150.64)	7,763.22	294.52	5,545.22
IX Profit for the year (VII-VIII)			21,644.35		15,371.00
X Other comprehensive income					
Items that will not be reclassified to profit or (loss)	37				
Remeasurement of defined benefit plans		75.10		(118.08)	
Income tax on above defined benefit plans (Refer Note No.39(c))		(18.90)	56.20	29.72	(88.36)
Items that will be reclassified to profit or (loss)					
Exchange difference on translation of foreign operations		68.49		17.39	
Income tax on exchange difference on translation of foreign operations (Refer Note No.39(c))		(17.24)	51.25	(4.38)	13.01
Total			107.45		(75.35)
XI Total comprehensive income for the year (IX+X)			21,751.80		15,295.65
XII Earnings per equity share of ₹ 2/- each					
Basic (in ₹)	38		13.86		9.84
Diluted (in ₹)			13.85		9.84

Material Accounting Policies

1

The accompanying notes form an integral part of the standalone financial statements

This is the statement of profit and loss referred to in our report of even date attached

For and on behalf of Board of Directors of

TD Power Systems Limited

CIN No. L31103KA1999PLC025071

For VARMA & VARMA

Chartered Accountants

Firm Registration No. 004532S

MOHIB N KHERICHA

Chairman

DIN: 00010365

Place: Ahmedabad

NIKHIL KUMAR

Managing Director

DIN:00062243

Place: Frankfurt

DEEPAK KUMAR SINHA

Chief Executive Officer

Place: Bangalore

ABRAHAM BABY CHERIAN

Partner

Membership No.218851

Place: Bangalore

Date : May 14, 2026

M N VARALAKSHMI

Chief Financial Officer

Place: Bangalore

BHARAT RAJWANI

Company Secretary

Membership No. A50096

Place: Bangalore

Date : May 14, 2026

STANDALONE STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED MARCH 31, 2026

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Equity Share Capital (Equity Shares of ₹ 2 each issued, subscribed and fully paidup)	Other Equity					Total other equity attributable to equity share holders of the Company
		Reserves and surplus			Stock option Outstanding Account	Exchange difference on translation of foreign operations	
		Securities Premium	Retained earnings	General reserve			
Balance as at April 01, 2025	3,123.67	19,321.27	57,888.91	2,955.06	230.42	92.48	80,464.89
Shares issued during the year to ESOP trust	0.63	-	-	-	-	-	-
Profit for the period April 01, 2025 to March 31, 2026	-	-	21,644.35	-	-	-	21,644.35
Remeasurement of defined benefit plans for the year (net of tax)	-	-	56.20	-	-	-	56.20
Exchange difference on translation of foreign operations	-	-	-	-	-	51.25	51.25
Transfer from Share option outstanding to Securities premium on exercise of ESAR	-	62.30	-	-	-	(62.30)	-
Transfer to Stock Options Outstanding account for the year (Refer Note No.50)	-	-	-	-	-	118.20	118.20
Interim Dividend (Refer Note No.47(a))	-	-	(1,561.92)	-	-	-	(1,561.92)
Final dividend paid during the year (Refer Note No.47(b))	-	-	(1,015.20)	-	-	-	(1,015.20)
Balance as at March 31, 2026	3,124.30	19,383.57	77,012.34	2,955.06	230.42	148.38	99,757.77



STANDALONE STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Equity Share Capital (Equity Shares of ₹ 2 each issued, subscribed and fully paidup)	Other Equity				Stock option Outstanding Account	Exchange difference on translation of foreign operations	Total other equity attributable to equity share holders of the Company
		Securities Premium	Retained earnings	General reserve	Capital Redemption Reserve			
Balance as at April 01, 2024	3,123.40	19,319.00	44,480.47	2,955.06	230.42	39.55	(36.26)	66,988.24
Shares issued during the year to ESOP trust	0.27	-	-	-	-	-	-	-
Profit for the year April 01, 2024 to March 31, 2025	-	-	15,371.00	-	-	-	-	15,371.00
Remeasurement of defined benefit plans for the year (net of tax)	-	-	(88.36)	-	-	-	-	(88.36)
Exchange difference on translation of foreign operations	-	-	-	-	-	-	13.01	13.01
Transfer from Share option outstanding to Securities premium on exercise of ESAR	-	2.27	-	-	-	(2.27)	-	-
Transfer to Stock Options Outstanding account for the year (Refer Note No.50)	-	-	-	-	-	55.20	-	55.20
Interim Dividend (Refer Note No.47(a))	-	-	(937.10)	-	-	-	-	(937.10)
Final dividend paid during the year (Refer Note No.47(b))	-	-	(937.10)	-	-	-	-	(937.10)
Balance as at March 31, 2025	3,123.67	19,321.27	57,888.91	2,955.06	230.42	92.48	(23.25)	80,464.89

Refer Note No.16 for nature and purpose of other reserves

The accompanying notes form an integral part of the standalone financial statements

This is the statement of changes in equity referred to our report of even date attached

For and on behalf of Board of Directors of

TD Power Systems Limited

CIN No. L31103KA1999PLC025071

For **VARMA & VARMA**

Chartered Accountants

Firm Registration No. 004532S

MOHIB N KHERICHA **NIKHIL KUMAR** **DEEPAK KUMAR SINHA** **M N VARALAKSHMI** **BHARAT RAJWANI** **ABRAHAM BABY CHERIAN**

Chairman

Managing Director

Chief Executive Officer

Chief Financial Officer

Company Secretary

Partner

DIN: 00010365

Place: Bangalore

Place: Bangalore

Place: Bangalore

Membership No. A50096

Membership No.218851

Place: Ahmedabad

Place: Frankfurt

Place: Bangalore

Place: Bangalore

Place: Bangalore

Place: Bangalore

Date : May 14, 2026

Date : May 14, 2026

STANDALONE STATEMENT OF CASHFLOW

FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Year ended March 31, 2026		Year ended March 31, 2025	
A CASH FLOW FROM OPERATING ACTIVITIES				
Net Profit before tax		29,407.57		20,916.22
Adjustments for				
Depreciation	1,843.85		1,517.77	
Amortisation	369.73		367.30	
(Profit)/Loss on sale of Property, Plant and Equipments	6.32		6.17	
Unbilled Revenue	25.62		(34.78)	
Interest income on financial asset - Bank Deposits	(744.47)		(1,074.45)	
Interest income on financial assets (Non-convertible debentures carried at amortised cost)	-		(35.57)	
Interest on the loan given to subsidiaries	-		(9.51)	
Finance cost	190.32		305.84	
Compensation expenses under Employee Stock Option/ Appreciation Rights Scheme	118.20		55.20	
Provision for diminution in the value of investment (Refer Note No.51)	300.00		300.00	
Provision for doubtful debts	-		136.34	
Unrealised foreign exchange loss/(gain) (net)	(256.76)		(1,257.00)	
Provision for warranty claims	224.98		147.28	
Provision for Compensated absences	325.05	2,402.84	305.72	730.31
Operating profit before working capital changes		31,810.41		21,646.53
Adjustments for changes in working capital				
Decrease/(Increase) in trade receivables	(20,754.43)		(16,773.41)	
Decrease/(Increase) in other receivables	(555.35)		(4,506.89)	
Decrease/(Increase) in inventories	(16,535.69)		(9,372.96)	
(Decrease)/Increase in trade payables	15,423.79		9,116.44	
(Decrease)/Increase in other payables & provisions	8,226.86	(14,194.82)	5,444.94	(16,091.88)
Cash generated from operations		17,615.59		5,554.65
Direct taxes paid including TDS		(6,135.95)		(4,925.46)
Net Cash from/(used in) Operating Activities		11,479.64		629.19
B CASH FLOW FROM INVESTING ACTIVITIES				
Payment for property, plant and equipment & Capital Work in progress (net of transfer of Capital Work in progress to Property, plant and equipment)	(10,376.36)		(5,216.41)	
Payment for intangible assets (including intangible assets under development)	(433.77)		(378.03)	
Payment for leasehold land	(214.85)		-	
Proceeds from sale of property, plant and equipment	21.66		13.14	
Proceeds from repayment of loan given to subsidiary (gross)	-		352.33	
Proceeds from maturity of investment	-		1,000.00	
Interest received on loan given to subsidiary	-		9.51	
Interest received on financial assets - bank deposits	797.89		1,200.62	
Net Cash from/(used in) investing activities		(10,205.43)		(3,018.84)



STANDALONE STATEMENT OF CASHFLOW FOR THE YEAR ENDED MARCH 31, 2026

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Year ended March 31, 2026		Year ended March 31, 2025	
C CASH FLOW FROM FINANCING ACTIVITIES				
Proceeds from/(Repayment of) working capital borrowings (net)	588.87		1,220.75	
Proceeds from issue of shares to ESOP Trust	0.63		0.27	
Interest paid	(68.29)		(21.32)	
Dividend Paid	(2,577.12)		(1,874.20)	
Net Cash from/(used in) financing activities		(2,055.91)		(674.50)
Net Foreign exchange difference on translation of foreign operations (net of tax)		(51.25)		(13.01)
Net increase/(decrease) in cash and cash equivalents		(832.95)		(3,077.16)
Effect of exchange rate changes on the balance of cash and cash equivalents held in foreign currencies		3.77		(0.55)
Cash and cash equivalents at the beginning of the year		2,447.00		5,524.71
Cash and cash equivalents at the end of the year		1,617.82		2,447.00
Cash and cash equivalents at the end of the year - constitute				
Balances with banks				
In current accounts		881.76		754.07
In EEFC account		728.44		790.81
In deposit accounts with Original maturity less than 3 months		-		900.00
Cash on hand		7.62		2.12
Total Cash & Cash equivalents		1,617.82		2,447.00

Note: Cashflows are reported using the indirect method. Closing cash and cash equivalents is after adjusting translation gain/loss.

Expenditure towards CSR activities: ₹ 337.89 lakhs (PY: ₹ 242.45 lakhs)

The accompanying notes form an integral part of the standalone financial statements

Reconciliation of liabilities arising from financing activities:

Amounts in Indian Rupees in lakhs

Particulars	Opening Balance	Cash Inflows (net)	Cash outflows	Non-cash changes	Closing Balance
Working capital borrowings - Current Year	1,220.75	588.87	-	-	1,809.62
Working capital borrowings - Previous Year	-	1,220.75	-	-	1,220.75
Dividends payable - Current Year	-	-	(2,577.12)	-	-
Dividends payable - Previous Year	-	-	(1,874.20)	-	-
Interest payable - Current Year	-	-	(68.29)	-	-
Interest payable - Previous Year	-	-	(21.32)	-	-

This is the statement of cash flow referred to in our report of even date attached

For and on behalf of Board of Directors of
TD Power Systems Limited
CIN No. L31103KA1999PLC025071

For VARMA & VARMA
Chartered Accountants
Firm Registration No. 004532S

MOHIB N KHERICHA
Chairman
DIN: 00010365
Place: Ahmedabad

NIKHIL KUMAR
Managing Director
DIN:00062243
Place: Frankfurt

DEEPAK KUMAR SINHA
Chief Executive Officer
Place: Bangalore

ABRAHAM BABY CHERIAN
Partner
Membership No.218851
Place: Bangalore
Date : May 14, 2026

M N VARALAKSHMI
Chief Financial Officer
Place: Bangalore

BHARAT RAJWANI
Company Secretary
Membership No. A50096
Place: Bangalore

Date : May 14, 2026

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION

FOR THE YEAR ENDED MARCH 31, 2026

1 CORPORATE INFORMATION

The TD Power Systems Limited ("The Company") is incorporated and domiciled in India. Consequent to a Special Resolution of the Members, passed at the Company's Extra Ordinary General Meeting held on January 17, 2011, the Company was converted to a Public Limited Company by altering its Articles of Association in terms of Section 31 read with Section 44 of the Companies Act 1956, and a fresh Certificate of Incorporation dated February 04, 2011 was issued by the Registrar of Companies, Karnataka. The registered office of the Company is located at Dabaspet, Nelamangala Taluk Bangalore — 562 111. The Company is engaged in manufacturing AC Generators and Electric Motors for various applications which are specifically designed and tailor-made to suit the needs of the customers based on their requirements and specifications.

The standalone financial statements for the year ended March 31, 2026 were approved by the Board of Directors and authorised for issue on May 14, 2026.

The Company's subscription to the Share Capital of its Wholly Owned Subsidiaries included in investment under non-current assets as at March 31, 2026 are as follows: -

- The Company subscribed to a Wholly Owned Subsidiary in United States of America under the name M/s TD Power Systems (USA) Inc. incorporated as Delaware Corporation on February 20, 2013 located at Ohio. The Company subscribed to 80,100 shares of USD 10/- each
- The Company acquired 100% shareholding of a company named Platin 1255 GmbH in Germany during January 2016 and subsequently changed its name to M/s TD Power Systems Europe GMBH during March 2016. The Company subscribed to 5,50,000 shares of Euro 1 each
- The Company acquired 100% shareholding of a company named TD Power Systems Jenerator Sanayi Anonim Sirketi in Turkey during June 2017. The Company subscribed to 12,782 shares of Lira 100 each
- 59,99,998 Equity Shares of ₹ 10 each in D F Power Systems Private Limited (excluding beneficial interest relating to two shares held by the Directors of the Company)

MATERIAL ACCOUNTING POLICIES

1.1 Basis of preparation of standalone financial statements:

The standalone financial statements have been prepared on going concern basis and on accrual method of accounting in accordance with Indian Accounting Standards. Historical cost is used except for certain financial assets and liabilities that are measured at fair values at the end of each reporting period, as explained in accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. The standalone financial statements are presented in Indian Rupees (₹ /INR/') and all values are rounded to the nearest lakhs (₹ 00,000), except when otherwise indicated.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique.

1.2 Use of estimates and judgments:

The preparation of the standalone financial statements in conformity with recognition and measurement principles of Ind AS requires management of the Company to make estimates, judgments and assumptions. These estimates, judgments and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the standalone financial statements and reported amounts of revenues and expenses for the period presented. Application of accounting policies that require critical accounting estimates involving complex and subjective judgments and the use of assumptions in these standalone financial statements have been disclosed below. Accounting estimates could change from period to period and actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the standalone financial statements in the period in which changes are made and, if material, their

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

effects are disclosed in the notes to the standalone financial statements.

The areas involving significant estimates and assumptions are as follows:

- (i) Measurement of useful lives of Property, Plant and Equipment and Intangible assets [Note 1.4(a) & (b), Note 2 & Note 5]
- (ii) Estimation of Employee benefits (Defined benefits) [Note 1.12(c), 1.12(e) & Note 43]
- (iii) Impairment of assets [Note 1.10 and Note 1.17(viii)]
- (iv) Estimation of taxes on income [Note 1.15 & Note 18]
- (v) Provisions and contingencies [Note 1.22, Note 46 and Note 36]

1.3 Current versus non-current classification:

The Company presents assets and liabilities in the balance sheet based on current/ non-current classification.

- a An asset is treated as current when it is:
 - Expected to be realised or intended to be sold or consumed in normal operating cycle.
 - Held primarily for the purpose of trading
 - Expected to be realised within twelve months after the reporting period, or
 - Cash or Cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

- b A liability is treated as current when it is:
 - Expected to be settled in normal operating cycle
 - Held primarily for the purpose of trading
 - Due to be settled within twelve months after the reporting period, or
 - There is no right to defer the settlement of the liability for at least twelve months after the reporting period

All other liabilities are classified as non-current.

- c Deferred tax assets/ liabilities are classified as non-current assets/ liabilities.

- d Based on the nature of products/activities of the Company and the normal time between acquisition of the assets and the realisation in cash and cash equivalents, the Company has determined its operating cycle as 12 months for the purpose of classification of its assets and liabilities as current and non-current.

1.4 Critical Accounting Estimates:

a Property, Plant and Equipment:

Property, plant and equipment represent a significant proportion of the asset base of the Company. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The useful lives and residual values of company's assets are determined by management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology.

b Intangible Assets

The capitalisation of cost in intangible asset under development is based on judgement of the management that technological and economical feasibility is confirmed and that the assets will generate economic benefits in future. Based on the evaluations carried out, the Company's management has determined that there is no factor which indicate that these assets have suffered any impairment loss.

c Investment in subsidiaries

The Company reviews its carrying value of investments carried at cost annually, or more frequently when there is indication for impairment. If the recoverable amount is less than its carrying amount, the impairment loss is accounted for. The management of the Company is confident that the investment does not require further provision for impairment based on the future projections. On disposal of investments in Subsidiaries, the difference between net disposal proceeds and the carrying amounts are recognised in the statement of profit and loss.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

d Provision and Contingent liability

The Company reviews pending cases, claims by third party and other contingencies, if any on an on-going basis. For contingent losses that are considered probable, estimated loss is recorded as an accrual in standalone financial statements. A disclosure for contingent liabilities is made where there is a possible obligation or present obligation that may probably not require an outflow of resources. When there is a possible obligation or present obligation where the likelihood of outflow of resources is remote, no provision or disclosure is made in the standalone financial statements. Gain contingencies are not recognised until the contingencies are resolved and the amounts are received or recoverable.

e Provision for Credit loss

The Company reviews the position of trade receivable and ascertains a provision for life time credit loss after considering the industry and economic conditions in which customer operate, the profile of the customer and the past experience.

f Defined benefit plans

The cost of the defined benefit plan and other postemployment benefits and the present value of such obligations are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

1.5 Revenue Recognition:

The Company recognises revenue, when or as the entity satisfies a performance obligation by transferring a promised goods or services to a customer; i. e. when the customer is able to direct the use of the transferred goods or services and obtains substantially all of the remaining benefits, provided a contract with enforceable rights and obligations exists and amongst others collectability

of consideration is probable taking into account our customer's creditworthiness. With regards to the sale of products (a) where delivery is not considered to have occurred, and therefore no revenues are recognised, until the customer has taken title to the products and assumed the risks and rewards of ownership of the products specified in the purchase order or sales agreement. (b) Where dispatch has not been done but tests have been completed as per the terms agreed with the customer, revenue is the transaction price the Company expects to be entitled to. Consideration is adjusted for the time value of money if the period between the transfer of goods or services and the receipt of payment is substantial and there is a significant financing benefit either to the customer or Company. If a contract contains more than one distinct good or service, the transaction price is allocated to each performance obligation based on relative stand-alone selling prices. If stand-alone selling prices are not observable, the Company reasonably estimates those. Revenue is recognised for each performance obligation either at a point in time or over the time.

Revenues from services:

Revenues are recognised over time on a straight-line basis or, if the performance pattern is other than straight-line, as services are provided, i. e. the progress towards complete satisfaction using input method or output method.

Revenue recognised by the Company where services are rendered to the customer and for which invoice has not been raised (which we refer as unbilled revenue) are classified as contract assets. Amount collected from the customer and services have not yet been rendered are classified as contract liabilities.

Dividend Income:

Revenue is recognised when the Company's right to receive the payment is established.

Interest Income:

Interest income is recognised using effective interest rate method. The effective interest rate is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to the gross carrying amount of financial asset. Interest income from financial asset is recognised when it is probable that the economic benefits will flow to the Company and the amount of income can be measured reliably.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

1.6 Export Incentives:

Export incentives are recognised in the statement of profit and loss when the right to receive credit as per the terms of the scheme is established in respect of exports made and when there is no significant uncertainty regarding the ultimate collection of the relevant export proceeds.

1.7 Property, plant and equipment (PPE):

Initial Measurement:

Free hold land is carried at historical cost. All other items of Property, Plant and Equipment's are carried at cost of acquisition/construction net of recoverable taxes, less accumulated depreciation / amortisation and impairment losses, if any. The cost includes directly attributable expenses relating to the acquisition and bringing the assets to the location and condition of use net of any sale proceeds and finance cost till assets are put to use, are capitalised. Stores, spares and parts which can be used only in connection with an item of plant or equipment and whose useful life is expected to be irregular are capitalised and depreciated over the useful life of the principal item of the relevant assets.

Subsequent expenditure relating to property, plant and equipment is capitalised only when it is probable that future economic benefits associated with these will flow to the Company and the cost of the item can be measured reliably. Repairs and maintenance costs are recognised in the statement of profit and loss when incurred.

Interest cost incurred for constructed assets is capitalised up to the date the asset is ready for its intended use, based on borrowings incurred specifically for financing the asset or the weighted average rate of all other borrowings, if no specific borrowings have been incurred for the asset.

Property, Plant and Equipment manufactured internally are capitalised at Factory Cost incurred up to the date the asset is ready for its intended use

Capital Work in Progress:

Property, Plant and Equipment which are not yet ready for their intended use are carried at cost, comprising direct cost and related incidental expenses. Advances paid towards acquisition of PPE outstanding at each balance sheet date are classified as Capital advances under other non-current assets.

Depreciation and amortisation:

- Depreciation on Property, Plant and Equipments is provided using straight line method (SLM) with reference to the estimated useful life of the Property, Plant and Equipment less its residual value as prescribed under Schedule II of the Companies Act 2013, or useful life of the asset as estimated by the management, whichever is lower. Property, Plant and Equipment costing below ₹ 5,000/- are depreciated fully. Depreciation is charged for complete quarter on addition / deletion.
- Freehold land is not depreciated.
- Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

The estimated useful lives are as mentioned below:

Type of Assets	Useful Life
Factory Building	30 Years
Non-factory Buildings	60 Years
Plant & Machinery - Double shift basis	10 Years
Office Equipments	5 Years
Furniture and Fixtures	10 Years
Computers	3 Years
Computer Server	6 Years
Communication Equipment	5 Years
Motor Vehicles	8 Years

Derecognition:

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of PPE is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in statement of profit or loss.

1.8 Intangible Assets:

Intangible assets with finite lives that are acquired are carried at cost or fair value as of the date of acquisition, as applicable, less accumulated amortisation and accumulated impairment losses, if any. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

Intangible assets consist of technical knowhow / license fees / softwares which are amortised over a period of 5 years on a straight-line basis being the estimated useful life.

1.9 Research & Development

Expenditure on research activity undertaken is charged to the Statement of Profit & Loss as and when incurred during the year to their natural head of accounts. The expenditure incurred includes cost of materials, salaries & wage and other revenue expenditure.

Development costs are capitalised only after the technical and commercial feasibility of the asset for sale or use has been established.

Capital Expenditure is categorised and disclosed separately as Research & Development Property Plant and Equipment and depreciation is charged as disclosed in Sl. No.1.7 above.

1.10 Impairment of Assets:

a. Financial assets (other than at fair value):

The Company assesses at the end of each reporting period, whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to the 12 month expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

b. Non-Financial Assets:

Property, plant and equipments and intangible assets

Property, plant and equipment and intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of

the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

1.11 Inventories:

Inventories are valued at lower of cost and net realisable value. Raw materials and bought out items are valued on first in first out basis and includes material cost, carriage inward, insurance and purchase related expenses. Cost in respect of work in progress and finished goods include appropriate portion of overheads. Net realisable value represents the estimated selling price for inventory less all estimated cost of completion and cost necessary to make the sale.

1.12 Employee Benefits:

Employee benefits include provident fund, pension fund, employee state insurance scheme, compensated absences and gratuity.

a. Short-term employee benefits:

The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by the employees are recognised during the year when the employees render the service. These benefits include performance incentive and compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services.

b. Long-term employee benefits -

Long term employee benefits include compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as a liability at the present value of the defined benefit obligation as at balance sheet date less the fair value of the plan assets, if any out of which the obligations are expected to be settled.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

c. Defined Benefit Plans:

For defined benefit plans in the form of Gratuity (funded), the cost of providing benefits is determined using the Projected Unit Credit method, with actuarial valuation being carried out at the end of each reporting period, taking effect of actuarial gains and losses which is recognised in Other Comprehensive Income. The amount is funded to gratuity fund administered by the trustees and managed by Life Insurance Corporation of India.

Re-measurement of net defined benefit liability/ asset pertaining to gratuity comprise of actuarial gains/ losses (i.e. changes in the present value resulting from experience adjustments and effects of changes in actuarial assumptions) and is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Re-measurement recognised in other comprehensive income is reflected immediately in retained earnings and is not reclassified to statement of profit or loss.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets. This cost is included in employee benefit expenses in the statement of profit and loss.

Past service cost is recognised immediately in the statement of profit and loss. The benefits obligation in respect of gratuity recognised in the Balance Sheet represents the present value of the defined benefit obligation as adjusted for present value plan assets including refunds and reductions if any available as against future contributions to the scheme.

d. Defined Contribution Plans:

The Company has contributed to provident fund and employee state insurance scheme which is defined contribution plan. The contribution paid/ payable under the scheme is charged to Statement of Profit and loss during the year in which an employee renders the related service. Company has no further obligation beyond making the payment.

e. Termination benefits are recognised as an expense as and when incurred.

1.13 Share based payments

The Company recognises compensation expense relating to share-based payments in net profit using fair-value in accordance with IND AS 102, Share Based Payment. The estimated fair value of awards is charged to income on straight line basis over the requisite service period for each separately vesting portion of the award as if the award was in substance, multiple awards with a corresponding credit to Employee Stock Option / Rights outstanding Reserve.

The Company has created an Employee Stock Options Trust (ESOP Trust) for providing share-based payment to its employees. The Company uses ESOP as a vehicle for distributing shares to employees under the employee remuneration schemes. The ESOP Trust buys shares of the Company from the market, for giving shares to employees in addition to allotment of shares by the Company as per the requirements of the scheme. The Company treats ESOP as its extension and shares held by ESOP are treated as treasury shares. Treasury shares are recognised at cost of acquisition and included under other equity. No gain or loss is recognised in profit or loss on the purchase or issue of the Company's own equity shares. Share options exercised during the reporting period are deducted from treasury shares.

1.14 Leases:

Company as a Lessee:

Contracts with third party, which give the Company the right of use in respect of an Asset, are accounted in line with the provisions of Ind AS 116 – Leases, if the recognition criteria as specified in the Accounting standard are met.

Lease payments associated with Short terms leases and Leases in respect of Low value assets are charged off as expenses on straight line basis over lease term or other systematic basis, as applicable.

At commencement date, the value of "right of use" is capitalised at the present value of outstanding lease payments plus any initial direct cost and estimated cost, if any, of dismantling and removing the underlying asset and presented as part of Plant, property and equipment.

Liability for lease is created for an amount equivalent to the present value of outstanding lease payments and presented as Borrowing. Subsequent measurement, if any, is made using Cost model.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Each lease payment is allocated between the liability created and finance cost. The finance cost is charged to the Statement of Profit and loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. Right-of-use assets are subject to impairment test.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be determined, or the Company's incremental borrowing rate. The Company applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Lease modifications, if any are accounted as a separate lease if the recognition criteria specified in the standard are met.

Company as a lessor:

Leases are classified as operating lease or a finance lease based on the recognition criteria specified in Ind AS 116 – Leases

a) Finance Lease:

At commencement date, amount equivalent to the "net investment in the lease" is presented as a Receivable. The implicit interest rate is used to measure the value of the "net investment in Lease".

Each lease payment is allocated between the Receivable created and finance income. The finance income is recognised in the Statement of Profit and loss over the lease period so as to reflect a constant periodic rate of return on the net investment in Lease.

The asset is tested for de-recognition and impairment requirements as per Ind AS 109 – Financial Instruments.

Lease modifications, if any are accounted as a separate lease if the recognition criteria specified in the standard are met.

b) Operating Lease:

The Company recognises lease payments from operating leases as income on either a straight-line basis or another systematic basis, if required.

Lease modifications, if any are accounted as a separate lease if the recognition criteria specified in the standard are met.

1.15 Income Taxes:

The Company's major tax jurisdictions are in India. Significant judgements are involved in determining the provision for income tax credits, including the amount to be paid or refunded.

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred tax are recognised in statement of profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

a. Current Income Taxes:

The current income tax expense includes income taxes payable by the Company and its overseas branches. Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision arising in the same tax jurisdiction and where the relevant tax paying units intends to settle the asset and liability on a net basis or where it has legally enforceable right to set off the recognised amount.

b. Deferred Income Taxes:

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount.

Deferred income tax asset is recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and unused tax losses, if any can be utilised.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

1.16 Foreign Currency:

a. Functional and presentation currency:

The Standalone financial statement is presented in Indian Rupee (Rs/₹), which is also the Company's functional currency. Transaction in foreign currencies are initially recorded by the Company at their respective functional currency spot rates at the date, the transaction first qualifies for recognition. However, for practical reasons, the Company uses an average rate, if the average approximates the actual rate at the date of the transaction.

b. Initial Recognition:

Foreign currency transactions are recorded in the reporting currency, by applying foreign currency exchange rates between the reporting currency and the foreign currency prevailing at the dates of the transactions.

c. Measurement of foreign currency monetary items and Non-monetary items at the balance sheet date

Monetary items outstanding at the balance sheet date are restated at the rate as on reporting date. Non – monetary items which are carried in terms of historical cost denominated in a foreign currency are not restated and hence is reported using the exchange rate prevailing at the date of transactions.

d. Treatment of exchange differences on monetary items

Exchange differences arising on settlement / restatement of foreign currency assets and

liabilities of the Company are recognised as income or expense in the statement of profit and loss in the period in which they arise.

- e. In respect of overseas branch, financial statements are translated as if the transactions are those of the Company itself i.e. Indian Rupees as the functional currency since the overseas branch is primarily involved in selling/marketing goods manufactured by the Company in India. The net impact of the foreign exchange difference of foreign operations is recognised in Other Comprehensive Income.

1.17 Financial Instruments:

A financial instrument is any contract that gives rise to a financial asset of any entity and a financial liability or equity instrument of another entity. Financial assets and liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. Financial assets and liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial asset or financial liability.

i. Cash and Cash equivalents:

The Company considers all highly liquid financial instruments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value and having original maturities of three months or less from the date of purchase, to be cash equivalents. Cash and cash equivalents consist of balances with banks which are unrestricted for withdrawal and usage.

ii. Financial assets at amortised cost:

Financial assets are subsequently measured at amortised cost if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

iii. Financial assets at fair value through profit or loss:

Financial assets are measured at fair value through profit or loss unless it is measured at amortised cost or at fair value through other comprehensive income on initial recognition. The transaction costs directly attributable to the acquisition of financial assets and liabilities at fair value through profit or loss are immediately recognised in statement of profit and loss.

iv. Financial liabilities:

Financial liabilities are subsequently carried at amortised cost using the effective interest method. For trade and other payables maturing within one year from the balance sheet date, the carrying amounts approximate fair value due to the short maturity of these instruments. Financial liabilities at Fair value through profit and Loss are stated at fair value, with any gains or losses arising on re-measurement in Profit and loss statement.

v. Equity Instrument:

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by a company are recognised at the proceeds received, net of issue costs.

vi. De-recognition of financial instruments:

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire or it transfers the financial asset and the transfer qualifies for de-recognition under Ind AS 109. A financial liability (or a part of a financial liability) is derecognised when the obligation specified in the contract is discharged or cancelled or expires.

vii. Impairment of financial assets:

The Company assesses on a forward looking basis the expected credit losses associated with its assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk. In respect of trade

receivables, the Company applies simplified approach permitted by Ind AS 109 Financial Instruments, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

viii. Investments in subsidiary:

Investments in subsidiary are carried at cost less accumulated impairment, if any.

ix. Fair value of financial instruments:

In determining the fair value of its financial instruments, the Company uses following hierarchy and assumptions that are based on market conditions and risks existing at each reporting date.

Fair value hierarchy:

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the standalone financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period

1.18 Accounting for Derivatives:

Derivatives are initially recognised at fair value and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gains/losses is recognised in the statement of profit and loss of that period.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

1.19 Borrowing Cost:

General and specific borrowing cost that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalised during the period that is required to complete and prepare the asset for its intended use. Qualifying assets are assets that necessarily take a substantial period of time to get ready for their intended use.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are charged to statement of Profit and Loss in the period in which they are incurred.

1.20 Government Grants:

Government grants are not recognised until there is reasonable assurance that the Company will comply with the conditions attached to them and that the grants will be received. Government grants are recognised in profit or loss on a systematic basis over the periods in which the Company recognises as expenses the related costs for which the grants are intended to compensate.

1.21 Cash Flow statement

Cash flows are reported using Indirect method, whereby profit for the period is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, financing and investing activity of the Company are segregated.

1.22 Provision and Contingencies:

The Company reviews pending cases, claims by third party and other contingencies, if any on an on-going basis. For contingent losses that are considered probable, estimated loss is recorded as an accrual in financial statements. A disclosure for contingent liabilities is made where there is a possible obligation or present obligation that may probably not require an outflow of resources. When there is a possible obligation or present obligation where the likelihood of outflow of resources is remote, no provision or disclosure is made in the standalone financial statements. Gain contingencies are not recognised until the contingencies are resolved and the amounts are received or recoverable.

Provision for Warranty

Provision for warranty related cost are recognised when the product is sold. Initial recognition is based on historical experience and future estimates of claims by the management. The estimate of such warranty related cost is revised annually.

Provision for Credit Loss:

The Company reviews the position of trade receivable and ascertains a provision for life time credit loss after considering the industry and economic conditions in which customer operate, the profile of the customer and the past experience.

1.23 Segment Reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.

1.24 Earnings per share:

Basic earnings/ (loss) per share are computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares after adjustments for treasury shares, outstanding during the year.

Diluted earnings per share is computed by dividing the profit after tax as adjusted for dividend, interest and other changes or income relating to the dilutive potential equity shares, by the weighted average number of equity shares considered for deriving basic earnings per share and weighted average number of shares which could have been issued on the conversion of all dilutive potential equity shares.

The number of equity shares is adjusted retrospectively for all periods presented for any share splits and bonus shares issued.

1.25 Dividend Distribution:

Dividend paid (including income tax thereon) is recognised in the period in which the interim dividend is approved by the Board of Directors, or in the respect of the final dividend when approved by shareholders.

1.26 Onerous contracts

Present obligations arising under onerous contracts are recognised and measured as a provision. An onerous contract is considered to exist where the Company has a contract under which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS

FOR THE YEAR ENDED MARCH 31, 2026

Amounts in Indian Rupees in lakhs, except as otherwise stated

2 PROPERTY, PLANT AND EQUIPMENT

Particulars	Gross Block				Depreciation				Written Down Value
	As at April 01, 2025	Additions	Disposal	As at March 31, 2026	As at April 01, 2025	For the year	Disposal	As at March 31, 2026	As at March 31, 2026
Free hold land	1,627.30	-	-	1,627.30	-	-	-	-	1,627.30
Buildings	11,783.90	4,684.95	-	16,468.85	4,672.77	374.58	-	5,047.35	11,421.50
Plant and machinery	28,468.63	4,998.24	43.40	33,423.47	20,740.91	1,092.07	37.75	21,795.23	11,628.24
Office equipments	434.85	64.12	-	498.97	324.59	33.82	-	358.41	140.56
Furniture and fixtures	438.00	49.59	-	487.59	376.07	18.03	-	394.10	93.49
Computers (including computer servers & networks)	1,384.18	379.81	35.82	1,728.17	959.23	237.71	34.03	1,162.91	565.26
Communication equipments	17.05	-	-	17.05	16.31	0.03	-	16.34	0.71
Motor vehicles	741.40	126.13	46.19	821.34	312.14	87.61	25.62	374.13	447.21
TOTAL - A	44,895.31	10,302.84	125.41	55,072.74	27,402.02	1,843.85	97.40	29,148.47	25,924.27

PROPERTY, PLANT AND EQUIPMENT - RESEARCH & DEVELOPMENT

Particulars	Gross Block				Depreciation				Written Down Value
	As at April 01, 2025	Additions	Disposal	As at March 31, 2026	As at April 01, 2025	For the year	Disposal	As at March 31, 2026	As at March 31, 2026
Plant and machinery	1,600.92	-	-	1,600.92	1,520.84	-	-	1,520.84	80.08
TOTAL - B	1,600.92	-	-	1,600.92	1,520.84	-	-	1,520.84	80.08
TOTAL - C=A+B	46,496.23	10,302.84	125.41	56,673.66	28,922.86	1,843.85	97.40	30,669.31	26,004.35



NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Gross Block				Depreciation				Written Down Value
	As at April 01, 2024	Additions	Disposal	As at March 31, 2025	As at April 01, 2024	For the year	Disposal	As at March 31, 2025	As at March 31, 2025
Free Hold Land	1,627.30	-	-	1,627.30	-	-	-	-	1,627.30
Buildings	11,352.73	431.17	-	11,783.90	4,339.61	333.16	-	4,672.77	7,111.13
Plant and machinery	25,713.59	2,755.04	-	28,468.63	19,860.42	880.49	-	20,740.91	7,727.72
Office equipments	424.88	32.77	22.80	434.85	313.00	33.25	21.66	324.59	110.26
Furniture and fixtures	405.07	32.93	-	438.00	366.00	10.07	-	376.07	61.93
Computers (including computer servers & networks)	1,107.26	287.63	10.71	1,384.18	786.18	182.51	9.46	959.23	424.95
Communication equipments	17.05	-	-	17.05	16.28	0.03	-	16.31	0.74
Motor vehicles	751.55	73.83	83.98	741.40	300.95	78.25	67.06	312.14	429.26
TOTAL - A	41,399.43	3,613.37	117.49	44,895.31	25,982.44	1,517.76	98.18	27,402.02	17,493.29

PROPERTY, PLANT AND EQUIPMENT - RESEARCH & DEVELOPMENT

Particulars	Gross Block				Depreciation				Written Down Value
	As at April 01, 2024	Additions	Disposal	As at March 31, 2025	As at April 01, 2024	For the year	Disposal	As at March 31, 2025	As at March 31, 2025
Plant and machinery	1,600.92	-	-	1,600.92	1,520.84	-	-	1,520.84	80.08
TOTAL - B	1,600.92	-	-	1,600.92	1,520.84	-	-	1,520.84	80.08
TOTAL - C=A+B	43,000.35	3,613.37	117.49	46,496.23	27,503.28	1,517.76	98.18	28,922.86	17,573.37

Note:

- A. The borrowings and non fund based facilities from Bank of Baroda, Kotak Mahindra Bank & HDFC Bank are secured by first pari-passu charge by way of:
1. Equitable mortgage of unit-I of factory comprising of factory land and buildings situated at plot nos.27,28,29 & 30A area, 25304 sq. mts Phase-I KIADB Dabaspur Industrial Area, Yedehalli Village, Bengaluru Rural District, Bengaluru.
 2. Equitable mortgage of unit-II of factory comprising of factory land and buildings situated at Sy.No.59/2, area 4 acres 33 gunta (19526 Sq. mts including 7 gunta kharaba land) yedahalli village Dabaspur, Bangalore.
 3. Equitable mortgage of unit-II of factory comprises of factory land and buildings situated Sy.No. 55 (Part1), 56/1, 56/2, 57 & 58 Yedehalli Village, Dabaspur Bangalore Rural District, Bangalore measuring 12.55 acres.
 4. Hypothecation charge on entire plant and machinery of the Company Present and Future.
- B. The Company does not hold any Benami Property which is either recorded or not recorded in the books of account and there are no proceedings initiated or pending against the Company for holding any Benami property under the Benami Transactions (Prohibition) Act,1988 and rules made thereunder. Accordingly, no disclosure made in this regard.
- C. The Company has not revalued its Property, plant and equipment during the year.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

3 CAPITAL WORK-IN-PROGRESS

Particulars	As at March 31, 2026	As at March 31, 2025
Plant and Machinery	1,732.46	358.15
Factory Building	-	1,300.79
	1,732.46	1,658.94

Capital work-in-progress ageing schedule

Particulars	Less than 1 year	1-2 Years	2-3 Years	More than 3 years	Total
Projects in progress:					
As at March 31, 2026					
Plant and Machinery	1,732.46	-	-	-	1,732.46
	1,732.46	-	-	-	1,732.46
As at March 31, 2025					
Plant and Machinery	339.27	18.88	-	-	358.15
Factory Building	1,300.79	-	-	-	1,300.79
	1,640.06	18.88	-	-	1,658.94

Movement in Capital work-in-progress

Particulars	As at March 31, 2026	As at March 31, 2025
Opening Balance	1,658.94	55.90
Additions during the year	1,732.46	1,639.65
Capitalisation during the year	1,658.94	36.61
Closing Balance	1,732.46	1,658.94

There is no amount of expenditure recognised in the carrying amount of an item of property, plant and equipment in the course of its construction.

4 RIGHT OF USE ASSETS

Lease-hold land

Particulars	As at March 31, 2026	As at March 31, 2025
Balance at the beginning of the year	1,720.07	1,720.07
Add: Additions during the year (Refer note below)	214.85	-
Balance at the end of the year	1,934.92	1,720.07

The following is the break-up of current and non-current lease liabilities as at

Particulars	As at March 31, 2026	As at March 31, 2025
Current lease liabilities	0.37	0.22
Non-current lease liabilities	0.75	0.82
	1.12	1.04

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

The following is the movement in lease liabilities during the

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	1.04	0.95
Add: Additions during the year	0.08	0.09
Balance at the end of the year	1.12	1.04

The table below provides details regarding the contractual maturities of lease liabilities :

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Up to one year	0.37	0.22
From one to 5 years	0.37	0.34
More than 5 Years	0.38	0.48

These liabilities were measured at the present value of the remaining lease payments, discounted using the lessee's incremental borrowing rate.

Others

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Interest on lease liabilities*	-	-
Expenses relating to short-term leases	49.73	32.43
Total cash outflows for leases	49.73	32.43

* Interest on lease liabilities for the year is less than ₹ 10,000. Hence reported as Nil.

Note:

The Karnataka Industrial Areas Development Board (KIADB) has on terms & conditions stated in its letter dated November 27, 2023 allotted 15.00 acres of land at Japanese Industrial Township, Vasanthanarasapura 3rd Phase Industrial Area, Tumkur, Karnataka to the Company for setting up a facility to manufacture "Electrical Generators, Motors, their sub-assemblies and Parts". The Company has received possession certificate for the said land on January 30, 2024 and entered into "Lease cum Sale Agreement" on March 11, 2024 for a period of 10 years. The lease cum sale agreement has been since registered on May 17, 2024. During the year, the Company has capitalised an amount of ₹ 214.85 lakhs under leasehold land towards differential land allotment charges, including stamp duty and registration charges. The Company has the right to obtain ownership at the end of the lease period subject to fulfilment of prescribed conditions.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

5 OTHER INTANGIBLE ASSETS

Particulars	As at March 31, 2026	As at March 31, 2025
Softwares:		
Gross block (at deemed cost) as at the beginning of the year	301.32	301.32
Additions during the year	16.00	-
Gross block at the end of the year	317.32	301.32
Accumulated amortisation at the beginning of the year	179.86	123.25
Amortisation for the year	48.06	56.61
Accumulated amortisation at the end of the year	227.92	179.86
NET CARRYING VALUE -A	89.40	121.46
Technical Knowhow:		
Gross block (at deemed cost) as at the beginning of the year	2,612.50	2,234.46
Additions during the year	417.76	378.03
Gross block at the end of the year	3,030.26	2,612.49
Accumulated amortisation at the beginning of the year	1,792.60	1,481.91
Amortisation for the year	321.67	310.69
Accumulated amortisation at the end of the year	2,114.27	1,792.60
NET CARRYING VALUE - B	915.99	819.89
NET CARRYING VALUE - A+B	1,005.39	941.35



NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

FINANCIAL ASSETS - NON CURRENT

6 INVESTMENTS

Particulars	Currency	Per Security	Number of Securities		₹	
			As at March 31, 2026	As at March 31, 2025	As at March 31, 2026	As at March 31, 2025
A Investments carried at amortised cost						
Investments in equity instruments of subsidiaries - unquoted *						
D F Power Systems Private Limited ** (Refer Note. No.51)	INR	10	59,99,998	59,99,998	2,040.75	2,040.75
TD Power Systems USA Inc	USD	10	80,100	80,100	481.78	481.78
TD Power Systems Europe GMBH	Euro	1	5,50,000	5,50,000	414.12	414.12
TD Power Systems Jenerator Sanayi Anonim Sirketi	Lira	100	12,782	12,782	159.35	159.35
Less: Provision for diminution in the value of D F Power Systems Private Limited (Refer note No 51)					(2,040.75)	(1,740.75)
Total investment in equity of subsidiaries - A					1,055.25	1,355.25
B Investment carried at fair value through Profit and Loss (FVTPL)						
Investments in Equity Shares - (fully paid up) (unquoted)						
The Shamrao Vithal Co-operative Bank limited	INR	25	2,000	2,000	0.50	0.50
Grand Total (A+B+C)					1,055.75	1,355.75
Additional Information:						
Aggregate amount of unquoted shares					3,096.50	3,096.50
Amount of impairment in the value of investments in unquoted shares (Refer Note 51)					(2,040.75)	(1,740.75)
Aggregate carrying value of unquoted shares (net of provision for impairment)					1,055.75	1,355.75

* Non-current investments are stated at cost. Provision for diminution if any, in the value of investments is made, to recognise a decline, other than temporary decline.

** Excluding two shares held by Company through the directors of the Company.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

7 OTHER FINANCIAL ASSETS

Particulars	As at March 31, 2026	As at March 31, 2025
(Unsecured , considered good)		
Security deposits - electricity deposit	221.45	154.64
Security deposit for others	3.78	2.08
	225.23	156.72

8 OTHER NON CURRENT ASSETS

Particulars	As at March 31, 2026	As at March 31, 2025
(Unsecured, Considered good)		
Capital advances (net of provision)	347.51	1,410.94
Advance tax (net of provision)	522.28	585.15
Balance with Government authorities	6.11	361.14
Prepaid expenses	111.89	0.15
Gratuity- Excess of fair value of plan assets over defined benefit obligation	483.12	246.32
	1,470.91	2,603.70

CURRENT ASSETS

9 INVENTORIES

Particulars	As at March 31, 2026	As at March 31, 2025
(Valued at lower of cost or net realisable value)		
Raw materials	23,617.47	17,571.08
Work in progress	16,067.23	11,233.14
Work in progress - Spares	3,712.01	3,087.97
Finished goods in Transit	4,461.43	-
Stock in trade	274.93	724.38
Goods in transit:		
Raw materials	1,548.14	528.95
(Refer accounting policy No. 1.11 for valuation of inventories)	49,681.21	33,145.52

Note: There are no allowances towards slow and non-moving items during the year.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

CURRENT FINANCIAL ASSETS

10 TRADE RECEIVABLES (CARRIED AT AMORTISED COST)

Particulars	As at March 31, 2026	As at March 31, 2025
Trade receivable, considered good and secured under letter of credit	496.92	2,569.87
Trade receivable, Unsecured and considered good	70,368.49	45,857.71
Trade receivable, Unsecured and credit impaired	797.61	772.61
Less: Expected credit loss allowance Refer Note 40(C)	(797.61)	(772.61)
Trade receivables	70,865.41	48,427.58

Notes:

(a) As at March 31, 2026

Trade Receivables ageing schedule	Not Due	Less than 6 months	6 months - 1 years	1-2 years	2-3 years	More than 3 years	Total
Undisputed Trade receivables :							
- Considered good	60,970.74	9,082.67	412.21	123.73	204.19	71.87	70,865.41
Undisputed Trade Receivables :							
- Credit impaired	-	-	-	-	-	797.61	797.61
Less: Expected credit loss allowance (on receivables considered doubtful)	-	(5.23)	(6.40)	(2.48)	(40.73)	(742.77)	(797.61)
	60,970.74	9,077.44	405.81	121.25	163.46	126.71	70,865.41

As at March 31, 2025

Trade Receivables ageing schedule	Not Due	Less than 6 months	6 months - 1 years	1-2 years	2-3 years	More than 3 years	Total
Undisputed Trade receivables							
- Considered good	41,014.38	6,093.38	967.60	247.53	70.73	33.96	48,427.58
Undisputed Trade Receivables							
- Credit impaired	-	-	-	-	-	772.61	772.61
Less: Expected credit loss allowance (on receivables considered doubtful)	-	(2.09)	(12.64)	(15.81)	(60.54)	(681.53)	(772.61)
	41,014.38	6,091.29	954.96	231.72	10.19	125.04	48,427.58

Particulars	As at March 31, 2026	As at March 31, 2025
(b) The above balances includes dues from related parties (Refer Note 44).	6,070.37	11,621.00
(c) No trade or other receivable are due from directors or other officers of the Company either severally or jointly with any other person. Further, there are no trade or other receivables which are due from firms or private companies in which any director is a partner, a director or a member except as disclosed in note 44 to the financial statement.		
(d) Trade receivable are non interest bearing and are generally on terms of 0 to 180 days. [Refer note 40C]		
(e) There are no trade receivables under dispute or which have significant increase in credit risk or credit impaired as per the information available with the Company except as disclosed above.		

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

11 CASH AND CASH EQUIVALENTS

Particulars	As at March 31, 2026	As at March 31, 2025
Balances with banks:		
In current accounts	881.76	754.07
In EEFC accounts	728.44	790.81
In bank deposit accounts with original maturity less than 3 months	-	900.00
Cash on hand	7.62	2.12
	1,617.82	2,447.00

12 BANK BALANCES OTHER THAN CASH AND CASH EQUIVALENTS

Particulars	As at March 31, 2026	As at March 31, 2025
Balance in unclaimed dividend account	4.41	2.98
Balance with bank in respect of TDPS ESOP Trust	14.95	15.23
Bank deposits with less than 12 months maturity	6,455.34	6,861.32
Deposits (Under lien) with bank as Margin money towards bank guarantee	5,475.41	5,433.71
	11,950.11	12,313.24

13 OTHER FINANCIAL ASSETS: (UNSECURED , CONSIDERED GOOD)

Particulars	As at March 31, 2026	As at March 31, 2025
Earnest money deposit	29.41	29.41
Security deposit for rented premises	25.84	22.09
Balance with Government authorities - GST Refund receivable	3,608.52	2,063.08
Interest accrued on term deposits	336.77	390.19
Accrued Export incentive	368.85	496.21
Unbilled revenue	18.65	44.27
Mark to market gain on forward contracts (Refer Note No.40B)	-	181.98
Employee advance	56.43	102.76
	4,444.47	3,329.99

14 OTHER CURRENT ASSETS (UNSECURED , CONSIDERED GOOD)

Particulars	As at March 31, 2026	As at March 31, 2025
Advance paid to suppliers (other than capital advances)	2,484.49	2,088.38
Balance with Government authorities - Input Tax credit	2,384.66	2,992.15
Prepaid expenses	316.65	461.98
Expenditure tax - (Relating to foreign operations)	8.49	27.33
	5,194.29	5,569.84

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

15 EQUITY SHARE CAPITAL

Particulars	As at March 31, 2026	As at March 31, 2025
Authorised		
Equity shares of ₹ 2/- each		
Number of equity shares - Absolute numbers	17,50,00,000	17,50,00,000
Amount of Equity Share Capital (in ₹)	3,500.00	3,500.00
Issued, subscribed and fully paid up		
Equity shares of ₹ 2/- each		
Number of equity shares - Absolute numbers	15,62,14,831	15,61,83,612
Amount of Equity Share Capital (in ₹)	3,124.30	3,123.67
Reconciliation of the number of equity shares outstanding and the amount of equity share capital at the beginning and at the end of the year		
Number of equity shares - Absolute numbers		
Shares outstanding at the beginning of the year	15,61,83,612	15,61,70,101
Shares issued during the year	31,219	13,511
Shares outstanding at the end of the year	15,62,14,831	15,61,83,612
Amount of equity share capital:		
Share capital outstanding at the beginning of the year	3,123.67	3,123.40
Shares issued during the year	0.63	0.27
Share capital outstanding at the end of the year	3,124.30	3,123.67

Other Information:

- I The Company has only one class of equity shares having par value of ₹ 10/- each (sub-divided into ₹ 2/- each). Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividend in Indian rupees. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.
- II In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all liabilities. The distribution will be in proportion to the number of equity shares held by the shareholders.
- III For the period of five years immediately preceding the date as at which the Balance Sheet is prepared:
 - a. No shares allotted pursuant to a contract without consideration being received in cash.
 - b. No shares allotted as fully paid up by way of bonus shares
 - c. No shares were bought back
- IV The particulars of employee stock option is given in note no.50. There were no other shares reserved for issue under options and contracts/commitments for the sale of shares/disinvestment.
- V There were no calls unpaid or forfeited shares.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

VI Shares held by promoters & promoter group - Refer Note 15(I) above

Current Year

Promoter Name	As at March 31, 2026		As at March 31, 2025		% Increase (Decrease) during the year
	No. of shares	%	No. of shares	%	
Saphire Finman Services LLP (formerly known as Saphire Finman Services Private Limited)	2,06,58,225	13.22%	2,39,58,225	15.34%	(13.77%)
Nikhil Kumar	1,29,65,320	8.30%	1,74,65,320	11.18%	(25.77%)
Hitoshi Matsuo	79,40,486	5.08%	1,00,40,486	6.43%	(20.92%)
Promoter Group:					
Aarya Sankaran Kumar	2,94,630	0.19%	2,94,630	0.19%	0.00%
Sagir Mohib Khericha	1,20,000	0.08%	1,20,000	0.08%	0.00%

Previous Year

Promoter Name	As at March 31, 2025		As at 31.03.2024		% Increase (Decrease) during the year
	No. of shares	%	No. of shares	%	
Saphire Finman Services LLP (formerly known as Saphire Finman Services Private Limited)	2,39,58,225	15.34%	2,39,58,225	15.41%	0.00%
Nikhil Kumar	1,74,65,320	11.18%	1,91,93,320	12.34%	(9.00%)
Hitoshi Matsuo	1,00,40,486	6.43%	1,00,40,486	6.46%	0.00%
Promoter Group:					
Aarya Sankaran Kumar	2,94,630	0.19%	2,45,530	0.16%	20.00%
Sagir Mohib Khericha	1,20,000	0.08%	80,000	0.05%	50.00%

VII Particulars of equity share holders holding more than 5% of the total paid up equity share capital:

Promoter Name	As at March 31, 2026		As at March 31, 2025	
	%	No. of shares	%	No. of shares
a. Saphire Finman Services LLP (formerly known as Saphire Finman Services Private Limited)	13.22%	2,06,58,225	15.34%	2,39,58,225
b. Nikhil Kumar	8.30%	1,29,65,320	11.18%	1,74,65,320
c. Nippon Life India Trustee Limited	6.24%	97,53,276	7.98%	1,24,58,312
d. Hitoshi Matsuo	5.08%	79,40,486	6.43%	1,00,40,486

Note: The above disclosed information is as per the records/registers including Members register maintained by the Registrar of the Company as at the year end.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

16 OTHER EQUITY

Particulars	As at March 31, 2026	As at March 31, 2025
Reserves & Surplus:		
16.1 Securities Premium		
As at the beginning of the year	19,321.27	19,319.00
Add: Transfer from Share option outstanding account	62.30	2.27
As at the end of the year - A	19,383.57	19,321.27
16.2 Capital Redemption Reserve		
As at the beginning of the year	230.42	230.42
Add: Transfer from Securities Premium	-	-
As at the end of the year - B	230.42	230.42
16.3 General Reserve		
As at the beginning of the year	2,955.06	2,955.06
Add: Transfer from Share option outstanding account	-	-
As at the end of the year - C	2,955.06	2,955.06
16.4 Retained earnings		
As at the beginning of the year	57,888.91	44,480.47
Less: Dividend (₹ 0.65 per share (Previous year: ₹ 0.60 per share)) (Refer Note No.47(b))	(1,015.20)	(937.10)
Less: Interim Dividend - (₹ 1.00 per share (Previous Year: ₹ 0.60) (Refer Note No.47(a))	(1,561.92)	(937.10)
Add: Profit for the year as per statement of profit and loss	21,644.35	15,371.00
Add/(less): Remeasurement of defined benefit plan for the year (net of tax)	56.20	(88.36)
As at the end of the year - D	77,012.34	57,888.91
16.5 Stock Options Outstanding Account		
As at the beginning of the year	92.48	39.55
Add: Addition during the year	118.20	55.20
Less: Amount transferred to securities premium on exercise of ESAR by the employees of the Company	(62.30)	(2.27)
As at the end of the year - E	148.38	92.48

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	As at March 31, 2026	As at March 31, 2025
Other Comprehensive Income:		
16.6 Exchange difference on translation of foreign operations (Refer Note No.1.16)		
As at the beginning of the year	(23.25)	(36.26)
Transferred from statement of profit and loss	51.25	13.01
As at the end of the year - F	28.00	(23.25)
Total (A+B+C+D+E+F)	99,757.77	80,464.89
16.7 The Remeasurements gains in respect of employee benefits included under retained earnings are as under:		
As at the beginning of the year	(287.47)	(199.11)
Remeasurements gain/(loss) on defined benefit plans	75.10	(118.08)
Income tax effect on above	(18.90)	29.72
Balance at the end of the year	(231.27)	(287.47)

Note:

Nature and purpose of other reserves:

- Securities premium is used to record the premium on issue of shares. This is utilised in accordance with the provisions of the Companies Act, 2013.
- General Reserve: General reserve is appropriation of the net profit in respect of reserves created pursuant to the provisions of the Companies Act, 1956 with respect to declaration of dividend. Such mandatory transfer to general reserve is not prescribed under the Companies Act, 2013.
- Capital Redemption Reserve: The capital redemption reserve represents the face value (₹ 10) of the shares bought back. This is created by transfer from securities premium as per requirement of Sec.69 of the Companies Act, 2013.
- Retained Earning: Retained earnings are the profits that the Company has earned till date, less transfer to general reserve, dividend or other distribution paid to shareholders.
- Stock Option Outstanding Account: The balance in this account represents the Employee Share based remuneration debited to the Statement of Profit and Loss after adjustments for ESOPs/ESARs exercised.

17 PROVISIONS

Particulars	As at March 31, 2026	As at March 31, 2025
Provision for employee benefits towards compensated absence (Refer Note No. 43)	980.10	886.17
	980.10	886.17

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

18 DEFERRED TAX LIABILITY

Particulars	As at March 31, 2026	As at March 31, 2025
Deferred tax liability:		
On account of depreciation on Property, plant and equipment and Intangible assets	1,050.90	882.38
Deferred tax asset:		
On account of timing differences in recognition of expenditure	612.94	321.13
On account of timing differences in employee benefits disallowed	257.88	230.53
Net deferred tax liability/(asset)	180.08	330.72

Movement of deferred tax liability/(asset)

Particulars	Opening balance	Recognition in statement of profit and loss	Closing balance
As at March 31, 2026			
Deferred tax liability:			
On account of depreciation on property, plant and equipment and amortisation of intangible assets	882.38	168.52	1,050.90
Deferred tax asset:			
On account of timing differences in recognition of expenditure	321.13	291.81	612.94
On account of timing differences in employee benefits disallowed	230.53	27.35	257.88
Total deferred tax liability	330.72	(150.64)	180.08
As at March 31, 2025			
Deferred tax liability:			
On account of depreciation on property, plant and equipment and amortisation of intangible assets	810.55	71.83	882.38
Deferred tax asset:			
On account of timing differences in recognition of expenditure	587.01	(265.88)	321.13
On account of timing differences in employee benefits disallowed	187.36	43.17	230.53
Total deferred tax liability	36.18	294.52	330.72

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

19 BORROWINGS

Particulars	As at March 31, 2026	As at March 31, 2025
Secured loans from bank:		
Working Capital Borrowings		
Loans repayable on demand		
- Rupee loan from Banks - Cash Credit	1,809.62	1,220.75
	1,809.62	1,220.75
<i>Additional Information:</i>		
Details of security for secured loans		
Loans from Bank of Baroda is secured by first pari-passu charge along with Kotak Mahindra Bank & HDFC Bank on all the current assets of the Company (present and future) excluding the current assets relating to orders from a particular customer which are exclusive first charge in favour of Bank of Baroda.	1,792.35	1,220.75
The loans are further collaterally secured as under: -		
1. Equitable mortgage of unit-1 of factory comprising of factory land and buildings situated at plot nos.27,28,29 & 30A area, 25304 sq. mts Phase-I KIADB Dabaspeta Industrial Area, Yedehalli Village, Bengaluru Rural District, Bengaluru.		
2. Equitable mortgage of unit-II of factory comprising of factory land and buildings situated at Sy.No.59/2, area 4 acres 33 gunta (19526 Sq. mts including 7 gunta kharaba land) yedahalli village Dabaspeta, Bangalore.		
3. Equitable mortgage of unit-II of factory comprises of factory land and buildings situated Sy.No. 55 (Part1), 56/1, 56/2, 57 & 58 Yedehalli Village, Dabaspeta Bangalore Rural District, Bangalore measuring 12.55 acres.		
4. Hypothecation charge on entire plant and machinery of the Company Present and Future.		
All the above are common securities for all fund based and non-fund based facilities obtained by the Company.		
Loan from Kotak Mahindra Bank is secured by first pari-passu charge with Bank of Baroda on all existing and future receivable/current assets of the Company excluding the current assets relating to orders from a particular customer.	17.27	-
Loan from HDFC Bank Limited is secured on all existing and future receivable/current assets of the Company excluding the current assets relating to orders from a particular customer.		
Interest at 8.15 % p.a.(PY: 9.55% p.a.) is applicable on Rupee loans from Bank of Baroda which will be reviewed annually		
Interest at 8.70 % p.a.(PY: 10.35% p.a.) is applicable on Rupee loans from Kotak Mahindra Bank Limited which will be reviewed annually		
Interest at 7.90 % p.a. (PY: 8.90%) is applicable on Rupee loans from HDFC Bank Limited which will be reviewed annually		
There is no default in repayment of borrowings and interest as on balance sheet date		

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

20 LEASE LIABILITIES

Particulars	As at March 31, 2026	As at March 31, 2025
Lease Liability	1.12	1.04
	1.12	1.04
Classification of current and Non-Current:		
Current Liability	0.37	0.22
Non-Current Liability	0.75	0.82

21 TRADE PAYABLES

Particulars	As at March 31, 2026	As at March 31, 2025
Total outstanding dues of micro enterprises and Small enterprises *	4,871.60	2,380.30
Total outstanding dues of creditors other than micro enterprises and Small enterprises **	33,774.55	20,602.06
	38,646.15	22,982.36
All trade payables are non interest bearing and payable or settled within normal operating cycle of the Company		
<i>Additional Information:</i>		
* The details of amounts outstanding to micro, small and medium enterprises under Micro Small and Medium Enterprises Development Act, 2006 (MSMED Act), based on the available information with the Company are as under:		
1. Principal amount due and remaining unpaid	4,871.60	2,380.30
2. Interest due on (1) above and the unpaid interest	122.03	284.52
3. The amount of interest paid by the buyer in terms of section 16 of Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounting year.	-	-
4. The amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006	-	-
5. The amount of interest accrued and remaining unpaid at the end of each accounting year	122.03	284.52
6. The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006	648.33	526.30
The amount due to micro, small and medium enterprises is based on the information received and available with the Company which increased pursuant to amendment to Sec.43B(h) of Income tax Act, 1961. There are no dues payable to micro, small and medium enterprises which are under dispute.		

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	As at March 31, 2026	As at March 31, 2025
Trade payables ageing schedule:		
Outstanding dues to MSME		
Less than 1 year - This includes amounts which are Not Due	4,871.60	2,380.30
Outstanding dues to Others		
Less than 1 year - This includes amounts which are Not Due	33,754.55	20,582.06
Disputed outstanding dues to Others		
More than 3 years	20.00	20.00
	38,646.15	22,982.36
** The above balances includes dues to related parties (Refer Note 44)	206.60	10.81

22 OTHER FINANCIAL LIABILITIES

Particulars	As at March 31, 2026	As at March 31, 2025
Unclaimed dividends *	4.41	2.98
Payable on account of capital purchase	1,995.05	398.42
Outstanding liabilities in respect of accrued expenses	8,566.50	7,616.03
Earnest money deposit	2.15	2.15
Mark to market loss on forward contracts (Refer Note No.40B)	674.82	-
Employee benefits payable	723.09	857.64
Due to Director	4.87	4.28
	11,970.89	8,881.50

* Does not include any amount which are required to be credited to investor education and protection fund as at the year end.

23 OTHER CURRENT LIABILITIES

Particulars	As at March 31, 2026	As at March 31, 2025
Advance received from customers **	17,205.21	11,511.30
Duties and taxes payable	273.29	221.95
	17,478.50	11,733.25
** The above balances includes advance received from related parties (Refer Note 44)	11,729.80	6,211.89

24 PROVISIONS

Particulars	As at March 31, 2026	As at March 31, 2025
Provision for warranties (Refer Note No 46)	840.15	615.17
Provision for employee benefits towards compensated absence (Refer Note No. 43)	44.52	29.80
	884.67	644.97

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

25 CURRENT TAX LIABILITY

Particulars	As at March 31, 2026	As at March 31, 2025
Provision for taxation (net of advance tax) *	2,349.12	973.75
	2,349.12	973.75

* Includes provisions (net of tax paid) held for earlier years pending completion of assessments/ appellate proceedings.

26 REVENUE FROM OPERATIONS

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Sale of Goods		
- AC generators	1,44,917.49	99,944.30
- AC generator spares/components	19,722.25	20,134.18
- Spares & after market business - Domestic	679.02	682.18
- Spares & after market business - Overseas Branch	2,702.86	2,126.88
Total	1,68,021.62	1,22,887.54
Sale of services	2,607.04	2,933.10
Sale of scrap	2,371.68	2,230.52
Total	1,73,000.34	1,28,051.16
Less: Sales to Japan branch	1,333.96	1,511.54
Total	1,71,666.38	1,26,539.62
Disaggregation of revenue information		
At Point in time (product/service)	1,70,393.30	1,25,118.06
Overtime	2,607.04	2,933.10
Contract balances:		
Trade Receivables	70,865.41	48,427.58
Advance from customers	17,205.21	11,511.30
Unbilled revenue	18.65	44.27
	88,089.27	59,983.15

The Company does not have any significant adjustments between the contracted price and revenue recognised in the statement of profit and loss.

There is no revenue recognised during the year from the performance obligation that is satisfied in previous year (arising out of contract modifications)

Amount of revenue recognised from amounts included in the contract liabilities at the beginning of the year ₹ 10,211.88 lakhs (March 31, 2025: ₹ 5,120.50 lakhs)

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

27 OTHER INCOME

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Interest income on financial asset - Bank Deposits	744.47	1,074.45
Interest income on financial assets - non convertible debentures carried at amortised cost	-	35.57
Interest on the loan given to subsidiaries	-	9.51
Foreign exchange fluctuation/MTM gain (Net of loss)	1,203.42	1,146.79
Miscellaneous income	53.02	43.12
Total	2,000.91	2,309.44

28 CONSUMPTION OF RAW MATERIALS, STORES, SPARE PARTS & COMPONENTS

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Stock at the beginning of the year	17,571.08	12,803.93
Add: Purchases	1,29,913.40	93,203.03
Less: Stock at the end of the year	23,617.47	17,571.08
Total	1,23,867.01	88,435.88
Consumption of major raw materials consists of:		
Copper (wires, strips, rods, sheet etc.)	28,548.77	20,143.77
Steel/ Laminations	16,239.31	12,315.00
Shaft Forgings	8,090.49	6,124.89
Stores & Spares	1,694.29	1,060.46
Others	69,294.15	48,791.76
Total	1,23,867.01	88,435.88

29 PURCHASES FOR SPARES & AFTER MARKET BUSINESS, NET OF CHANGES IN INVENTORIES OF STOCK IN TRADE

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Inventory at the beginning of the year	724.38	127.90
Add: Purchases for spares & after market business	1,615.22	1,299.27
Less: Inventory at the end of the year	274.93	724.38
	2,064.67	702.79

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

30 CHANGES IN INVENTORIES OF FINISHED GOODS AND WORK-IN-PROGRESS

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Inventory at the beginning of the year		
Work in progress - A C Generators	14,321.11	10,708.89
Finished goods - A C Generators (including machines in transit)	-	-
	14,321.11	10,708.89
Less: Inventory at the end of the year		
Work in progress - A C Generators	19,779.24	14,321.11
Finished goods - A C Generators (including machines in transit)	4,461.43	-
	24,240.67	14,321.11
Net (Increase) / Decrease	(9,919.56)	(3,612.22)

31 EMPLOYEE BENEFITS EXPENSE

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Salaries and wages	10,453.38	7,896.86
Contribution to provident and other funds	801.26	634.62
Remuneration to whole time directors including contribution to provident and other Funds (Refer Note No.44)	521.62	444.62
Directors sitting fees	31.70	28.40
Share based remuneration to employees (Refer Note No.50)	118.20	55.20
Staff welfare expenses	2,789.47	2,078.28
Total	14,715.63	11,137.98

32 FINANCE COSTS

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Interest	190.32	305.84
Total	190.32	305.84

33 DEPRECIATION AND AMORTISATION EXPENSES

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Depreciation on property, plant and equipment	1,843.85	1,517.77
Amortisation of intangible assets	369.73	367.30
Total	2,213.58	1,885.07

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

34 OTHER EXPENSES

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Power and fuel	1,370.69	1,123.45
Rent (Refer Note No.45)	49.73	32.43
Repairs and maintenance		
- Buildings	110.07	87.71
- Machinery	1,012.71	727.05
- Others	93.32	68.31
Insurance	208.05	174.92
Manufacturing expenses	338.77	146.21
Rates and taxes	172.13	196.28
Payment to the auditors (excluding GST):		
- auditor fees (including audit of consolidated financial statements)	15.75	15.75
- for Limited review of quarterly financial results including consolidated financial results	10.05	10.05
- for other services - Certification fees	3.12	1.88
Legal and professional charges	824.91	715.32
Royalty	64.89	71.61
Travelling and conveyance	2,361.46	1,675.22
Bank charges (net of reimbursement received from subsidiary ₹ 37.53 lakhs (PY: ₹ 0.97 lakhs)	514.97	433.95
Software expenses	670.99	639.06
Corporate Social Responsibility (Refer Note No. 49)	337.89	242.45
Vehicle maintenance	81.36	68.06
Postage, telegrams and telephones	55.13	45.18
Printing and stationary	75.98	53.05
Provision for doubtful debts	-	136.34
Carriage, freight and Selling expenses	2,373.56	2,025.50
Donations	13.29	4.34
Loss on sale of property, plant and equipment	6.32	6.17
Advertisement	47.87	34.58
Subscription to technical associations, journals and magazines	15.06	42.63
Total	10,828.07	8,777.50

35 EXCEPTIONAL ITEMS

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Provision for diminution in the value of investment (Refer Note No.51)	(300.00)	(300.00)
Total	(300.00)	(300.00)

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

36 CONTINGENT LIABILITIES AND COMMITMENTS

Particulars	As at March 31, 2026	As at March 31, 2025
(to the extent not provided for)		
Contingent Liabilities:		
Performance Guarantees	12,246.21	11,159.24
Performance Guarantees given to customers on behalf of subsidiary companies	1,400.45	1,567.43
Advance Guarantees given to customers on behalf of subsidiary companies	-	69.05
Indirect Tax demand disputed by the Company	120.85	6.89
Income Tax demand disputed by the Company *	1,986.03	1,986.03
Other sums for which the Company is contingently liable	13.12	10.42

The management believes, based on internal assessment and / or legal advice, that the probability of an ultimate adverse decision and outflow of resources of the Company is not probable and accordingly, no provision for the above is considered necessary.

* During May 2021, the Company has received demand from Income tax department of ₹ 1,942.67 lakhs for AY 2017-18 with respect to Transfer Pricing and other disallowance u/s 143(3) r.w.s 144C (3) read with section 144B of the Income-tax Act. The Transfer Pricing Officer (TPO) has passed an order with demand considering transfer pricing adjustment on the overall turnover of the Company instead of restricting to transactions with Associate Enterprises. The Sales to Associate Enterprises for the said year is ₹ 1,964.90 lakhs as compared to the Sales of the entire Company of ₹ 36,944.03 lakhs. Disputing the said order, the Company filed an objection before the Dispute Resolution panel of the Income Tax Department at Bengaluru on May 26, 2021. Further, consequent to a writ petition filed by the Company, the operation of the assessment order & recovery proceedings has been stayed by the Hon'ble High Court of Karnataka vide it's order dated June 30, 2021.

The Company has received assessment order u/s 143(3) r.w.s 260 read with section 144B of the Income Tax Act based on directions of Dispute Resolution panel. Further, consequent to a writ petition filed by the Company, the operation of the assessment order & recovery proceedings has been stayed by the Hon'ble High Court of Karnataka vide it's order dated March 21, 2022.

Commitments	As at March 31, 2026	As at March 31, 2025
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	4,008.73	7,855.88

37 COMPONENTS OF OTHER COMPREHENSIVE INCOME (OCI)

Particulars	As at March 31, 2026	As at March 31, 2025
Items that will not to be reclassified to profit or loss:		
Re-measurement gains/ (losses) on defined benefit plans	75.10	(118.08)
Income tax on Defined benefit plans	(18.90)	29.72
Items that will be reclassified to profit or loss:		
Exchange difference on translation of foreign operations	68.49	17.39
Income tax on exchange difference on translation of foreign operations	(17.24)	(4.38)
	107.45	(75.35)

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

38 EARNINGS PER SHARE - BASIC

Particulars	As at March 31, 2026	As at March 31, 2025
Profit for the year after tax expense	21,644.35	15,371.00
Weighted average number of equity shares outstanding during the year	15,61,98,750	15,61,80,650
Earnings per share (in ₹)	13.86	9.84
Face Value of Equity share (in ₹)	2.00	2.00
EARNINGS PER SHARE - DILUTED		
Profit for the year after tax expense	21,644.35	15,371.00
Weighted average number of equity shares outstanding during the year	15,62,24,585	15,62,30,270
Earnings per share (in ₹)	13.85	9.84
Face Value of Equity share (in ₹)	2.00	2.00

39

(a) The reconciliation between Income tax and amounts computed by applying the statutory income tax rate:

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Total profit/(loss) before tax (A)	29,407.57	20,916.22
Income tax rate (B)	25.17%	25.17%
Tax expense - (C) = (A) X (B)	7,401.30	5,264.19
Add - tax effect of the amounts as under:		
a) Expenses - not deductible for tax purpose	232.71	209.60
b) Other adjustments (net)	129.21	71.43
Total (D)	361.92	281.03
Tax expense (E) = (C) +(D)	7,763.22	5,545.22

(b) The movement in deferred tax liabilities (net)

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Deferred tax liabilities at the beginning of the year	330.72	36.18
- Change in difference between book value and WDV of property, plant and equipment and other intangible assets	167.59	72.76
- Change in Provision for employee benefits disallowed	(24.80)	(41.27)
- Change in expenses allowable on payment	(293.43)	263.05
Deferred tax liabilities at the end of the year	180.08	330.72
Deferred tax expenses in the statement of profit and loss	(150.64)	294.52

(c) Income tax expense in the other comprehensive Income consist of the following:

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Tax on Re-measurement (loss)/gain on defined benefit obligation	(18.90)	29.72
Income tax on exchange difference on translation of foreign operations	(17.24)	(4.38)

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

40 FINANCIAL INSTRUMENTS - ACCOUNTING CLASSIFICATIONS AND FAIR VALUE MEASUREMENTS

- A.** The Fair value of cash and cash equivalents, bank balances, loans, trade receivables, trade payables and others approximates their carrying amount. Trade receivables are evaluated after taking into consideration for Expected Credit Losses. Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique.

Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

B. Financial Assets / Liabilities Classification:

Particulars	Carrying Amount	
	As at March 31, 2026	As at March 31, 2025
Financial Assets at cost less provision for loss:		
Investments in equity instruments of:		
- Indian Subsidiary	-	300.00
Financial Assets at cost:		
- Foreign Subsidiaries	1,055.25	1,055.25
Financial assets at fair value through Profit and Loss (FVTPL):		
Investment in equity other than subsidiary - *	0.50	0.50
Mark to market gain on foreign exchange forward contracts (level 2) (Refer Note No.13)	-	181.98
Financial Assets at amortised cost:		
Cash and cash equivalents	1,617.82	2,447.00
Bank balances other than cash and cash equivalents	11,950.11	12,313.24
Trade receivables net of ECL	70,865.41	48,427.58
Other financial assets	4,669.70	3,304.73
Financial liabilities at amortised cost:		
Short term borrowings	1,809.62	1,220.75
Lease Liabilities	1.12	1.04
Trade payables	38,646.15	22,982.36
Other financial liabilities	11,296.07	8,881.50
Financial liabilities at fair value through Profit and Loss (FVTPL):		
Mark to market loss on foreign exchange forward contracts (level 2) (Refer Note No.22)	674.82	-

* In view of the fact this investment amount is not significant and the cost is considered to be at fair value (level 3)

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
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C. Financial Risk Management

Objectives and Policies

The Company's Financial Risk Management is an integral part of business strategies. The Company's focus is to foresee the unpredictability of financial markets and seek to minimise potential adverse effects on its financial performance. The primary market risk to the Company is foreign exchange risk. In addition, Company is exposed to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents information about the Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring and managing risk, and the Company's management of capital. Further quantitative disclosures are included throughout these financial statements.

The Company's principal financial liabilities comprise short term borrowings, trade and other payables. The main purpose of these financial liabilities is to support entity's operations. The entity's principal financial assets include cash and cash equivalents, investment in Non-convertible Debentures and trade and other receivables that derive directly from its operations.

All activities for risk management purposes are carried out by experienced teams that have the appropriate skills, experience and supervision. It is the entity's policy that no activities in derivatives will be undertaken except foreign exchange forward contract. The Board of Directors review and agree policies for managing each of these risks, which are summarised below.

Credit Risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. The maximum exposure to the credit risk at the reporting date is primarily from trade receivables. The customer credit risk is managed as per Company's established policy, procedure and controls relating to customer credit risk management. It requires different processes and policies to be followed based on the business risks, industry practice and customer profiles.

In order to contain the business risk, the creditworthiness of the customer is through scrutiny of its financials, status of financial closure of the project, to the extent available in public domain and if required, market reports and reference checks. The Company remains vigilant and regularly assesses the financial position of customers during execution of contracts with a view to restrict risks of delays and default. In view of nature of business profile and considering the size of the Company, credit risks from receivables are well contained on an overall basis.

The Company's maximum exposure to credit risk at the reporting date is the carrying amount of trade receivables.

Particulars	As at March 31, 2026	As at March 31, 2025
Total Receivable	70,865.41	48,427.58
Receivable individually in excess of 10% of the receivable	40,655.40	32,432.96
Percentage of the above receivables to the total receivables of the Company	57.37%	66.97%

Receivables in excess of 10% of individual business receivables represents receivables from two customers/group as at March 31, 2026 and three customers/group as on March 31, 2025.

Particulars	As at March 31, 2026
Customer A	45.10%
Customer B	12.27%

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Previous Year

Particulars	As at March 31, 2025
Customer A	27.10%
Customer B	15.86%
Customer D	24.02%

Credit risk on cash and cash equivalents and balances with banks is limited as the Company generally invests in deposits with scheduled banks. Total Cash and Cash equivalents and balances with bank (including co-operative bank) as at March 31, 2026 is ₹ 13,567.93 lakhs (PY: ₹ 14,459.24 lakhs). Out of these balances held with banks as deposits was ₹ 11,930.75 lakhs (PY: ₹ 13,195.03 lakhs). The details of bank deposits are below:

Particulars	As at March 31, 2026	As at March 31, 2025
Bank A	10,298.13	11,784.11
Bank B (Co-operative Bank)	400.00	400.00
Bank C	331.62	409.92
Bank D	901.00	601.00

Provision for expected credit losses

The life time expected credit loss ("ECL") is estimated on trade receivables, other amounts due from entities where there is no track record of short receipts. Delays in receiving payments from the customers pursuant to sale of goods or under contracts are not considered if such delays are commonly prevalent in the industry. Other short receipts other than arising from claims are duly considered in determining ECL.

The Company follows 'simplified approach' for recognition of impairment loss allowance on trade receivables. The Company has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience based on past trend adjusted for forward looking estimates. Considering the above as well as business model of the Company, engineered-to-order products and the profile of trade receivables, the determination of a provision based only on age analysis may not be a realistic considering the economic and industry circumstances. Hence, the provision for expected credit loss is determined by the management for the specific trade receivables after considering the above facts and circumstances, particularly in view of the fact that there has no significant bad debts in the recent past.

Provision matrix (% amount in lakhs) of ECL for trade receivables and the reconciliation of the movement in the provision is given below.

Particulars	As at March 31, 2026	As at March 31, 2025
Total Receivable	71,663.02	49,200.19
Provision for credit loss	797.61	772.61
Percentage	1.11%	1.57%

Reconciliation of expected credit loss

Particulars	As at March 31, 2026	As at March 31, 2025
Balance at the beginning of the year	772.61	636.27
Provision for credit loss allowance made during the year	25.00	136.34
Balance at the end of the year	797.61	772.61

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
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Amounts in Indian Rupees in lakhs, except as otherwise stated

Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash. The Company's approach in managing the same is to ensure, as far as possible, sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions.

The Company's principal sources of liquidity are cash and cash equivalents, balances with banks and the cash flow that is generated from operations. The cash and cash equivalent and other bank balances (including bank deposits with more than 12 months maturity) aggregates to ₹ 13,567.93 lakhs at the end of the year (PY - ₹ 14,760.24 lakhs). In addition the net trade receivables ₹ 70,890.41 lakhs (PY ₹ 48,659.96 lakhs) at the end of the year. The Company believes that the working capital is sufficient to meet its current requirements after considering the position of trade receivables along with Cash & Bank balances. Accordingly, no liquidity risk is perceived.

The following are the contractual maturities of non-derivative financial liabilities due within one year based on contractual cash flows:

Particulars	As at March 31, 2026	As at March 31, 2025
Trade Payables	38,646.15	22,982.36
Borrowings	1,809.62	1,220.75
Other Payables:		
Employee dues	723.09	857.64
Mark to market loss on forward contracts	674.82	-
Other dues including lease liabilities	10,573.35	8,024.08
Total	52,427.03	33,084.83

Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates that will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The Company also operates internationally and a major portion of the business is transacted in several currencies and consequently the Company is exposed to foreign exchange risk through its sales and services and purchases from overseas suppliers in various foreign currencies.

i) Foreign currency risk exposure :- The Company's exposure to foreign currency risk at the end of reporting year, are as follows:

- a) The foreign exchange forward contracts outstanding as on March 31, 2026 in respect of Euro is 1,20,00,000 (PY: Euro 3,33,00,000)

Currency	March 31, 2026			March 31, 2025		
	No. of Contracts	Amount in Foreign Currency	Amount in ₹	No. of Contracts	Amount in Foreign Currency	Amount in ₹
Euro	12.00	120.00	12,728.97	33.00	333.00	31,596.06

- b) The total foreign currency exposures as at the end of the year is as under:

In Foreign Currency in lakhs

Particulars	As at March 31, 2026			
	USD	Euro	JPY	Others
Assets/ Receivables	68.42	342.26	1,121.19	0.06
Liabilities (including advances)	171.59	43.85	1,052.93	0.03

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Rupee Equivalent

Particulars	As at March 31, 2026			
	USD	Euro	JPY	Others
Assets/ Receivables	6,452.98	37,035.97	663.86	3.57
Liabilities (including advances)	15,633.86	4,780.35	632.71	4.21

In Foreign Currency in lakhs

Particulars	As at March 31, 2025			
	USD	Euro	JPY	Others
Assets/ Receivables	63.09	257.59	1,401.62	0.06
Liabilities (including advances)	89.73	21.15	527.55	0.02

Rupee Equivalent

Particulars	As at March 31, 2025			
	USD	Euro	JPY	Others
Assets/ Receivables	5,375.62	23,566.35	790.37	3.67
Liabilities (including advances)	7,587.84	1,948.80	301.81	2.20

c) Sensitivity analysis:

A strengthening or weakening of the Indian Rupee, as indicated below, against the USD, Euro, JPY and others as at March 31, 2026 would have increased (decreased) profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Company considered to be reasonably possible at the end of the reporting period. The analysis is performed on the same basis for previous year, even though the actual foreign exchange rate variances were different.

Currency	Impact on profit or loss (before tax)			
	As at March 31, 2026		As at March 31, 2025	
	Strengthening	Weakening	Strengthening	Weakening
	₹	₹	₹	₹
5% Movement in:				
USD	459.04	(459.04)	110.61	(110.61)
EURO	(1,612.78)	1,612.78	(1,080.88)	1,080.88
JPY	31.64	(31.64)	15.09	(15.09)
Others	(0.18)	0.18	(0.18)	0.18

ii) Interest Rate Risk:

The Company's investments are primarily in Fixed rate interest bearing deposits and non-convertible debentures. Also the borrowings bear fixed rate of interest which are reviewed periodically by the banks. Hence, the Company is not significantly exposed to interest rate risks.

iii) Commodity price risk exposure:

The Company is not exposed to significant volume of commodity price risk as the Company hedges major raw materials based on dips.

D. Capital Management:

While managing capital, the Company's objective is to safeguard its ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefit for other stakeholders.

The Board of Directors monitor the earnings before interest, depreciation and tax (EBITDA), which the Company defines as result from operating activities before considering finance cost, depreciation & amortisation, exceptional items and tax expenses. The Board of Directors also monitors the level of dividends to equity shareholders.

The Company's EBITDA is 17.54% for the year ended March 31, 2026 in comparison to 16.66% for the year ended March 31, 2025.

The Company monitors capital, taking a medium and long term view, on the basis of a number of financial ratios generally used by industry and by the rating agencies.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
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- a. The Company does not have any pending litigations which would impact its financial position as on the reporting date except to the extent disclosed in Note 36.
- b. The Company does not have any long term contracts including derivative contracts for which there were any material foreseeable losses. Adequate provision has been made for losses in respect of short term foreign exchange forward contract (Refer Note.22)
- c. There are no amounts required to be transferred to the Investor Education and Protection Fund by the Company as on the reporting date.
- d. To the best of the knowledge and belief of the management, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- e. To the best of our knowledge and belief of the management, no funds have been received by the Company from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

42 **SEGMENT REPORTING**

The Company is engaged in manufacturing of AC Generators and Electric Motors for various applications, which is monitored as a single segment by the chief operating decision maker in the context of Ind AS 108.

(i) **Geographical Segment:**

Particulars	Segment revenue by geographical Market	
	Year ended March 31, 2026	Year ended March 31, 2025
Sales from India		
Domestic Sales (including Deemed Export)	73,438.95	84,769.65
Export Sales	96,858.53	41,154.63
Sales from Overseas Branch	2,702.86	2,126.88
Less: Sales to Japan Branch	(1,333.96)	(1,511.54)
Total	1,71,666.38	1,26,539.62

Carrying amounts of Non current assets:

Particulars	Carrying amounts of segment assets		Additions to to property, plant and equipment and intangible assets (Net of deletion)	
	As at March 31, 2026	As at March 31, 2025	As at March 31, 2026	As at March 31, 2025
Located in India	30,667.17	21,886.82	10,826.04	3,873.91
Located outside India	9.95	6.91	-	-
Total	30,677.12	21,893.73	10,826.04	3,873.91

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

(ii) Information about Major customers -

The revenue from operations from customers who exceed 10% of revenue from operations are given below.

Particulars	Current Year	
	As at March 31, 2026	As at March 31, 2025
Customer A	25.06%	14.25%
Customer B	24.08%	28.23%
Customer C	11.62%	12.45%

43 DISCLOSURE AS PER IND AS 19 ON 'EMPLOYEE BENEFITS

A. Gratuity - Funded

The Company has a defined benefit gratuity plan. Every employee who has rendered continuous service of five years or more is entitled to gratuity at 15 days salary (15/26 X last drawn basic salary plus dearness allowance) for each completed year of service subject to a maximum of ₹ 20 lakhs. The gratuity liability arises on account of future payments, which are required to be made in the event of retirement, death in service or withdrawal. The liability has been assessed using projected unit credit actuarial method. The Company made annual contributions to the Employee's Group Gratuity scheme of the Life Insurance Corporation of India.

I. Movement in net defined benefit asset on Gratuity plan

Particulars	Defined benefit obligation - A		Fair value of plan assets - B		Net defined benefit asset (A-B)	
	Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2026	Year ended March 31, 2025
Opening balance (Liability)/Asset)	1,970.81	1,725.02	2,217.13	2,010.60	246.32	285.58
Included in profit or loss:						
Current service cost	213.64	169.12	-	-	(213.64)	(169.12)
Interest Income on planned asset	-	-	153.67	142.97	153.67	142.97
Interest cost	125.94	115.27	-	-	(125.94)	(115.27)
Total amount recognised in profit or loss	339.58	284.39	153.67	142.97	(185.91)	(141.42)
Included in OCI:						
Actuarial loss (gain)	(75.10)	118.08	-	-	75.10	(118.08)
Return on plan assets greater/ (lesser) than discount rate	-	-	-	-	-	-
Total amount recognised in other comprehensive income	(75.10)	118.08	-	-	75.10	(118.08)
Contributions paid by the employer	-	-	347.61	220.24	347.61	220.24
Benefits paid	125.28	156.68	125.28	156.68	-	-
Closing balance (Liability)/Non current Asset)	2,110.01	1,970.81	2,593.13	2,217.13	483.12	246.32

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

II. Details of Plan assets

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Schemes of insurance - conventional products	100.00%	100.00%
	100.00%	100.00%

III. Actuarial Assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Financial assumptions:		
Discount rate	7.10%	6.60%
Salary escalation rate	7.00%	7.00%
Demographic assumption		
Retirement age	58 Years	58 Years
Mortality table	Indian Assured Lives Mortality (2006-08) Ultimate	
Withdrawal rate % (All ages)	3.00%	3.00%

IV. Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the significant principal assumptions is:

Particulars	Year ended March 31, 2026		Year ended March 31, 2025	
	Increase	Decrease	Increase	Decrease
Discount rate (1% Movement)	(200.96)	236.01	(196.30)	230.86
Salary escalation rate (1% Movement)	204.59	(182.26)	201.00	(181.32)
Withdrawal rate (1% Movement)	5.08	(6.15)	(4.05)	4.26

The sensitivity analysis above has been determined based on a method that extrapolates the impact on defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period. This analysis may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

V. Expected benefit payment of the gratuity plan in future years:

Particulars	Gratuity (Funded)	
	Year ended March 31, 2026	Year ended March 31, 2025
For the year ending:		
Less than 1 year	87.60	83.43
Between 1-2 years	170.53	73.13
Between 2-3 years	121.33	170.83
Between 3-4 years	115.59	111.97
Between 4-5 years	122.17	105.01
Between 5-10 years	736.91	616.50

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

VI. Risk Exposures

Valuations are based on certain assumptions, which are dynamic in nature and vary over time. As such company is exposed to various risks such as increase in salary, investment risk, discount rate, mortality, disability and withdrawals.

B. Defined contribution plan - Not-funded

The Company has recognised the following in amounts in the statement of profit & loss during the year

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Contribution to Provident Fund	570.58	429.30
Contribution to Employee State Insurance	61.91	41.98

C. Long term Leave Liability - Not-funded

The Company provides for earned leave benefit to the employees which accrue at 15 days (maximum) for the year. The earned leave is encashable while in service and upto a maximum of 105 days on retirement. The leave liability has been treated as other long term benefits and has been assessed using projected unit credit actuarial method.

I. Movement in net defined benefit liability

Particulars	Defined benefit obligation	
	Year ended March 31, 2026	Year ended March 31, 2025
Opening balance	915.97	744.42
Included in profit or loss:		
Current service cost	240.35	201.36
Interest cost	53.31	47.41
Actuarial loss (gain)	31.39	56.95
Total amount recognised in profit or loss	325.05	305.72
Benefits paid during the year	216.40	134.17
Closing balance	1,024.62	915.97

II. Actuarial Assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Financial assumptions:		
Discount rate	7.10%	6.60%
Salary escalation rate	7.00%	7.00%
Demographic assumptions:		
Mortality table	Indian Assured Lives Mortality (2006-08) Ultimate	
Withdrawal rate % (All ages)	3.00%	3.00%
Retirement age	58 years	58 years

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III. Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the significant principal assumptions is:

Particulars	Year ended March 31, 2026		Year ended March 31, 2025	
	Increase	Decrease	Increase	Decrease
Discount rate (1% Movement)	(95.16)	112.74	(88.74)	105.12
Salary escalation rate (1% Movement)	111.79	(96.12)	103.70	(89.25)
Withdrawal rate (1% Movement)	0.90	(1.03)	(3.05)	3.48

Method used for sensitivity analysis: The sensitivity results above determine their individual impact on the Plan's end of year Defined Benefit Obligation. In reality, the Plan is subject to multiple external experience items which may move the Defined Benefit Obligation in similar or opposite directions, while the Plan's sensitivity to such changes can vary over time.

44 RELATED PARTY DISCLOSURE

Sl. No.	Related Party	Relationship
1	D F Power Systems Private Limited	Subsidiary Company
2	TD Power Systems USA Inc	
3	TD Power Systems Europe GMBH	
4	TD Power Systems Jenerator Sanayi Anonim Sirketi	
5	Trident Automobiles Private Limited	Companies in which key management personnel/ close member of key management personnel are interested
6	Trident Automobiles (Bangalore) Private Limited	
7	Trilegal	
8	Nikhil Kumar, Managing Director	Key management personnel
9	Mohib N Khericha, Chairman & Non-Executive Director	
10	S. Prabhamani, Non-Executive Director	
11	Prathibha Sastry, Independent Director	
12	Rahul Matthan, Independent Director (wef April 01, 2024)	
13	Karl Olof Alexander Olsson, Independent Director (wef April 01, 2024)	
14	Bharat Rajwani, Company Secretary	
15	Deepak Kumar Sinha, CEO (wef April 02, 2026)	
16	M N Varalakshmi, CFO	

Sl. No.	Nature of transactions	Key management personnel	
		Year ended March 31, 2026	Year ended March 31, 2025
1	Directors Remuneration:		
	Nikhil Kumar:		
	Short-term employee benefits including commission of ₹ 410.00 lakhs (PY: ₹ 333.00 lakhs)	509.66	432.66
	Other long term employee benefit	11.96	11.96
	Dividend	213.93	209.92
	Amount Outstanding at the year end *	4.87	4.28

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
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Amounts in Indian Rupees in lakhs, except as otherwise stated

Sl. No.	Nature of transactions	Key management personnel	
		Year ended March 31, 2026	Year ended March 31, 2025
2	Remuneration to Key Management Personnel:		
	Bharat Rajwani		
	Short-term employee benefits	28.35	24.97
	Other long term employee benefit	1.80	1.58
	Amount Outstanding at the year end	1.98	1.82
	M N Varalakshmi		
	Short-term employee benefits	96.12	71.32
	Other long term employee benefit	5.90	4.35
	Dividend	4.85	3.63
	Amount Outstanding at the year end	5.38	2.94
3(a)	Directors Sitting fees - (Short Term employee benefits)		
	Mohib N Khericha	7.35	6.40
	Prathibha Sastry	7.65	6.70
	Rahul Matthan	6.25	5.50
	Karl Olof Alexander Olsson	5.65	5.20
	S. Prabhamani	4.80	4.60
3(b)	Consultancy charges:		
	S. Prabhamani	31.92	10.76

As the liabilities for gratuity and compensated absences are provided on an actuarial basis for the Company as a whole, the amount pertaining to the KMP and relatives of KMP is not ascertainable and, therefore, not included above

* The amounts accrued & due are reported

Sl. No.	Nature of transactions	Subsidiary Company		Companies/Firms in which key management personnel/ close member of key management personnel are interested	
		Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2026	Year ended March 31, 2025
4	D F Power Systems Private Limited				
	Provision for diminution in the value of investment	300.00	300.00	-	-
5	TD Power Systems USA Inc				
	Sale of Generators and Spares to subsidiary including supervision charges	16,707.65	12,322.25	-	-
	Purchase from subsidiary	-	-	-	-
	Inter-Corporate Loan repaid by subsidiary during the year	-	279.00	-	-
	Interest on Inter-Corporate Loan charged	-	9.51	-	-
	Amount receivable by Holding Company	3,770.06	1,065.12	-	-
	Trade Advance received by Holding Company	11,231.16	4,289.71	-	-
	Maximum amount of loan outstanding during the year	-	352.33	-	-

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Sl. No.	Nature of transactions	Subsidiary Company		Companies/Firms in which key management personnel/ close member of key management personnel are interested	
		Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2026	Year ended March 31, 2025
6	TD Power Systems Europe GMBH				
	Sale of Generators and Spares to subsidiary including services	24,368.53	23,181.61	-	-
	Purchases and Services availed from Subsidiary	1,259.35	525.96	-	-
	Reimbursement of Bank Guarantee charges	0.45	0.97	-	-
	Amount payable by Holding company	206.60	10.81	-	-
	Amount receivable by Holding Company	2,034.68	10,334.20	-	-
	Trade Advance received by Holding Company	498.64	1,922.18	-	-
	Bank Guarantee outstanding as at the end of year	971.42	2,240.81	-	-
7	TD Power Systems Generator Sanayi Anonim Sirketi				
	Sale of Spares to subsidiary	266.14	213.03	-	-
	Trade Advance received by Holding Company	113.65	-	-	-
	Amount receivable by Holding Company	265.63	221.68	-	-
	Reimbursement of Bank Guarantee charges	37.09	-	-	-
	Bank Guarantee outstanding as at the end of year	429.02	47.24	-	-
8	Servicing of Vehicles				
	Trident Automobiles Private Limited	-	-	2.16	-
	Trident Automobiles (Bangalore) Private Limited	-	-	0.28	0.20
9	Purchase of Vehicle				
	Trident Automobiles Private Limited	-	-	80.93	-
10	Professional Services				
	Trilegal	-	-	8.58	-

45 OPERATING LEASE

The Company has taken office facilities, guesthouse and residential premises of employees under short term lease and are renewable on a periodic basis, and cancellable at its option. Rental expenses recorded for short term leases for the year is ₹ 49.73 lakhs (Previous year ₹ 32.43 lakhs).

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Provision for warranties towards sale of goods are made on an estimated basis as actual claims cannot be determinable. During the year, the Company has made provisions towards Warranty claims, the details of the same are as under:

Particulars	As at March 31, 2026	As at March 31, 2025
Balance outstanding at the beginning of the year	615.17	467.89
Provision for the year	224.98	147.28
Balance outstanding at the end of the year	840.15	615.17

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

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(a) Interim Dividend

On October 30, 2025, (PY: October 29, 2024) the Board of Directors of the Company has considered and declared an interim dividend of ₹ 1.00 (PY: 0.60) per equity share of the Company.

(b) Final Dividend

On May 14, 2026, (PY: May 12, 2025) the Board of Directors of the Company have proposed a dividend of ₹ 1.10 (PY: ₹ 0.65) (sub-divided into ₹ 2/- each) per share in respect of the year ended March 31, 2026 subject to approval of shareholders at the Annual General Meeting.

48 RESEARCH & DEVELOPMENT

Following expenses have been incurred by the Company towards Research & Development activities

Sl No.	Nature of expenditure	Fiscal 2026	Fiscal 2025
1	Capital Expenditure	-	-
2	Revenue Expenditure (excluding depreciation)		
	- Employee benefit expenses	732.90	716.01
	- Other expenses	139.60	109.97

49 CORPORATE SOCIAL RESPONSIBILITY

Sl No.	Particulars	As at March 31, 2026	As at March 31, 2025
i)	Amount required to be spent by the Company	337.55	242.45
ii)	Unspent amount of CSR of previous year brought forward	-	-
iii)	Amount of expenditure incurred (including set off of earlier years excess spent)	337.89	242.45
iv)	Shortfall at the end of the year	-	-
v)	Total of previous years shortfall	-	-
vi)	Reason for shortfall	Not Applicable	
vii)	Nature of CSR activities	Educational empowerment, School infrastructure development & construction, Health care & Sports Training	
viii)	Details of related party transactions, e.g. contribution to a trust controlled by the Company in relation to CSR expenditure as per relevant Accounting Standard	Not Applicable	
ix)	Where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year shall be shown separately	Not Applicable	

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

50 EMPLOYEE STOCK BENEFIT PLANS

During August 2019, the Company had instituted an Employee Stock Option Plan I (GIL ESOP I) as approved by the Board of Directors and the Shareholders, for the allotment of 10,00,000 shares in aggregate, out of which not more than 5,65,000 shares to be acquired by the Trust through Secondary Acquisition and not more than 4,35,000 shares shall be issued by way of Primary / Fresh shares. The maximum number of options that may be granted to any employee in any year and in aggregate shall not exceed 2,00,000 options under the plan.

In accordance with the shareholders' approval in Annual General Meeting held on August 12, 2019, the Board, based on the recommendations of the Nomination and Remuneration Committee, has approved grant of 5,63,884 employee stock options ("ESOPs") and 3,99,216 employee stock appreciation rights ("ESARs") to the eligible employees of the Company and/or its Subsidiary Company(ies) under its TDPSL Equity Based Compensation Plan 2019 ("Plan").

Out of which 97,962 ESOPs and 56,160 ESOPs have been granted to former Company Secretary and Chief Financial Officer of the Company respectively.

The fair value of each equity settled award is estimated on the date of grant using the Black-Scholes-Merton model with the following assumptions:

Particulars	ESAR - Reissued	ESAR
	No. of Options	No. of Options
Market Price (₹)	254.70	134.45
Expected Life (in Years)	3 - 5	3 - 5
Volatility (%)	49.91 - 51.22	38.84 - 40
Risk free Rate (%)	6.99 - 7.03	5.93 - 6.26
Exercise Price (₹)	2.00	2.00
Dividend Yield (%)	0.39	1.49
Weighted Average Fair Value of the Vest (₹)	159.35	78.92

During the year ended March 31, 2026 (PY: March 31, 2025), 31,219 (PY: 13,511) Equity Shares of face value of ₹ 2 each were issued & allotted to the TDPSL Employee Welfare Trust (Trust) in respect of the exercise of 38,333 (PY: 14,075) ESARs by grantees. Consequently, the paid up capital of the Company as at March 31, 2026 (PY: March 31, 2025) stands at ₹ 3,124.30 lakhs (PY: ₹ 3,123.67 lakhs) comprising 15,62,14,831 (PY: 15,61,83,612) Equity Shares of ₹ 2/-each. As per the TDPSL Equity Based Compensation Plan 2019, the said shares were transferred by the Trust to the ESAR Grantees in settlement of the ESAR'S Exercised.

The details of ESAR as at March 31, 2026 is as under:

Particulars	As at March 31, 2026	As at March 31, 2025
Outstanding at the beginning of the year - Not vested (face value ₹ 2)	65,940	98,910
Outstanding at the beginning of the year - Vested & Not Exercised (face value ₹ 2)	32,970	-
Outstanding at the beginning of the year - Vested & Not Exercised (face value ₹ 10)	2,757	5,572
ESAR's issued during the year (face value ₹ 2)	27,000	-
Vested & exercised during the year (face value ₹ 10)	-	2,815
Vested & exercised during the year (face value ₹ 2)	38,333	-
Balance at the end of the year - Not vested (face value ₹ 2)	32,970	65,940
Balance at the end of the year - Vested & Not Exercised (face value ₹ 2)	54,607	32,970
Balance at the end of the year - Vested & Not Exercised (face value ₹ 10)	2,757	2,757



NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

51 IMPAIRMENT ASSESSMENT OF INVESTMENT IN SUBSIDIARY

As of March 31, 2026, the Company has an exposure of ₹ 2,040.75 lakhs towards DF Power Systems Private Limited (“the Indian Subsidiary Company”), by way of an investment in the equity shares

The Indian Subsidiary Company’s net worth continues to remain positive as at the reporting date, owing to substantial reduction in accumulated losses arising from write-backs recognised in earlier years based on management’s assessment of risks and probable outcomes relating to claims and counterclaims with certain creditors in respect of supply of project-related equipment and project cancellation matters. The management of the Indian Subsidiary Company has prepared its financial statements on a going concern basis after considering expected improvement in market conditions and continued operational and financial support from the Parent Company.

Notwithstanding the above, the Parent Company has assessed the recoverability of its investment in the Indian Subsidiary Company in accordance with the requirements of Ind AS 36 – Impairment of Assets considering the subsidiary’s past operating performance, current level of business operations, expected realisation of claims and counterclaims, and the anticipated improvement in market conditions and future business prospects.

Based on the above assessment, the Parent Company has recognised an additional impairment provision of ₹ 300.00 lakhs during the year ended March 31, 2026, which has been disclosed under Exceptional Items in the Statement of Profit and Loss. Accordingly, the cumulative impairment provision recognised against the investment aggregates to ₹ 2,040.75 lakhs as at March 31, 2026.

52 ADDITIONAL DISCLOSURES

- a) The Company does not have transactions or balances with struck off companies.
- b) The Company does not have any charges/satisfaction which is yet to be registered with ROC beyond the statutory period.
- c) The Company has not traded or invested in Crypto currency or Virtual Currency during the year.
- d) The Company is not declared as a willful defaulter by any bank or financial institution or other lender or Government or Government authorities. Accordingly, no disclosures are made in this regard.
- e) The Company does not have any such transaction which is not recorded in the books of account that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961.
- f) Based on the assessment of financial ratios, aging and expected dates of realisation of financial assets and payment of financial liabilities, and other information accompanying the financial statements, the management is of the opinion that no material uncertainty exists as on the date of the balance sheet that the Company is capable of meeting its liabilities existing at the date of the balance sheet as and when they fall due within a period of one year from the balance sheet date.
- g) The Company is in compliance with the requirement of Section 2(87) of the Companies Act, 2013 read with the Companies (Restriction on number of Layers) Rules, 2017.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

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The Company has borrowings from banks on the basis of security of current assets. The quarterly statement of current assets filed by the Company with banks during the year are in agreement with the books of accounts excluding conversion & carrying cost of inventory and Japan branch related assets. Below is the details of the same.

Qtr	Nature of current asset	As per Bank submission	As per books of accounts*	Difference	Reasons
		A	B	(A)-(B)	
Q1	Inventory	31,327.16	34,862.19	(3,535.03)	Due to conversion/carrying cost of inventory, Inventory in Japan branch & material at port.
	Trade receivables	47,416.22	47,415.69	0.53	Due to Japan branch related trade receivables adjustment as per sanctioned terms.
Q2	Inventory	32,416.38	36,617.65	(4,201.27)	Due to conversion/carrying cost of inventory, Inventory in Japan branch & material at port.
	Trade receivables	52,464.06	51,719.80	744.26	Due to Japan branch related trade receivables adjustment as per sanctioned terms.
Q3	Inventory	38,431.50	43,976.66	(5,545.16)	Due to conversion/carrying cost of inventory, Inventory in Japan branch & material at port.
	Trade receivables	55,038.24	53,977.05	1,061.19	Due to Japan branch related trade receivables adjustment as per sanctioned terms.
Q4	Inventory	45,721.24	49,681.21	(3,959.97)	Due to conversion/carrying cost of inventory, Inventory in Japan branch & material at port.
	Trade receivables	71,138.56	70,865.41	273.15	Due to Japan branch related trade receivables adjustment as per sanctioned terms.

* Amount reported above relating to Q1, Q2 and Q3 and based on unaudited books of accounts.



NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Sl No	Ratios	Numerator	Denominator	As at March 31, 2026			As at March 31, 2025			% Variance	Reason for Variance
				Numerator	Denominator	Value	Numerator	Denominator	Value		
1	Current Ratio	Current Assets	Current Liabilities	1,43,753.31	73,139.32	1.97	1,05,233.17	46,436.80	2.27	(13.27%)	Refer Note (f) below
2	Debt-equity Ratio	Total Debt - (Refer Note c)	Shareholder's Equity	Not Applicable. As closing balance of borrowing is NIL, this ratio is reported as not applicable.							
3	Debt service coverage ratio	Earnings available for debt service - (Refer Note d)	Debt Service - (Refer Note e)	24,048.25	68.29	352.15	17,561.91	21.32	823.73	(57.25%)	Due to increased utilisation of borrowings, as cash accruals from internal sources are being used for capex.
4	Return on equity ratio	Profit After Tax	Average Shareholder's Equity	21,644.35	93,235.32	0.23	15,371.00	76,850.10	0.20	16.07%	Refer Note (f) below
5	Inventory turnover ratio	Revenue from Operations	Average Inventory	1,71,666.38	41,413.37	4.15	1,26,539.62	28,459.04	4.45	(6.77%)	Refer Note (f) below
6	Trade receivables turnover ratio	Revenue from Operations	Average Trade Receivable	1,71,666.38	59,646.50	2.88	1,26,539.62	39,731.07	3.18	(9.63%)	Refer Note (f) below
7	Trade payables turnover ratio	Purchases	Average Trade Payables	1,31,528.62	30,814.26	4.27	94,502.30	18,429.27	5.13	(16.76%)	Refer Note (f) below
8	Net capital turnover ratio	Revenue from Operations	Working Capital	1,71,666.38	70,613.99	2.43	1,26,539.62	58,796.37	2.15	12.96%	Refer Note (f) below
9	Net profit ratio	Profit After Tax	Revenue from Operations	21,644.35	1,71,666.38	0.13	15,371.00	1,26,539.62	0.12	3.80%	Refer Note (f) below
10	Return on capital employed	Refer - (Note-a)	Refer - (Note-b)	24,048.25	1,04,871.77	0.23	17,561.91	85,140.03	0.21	11.17%	Refer Note (f) below
11	Return on investment	Interest Income	Investment	Not Applicable. As closing balance of investment (Other than investment in subsidiaries is NIL), this ratio is reported as not applicable.							

Note on Ratios:

- Includes Profit After Tax + Depreciation and Amortisation + Finance Cost
- Shareholder's Equity + Deferred Tax liabilities + Total debt (Refer Note No.20)
- Total debt includes working capital borrowing as company does not have long term debts
- Earnings available for debt service = Profit after tax + Depreciation and Amortisation + Finance Cost
- Debt Service = Finance Cost excluding foreign exchange difference recorded as an adjustment to borrowing cost
- % of variance is less than 25%, hence no reasons are mentioned

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

55 RECENT ACCOUNTING PRONOUNCEMENTS

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. For the year ended March 31, 2026, MCA has notified below new standards or amendments that are applicable or may have a material impact to the Company

Amendment to Ind AS 1 - Classification of liabilities as current or non-current and non-current liabilities with covenants:

The amendment specifies the requirements for classifying liabilities as current or non-current in the balance sheet, and clarifies the following:

- a. An entity's right to defer settlement of a liability for at least twelve months after the reporting period must have substance and must exist at the end of the reporting period. The classification of a liability as current or non-current is unaffected by the likelihood that the entity will exercise its right to defer settlement.
- b. If an entity's right to defer settlement of a liability is subject to covenants, such covenants affect whether that right exists at the end of the reporting period only if the entity is required to comply with the covenant on or before the end of the reporting period.
- c. In case of a liability that can be settled, at the option of the counterparty, by the transfer of the entity's own equity instruments, such settlement terms do not affect the classification of the liability as current or non-current only if the option is classified as an equity instrument.

These amendments have no effect on the measurement of any items in the standalone financial statements of the Company. The Company did not make retrospective adjustments as a result of adopting the amendments to Ind AS 1.

Amendment to Ind AS 12 – Pillar-Two Tax Reforms:

The Organisation for Economic Co-operation and Development (OECD) has released model rules for a global minimum tax under the Pillar Two framework (Pillar Two model rules). The Pillar Two framework applies to constituent entities of Multinational Enterprise (MNE) Groups whose consolidated annual revenues meet or exceed the prescribed threshold of EUR 750 Million (approximately ₹ 6,800 Crore) in at least two of the four preceding fiscal years.

The Company and its constituent entities do not fall within the scope of the Pillar Two framework. These amendments had no effect on the standalone financial statements of the Company.

Amendment to Ind AS 7 and Ind AS 107 – Supplier Finance Arrangement:

The amendments to Ind AS 7 'Statement of Cash Flows' and Ind AS 107 'Financial Instruments: Disclosures' clarify the characteristics of supplier finance arrangements and require additional disclosures for such arrangements. The disclosure requirements in the amendments are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

These amendments had no effect on the standalone financial statements of the Company.

Amendment to Ind AS 21-Lack of exchangeability

The Amendments introduces requirement to assess when a currency is exchangeable into another currency and when it is not. The amendment requires an entity to estimate the spot exchange rate when it concludes that a currency is not exchangeable into another currency.

These amendments had no effect on the standalone financial statements of the Company.

NOTES FORMING PART OF STANDALONE FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

The below amendments are notified but not yet effective :

Amendment to Ind AS 1 ‘Presentation of Financial Statements’- Classification of Liabilities as current or non-current and non-current liabilities with covenants:

The amendment includes specific provisions that will take effect for reporting periods beginning on or after April 01, 2026, retrospectively, as outlined below:

- Breach of material covenant for long-term loan arrangement on or before end of reporting period with effect that liability becomes payable on demand as on reporting date, then it shall be classified as current liability, if lender agreed after reporting period and before approval of financial statements to not demand payment as a consequence of breach.
- Classify as non-current liability, if lender agreed by end of reporting period to provide grace period ending at least 12 months after reporting period within which entity can rectify the breach provided lender does not demand immediate repayment.
- Disclose information about the timing of settlement to understand the impact of the liability on the financial statements.

The Company does not expect this amendment to have an impact on its operations or standalone financial statements.

56 LABOUR CODE NOTE

On November 21, 2025, the Government of India notified provisions of the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020 and the Occupational Safety, Health and Working Conditions Code, 2020 (collectively referred to as the “Labour Codes”), which consolidate twenty-nine existing labour laws into a unified framework governing employee benefits during employment and post-employment. The Labour Codes, inter alia, introduce changes including a uniform definition of wages and enhanced benefits relating to leave.

The Company has evaluated the implications arising from the implementation of the Labour Codes and, based on the assessment carried out, no material impact has been identified on the gratuity liability, leave liability or other employee benefit obligations as at March 31, 2026. Accordingly, no adjustment has been considered necessary in the Standalone Financial Statements for the year ended March 31, 2026.

The Company continues to monitor developments relating to the Labour Codes and will evaluate the impact, if any, on the measurement of employee benefit liabilities.

57 PRIOR PERIOD COMPARATIVES

The previous year’s figures have been regrouped where necessary to confirm with current year’s classification. The impact of such regrouping is not material to the standalone financial statements.

For and on behalf of Board of Directors of
TD Power Systems Limited
CIN No. L31103KA1999PLC025071

MOHIB N KHERICHA
Chairman
DIN: 00010365
Place: Ahmedabad

NIKHIL KUMAR
Managing Director
DIN:00062243
Place: Frankfurt

DEEPAK KUMAR SINHA
Chief Executive Officer
Place: Bangalore

M N VARALAKSHMI
Chief Financial Officer
Place: Bangalore

BHARAT RAJWANI
Company Secretary
Membership No. A50096
Place: Bangalore

Date : May 14, 2026

As per our report of even date attached

For VARMA & VARMA
Chartered Accountants
Firm Registration No. 004532S

ABRAHAM BABY CHERIAN
Partner
Membership No.218851
Place: Bangalore
Date : May 14, 2026

CONSOLIDATED FINANCIAL STATEMENTS

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INDEPENDENT AUDITOR'S REPORT

To

The Members of **TD POWER SYSTEMS LIMITED**

Report on the Audit of the Consolidated Financial Statements

OPINION

We have audited the accompanying consolidated financial statements of **TD Power Systems Limited** (hereinafter referred as “the Holding Company” or “the Company”) and its four subsidiaries (Holding Company and its subsidiaries together referred to as “the Group”), which comprise the consolidated Balance Sheet as at March 31, 2026, and the consolidated Statement of Profit and Loss (including Other Comprehensive Income), the consolidated Statement of Changes in Equity, and the consolidated Statement of cash flows for the year then ended, and notes to the consolidated financial statements, including Material accounting policies and other explanatory information (hereinafter referred to as “the consolidated financial statements”).

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements give the information required by the Companies Act, 2013 (“the Act”) in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, (“Ind-AS”) and other accounting principles generally accepted in India, of the consolidated state of affairs of the Group as at March 31, 2026, of its consolidated profit, its consolidated total comprehensive income, its consolidated changes in equity and its consolidated cash flows for the year then ended.

BASIS FOR OPINION

We conducted our audit of the consolidated financial statements, in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the “Auditor’s Responsibilities for the Audit of the Consolidated Financial Statements” section of our report. We are independent of the Group in accordance with the code of ethics issued by Institute of Chartered Accountants of India (“ICAI”) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in terms of the code of ethics issued by ICAI and the relevant provisions of the Companies Act, 2013 and the Rules

made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI’s Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the consolidated financial statements.

EMPHASIS OF MATTER

We draw attention to Note 52 in the consolidated financial statements, which describes the basis on which the going concern assumption in the preparation of financial statements of the subsidiary is considered appropriate. The Independent auditor of the subsidiary mentioned in note no. 52 to the consolidated financial statements, has expressed material uncertainty that may cast significant doubt about the subsidiary’s ability to continue as a going concern, however according to the information and explanations given to us by the Management and based on audit procedures performed by us, the financial information of the subsidiary mentioned above is not material to the group.

Our opinion is not modified in respect of this matter.

KEY AUDIT MATTERS

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

REVENUE RECOGNITION FOR CONTRACTS WITH CUSTOMERS

Reasons why the matter was determined to be a key audit matter: The Group generates a significant portion of the business by manufacturing AC Generators and Electric Motors for various applications which are specifically designed and tailor-made to suit the needs of the customers based on their requirements and specifications. The Group recognizes revenue in accordance with IND AS 115 Revenue from contracts with customers, generally when or as the entity satisfies a performance obligation by transferring a promised goods or services to a customer; i. e. when the customer is able to direct the use of the transferred goods or

INDEPENDENT AUDITOR'S REPORT (CONTD.)

services and obtains substantially all of the remaining benefits, provided a contract with enforceable rights and obligations exists and amongst others collectability of consideration is probable taking into account the creditworthiness of the customers. (Refer to note 1.6 and 27 to the Consolidated financial statements). These assessments include, in particular, the scope of deliveries and services required to fulfil contractually defined obligations.

Auditor's response: As part of our audit, in view of the significance of the matter, the following key audit procedures were performed by us:

- Assessed the compliance of the Group's revenue recognition accounting policies with applicable accounting standards.
- we obtained an understanding of the Group's internally established methods, processes and control mechanisms from order to delivery. We have also assessed the design and operating effectiveness of the internal controls by obtaining an understanding of such business transactions, and testing controls over these processes.
- As part of our substantive audit procedures, we evaluated the management's assumptions based on a risk-based selection of a sample of contracts. We have carried out verification of documents relating to these sales that include the documents for final testing, dispatch of goods or acknowledgement of acceptance of the goods. We performed cut-off procedures to ensure that all year-end sales are in line with the revenue recognition policy of the Group. The performance of obligations is considered to be complete, generally when the testing of goods is completed/customer has accepted the goods.

INFORMATION OTHER THAN THE CONSOLIDATED FINANCIAL STATEMENTS AND AUDITOR'S REPORT THEREON

The Holding Company's management and Board of Directors are responsible for the other information. The other information comprises the Management Discussion and Analysis, Board of Directors' report, Corporate Governance Report and other information published along with but does not include the consolidated financial statements and our auditor's report thereon. The Management Discussion and Analysis, Board of Directors' report, Corporate Governance Report etc., is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the other information identified above, based on the work we have performed, If we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance and take necessary actions, as applicable under the relevant laws and regulations.

RESPONSIBILITIES OF MANAGEMENT AND THOSE CHARGED WITH GOVERNANCE FOR THE CONSOLIDATED FINANCIAL STATEMENTS

The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated financial statements in terms of the requirements of the Companies Act, 2013 that give a true and fair view of the consolidated financial position, consolidated financial performance including other comprehensive income, consolidated changes in equity and consolidated cash flows of the Group in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act, read with relevant rules issued thereafter. The respective management and Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Group and for preventing and detecting frauds and other irregularities; the selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated financial statements by the Directors of the Holding Company, as aforesaid.



INDEPENDENT AUDITOR'S REPORT (CONTD.)

In preparing the consolidated financial statements, the respective Board of Directors of the companies included in the group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group are responsible for overseeing the financial reporting process of the Group.

AUDITOR'S RESPONSIBILITIES FOR THE AUDIT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Companies Act, 2013, we are also responsible for expressing our opinion on whether

the Company has adequate internal financial controls with reference to consolidated financial statements in place and the operating effectiveness of such controls.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit of the financial statements of Holding Company. For the entities included in the consolidated financial statements, which have been audited by other auditors/ Independent firm of Chartered Accountants, such other auditors/ Independent firm of Chartered Accountants remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

INDEPENDENT AUDITOR'S REPORT (CONTD.)

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

OTHER MATTERS

- i. We did not audit the financial statements of Japan Branch whose financial statements reflect total assets of Rs. 1,488.25 Lakhs as at March 31, 2026, total revenues of Rs. 2,707.26 lakhs and total net profit/(loss) after tax of Rs.(967.53) Lakhs and net cash inflow/(out flows) amounting Rs.(97.66) lakhs for the year ended on that date, as considered in the consolidated financial statements. These financial statements of the Branch have been audited by the branch auditors whose report has been furnished to us, and our opinion in so far as it relates to the amounts and disclosures included in respect of the Branch, is based solely on the report of such Branch Auditors.
- ii. We did not audit the financial statements of one Indian Subsidiary, whose financial statements reflect total assets of Rs. 823.64 lakhs as at March 31, 2026, total revenue of Rs. 5.44 Lakhs and net profit/(loss) after tax of Rs. (8.75) Lakhs and net cash inflow/(out flows) amounting Rs. 1.64 Lakhs for the year ended March 31, 2026 as considered in the consolidated financial statements. These financial statements have been audited by the auditor of that company whose audit report has been furnished to us by the management and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in
- iii. We did not audit the special purpose financial statements of three foreign subsidiaries, whose financial statements reflect total assets of Rs. 29,890.92 lakhs as at March 31, 2026, total revenue of Rs. 56,745.38 Lakhs, net profit/(loss) after tax of Rs. 1,781.55 Lakhs and net cash inflow/(out flows) of Rs. 1,545.93 Lakhs for the year ended March 31, 2026 considered in the consolidated financial statements. The special purpose financial statements of these three foreign subsidiaries prepared for the purpose of consolidation have been audited by an independent firm of Chartered Accountants in India whose audit report has been furnished to us by the management, and our opinion on the consolidated financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries and our report in terms of subsection 3 of section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, is based solely on the reports of that independent firm of Chartered Accountants in India.

Our opinion on the consolidated financial statements, and our Report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors/Independent firm of Chartered Accountants.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

1. With respect to the matters specified in paragraphs 3(xxi) and 4 of the Companies (Auditor's Report) Order, 2020 (the "Order"/ "CARO") issued by the Central Government in terms of Section 143(11) of the Act, to be included in the Auditor's report, according to the information and explanations given to us, and based on the CARO report issued by us for the Holding Company and CARO report issued by the auditor of the subsidiary company incorporated in India, to which reporting under CARO is applicable, we report that there are no qualifications or adverse remarks in CARO reports except for:

INDEPENDENT AUDITOR'S REPORT (CONTD.)

Sl. No	Name	(CIN)	Holding / Subsidiary Company	Clause number of the CARO report which is qualified or adverse
1	TD Power Systems Limited	L31103KA1999PLC025071	Holding company	Clause (vii) (b)
2	DF Power Systems Private Limited	U51505KA2007PTC041717	Subsidiary company	Clause (vii) (b) Clause (xvii) Clause (xix)

2. As required by Section 143 (3) of the Act, we report that:
 - a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit of the aforesaid consolidated financial statements.
 - b. In our opinion, proper books of account as required by law relating to the preparation of the aforesaid consolidated financial statements have been kept so far as it appears from our examination of those books and the reports of the other auditors/ Independent firm of Chartered Accountants except for the matters stated in paragraph 2(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.
 - c. The consolidated Balance Sheet, the consolidated Statement of Profit and Loss including Other Comprehensive Income, consolidated Statement of Changes in Equity and the consolidated Statement of Cash Flows dealt with by this report are in agreement with the relevant books of account/ statements maintained for the purpose of preparation of the consolidated financial statements.
 - d. In our opinion, the aforesaid consolidated financial statements comply with the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act, as amended from time to time.
 - e. On the basis of the written representations received from the directors of the holding company as on 31st March, 2026 taken on record by the Board of Directors of the holding company and report of the statutory auditors of its subsidiary company incorporated in India, none of the directors of the group companies incorporated in India are disqualified as on 31st March, 2026 from being appointed as a director in terms of Section 164 (2) of the Act.
 - f. The modifications relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2(b) above on reporting under Section 143(3)(b) of the Act and paragraph 2(h)(vi) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.
 - g. With respect to the adequacy of the internal financial controls with reference to consolidated financial statements and the operating effectiveness of such controls, refer to our separate report in 'Annexure A' which is based on the auditors report of the Company and its subsidiary company incorporated in India.
 - h. With respect to the other matters to be included in the Auditor's report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - i. the group has disclosed pending litigations in its consolidated financial statements, the impact if any on the final settlement of these litigations on its financial position is not ascertainable at this stage – Refer Note No 46(a) to the consolidated financial statements;
 - ii. the group has made provision as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts – Refer Note No 46(b) financial statements; and
 - iii. there has been no delay in transferring amounts required to be transferred to the Investor Education and Protection Fund by the Holding Company during the year. Based on the auditors' reports of its subsidiary company incorporated in India, there was no amount which

INDEPENDENT AUDITOR'S REPORT (CONTD.)

was required to be transferred during the year to the Investor Education and Protection Fund by the subsidiary company incorporated in India – Refer Note no. 46(c) to the consolidated financial statements;

iv.

- a) The respective Management of the Holding company and its subsidiaries which are companies incorporated in India, whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries, to the best of their knowledge and belief, as disclosed in Note No.46(d) to the consolidated financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company or any such subsidiaries to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company or any of such subsidiaries ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;
- b) The respective Management of the Holding company and its subsidiary which are companies incorporated in India, whose financial statements have been audited under the Act have represented to us and the other auditors of such subsidiaries, to the best of their knowledge and belief, as disclosed in Note No. 46(e) to the consolidated financial statements,

no funds have been received by the Company or any of such subsidiaries, from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company or any of such subsidiaries, shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and

- c) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances performed by us and performed by the auditors of the subsidiary which is incorporated in India whose financials statements have been audited under the Act, nothing has come to our or other auditors notice that has caused us or other auditors to believe that the representations under sub clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement;

v.

- a) The final dividend paid by the Holding Company during the year in respect of the declared for the previous year is in accordance with section 123 of the Companies Act, 2013 to the extent it applies to payment of dividend.
- b) The interim dividend declared and paid by the Holding Company during the year and until the date of this audit report is in accordance with the section 123 of the Companies Act, 2013.

INDEPENDENT AUDITOR'S REPORT (CONTD.)

- c) As stated in Note 49(b) to the consolidated financial statements, the Board of Directors of the Holding company have proposed final dividend for the financial year 2025-26 which is subject to the approval of the members at the ensuing Annual General Meeting. The amount of dividend proposed is in accordance with section 123 of the Act, to the extent it applies to proposed dividend.

As stated in the auditors' report by the other auditor on the financials statements of the subsidiary company incorporated in India, no dividends were proposed, declared or paid by the said subsidiary during the year;

vi.

- (A). Based on our examination and audit procedures carried by us which included test checks, the Holding Company has used accounting software for maintaining its books of account for the financial year ended March 31, 2026 which has the feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the software, except for audit trail for Bank Master creation was not enabled during the year. Further, during the course of our audit, we did not come across any instance of the audit trail feature being tampered with and the audit trail has been preserved by the Company as per the statutory requirements for record retention.

- (B). Auditors' Report issued by the other auditor on the financials statements of the subsidiary company incorporated in India has reported as follows

"Based on our examination, which included test checks, the Company has used accounting software for maintaining its books of accounts which doesn't have a feature of recording audit trail (edit log) facility during the year. However, considering the size of the Company this may not have a material impact on the operations of the Company. Since audit trail is not maintained in the accounting software, we are unable to comment on the retention of the same."

3. With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended.

In our opinion and to the best of our information and according to the explanations given to us, as per the verification of the records of the Holding Company, the remuneration paid by the Holding Company to its directors during the year is within the limit laid down under the provisions of section 197 of the Act. The remuneration paid to any director by the Holding Company is not in excess of the limit laid down under Section 197 of the Act. The Ministry of Corporate Affairs has not prescribed any other details under Section 197(16) of the Act which are required to be commented upon by us.

Based on the report of the statutory auditors of subsidiary company incorporated in India, the said subsidiary has not paid any remuneration to its directors during the year.

For **VARMA & VARMA**
Chartered Accountants
FRN 004532S

ABRAHAM BABY CHERIAN
Partner

M. No. 218851

UDIN : 26218851PGCOGR6564

Place : Bangalore
Date : May 14, 2026

ANNEXURE A TO THE INDEPENDENT AUDITOR'S REPORT

Annexure Referred to in Para 2 (g) "Report on Other Legal and Regulatory Requirements" of the Independent Auditor's Report

REPORT ON THE INTERNAL FINANCIAL CONTROLS WITH REFERENCE TO CONSOLIDATED FINANCIAL STATEMENTS UNDER CLAUSE (I) OF SUB-SECTION 3 OF SECTION 143 OF THE COMPANIES ACT, 2013 ("THE ACT")

In conjunction with our audit of the consolidated financial statements of the **TD Power Systems Limited** ("Holding Company") of and for the year ended March 31, 2026. We have audited the internal financial controls with reference to consolidated financial statements of the Holding company and its subsidiary company incorporated in India as of that date.

Management's Responsibility for Internal Financial Controls

The Board of Directors of the Holding Company and Board of Directors of the subsidiary company incorporated in India are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to consolidated financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditors' Responsibility

Our responsibility is to express an opinion on the internal financial controls with reference to consolidated financial statements of the Company and its subsidiary companies, which are companies incorporated in India, based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India and the Standards on Auditing prescribed under

section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls with reference to consolidated financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to consolidated financial statements and their operating effectiveness. Our audit of internal financial controls with reference to consolidated financial statements included obtaining an understanding of internal financial controls with reference to consolidated financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained and audit evidence obtained by the auditor of the subsidiary company incorporated in India in terms of their report referred to in the "Other Matters" paragraph below, is sufficient and appropriate to provide a basis for our audit opinion on the internal financial controls with reference to consolidated financial statements of the Holding Company and its subsidiary company incorporated in India.

Meaning of Internal Financial Controls with reference to consolidated financial statements.

A company's internal financial control with reference to consolidated financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control with reference to consolidated financial statements includes those policies and procedures that;

ANNEXURE A TO THE INDEPENDENT AUDITOR'S REPORT (CONTD.)

- 1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company;
- 2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and
- 3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with reference to consolidated financial statements.

Because of the inherent limitations of internal financial controls with reference to consolidated financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to consolidated financial statements to future periods are subject to the risk that the internal financial controls with reference to consolidated financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Place : Bangalore
Date : May 14, 2026

Opinion

In our opinion and based on the report of the auditors of its subsidiary company incorporated in India, the Holding Company and its subsidiary company incorporated in India, have, in all material respects, an adequate internal financial controls with reference to consolidated financial statements and such internal financial controls with reference to consolidated financial statements were operating effectively as at March 31, 2026, based on the criteria established for internal control with reference to consolidated financial statements by the Holding Company and its subsidiary company incorporated in India considering the essential components of internal controls stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India, except for the matters stated in paragraph 2(h)(vi) under "Report on Other Legal and Regulatory Requirements" in our auditors report with respect to subsidiary company incorporated in India in so far it is derived from the auditors' report of the said subsidiary, which is not material to the group.

Other Matters

Our aforesaid report under section 143(3)(i) of the Act on the adequacy and operating effectiveness of the internal financial controls with reference to consolidated financial statements in so far as it relates to the subsidiary company incorporated in India is based solely on the corresponding report of the auditor of the said subsidiary incorporated in India.

For **VARMA & VARMA**
Chartered Accountants
FRN 004532S

ABRAHAM BABY CHERIAN
Partner
M. No. 218851
UDIN : 26218851PGCOGR6564

CONSOLIDATED BALANCE SHEET

AS AT MARCH 31, 2026

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Note No.	As at March 31, 2026		As at March 31, 2025	
I. ASSETS					
Non - current assets					
Property, Plant and Equipment	2	26,429.93		18,066.82	
Capital work in progress	3	1,732.46		1,658.94	
Right-of-use assets	4	1,934.92		1,720.07	
Other intangible assets	5	1,005.39		941.35	
Financial assets					
Investments	6	0.50		0.50	
Other financial assets	7	225.23		156.72	
Other non-current assets	8	1,512.70	32,841.13	2,603.70	25,148.10
Current Assets					
Inventories	9	50,305.91		37,658.39	
Financial assets					
Trade receivables	10	74,208.77		43,733.89	
Cash and cash equivalents	11	7,834.03		7,496.30	
Bank balances other than Cash and Cash equivalents	12	12,025.11		12,398.24	
Other financial assets	13	5,164.01		4,085.11	
Current tax asset - Net	14	15.00		30.76	
Other current assets	15	5,265.95	1,54,818.78	5,828.94	1,11,231.63
TOTAL ASSETS			1,87,659.91		1,36,379.73
II. EQUITY AND LIABILITIES					
Equity:					
Equity Share Capital	16	3,124.30		3,123.67	
Other Equity	17	1,04,052.13	1,07,176.43	82,906.77	86,030.44
Liabilities:					
Non-current liabilities:					
Financial Liabilities - Lease Liabilities	21	0.75		0.82	
Provisions	18	980.10		886.17	
Deferred tax liabilities (net)	19	180.08	1,160.93	276.79	1,163.78
Current liabilities:					
Financial Liabilities:					
Borrowings	20	1,809.62		1,220.75	
Lease Liabilities	21	0.37		0.22	
Trade payables	22				
- total outstanding dues of micro enterprises and small enterprises		4,871.60		2,380.30	
- total outstanding dues of creditors other than micro enterprises and small enterprises		36,301.08		20,705.56	
Other financial liabilities	23	13,629.36		10,157.43	
Other current liabilities	24	19,027.06		12,898.14	
Provisions	25	900.46		651.98	
Current tax liabilities-Net	26	2,783.00	79,322.55	1,171.13	49,185.51
TOTAL EQUITY AND LIABILITIES			1,87,659.91		1,36,379.73

Material Accounting Policies

1

The accompanying notes form an integral part of the Consolidated Financial Statements

This is the consolidated balance sheet referred to in our report of even date attached

For and on behalf of Board of Directors of

TD Power Systems Limited

CIN No. L31103KA1999PLC025071

For VARMA & VARMA

Chartered Accountants

Firm Registration No. 004532S

MOHIB N KHERICHA

Chairman

DIN: 00010365

Place: Ahmedabad

NIKHIL KUMAR

Managing Director

DIN:00062243

Place: Frankfurt

DEEPAK KUMAR SINHA

Chief Executive Officer

Place: Bangalore

ABRAHAM BABY CHERIAN

Partner

Membership No.218851

Place: Bangalore

Date : May 14, 2026

M N VARALAKSHMI

Chief Financial Officer

Place: Bangalore

BHARAT RAJWANI

Company Secretary

Membership No. A50096

Place: Bangalore

Date : May 14, 2026



CONSOLIDATED STATEMENT OF PROFIT & LOSS

FOR THE YEAR ENDED MARCH 31, 2026

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Note No.	Year ended March 31, 2026		Year ended March 31, 2025	
I REVENUE FROM OPERATIONS	27		1,85,623.38		1,27,876.17
II Other Income	28		2,129.82		2,364.95
III TOTAL INCOME (I + II)			1,87,753.20		1,30,241.12
IV EXPENSES					
Cost of materials consumed	29	1,28,067.50		89,302.81	
Purchases for spares & after market business (net of changes in inventories of stock in trade)	30	2,064.67		702.79	
Changes in inventories of finished goods and work in progress	31	(6,031.39)	1,24,100.78	(6,921.14)	83,084.46
Employee benefits expenses	32		16,556.97		12,374.88
Finance costs	33		190.32		305.84
Depreciation and amortisation expenses	34		2,299.35		1,969.85
Other expenses	35		11,994.07		9,340.74
TOTAL EXPENSES			1,55,141.49		1,07,075.77
VII Profit before tax (V-VI)			32,611.71		23,165.35
VIII Tax expense (Refer Note No.40(a) &(b))					
Current tax		8,830.93		5,467.25	
Deferred tax expense/(credit)		(96.71)	8,734.22	240.59	5,707.84
IX Profit for the year (VII-VIII)			23,877.49		17,457.51
X Other comprehensive income					
Items that will not be reclassified to profit or (loss)					
Remeasurement of Defined Benefit Plans		75.10		(118.08)	
Income tax on Defined Benefit Plans (Refer Note No.40(c))		(18.90)	56.20	29.72	(88.36)
Items that will be reclassified to profit or (loss)	37				
Exchange difference on translation of foreign operations		(312.17)		(28.95)	
Income tax on exchange difference on translation of foreign operations (Refer Note No.40(c))		(17.24)	(329.41)	(4.38)	(33.33)
Total			(273.21)		(121.69)
XI Total comprehensive income (IX+X)			23,604.28		17,335.82
XII Earnings per equity share of ₹ 2/- each					
Basic (in ₹)	38		15.29		11.18
Diluted (in ₹)			15.28		11.17

Material Accounting Policies

1

The accompanying notes form an integral part of the Consolidated Financial Statements

This is the consolidated statement of profit and loss referred in our report of even date attached

For and on behalf of Board of Directors of

TD Power Systems Limited

CIN No. L31103KA1999PLC025071

For VARMA & VARMA

Chartered Accountants

Firm Registration No. 004532S

MOHIB N KHERICHA

Chairman

DIN: 00010365

Place: Ahmedabad

NIKHIL KUMAR

Managing Director

DIN:00062243

Place: Frankfurt

DEEPAK KUMAR SINHA

Chief Executive Officer

Place: Bangalore

ABRAHAM BABY CHERIAN

Partner

Membership No.218851

Place: Bangalore

Date : May 14, 2026

M N VARALAKSHMI

Chief Financial Officer

Place: Bangalore

BHARAT RAJWANI

Company Secretary

Membership No. A50096

Place: Bangalore

Date : May 14, 2026

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED MARCH 31, 2026

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Equity Share Capital (Equity Shares of ₹ 2 each issued, subscribed and fully paidup)	Other Equity						Total Other equity attributable to equity share holders of the Company	
		Reserves and Surplus			Stock option Outstanding Account	Exchange difference on translation of foreign operations			
		Securities Premium	Retained earnings	General Reserve			Capital Redemption Reserve		Capital reserve
Balance as at April 01, 2025	3,123.67	17,753.02	61,046.02	3,385.35	230.42	718.29	92.48	(318.81)	82,906.77
Shares issued during the year to ESOP trust	0.63	-	-	-	-	-	-	-	-
Profit for the year April 01, 2025 to March 31, 2026	-	-	23,877.49	-	-	-	-	-	23,877.49
Remeasurement of defined benefit plans for the year (net of tax)	-	-	56.20	-	-	-	-	-	56.20
Exchange difference on translation of foreign operations	-	-	-	-	-	-	-	(329.41)	(329.41)
Transfer from Share option outstanding to Securities premium on exercise of ESAR	-	62.30	-	-	-	-	(62.30)	-	-
Transfer to Stock Options Outstanding account for the year (Refer Note No.50)	-	-	-	-	-	-	118.20	-	118.20
Interim Dividend (Refer Note No.49(a))	-	-	(1,561.92)	-	-	-	-	-	(1,561.92)
Final dividend paid during the year (Refer Note No.49(b))	-	-	(1,015.20)	-	-	-	-	-	(1,015.20)
Balance as at March 31, 2026	3,124.30	17,815.32	82,402.59	3,385.35	230.42	718.29	148.38	(648.22)	1,04,052.13



CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Equity Share Capital (Equity Shares of ₹ 2 each issued, subscribed and fully paidup)	Reserves and Surplus				Other Equity		Exchange difference on translation of foreign operations	Total Other equity attributable to equity share holders of the Company
		Securities Premium	Retained earnings	General Reserve	Capital Redemption Reserve	Capital reserve	Stock option Outstanding Account		
Balance as at April 01, 2024	3,123.40	17,750.75	45,551.07	3,385.35	230.42	718.29	39.55	(285.48)	67,389.95
Shares issued during the year to ESOP trust	0.27	-	-	-	-	-	-	-	-
Profit for the year April 01, 2024 to March 31, 2025	-	-	17,457.51	-	-	-	-	-	17,457.51
Remeasurement of defined benefit plans for the year (net of tax)	-	-	(88.36)	-	-	-	-	-	(88.36)
Exchange difference on translation of foreign operations	-	-	-	-	-	-	-	(33.33)	(33.33)
Transfer from Share option outstanding to Securities premium on exercise of ESAR	-	2.27	-	-	-	-	(2.27)	-	-
Transfer to Stock Options Outstanding account for the year (Refer Note No.50)	-	-	-	-	-	-	55.20	-	55.20
Interim Dividend (Refer Note No.49(a))	-	-	(937.10)	-	-	-	-	-	(937.10)
Final dividend paid during the year (Refer Note No.49(b))	-	-	(937.10)	-	-	-	-	-	(937.10)
Balance as at March 31, 2025	3,123.67	17,753.02	61,046.02	3,385.35	230.42	718.29	92.48	(318.81)	82,906.77

Refer Note No.17 & 1.1 for nature and purpose of other reserves

The accompanying notes form an integral part of the Consolidated Financial Statements

This is the consolidated statement of Changes in Equity referred to in our report of even date attached

For and on behalf of Board of Directors of

TD Power Systems Limited

CIN No. L31103KA1999PLC025071

For VARMA & VARMA

Chartered Accountants

Firm Registration No. 004532S

MOHIB N KHERICHA **NIKHIL KUMAR** **DEEPAK KUMAR SINHA** **M N VARALAKSHMI** **BHARAT RAJWANI** **ABRAHAM BABY CHERIAN**

Chairman

Managing Director

Chief Executive Officer

Chief Financial Officer

Company Secretary

Partner

DIN: 00010365

DIN:00062243

Place: Bangalore

Place: Bangalore

Place: Bangalore

Membership No.218851

Place: Bangalore

Date : May 14, 2026

Date : May 14, 2026

CONSOLIDATED STATEMENT OF CASHFLOW

FOR THE YEAR ENDED MARCH 31, 2026

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Year ended March 31, 2026		Year ended March 31, 2025	
A CASH FLOW FROM OPERATING ACTIVITIES				
Net Profit before tax		32,611.71		23,165.35
Adjustments for:				
Depreciation	1,929.62		1,602.55	
Amortisation	369.73		367.30	
(Profit)/Loss on sale of Property, Plant and Equipment	6.32		6.17	
Unbilled Revenue	25.62		(34.78)	
Interest income on financial asset - Bank Deposits	(807.55)		(1,097.66)	
Interest income on financial assets (Non-convertible debentures carried at amortised cost)	-		(35.57)	
Finance cost (including foreign exchange difference recorded as adjustment to borrowing cost)	190.32		305.84	
Compensation expenses under Employee Stock Option/ Appreciation Rights Scheme	118.20		55.20	
Unrealised foreign exchange loss/(gain) (net)	(256.76)		(1,257.00)	
Provision for doubtful debts	-		136.34	
Provision for Warranty Claims	233.45		145.93	
Provision for Compensated absences	325.75	2,134.70	306.32	500.64
Operating profit before Working Capital Changes		34,746.41		23,665.99
Adjustments for changes in working capital				
Decrease/(Increase) in trade receivables	(28,791.48)		(12,366.34)	
Decrease/(Increase) in Other Receivables	(294.94)		(4,108.64)	
Decrease/(Increase) in inventories	(12,647.52)		(12,681.88)	
(Decrease)/Increase in Trade Payables	17,846.82		8,789.88	
(Decrease)/Increase in Other Payables & Provisions	8,774.03	(15,113.09)	5,825.95	(14,541.03)
Cash generated from Operations		19,633.32		9,124.96
Direct Taxes Paid including TDS		(6,726.56)		(5,172.69)
Net Cash from/(used in) Operating Activities		12,906.76		3,952.27
B CASH FLOW FROM INVESTING ACTIVITIES				
Payment for property, plant and equipment & Capital Work in progress (net of transfer of Capital Work in progress to Property, plant and equipment)	(10,418.02)		(5,219.15)	
Payment for intangible assets (including intangible assets under development)	(433.76)		(378.03)	
Payment for leasehold land	(214.85)		-	
Proceeds from sale of property, plant and equipment	21.68		14.17	
Proceeds from maturity of investment	-		1,000.00	
Interest received on financial assets - bank deposits	857.47		1,219.79	
Net Cash from/(used in) investing activities		(10,187.48)		(3,363.22)



CONSOLIDATED STATEMENT OF CASHFLOW FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Year ended March 31, 2026		Year ended March 31, 2025	
C CASH FLOW FROM FINANCING ACTIVITIES				
Proceeds from/(Repayment of) working capital borrowings (net)	588.87		1,220.75	
Proceeds from issue of shares to ESOP Trust	0.63		0.27	
Interest Paid	(68.29)		(21.32)	
Dividend Paid	(2,577.12)		(1,874.20)	
Net Cash from/(used in) financing activities		(2,055.91)		(674.50)
Net Foreign exchange difference on translation of foreign operations (Net of tax)		(329.41)		(33.33)
Net increase/(decrease) in cash and cash equivalents		333.96		(118.78)
Effect of exchange rate changes on the balance of cash and cash equivalents held in foreign currencies		3.77		(0.55)
Cash and cash equivalents at the beginning of the year		7,496.30		7,615.63
Cash and cash equivalents at the end of the year		7,834.03		7,496.30
Cash and cash equivalents at the end of the year- Constitute				
Balances with banks				
In current accounts		4,610.29		5,803.37
In EEFC Account		728.44		790.81
In deposit accounts with Original maturity less than 3 months		2,487.68		900.00
Cash on hand		7.62		2.12
Total Cash & Cash equivalents		7,834.03		7,496.30

NOTES : Cashflows are reported using the indirect method. Closing Cash and cash equivalents is after adjusting translation gain/loss.

Expenditure towards CSR activities: ₹ 337.89 lakhs (PY: ₹ 242.45 lakh)

The accompanying notes form an integral part of the Consolidated Financial Statements

Reconciliation of liabilities arising from financing activities:

Amounts in Indian Rupees in lakhs

Particulars	Opening Balance	Cash Inflows (net)	Cash outflows	Non-cash changes	Closing Balance
Working capital borrowings - Current Year	1,220.75	588.87	-	-	1,809.62
Working capital borrowings - Previous Year	-	1,220.75	-	-	1,220.75
Dividends payable - Current Year	-	-	(2,577.12)	-	-
Dividends payable - Previous Year	-	-	(1,874.20)	-	-
Interest payable - Current Year	-	-	(68.29)	-	-
Interest payable - Previous Year	-	-	(21.32)	-	-

This is the consolidated statement of cash flow referred to in our report of even date attached

For and on behalf of Board of Directors of

TD Power Systems Limited

CIN No. L31103KA1999PLC025071

For VARMA & VARMA

Chartered Accountants

Firm Registration No. 004532S

MOHIB N KHERICHA

Chairman

DIN: 00010365

Place: Ahmedabad

NIKHIL KUMAR

Managing Director

DIN:00062243

Place: Frankfurt

DEEPAK KUMAR SINHA

Chief Executive Officer

Place: Bangalore

ABRAHAM BABY CHERIAN

Partner

Membership No.218851

Place: Bangalore

Date : May 14, 2026

M N VARALAKSHMI

Chief Financial Officer

Place: Bangalore

BHARAT RAJWANI

Company Secretary

Membership No. A50096

Place: Bangalore

Date : May 14, 2026

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION

FOR THE YEAR ENDED MARCH 31, 2026

1 CORPORATE INFORMATION

The TD Power Systems Limited ('The Company/The Parent Company/The Holding Company') is incorporated and domiciled in India. Consequent to a Special Resolution of the Members, passed at the Company's Extra Ordinary General Meeting held on January 17, 2011, the Company was converted to a Public Limited Company by altering its Articles of Association in terms of Section 31 read with Section 44 of the Companies Act 1956, and a fresh Certificate of Incorporation dated February 04, 2011 was issued by the Registrar of Companies, Karnataka. The registered office of the Company is located at Dabaspet, Nelamangala Taluk Bangalore — 562 111. The Company is engaged in manufacturing AC Generators and Electric Motors for various applications which are specifically designed and tailor-made to suit the needs of the customers based on their requirements and specifications.

The consolidated financial statements for the year ended March 31, 2026 were approved by the Board of Directors and authorised for issue on May 14, 2026.

The Company's subscription to the Share Capital of its Wholly Owned Subsidiaries are as follows: -

- The Company subscribed to a Wholly Owned Subsidiary in United States of America under the name M/s TD Power Systems (USA) Inc. incorporated as Delaware Corporation on February 20, 2013 located at Ohio. The Company subscribed to 80,100 shares of USD 10/- each
- The Company acquired 100% shareholding of a company named Platin 1255 GmbH in Germany during January 2016 and subsequently changed its name to M/s TD Power Systems Europe GMBH during March 2016. The Company subscribed to 5,50,000 shares of Euro 1 each
- The Company acquired 100% shareholding of a company named TD Power Systems Jenerator Sanayi Anonim Sirketi in Turkey during June 2017. The Company subscribed to 12,782 shares of Lira 100 each
- 59,99,998 Equity Shares of ₹ 10 each in D F Power Systems Private Limited (excluding beneficial interest relating to two shares held by the Directors of the Company).

MATERIAL ACCOUNTING POLICIES

1.1 Statement of Compliance:

a. Principles of Consolidation:

Subsidiaries:

The financial statements of the subsidiary companies used in the consolidation are drawn up to the same reporting date as of the Company. The financial statements of the subsidiary companies have been prepared in accordance with Ind AS.

The financial statements of the Company and its subsidiary companies ("Group") have been combined on a line by line basis by adding together like items of assets, liabilities, income and expenses. Inter-company balances and transactions and unrealised profits or losses have been fully eliminated.

The share of equity in the subsidiary company as on the date of investment in excess of cost of investment of the Group, is recognised as 'Capital Reserve' and shown under the head 'Reserves and Surplus', in the consolidated financial statements.

1.2 Basis of preparation of consolidated financial statements:

The consolidated financial statements have been prepared on going concern basis and on accrual method of accounting in accordance with Indian Accounting Standards. Historical cost is used except for certain financial assets and liabilities that are measured at fair values at the end of each reporting period, as explained in accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for goods and services. The consolidated financial statements are presented in Indian Rupees ('₹ /INR/') and all values are rounded to the nearest lakhs(₹ 00,000), except when otherwise indicated.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, regardless of whether that price is directly observable or estimated using another valuation technique.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

1.3 Use of estimates and judgments:

The preparation of the financial statements in conformity with recognition and measurement principles of Ind AS requires management of the Company to make estimates, judgments and assumptions. These estimates, judgments and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and reported amounts of revenues and expenses for the period presented. Application of accounting policies that require critical accounting estimates involving complex and subjective judgments and the use of assumptions in these financial statements have been disclosed below. Accounting estimates could change from period to period and actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

The areas involving significant estimates and assumptions are as follows:

- (i) Measurement of useful lives of Property, Plant and Equipment and Intangible assets [Note 1.5(b), Note 2 & Note 5]
- (ii) Estimation of Employee benefits (Defined benefits) [Note 1.13(e), 1.13(c) & 43]
- (iii) Impairment of assets [Note 1.11 & Note 1.18(vii)]
- (iv) Estimation of taxes on income [Note 1.16 & Note 19]
- (v) Provisions and contingencies [Note 1.23, Note 39 and Note 47]

1.4 Current versus non-current classification:

The Company presents assets and liabilities in the balance sheet based on current/ non-current classification.

- a** An asset is treated as current when it is:
- Expected to be realised or intended to be sold or consumed in normal operating cycle.
 - Held primarily for the purpose of trading
 - Expected to be realised within twelve months after the reporting period, or

- Cash or Cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

- b** A liability is treated as current when it is:
- Expected to be settled in normal operating cycle
 - Held primarily for the purpose of trading
 - Due to be settled within twelve months after the reporting period, or
 - There is no right to defer the settlement of the liability for at least twelve months after the reporting period

All other liabilities are classified as non-current.

- c** Deferred tax assets/ liabilities are classified as non-current assets/ liabilities.
- d** Based on the nature of products/activities of the Company and the normal time between acquisition of the assets and the realisation in cash and cash equivalents, the Company has determined its operating cycle as 12 months for the purpose of classification of its assets and liabilities as current and non-current.

1.5 Critical Accounting Estimates:

a Property, Plant and Equipment:

Property, plant and equipment represent a significant proportion of the asset base of the Company. The charge in respect of periodic depreciation is derived after determining an estimate of an asset's expected useful life and the expected residual value at the end of its life. The useful lives and residual values of company's assets are determined by management at the time the asset is acquired and reviewed periodically, including at each financial year end. The lives are based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology.

b Intangible Assets

The capitalisation of cost in intangible asset under development is based on judgement of the management that technological and

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

economical feasibility is confirmed and that the assets will generate economic benefits in future. Based on the evaluations carried out the Company's management has determined that there is no factor which indicate that these assets have suffered any impairment loss.

c **Provision and Contingent liability**

The Company reviews pending cases, claims by third party and other contingencies, if any on an on-going basis. For contingent losses that are considered probable, estimated loss is recorded as an accrual in consolidated financial statements. A disclosure for contingent liabilities is made where there is a possible obligation that may probably not require an outflow of resources. When there is a possible obligation where the likelihood of outflow of resources is remote, no provision or disclosure is made in the financial statements. Gain contingencies are not recognised until the contingencies are resolved and the amounts are received or recoverable.

d **Provision for Credit loss**

The Company reviews the position of trade receivable and ascertains a provision for life time credit loss after considering the industry and economic conditions in which customer operate, the profile of the customer and the past experience.

e **Defined benefit plans**

The cost of the defined benefit plan and other postemployment benefits and the present value of such obligations are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

1.6 Revenue Recognition:

The Company recognises revenue, when or as the entity satisfies a performance obligation by

transferring a promised goods or services to a customer; i. e. when the customer is able to direct the use of the transferred goods or services and obtains substantially all of the remaining benefits, provided a contract with enforceable rights and obligations exists and amongst others collectability of consideration is probable taking into account our customer's creditworthiness. With regards to the sale of products (a) where delivery is not considered to have occurred, and therefore no revenues are recognised, until the customer has taken title to the products and assumed the risks and rewards of ownership of the products specified in the purchase order or sales agreement. (b) Where dispatch has not been done but tests have been completed as per the terms agreed with the customer, revenue is the transaction price the Company expects to be entitled to. Consideration is adjusted for the time value of money if the period between the transfer of goods or services and the receipt of payment is substantial and there is a significant financing benefit either to the customer or Company. If a contract contains more than one distinct good or service, the transaction price is allocated to each performance obligation based on relative stand-alone selling prices. If stand-alone selling prices are not observable, the Company reasonably estimates those. Revenue is recognised for each performance obligation either at a point in time or over the time.

Revenues from services:

Revenues are recognised over time on a straight-line basis or, if the performance pattern is other than straight-line, as services are provided, i. e. the progress towards complete satisfaction using input method or output method.

Revenue recognised by the Company where services are rendered to the customer and for which invoice has not been raised (which we refer as unbilled revenue) are classified as contract assets. Amount collected from the customer and services have not yet been rendered are classified as contract liabilities.

Dividend Income:

Revenue is recognised when the Company's right to receive the payment is established.

Interest Income:

Interest income is recognised using effective interest rate method. The effective interest rate is

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to the gross carrying amount of financial asset. Interest income from financial asset is recognised when it is probable that the economic benefits will flow to the Company and the amount of income can be measured reliably.

1.7 Export Incentives:

Export incentives are recognised in the statement of profit and loss when the right to receive credit as per the terms of the scheme is established in respect of exports made and when there is no significant uncertainty regarding the ultimate collection of the relevant export proceeds.

1.8 Property, plant and equipment (PPE):

Initial Measurement:

Free hold land is carried at historical cost. All other items of Property, Plant and Equipment's are carried at cost of acquisition/construction net of recoverable taxes, less accumulated depreciation / amortisation and impairment losses, if any. The cost includes directly attributable expenses relating to the acquisition and bringing the assets to the location and condition of use net of any sale proceeds and finance cost till assets are put to use, are capitalised. Stores, spares and parts which can be used only in connection with an item of plant or equipment and whose useful life is expected to be irregular are capitalised and depreciated over the useful life of the principal item of the relevant assets.

Subsequent expenditure relating to property, plant and equipment is capitalised only when it is probable that future economic benefits associated with these will flow to the Company and the cost of the item can be measured reliably. Repairs and maintenance costs are recognised in the statement of profit and loss when incurred.

Interest cost incurred for constructed assets is capitalised up to the date the asset is ready for its intended use, based on borrowings incurred specifically for financing the asset or the weighted average rate of all other borrowings, if no specific borrowings have been incurred for the asset.

Property, Plant and Equipment manufactured internally are capitalised at Factory Cost incurred up to the date the asset is ready for its intended use

Capital Work in Progress:

Property, Plant and Equipment which are not yet ready for their intended use are carried at cost, comprising direct cost and related incidental expenses. Advances paid towards acquisition of PPE outstanding at each balance sheet date are classified as Capital advances under other non-current assets.

Depreciation and amortisation:

- Depreciation on Property, Plant and Equipments is provided using straight line method (SLM) with reference to the estimated useful life of the Property, Plant and Equipment less its residual value as prescribed under Schedule II of the Companies Act 2013, or useful life of the asset as estimated by the management, whichever is lower. Property, Plant and Equipment costing below ₹ 5,000/- are depreciated fully. Depreciation is charged for complete quarter on addition/deletion.
- Freehold land is not depreciated.
- Depreciation is not recorded on capital work-in-progress until construction and installation are complete and the asset is ready for its intended use.

The estimated useful lives are as mentioned below:

Type of Assets	Useful Life
Factory Building	30 Years
Non-factory Buildings	60 Years
Plant & Machinery - Double shift basis	10 Years
Office Equipments	5 Years
Furniture and Fixtures	10 Years
Computers	3 Years
Computer Server	6 Years
Communication Equipment	5 Years
Motor Vehicles	8 Years

Derecognition:

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of PPE is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in statement of profit or loss.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

1.9 Intangible Assets:

Intangible assets with finite lives that are acquired are carried at cost or fair value as of the date of acquisition, as applicable, less accumulated amortisation and accumulated impairment losses, if any. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

Intangible assets consist of technical knowhow / license fees / softwares which are amortised over a period of 5 years on a straight-line basis being the estimated useful life.

1.10 Research & Development

Expenditure on research activity undertaken is charged to the Statement of Profit & Loss as and when incurred during the year to their natural head of accounts. The expenditure incurred includes cost of materials, salaries & wage and other revenue expenditure.

Development costs are capitalised only after the technical and commercial feasibility of the asset for sale or use has been established.

Capital Expenditure is categorised and disclosed separately as Research & Development Property Plant and Equipment and depreciation is charged as disclosed in Sl. No.1.8 above.

1.11 Impairment of Assets:

a. Financial assets (other than at fair value):

The Company assesses at the end of each reporting period, whether a financial asset or a group of financial assets is impaired. Ind AS 109 requires expected credit losses to be measured through a loss allowance. The Company recognises lifetime expected losses for all contract assets and / or all trade receivables that do not constitute a financing transaction. For all other financial assets, expected credit losses are measured at an amount equal to the 12 month expected credit losses or at an amount equal to the life time expected credit losses if the credit risk on the financial asset has increased significantly since initial recognition.

b. Non-Financial Assets:

Property, plant and equipments and intangible assets

Property, plant and equipment and intangible assets with finite life are evaluated for recoverability whenever there is any indication that their carrying amounts may not be recoverable. If any such indication exists, the recoverable amount (i.e. higher of the fair value less cost to sell and the value-in-use) is determined on an individual asset basis unless the asset does not generate cash flows that are largely independent of those from other assets. In such cases, the recoverable amount is determined for the cash generating unit (CGU) to which the asset belongs.

If the recoverable amount of an asset (or CGU) is estimated to be less than its carrying amount, the carrying amount of the asset (or CGU) is reduced to its recoverable amount. An impairment loss is recognised in the statement of profit and loss.

1.12 Inventories:

Inventories are valued at cost or net realisable value, whichever is lower. Raw materials and bought out items are valued on first in first out basis and includes material cost, carriage inward, insurance and purchase related expenses. Cost in respect of work in progress and finished goods include appropriate portion of overheads. Net realisable value represents the estimated selling price for inventory less all estimated cost of completion and cost necessary to make the sale.

1.13 Employee Benefits:

Employee benefits include provident fund, pension fund, employee state insurance scheme, compensated absences and gratuity.

a. Short-term employee benefits:

The undiscounted amount of short-term employee benefits expected to be paid in exchange for the services rendered by the employees are recognised during the year when the employees render the service. These benefits include performance incentive and compensated absences which are expected to occur within twelve months after the end of the period in which the employee renders the related services.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

b. Long-term employee benefits -

Long term employee benefits include compensated absences which are not expected to occur within twelve months after the end of the period in which the employee renders the related services are recognised as a liability at the present value of the defined benefit obligation as at balance sheet date less the fair value of the plan assets, if any out of which the obligations are expected to be settled.

c. Defined Benefit Plans:

For defined benefit plans in the form of Gratuity (funded), the cost of providing benefits is determined using the Projected Unit Credit method, with actuarial valuation being carried out at the end of each reporting period, taking effect of actuarial gains and losses which is recognised in Other Comprehensive Income. The amount is funded to gratuity fund administered by the trustees and managed by Life Insurance Corporation of India.

Re-measurement of net defined benefit liability/ asset pertaining to gratuity comprise of actuarial gains/ losses (i.e. changes in the present value resulting from experience adjustments and effects of changes in actuarial assumptions) and is reflected immediately in the balance sheet with a charge or credit recognised in other comprehensive income in the period in which they occur. Re-measurement recognised in other comprehensive income is reflected immediately in retained earnings and is not reclassified to statement of profit or loss.

The net interest cost is calculated by applying the discount rate to the net balance of the defined benefit obligation and the fair value of plan assets. This cost is included in employee benefit expenses in the statement of profit and loss.

Past service cost is recognised immediately in the statement of profit and loss. The benefits obligation in respect of gratuity recognised in the Balance Sheet represents the present value of the defined benefit obligation as adjusted for present value plan assets including refunds and reductions if any available as against future contributions to the scheme.

d. Defined Contribution Plans:

The Company has contributed to provident fund and employee state insurance scheme which is defined contribution plan. The contribution paid/ payable under the scheme is charged to Statement of Profit and loss during the year in which an employee renders the related service. Company has no further obligation beyond making the payment.

e. Termination benefits are recognised as an expense as and when incurred.

1.14 Share based payments:

The Company recognises compensation expense relating to share-based payments in net profit using fair-value in accordance with IND AS 102, Share Based Payment. The estimated fair value of awards is charged to income on straight line basis over the requisite service period for each separately vesting portion of the award as if the award was in substance, multiple awards with a corresponding credit to Employee Stock Option / Rights outstanding Reserve.

The Company has created an Employee Stock Options Trust (ESOP Trust) for providing share-based payment to its employees. The Company uses ESOP as a vehicle for distributing shares to employees under the employee remuneration schemes. The ESOP Trust buys shares of the Company from the market, for giving shares to employees in addition to allotment of shares by the Company as per the requirements of the scheme. The Company treats ESOP as its extension and shares held by ESOP are treated as treasury shares. Treasury shares are recognised at cost of acquisition and included under other equity. No gain or loss is recognised in profit or loss on the purchase or issue of the Company's own equity shares. Share options exercised during the reporting period are deducted from treasury shares.

1.15 Leases:

Company as a Lessee:

Contracts with third party, which give the Company the right of use in respect of an Asset, are accounted in line with the provisions of Ind AS 116 – Leases, if the recognition criteria as specified in the Accounting standard are met.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Lease payments associated with Short terms leases and Leases in respect of Low value assets are charged off as expenses on straight line basis over lease term or other systematic basis, as applicable.

At commencement date, the value of “right of use” is capitalised at the present value of outstanding lease payments plus any initial direct cost and estimated cost, if any, of dismantling and removing the underlying asset and presented as part of Plant, property and equipment.

Liability for lease is created for an amount equivalent to the present value of outstanding lease payments and presented as Borrowing. Subsequent measurement, if any, is made using Cost model.

Each lease payment is allocated between the liability created and finance cost. The finance cost is charged to the Statement of Profit and loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The right-of-use asset is depreciated over the shorter of the asset’s useful life and the lease term on a straight-line basis. If ownership of the leased asset transfers to the Company at the end of the lease term or the cost reflects the exercise of a purchase option, depreciation is calculated using the estimated useful life of the asset. Right-of-use assets are subject to impairment test.

The lease payments are discounted using the interest rate implicit in the lease, if that rate can be determined, or the Company’s incremental borrowing rate. The Company applies the short-term lease recognition exemption to its short-term leases (i.e., those leases that have a lease term of 12 months or less from the commencement date and do not contain a purchase option). It also applies the lease of low-value assets recognition exemption to leases that are considered of low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

Lease modifications, if any are accounted as a separate lease if the recognition criteria specified in the standard are met.

Company as a lessor:

Leases are classified as operating lease or a finance lease based on the recognition criteria specified in Ind AS 116 – Leases

a) Finance Lease:

At commencement date, amount equivalent to the “net investment in the lease” is presented as a Receivable. The implicit interest rate is used to measure the value of the “net investment in Lease”.

Each lease payment is allocated between the Receivable created and finance income. The finance income is recognised in the Statement of Profit and loss over the lease period so as to reflect a constant periodic rate of return on the net investment in Lease.

The asset is tested for de-recognition and impairment requirements as per Ind AS 109 – Financial Instruments.

Lease modifications, if any are accounted as a separate lease if the recognition criteria specified in the standard are met.

b) Operating Lease:

The Company recognises lease payments from operating leases as income on either a straight-line basis or another systematic basis, if required.

Lease modifications, if any are accounted as a separate lease if the recognition criteria specified in the standard are met.

1.16 Income Taxes:

The Company’s major tax jurisdictions are in India. Significant judgements are involved in determining the provision for income tax credits, including the amount to be paid or refunded.

Income tax expense comprises current tax expense and the net change in the deferred tax asset or liability during the year. Current and deferred tax are recognised in statement of profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity, respectively.

a. Current Income Taxes:

The current income tax expense includes income taxes payable by the Company and its overseas branches. Advance taxes and provisions for current income taxes are presented in the balance sheet after off-setting advance tax paid and income tax provision

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

arising in the same tax jurisdiction and where the relevant tax paying units intends to settle the asset and liability on a net basis or where it has legally enforceable right to set off the recognised amount.

b. Deferred Income Taxes:

Deferred income tax is recognised using the balance sheet approach. Deferred income tax assets and liabilities are recognised for deductible and taxable temporary differences arising between the tax base of assets and liabilities and their carrying amount.

Deferred income tax asset is recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and unused tax losses, if any can be utilised.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred tax assets and liabilities are measured using substantively enacted tax rates expected to apply to taxable income in the years in which the temporary differences are expected to be received or settled.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the relevant entity intends to settle its current tax assets and liabilities on a net basis.

1.17 Foreign Currency:

a. Functional and presentation currency:

The consolidated financial statement is presented in Indian Rupee (Rs), which is also the Company's functional currency. Transaction in foreign currencies are initially recorded by the Company at their respective functional currency spot rates at the date, the transaction first qualifies for recognition. However, for practical reasons, the Company uses an average rate, if the average approximates the actual rate at the date of the transaction.

b. Initial Recognition:

Foreign currency transactions are recorded in the reporting currency, by applying foreign currency exchange rates between the reporting currency and the foreign currency prevailing at the dates of the transactions.

c. Measurement of foreign currency monetary items and Non-monetary items at the balance sheet date

Monetary items outstanding at the balance sheet date are restated at the rate as on reporting date. Non – monetary items which are carried in terms of historical cost denominated in a foreign currency are not restated and hence is reported using the exchange rate prevailing at the date of transactions.

d. Treatment of exchange differences on monetary items

Exchange differences arising on settlement / restatement of foreign currency assets and liabilities of the Company are recognised as income or expense in the statement of profit and loss in the period in which they arise.

e. In respect of overseas branches/subsidiaries, financial statements are translated as if the transactions are those of the Company itself i.e. Indian Rupees as the functional currency since the overseas branches/subsidiaries is primarily involved in selling/marketing goods manufactured by the Company in India. The net impact of the foreign exchange difference of foreign operations is recognised in Other Comprehensive Income.

1.18 Financial Instruments:

A financial instrument is any contract that gives rise to a financial asset of any entity and a financial liability or equity instrument of another entity. Financial assets and liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. Financial assets and liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value measured on initial recognition of financial asset or financial liability.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

i. **Cash and Cash equivalents:**

The Company considers all highly liquid financial instruments, which are readily convertible into known amounts of cash that are subject to an insignificant risk of change in value and having original maturities of three months or less from the date of purchase, to be cash equivalents. Cash and cash equivalents consist of balances with banks which are unrestricted for withdrawal and usage.

ii. **Financial assets at amortised cost:**

Financial assets are subsequently measured at amortised cost if these financial assets are held within a business whose objective is to hold these assets in order to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

iii. **Financial assets at fair value through profit or loss:**

Financial assets are measured at fair value through profit or loss unless it is measured at amortised cost or at fair value through other comprehensive income on initial recognition. The transaction costs directly attributable to the acquisition of financial assets and liabilities at fair value through profit or loss are immediately recognised in statement of profit and loss.

iv. **Financial liabilities:**

Financial liabilities are subsequently carried at amortised cost using the effective interest method. For trade and other payables maturing within one year from the balance sheet date, the carrying amounts approximate fair value due to the short maturity of these instruments. Financial liabilities at Fair value through profit and Loss are stated at fair value, with any gains or losses arising on re-measurement in Profit and loss statement.

v. **Equity Instrument:**

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by a company are recognised at the proceeds received, net of issue costs.

vi. **De-recognition of financial instruments:**

The Company derecognises a financial asset when the contractual rights to the cash flows

from the financial asset expire or it transfers the financial asset and the transfer qualifies for de-recognition under Ind AS 109. A financial liability (or a part of a financial liability) is derecognised when the obligation specified in the contract is discharged or cancelled or expires.

vii. **Impairment of financial assets:**

The Company assesses on a forward looking basis the expected credit losses associated with its assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk. In respect of trade receivables, the Company applies simplified approach permitted by Ind AS 109 Financial Instruments, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

viii **Fair value of financial instruments:**

In determining the fair value of its financial instruments, the Company uses following hierarchy and assumptions that are based on market conditions and risks existing at each reporting date.

Fair value hierarchy:

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

1.19 Accounting for Derivatives:

Derivatives are initially recognised at fair value and are subsequently re-measured to their fair value at the end of each reporting period. The resulting gains/losses is recognised in the statement of profit and loss of that period.

1.20 Borrowing Cost:

General and specific borrowing cost that are directly attributable to the acquisition, construction or production of a qualifying asset are capitalised during the period that is required to complete and prepare the asset for its intended use. Qualifying assets are assets that necessarily take a substantial period of time to get ready for their intended use.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalisation.

Other borrowing costs are charged to statement of Profit and Loss in the period in which they are incurred.

1.21 Government Grants:

Government grants are not recognised until there is reasonable assurance that the Company will comply with the conditions attached to them and that the grants will be received. Government grants are recognised in profit or loss on a systematic basis over the periods in which the Company recognises as expenses the related costs for which the grants are intended to compensate.

1.22 Cash Flow statement

Cash flows are reported using Indirect method, whereby profit for the period is adjusted for the effects of transactions of non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing cash flows. The cash flows from operating, financing and investing activity of the Company are segregated.

1.23 Provision and Contingencies:

The Company reviews pending cases, claims by third party and other contingencies, if any on an on-going basis. For contingent losses that are

considered probable, estimated loss is recorded as an accrual in financial statements. A disclosure for contingent liabilities is made where there is a possible obligation that may probably not require an outflow of resources. When there is a possible obligation where the likelihood of outflow of resources is remote, no provision or disclosure is made in the financial statements. Gain contingencies are not recognised until the contingencies are resolved and the amounts are received or recoverable.

Provision for Warranty

Provision for warranty related cost are recognised when the product is sold. Initial recognition is based on historical experience and future estimates of claims by the management. The estimate of such warranty related cost is revised annually.

Provision for Credit Loss:

The Company reviews the position of trade receivable and ascertains a provision for life time credit loss after considering the industry and economic conditions in which customer operate, the profile of the customer and the past experience.

1.24 Segment Reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker.

1.25 Earnings per share:

Basic earnings/ (loss) per share are computed by dividing profit or loss attributable to equity shareholders of the Company by the weighted average number of equity shares after adjustments for treasury shares, outstanding during the year.

Diluted earnings per share is computed by dividing the profit after tax as adjusted for dividend, interest and other changes or income relating to the dilutive potential equity shares, by the weighted average number of equity shares considered for deriving basic earnings per share and weighted average number of shares which could have been issued on the conversion of all dilutive potential equity shares.

The number of equity shares is adjusted retrospectively for all periods presented for any share splits and bonus shares issued.

SUMMARY OF MATERIAL ACCOUNTING POLICIES AND OTHER EXPLANATORY INFORMATION FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

1.26 Dividend Distribution:

Dividend paid (including income tax thereon) is recognised in the period in which the interim dividend is approved by the Board of Directors, or in the respect of the final dividend when approved by shareholders.

1.27 Onerous contracts

Present obligations arising under onerous contracts are recognised and measured as a provision. An onerous contract is considered to exist where the Company has a contract under which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it.

1.28 The financial statements of subsidiary in turkey whose functional currency is that of a hyperinflationary economy are restated in accordance with Ind AS 29. Non-monetary assets and liabilities, equity components, and items of income and expense are restated using a general price index to reflect changes in purchasing power at the reporting date. Monetary items are not restated. The gain or loss on the net monetary position is recognised in profit or loss. The price index used and the effect of restatement are disclosed in the notes to the financial statements.

1.29 The consolidation of financial statement (CFS) present the consolidated accounts of TD Power Systems Limited with its following subsidiaries:

SI. No.	Name of Subsidiary	Country of Incorporation	Proportion of Ownership
1	DF Power Systems Limited - Audited	India	CY: 100% (PY: 100%)
2	TD Power Systems USA Inc - Audited	United States of America	CY: 100% (PY: 100%)
3	TD Power Systems Europe GmbH - Audited	Germany	CY: 100% (PY: 100%)
4	TD Power Systems Jenerator Sanayi A.S - Audited	Turkey	CY: 100% (PY: 100%)

1.30 The financial statements of entities whose functional currency is that of a hyperinflationary economy are restated in accordance with Ind AS 29. Non-monetary assets and liabilities, equity components, and items of income and expense are restated using a general price index to reflect changes in purchasing power at the reporting date. Monetary items are not restated. The gain or loss on the net monetary position is recognised in profit or loss. The price index used and the effect of restatement are disclosed in the notes to the financial statements.



NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED MARCH 31, 2026

Amounts in Indian Rupees in lakhs, except as otherwise stated

2 PROPERTY, PLANT AND EQUIPMENT

Particulars	Gross Block					Depreciation					Written Down Value
	As at April 01, 2025	Effect of Hyper Inflation	Additions	Disposal	As at March 31, 2026	As at April 01, 2025	Effect of Hyper Inflation	For the year	Disposal	As at March 31, 2026	
Free Hold Land	1,627.30	-	-	-	1,627.30	-	-	-	-	-	1,627.30
Buildings	11,783.90	-	4,684.95	-	16,468.85	4,672.77	-	374.58	-	5,047.35	11,421.50
Plant and machinery	29,367.24	-	5,001.05	43.40	34,324.89	21,204.10	-	1,173.97	37.76	22,340.31	11,984.58
Office Equipments	555.06	-	64.12	-	619.18	417.88	-	51.97	-	469.85	149.33
Furniture and Fixtures	473.21	-	49.59	-	522.80	404.23	-	19.84	-	424.07	98.73
Computers (including computer servers & networks)	1,396.63	-	380.57	35.82	1,741.38	968.69	-	239.19	34.03	1,173.85	567.53
Communication Equipments	22.30	-	-	-	22.30	21.56	-	0.03	-	21.59	0.71
Motor Vehicles	783.75	-	164.22	46.19	901.78	333.42	-	93.81	25.62	401.61	500.17
TOTAL - A	46,009.39	-	10,344.50	125.41	56,228.48	28,022.65	-	1,953.39	97.41	29,878.63	26,349.85

PROPERTY, PLANT AND EQUIPMENT - RESEARCH & DEVELOPMENT

Particulars	Gross Block					Depreciation				Written Down Value
	As at April 01, 2025	Effect of Hyper Inflation	Additions	Disposal	As at March 31, 2026	As at April 01, 2025	Effect of Hyper Inflation	For the year	As at March 31, 2026	
Plant and machinery	1,600.92		-	-	1,600.92	1,520.84		-	1,520.84	80.08
TOTAL - B	1,600.92	-	-	-	1,600.92	1,520.84	-	-	1,520.84	80.08
TOTAL - C=A+B	47,610.31	-	10,344.50	125.41	57,829.40	29,543.49	-	1,953.39	31,399.47	26,429.93

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	Gross Block					Depreciation					Written Down Value
	As at April 01, 2024	Effect of Hyper Inflation	Additions	Disposal	As at March 31, 2025	As at April 01, 2024	Effect of Hyper Inflation	For the year	Disposal	As at March 31, 2025	
Free Hold Land	1,627.30	-	-	-	1,627.30	-	-	-	-	-	1,627.30
Buildings	11,352.73	-	431.17	-	11,783.90	4,339.61	-	333.16	-	4,672.77	7,111.13
Plant and machinery	26,267.85	344.35	2,755.04	-	29,367.24	20,067.43	174.57	962.10	-	21,204.10	8,163.14
Office Equipments	506.40	38.69	32.77	22.80	555.06	357.73	25.47	56.35	21.67	417.88	137.18
Furniture and Fixtures	432.40	7.88	32.93	-	473.21	380.34	11.79	12.10	-	404.23	68.98
Computers (including computer servers & networks)	1,130.21	(13.24)	290.37	10.71	1,396.63	807.80	(13.17)	183.52	9.46	968.69	427.94
Communication Equipments	22.30	-	-	-	22.30	21.53	-	0.03	-	21.56	0.74
Motor Vehicles	793.90	-	73.83	83.98	783.75	316.17	-	83.28	66.03	333.42	450.33
TOTAL - A	42,133.09	377.68	3,616.11	117.49	46,009.39	26,290.61	198.66	1,630.54	97.16	28,022.65	17,986.74

PROPERTY, PLANT AND EQUIPMENT - RESEARCH & DEVELOPMENT

Particulars	Gross Block					Depreciation				Written Down Value
	As at April 01, 2024	Effect of Hyper Inflation	Additions	Disposal	As at March 31, 2025	As at April 01, 2024	Effect of Hyper Inflation	For the year	As at March 31, 2025	
Plant and machinery	1,600.92	-	-	-	1,600.92	1,520.84	-	-	1,520.84	80.08
TOTAL - B	1,600.92	-	-	-	1,600.92	1,520.84	-	-	1,520.84	80.08
TOTAL - C=A+B	43,734.01	377.68	3,616.11	117.49	47,610.31	27,811.45	198.66	1,630.54	29,543.49	18,066.82

Note:

- A. The borrowings and non fund based facilities from Bank of Baroda, Kotak Mahindra Bank & HDFC Bank are secured by first pari-passu charge by way of:
1. Equitable mortgage of unit-I of factory comprising of factory land and buildings situated at plot nos.27,28,29 & 30A area, 25304 sq. mts Phase-I KIADB Dabaspet Industrial Area, Yedehalli Village, Bengaluru Rural District, Bengaluru.
 2. Equitable mortgage of unit-II of factory comprising of factory land and buildings situated at Sy.No.59/2, area 4 acres 33 gunta (19526 Sq. mts including 7 gunta kharaba land) yedahalli village Dabaspet, Bangalore.
 3. Equitable mortgage of unit-II of factory comprises of factory land and buildings situated Sy.No. 55 (Part1), 56/1, 56/2, 57 & 58 Yedehalli Village, Dabaspet Bangalore Rural District, Bangalore measuring 12.55 acres.
 4. Hypothecation charge on entire plant and machinery of the Company Present and Future.
- B. The Group does not hold any Benami Property which is either recorded or not recorded in the books of account and there are no proceedings initiated or pending against the Company for holding any Benami property under the Benami Transactions (Prohibition) Act,1988 and rules made thereunder. Accordingly, no disclosure made in this regard.
- C. The Parent company & Indian subsidiary has not revalued its Property, plant and equipment during the year.

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

3 CAPITAL WORK-IN-PROGRESS

Particulars	As at March 31, 2026	As at March 31, 2025
Plant and Machinery	1,732.46	358.15
Factory Building	-	1,300.79
	1,732.46	1,658.94

Capital work-in-progress ageing schedule

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress:					
As at March 31, 2026					
Plant and Machinery	1,732.46	-	-	-	1,732.46
Factory Building	-	-	-	-	-
	1,732.46	-	-	-	1,732.46
As at March 31, 2025					
Plant and Machinery	339.27	18.88	-	-	358.15
Factory Building	1,300.79	-	-	-	1,300.79
	1,640.06	18.88	-	-	1,658.94

Movement in Capital work-in-progress

Particulars	As at March 31, 2026	As at March 31, 2025
Opening Balance	1,658.94	55.90
Additions during the year	1,732.46	1,639.65
Capitalisation during the year	1,658.94	36.61
Closing Balance	1,732.46	1,658.94

There is no amount of expenditure recognised in the carrying amount of an item of property, plant and equipment in the course of its construction.

4 RIGHT OF USE ASSETS

Lease-hold land

Particulars	As at March 31, 2026	As at March 31, 2025
Balance at the beginning of the year	1,720.07	1,720.07
Add: Additions during the year (Refer note below)	214.85	-
Balance at the end of the year	1,934.92	1,720.07

The following is the break-up of current and non-current lease liabilities as at

Particulars	As at March 31, 2026	As at March 31, 2025
Current lease liabilities	0.37	0.22
Non-current lease liabilities	0.75	0.82
	1.12	1.04

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

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The following is the movement in lease liabilities during the

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Balance at the beginning of the year	1.04	0.95
Add: Additions during the year	0.08	0.09
Balance at the end of the year	1.12	1.04

The table below provides details regarding the contractual maturities of lease liabilities :

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Up to one year	0.37	0.22
From one to 5 years	0.37	0.34
More than 5 Years	0.38	0.48

These liabilities were measured at the present value of the remaining lease payments, discounted using the lessee's incremental borrowing rate.

Others

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Interest on lease liabilities *	-	-
Expenses relating to short-term leases	281.65	182.12
Total cash outflows for leases	281.65	182.12

* Interest on lease liabilities for the year is less than ₹ 10,000. Hence reported as Nil.

Note:

The Karnataka Industrial Areas Development Board (KIADB) has on terms & conditions stated in its letter dated November 27, 2023 allotted 15.00 acres of land at Japanese Industrial Township, Vasanthanarasapura 3rd Phase Industrial Area, Tumkur, Karnataka to the Company for setting up a facility to manufacture "Electrical Generators, Motors, their sub-assemblies and Parts". The Company has received possession certificate for the said land on January 30, 2024 and entered into "Lease cum Sale Agreement" on March 11, 2024 for a period of 10 years. The lease cum sale agreement has been since registered on May 17, 2024. During the year, the Company has capitalised an amount of ₹ 214.85 lakhs under leasehold land towards differential land allotment charges, including stamp duty and registration charges. The Company has the right to obtain ownership at the end of the lease period subject to fulfilment of prescribed conditions.

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

5 OTHER INTANGIBLE ASSETS

Particulars	As at March 31, 2026	As at March 31, 2025
Softwares:		
Gross block (at deemed cost) as at the beginning of the year	301.32	301.32
Additions during the year	16.00	-
Gross block at the end of the year	317.32	301.32
Accumulated amortisation at the beginning of the year	179.86	123.25
Amortisation for the year	48.06	56.61
Accumulated amortisation at the end of the year	227.92	179.86
NET CARRYING VALUE -A	89.40	121.46
Technical Knowhow:		
Gross block (at deemed cost) as at the beginning of the year	2,612.50	2,234.46
Additions during the year	417.76	378.03
Gross Block at the end of the year	3,030.26	2,612.49
Accumulated amortisation at the beginning of the year	1,792.60	1,481.91
Amortisation for the year	321.67	310.69
Accumulated amortisation at the end of the year	2,114.27	1,792.60
NET CARRYING VALUE - B	915.99	819.89
NET CARRYING VALUE - A+B	1,005.39	941.35

NON CURRENT ASSETS

FINANCIAL ASSETS - NON CURRENT

6 INVESTMENTS

Particulars	Number of Securities		₹	
	As at March 31, 2026	As at March 31, 2025	As at March 31, 2026	As at March 31, 2025
A Investment carried at fair value through Profit and Loss (FVTPL)				
Investments in Equity Shares - (fully paid up) (unquoted)				
The Shamrao Vithal Co-operative Bank limited	2,000	2,000	0.50	0.50
Total (A+B)			0.50	0.50
Additional Information:				
Aggregate carrying value of unquoted shares			0.50	0.50

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

7 OTHER FINANCIAL ASSETS

Particulars	As at March 31, 2026	As at March 31, 2025
(Unsecured , Considered good)		
Security deposits - electricity deposit	221.45	154.64
Security deposit for others	3.78	2.08
	225.23	156.72

8 OTHER NON CURRENT ASSETS

Particulars	As at March 31, 2026	As at March 31, 2025
(Unsecured , Considered good)		
Capital advances (net of provision)	347.51	1,410.94
Advance tax (net of provision)	522.28	585.15
Balance with government authorities	47.90	361.14
Prepaid Expenses	111.89	0.15
Gratuity- Excess of fair value of plan assets over defined benefit obligation	483.12	246.32
	1,512.70	2,603.70

CURRENT ASSETS

9 INVENTORIES

Particulars	As at March 31, 2026	As at March 31, 2025
(Valued at lower of cost or net realisable value)		
Raw materials		
Work in progress	23,617.47	17,571.08
Work in progress - Spares	16,067.23	11,233.14
Finished Goods (including machines in transit)	3,712.01	3,087.97
Finished Goods with Subsidiary Companies	4,461.43	-
Stock in trade	624.70	4,512.87
Goods in transit:	274.93	724.38
Raw materials		
(Refer accounting policy No. 1.12 for valuation of inventories)	1,548.14	528.95
Note: There are no allowances towards slow and non-moving items during the year	50,305.91	37,658.39

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

CURRENT FINANCIAL ASSETS

10 TRADE RECEIVABLES (CARRIED AT AMORTISED COST)

Particulars	As at March 31, 2026	As at March 31, 2025
Trade receivable, considered good and secured under letter of credit	496.92	2,569.87
Trade receivable, Unsecured and considered good	73,711.85	41,164.02
Trade receivable, Unsecured and credit impaired	797.61	772.61
Less: Expected credit loss allowance (Refer Note 41(C))	(797.61)	(772.61)
Trade receivables	74,208.77	43,733.89

Notes:

(a) As at March 31, 2026

Trade Receivables ageing schedule	Not Due	Less than 6 months	6 months - 1 years	1-2 years	2-3 years	More than 3 years	Total
Undisputed Trade receivables							
- Considered good	62,381.68	11,305.94	205.61	29.36	204.19	71.87	74,198.65
Undisputed Trade Receivables							
- Credit impaired	-	-	-	-	-	624.09	624.09
Less: Expected credit loss allowance (on receivables considered doubtful)	-	(5.23)	(6.40)	(2.48)	(40.73)	(569.25)	(624.09)
Disputed Trade receivables							
- Credit impaired	-	-	-	-	-	183.64	183.64
Less: Expected credit loss allowance (on receivables considered doubtful)	-	-	-	-	-	(173.52)	(173.52)
	62,381.68	11,300.71	199.21	26.88	163.46	136.83	74,208.77

As at March 31, 2025

Trade Receivables ageing schedule	Not Due	Less than 6 months	6 months - 1 years	1-2 years	2-3 years	More than 3 years	Total
Undisputed Trade receivables							
- Considered good	41,014.38	1,500.07	956.79	149.47	70.73	33.96	43,725.41
Undisputed Trade Receivables							
- Credit impaired	-	-	-	-	-	625.94	625.94
Less: Expected credit loss allowance (on receivables considered doubtful)	-	-	-	-	-	(625.94)	(625.94)
Disputed Trade receivables							
- Credit impaired	-	-	-	-	-	155.15	155.15
Less: Expected credit loss allowance (on receivables considered doubtful)	-	(2.09)	(12.64)	(15.81)	(60.54)	(55.59)	(146.67)
	41,014.38	1,497.98	944.15	133.66	10.19	133.52	43,733.89

- (b) No trade or other receivable are due from directors or other officers of the Company either severally or jointly with any other person. Further, there are no trade or other receivables which are due from firms or private companies in which any director is a partner, a director or a member except as disclosed in note 44 to the financial statement.
- (c) Trade receivable are non interest bearing and are generally on terms of 0 to 180 days. [Refer note 41C]
- (d) There are no trade receivables under dispute or which have significant increase in credit risk or credit impaired as per the information available with the Company except as disclosed above.

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

11 CASH AND CASH EQUIVALENTS

Particulars	As at March 31, 2026	As at March 31, 2025
Balances with banks		
In current accounts	4,610.29	5,803.37
In EEFC Account	728.44	790.81
In bank deposit accounts with original maturity less than 3 months	2,487.68	900.00
Cash on hand	7.62	2.12
	7,834.03	7,496.30

12 BANK BALANCES OTHER THAN CASH AND CASH EQUIVALENTS

Particulars	As at March 31, 2026	As at March 31, 2025
Balance in unclaimed dividend account	4.41	2.98
Balance with bank in respect of TDPS ESOP Trust	14.95	15.23
Bank deposits with less than 12 months maturity	6,530.34	6,946.32
Deposits (Under lien) with bank as Margin money towards bank guarantee	5,475.41	5,433.71
	12,025.11	12,398.24

13 OTHER FINANCIAL ASSETS

Particulars	As at March 31, 2026	As at March 31, 2025
(Unsecured , Considered good)		
Earnest money deposit	29.41	29.41
Balance with government authorities - GST Refund receivable *	4,306.97	2,802.69
Interest accrued on term deposits	344.31	394.23
Security deposit for rented premises	39.39	33.56
Accrued Export incentives	368.85	496.21
Unbilled Revenue	18.65	44.27
Mark to market gain on forward contracts (Refer Note No.41B)	-	181.98
Employee Advance	56.43	102.76
	5,164.01	4,085.11

* The Indian Subsidiary has accumulated Service tax and GST credit of ₹ 698.34 lakhs (PY: ₹ 739.61 lakhs). During the current financial year there was no operation in the said subsidiary company, as a result there was no movement in the GST balance. However the accumulated credit in this account will be utilised by the said subsidiary company on appropriate business opportunity.

14 CURRENT TAX ASSET - NET

Particulars	As at March 31, 2026	As at March 31, 2025
Advance tax net of provision	15.00	30.76
	15.00	30.76

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

15 OTHER CURRENT ASSETS (UNSECURED , CONSIDERED GOOD)

Particulars	As at March 31, 2026	As at March 31, 2025
Advance paid to suppliers (other than capital advances)	2,387.71	2,314.40
Balance with Government authorities - Input Tax credit	2,543.24	3,018.42
Prepaid Expenses	322.36	465.45
Expenditure tax - (Relating to foreign operations)	8.49	27.33
Others	4.15	3.34
	5,265.95	5,828.94

16 EQUITY SHARE CAPITAL

Particulars	As at March 31, 2026	As at March 31, 2025
Authorised Capital		
Equity shares of ₹ 2/- each		
Number of equity shares - Absolute numbers	17,50,00,000	17,50,00,000
Amount of Equity Share Capital (in ₹)	3,500.00	3,500.00
Issued, subscribed and fully paid up capital		
Equity shares of ₹ 2/- each		
Number of equity shares - Absolute numbers	15,62,14,831	15,61,83,612
Amount of Equity Share Capital (in ₹)	3,124.30	3,123.67
Reconciliation of the number of equity shares outstanding and the amount of equity share capital at the beginning and at the end of the year		
Number of equity shares - Absolute numbers		
Shares outstanding at the beginning of the year	15,61,83,612	15,61,70,101
Shares issued during the year	31,219	13,511
Shares outstanding at the end of the year	15,62,14,831	15,61,83,612
Amount of Equity Share Capital		
Share capital outstanding at the beginning of the year	3,123.67	3,123.40
Shares issued during the year	0.63	0.27
Share capital outstanding at the end of the year	3,124.30	3,123.67

Other Information:

- I The Company has only one class of equity shares having par value of ₹ 10/- each (sub-divided into ₹ 2/- each). Each holder of equity shares is entitled to one vote per share. The Company declares and pays dividend in Indian rupees. The dividend proposed by the Board of Directors is subject to the approval of the shareholders in the ensuing Annual General Meeting.
- II In the event of liquidation of the Company, the holders of equity shares will be entitled to receive remaining assets of the Company, after distribution of all liabilities. The distribution will be in proportion to the number of equity shares held by the shareholders.

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

- III** For the period of five years immediately preceding the date as at which the Consolidated Balance Sheet is prepared:
- No shares allotted pursuant to a contract without consideration being received in cash.
 - No shares allotted as fully paid up by way of bonus shares
 - No shares were bought back
- IV** The particulars of employee stock option is given in note no.50. There were no other shares reserved for issue under options and contracts/commitments for the sale of shares/disinvestment.
- V** There were no calls unpaid or forfeited shares.
- VI** Shares held by promoters & promoter group - Refer Note 16(I) above

Current Year

Promoter Name	As at March 31, 2026		As at March 31, 2025		% Increase (Decrease) during the year
	No. of shares	%	No. of shares	%	
Saphire Finman Services LLP (formerly known as Saphire Finman Services Private Limited)	2,06,58,225	13.22%	2,39,58,225	15.34%	(13.77%)
Nikhil Kumar	1,29,65,320	8.30%	1,74,65,320	11.18%	(25.77%)
Hitoshi Matsuo	79,40,486	5.08%	1,00,40,486	6.43%	(20.92%)
Promoter Group:					
Aarya Sankaran Kumar	2,94,630	0.19%	2,94,630	0.19%	0.00%
Sagir Mohib Khericha	1,20,000	0.08%	1,20,000	0.08%	0.00%

Previous Year

Promoter Name	As at March 31, 2025		As at March 31, 2024		% Increase (Decrease) during the year
	No. of shares	%	No. of shares	%	
Saphire Finman Services LLP (formerly known as Saphire Finman Services Private Limited)	2,39,58,225	15.34%	2,39,58,225	15.34%	0.00%
Nikhil Kumar	1,74,65,320	11.18%	1,91,93,320	12.29%	(9.00%)
Hitoshi Matsuo	1,00,40,486	6.43%	1,00,40,486	6.43%	0.00%
Promoter Group:					
Aarya Sankaran Kumar	2,94,630	0.19%	2,45,530	0.16%	20.00%
Sagir Mohib Khericha	1,20,000	0.08%	80,000	0.05%	50.00%

VII Particulars of equity share holders holding more than 5% of the total paid up equity share capital:	As at March 31, 2026	
	%	No. of shares
a. Saphire Finman Services LLP (formerly known as Saphire Finman Services Private Limited)	13.22%	2,06,58,225
b. Nikhil Kumar	8.30%	1,29,65,320
c. Nippon Life India Trustee Limited	6.24%	97,53,276
d. Hitoshi Matsuo	5.08%	79,40,486

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Previous Year

VII Particulars of equity share holders holding more than 5% of the total paid up equity share capital:	As at March 31, 2025	
	%	No. of shares
a. Sapphire Finman Services LLP (formerly known as Sapphire Finman Services Private Limited)	15.34%	2,39,58,225
b. Nikhil Kumar	11.18%	1,74,65,320
c. Hitoshi Matsuo	6.43%	1,00,40,486
d. Nippon Life India Trustee Limited	7.98%	1,24,58,312

Note: The above disclosed information is as per the records/registers including Members register maintained by the Registrar of the Company as at the year end.

17 OTHER EQUITY

Particulars	As at March 31, 2026	As at March 31, 2025
Reserves & Surplus:		
17.1 Capital Reserve (Refer Note No 1.1)		
As at the beginning of the year	718.29	718.29
As at the end of the year - A	718.29	718.29
17.2 Securities Premium		
As at the beginning of the year	17,753.02	17,750.75
Add: Transfer from Share option outstanding account	62.30	2.27
As at the end of the year - B	17,815.32	17,753.02
17.3 Capital Redemption Reserve		
As at the beginning of the year	230.42	230.42
Add: Transfer from Securities Premium for shares bought back during the year	-	-
As at the end of the year - C	230.42	230.42
17.4 General Reserve		
As at the beginning of the year	3,385.35	3,385.35
Add: Transfer from Share option outstanding account	-	-
As at the end of the year - D	3,385.35	3,385.35
17.5 Retained earnings		
As at the beginning of the year	61,046.02	45,551.07
Less: Dividend (₹ 0.65 per share (Previous year: ₹ 0.60 per share)) (Refer Note No.49(b))	(1,015.20)	(937.10)
Less: Interim Dividend - ₹ 1.00 per share (Previous Year: ₹ 0.60) (Refer Note 49(a))	(1,561.92)	(937.10)
Add: Profit for the year as per statement of profit and loss	23,877.49	17,457.51
Add/(less): Remeasurement of defined benefit plan for the year (net of tax)	56.20	(88.36)
As at the end of the year - E	82,402.59	61,046.02

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	As at March 31, 2026	As at March 31, 2025
17.6 Stock Options Outstanding Account		
As at the beginning of the year	92.48	39.55
Add: Addition during the year	118.20	55.20
Less: Amount transferred to securities premium on exercise of ESAR by the employees of the Company	(62.30)	(2.27)
As at the end of the year - F	148.38	92.48
17.7 Other Comprehensive Income:		
Exchange difference on translation of foreign operations		
As at the beginning of the year	(318.81)	(285.48)
Add: Transferred from statement of profit and loss	(329.41)	(33.33)
As at the end of the year - G	(648.22)	(318.81)
Total (A+B+C+D+E+F+G)	1,04,052.13	82,906.77
17.8 The Remeasurements gains in respect of employee benefits included under retained earnings are as under:		
As at the beginning of the year	(290.38)	(202.02)
Remeasurements gain/(loss) on defined benefit plans	75.10	(118.08)
Income tax effect on above	(18.90)	29.72
Balance at the end of the year	(234.18)	(290.38)

Note:

Nature and purpose of other reserves:

- Securities premium is used to record the premium on issue of shares. This is utilised in accordance with the provisions of the Companies Act, 2013.
- General Reserve: General reserve is appropriation of the net profit in respect of reserves created pursuant to the provisions of the Companies Act, 1956 with respect to declaration of dividend. Such mandatory transfer to general reserve is not prescribed under the Companies Act, 2013.
- Capital Redemption Reserve: The capital redemption reserve represents the face value (₹ 10) of the shares bought back. This is created by transfer from securities premium as per requirement of Sec.69 of the Companies Act, 2013.
- Retained Earning: Retained earnings are the profits that the Company has earned till date, less transfer to general reserve, dividend or other distribution paid to shareholders.
- Stock Option Outstanding Account: The balance in this account represents the Employee Share based remuneration debited to the Statement of Profit and Loss after adjustments for ESOPs/ESARs exercised.
- Foreign Currency Translation Reserve: This reserve contains the accumulated balance of foreign exchange differences arising on monetary items that, in substance, form part of the Companies net investment in foreign operation whose functional currency is other than Indian Rupees. Exchange differences previously accumulated in this reserve are classified to Profit or Loss on disposal of foreign operations.

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

18 PROVISIONS

Particulars	As at March 31, 2026	As at March 31, 2025
Provision for employee benefits towards compensated absences (Refer Note No. 43)	980.10	886.17
	980.10	886.17

19 DEFERRED TAX LIABILITY

Particulars	As at March 31, 2026	As at March 31, 2025
Deferred tax liability:		
On account of depreciation on Property, plant and equipment and Intangible assets	1,104.83	882.38
Deferred tax asset:		
On account of timing differences in recognition of expenditure	666.87	375.06
On account of timing differences in employee benefits disallowed	257.88	230.53
Net Deferred tax liability/(asset)	180.08	276.79

Movement of Deferred tax liability/(asset)

Particulars	Opening balance	Recognition in statement of profit and loss	Closing balance
As at March 31, 2026			
Deferred tax liability:			
On account of depreciation on property, plant and equipment and amortisation of intangible assets	882.38	222.45	1,104.83
Deferred tax asset:			
On account of timing differences in recognition of expenditure	375.06	291.81	666.87
On account of timing differences in employee benefits disallowed	230.53	27.35	257.88
Total Deferred tax liability	276.79	(96.71)	180.08
As at March 31, 2025			
Deferred tax liability:			
On account of depreciation on property, plant and equipment and amortisation of intangible assets	810.55	71.83	882.38
Deferred tax asset:			
On account of timing differences in recognition of expenditure	587.01	(211.95)	375.06
On account of timing differences in employee benefits disallowed	187.36	43.17	230.53
Total Deferred tax liability	36.18	240.61	276.79

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

20 BORROWINGS

Particulars	As at March 31, 2026	As at March 31, 2025
Secured loans from bank:		
Working Capital Borrowings		
Loans repayable on demand		
- Rupee loan from Banks - Cash Credit	1,809.62	1,220.75
	1,809.62	1,220.75
Additional Information:		
Details of security for secured loans:		
Loans from Bank of Baroda is secured by first pari-passu charge along with Kotak Mahindra Bank & HDFC Bank on all the current assets of the Company (present and future) excluding the current assets relating to orders from a particular customer which are exclusive first charge in favour of Bank of Baroda.	1,792.35	1,220.75
The loans are further collaterally secured as under: -		
1. Equitable mortgage of unit-1 of factory comprising of factory land and buildings situated at plot nos.27,28,29 & 30A area, 25304 sq. mts Phase-I KIADB Dabaspeth Industrial Area, Yedehalli Village, Bengaluru Rural District, Bengaluru.		
2. Equitable mortgage of unit-II of factory comprising of factory land and buildings situated at Sy.No.59/2, area 4 acres 33 gunta (19526 Sq. mts including 7 gunta kharaba land) yedahalli village Dabaspeth, Bangalore.		
3. Equitable mortgage of unit-II of factory comprises of factory land and buildings situated Sy.No. 55 (Part1), 56/1, 56/2, 57 & 58 Yedehalli Village, Dabaspeth Bangalore Rural District, Bangalore measuring 12.55 acres.		
4. Hypothecation charge on entire plant and machinery of the Company Present and Future.		
All the above are common securities for all fund based and non-fund based facilities obtained by the Company.		
Loan from Kotak Mahindra Bank is secured by first pari-passu charge with Bank of Baroda on all existing and future receivable/current assets of the Company excluding the current assets relating to orders from a particular customer.	17.27	-
Loan from HDFC Bank Limited is secured on all existing and future receivable/current assets of the Company excluding the current assets relating to orders from a particular customer.		
Interest at 8.15 % p.a.(PY: 9.55% p.a.) is applicable on Rupee loans from Bank of Baroda which will be reviewed annually		
Interest at 8.70 % p.a.(PY: 10.35% p.a.) is applicable on Rupee loans from Kotak Mahindra Bank Limited which will be reviewed annually		
Interest at 7.90 % p.a. (PY: 8.90%) is applicable on Rupee loans from HDFC Bank Limited which will be reviewed annually		
There is no default in repayment of borrowings and interest as on balance sheet date		

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

21 LEASE LIABILITIES

Particulars	As at March 31, 2026	As at March 31, 2025
Lease Liability	1.12	1.04
	1.12	1.04
Classification of current and Non-Current:		
Current Liability	0.37	0.22
Non-Current Liability	0.75	0.82

22 TRADE PAYABLES

Particulars	As at March 31, 2026	As at March 31, 2025
Total outstanding dues of micro enterprises and Small enterprises *	4,871.60	2,380.30
Total outstanding dues of creditors other than micro enterprises and Small enterprises	36,301.08	20,705.56
	41,172.68	23,085.86
All trade payables are non interest bearing and payable or settled within normal operating cycle of the Company		
<i>Additional Information:</i>		
* The details of amounts outstanding to Micro, Small and Medium Enterprises under Micro Small and Medium Enterprises Development Act, 2006 (MSMED Act), based on the available information with the Group are as under:		
1. Principal amount due and remaining unpaid	4,871.60	2,380.30
2. Interest due on (1) above and the unpaid interest	122.03	284.52
3. The amount of interest paid by the buyer in terms of section 16 of Micro, Small and Medium Enterprises Development Act, 2006 (27 of 2006), along with the amount of the payment made to the supplier beyond the appointed day during each accounting year.	-	-
4. The amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the Micro, Small and Medium Enterprises Development Act, 2006.	-	-
5. The amount of interest accrued and remaining unpaid at the end of each accounting year.	122.03	284.52
6. The amount of further interest remaining due and payable even in the succeeding years, until such date when the interest dues above are actually paid to the small enterprise, for the purpose of disallowance of a deductible expenditure under section 23 of the Micro, Small and Medium Enterprises Development Act, 2006.	648.33	526.30
The amount due to micro, small and medium enterprises is based on the information received and available with the Company which increased pursuant to amendment to Sec.43B(h) of Income tax Act, 1961. There are no dues payable to micro, small and medium enterprises which are under dispute.		

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Particulars	As at March 31, 2026	As at March 31, 2025
Trade payables ageing schedule:		
Outstanding dues to MSME		
Less than 1 year	4,871.60	2,380.30
Outstanding dues to Others		
Less than 1 year	36,281.08	20,685.55
Disputed outstanding dues to Others		
More than 3 years	20.00	20.00
	41,172.68	23,085.86

23 OTHER FINANCIAL LIABILITIES

Particulars	As at March 31, 2026	As at March 31, 2025
Unclaimed Dividends *	4.41	2.98
Payable on account of capital purchase	1,995.05	398.42
Outstanding Liabilities in respect of accrued expenses	10,224.97	8,891.96
Earnest Money Deposit	2.15	2.15
Mark to market loss on forward contracts (Refer Note No.41B)	674.82	-
Employee benefits payable	723.09	857.64
Due to Director	4.87	4.28
	13,629.36	10,157.43

* Does not include any amount which are required to be credited to investor education and protection fund as at the year end.

24 OTHER CURRENT LIABILITIES

Particulars	As at March 31, 2026	As at March 31, 2025
Advance received from customers	18,717.26	12,672.68
Duties and taxes payable	309.80	225.46
	19,027.06	12,898.14

25 PROVISIONS

Particulars	As at March 31, 2026	As at March 31, 2025
Provision for warranties (Refer Note No 47)	854.33	620.88
Provision for employee benefits towards compensated absences (Refer Note No. 43)	46.13	31.10
	900.46	651.98

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

26 CURRENT TAX LIABILITIES (NET)

Particulars	As at March 31, 2026	As at March 31, 2025
Provision for taxation (net of advance tax) *	2,783.00	1,171.13
	2,783.00	1,171.13

* Includes provisions (net of tax paid) held for earlier years pending completion of assessments/ appellate proceedings.

27 REVENUE FROM OPERATIONS

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Sale of Goods		
- AC generators	1,44,917.49	99,944.30
- AC generator spares/components	19,722.25	20,134.18
- Spares & after market business - Domestic	679.02	682.18
- Spares & after market business - Overseas Branch	2,702.86	2,126.88
- From Subsidiary offices	56,558.67	37,579.40
Total	2,24,580.29	1,60,466.94
Sale of services	2,607.04	2,933.10
Sale of scrap	2,371.68	2,230.52
Total	2,29,559.01	1,65,630.56
Less:		
Sales to Japan Branch	1,333.96	1,511.54
Sales to Subsidiaries	42,601.67	36,242.85
Total	1,85,623.38	1,27,876.17
Disaggregation of revenue information		
At Point in time (product/service)	2,26,951.97	1,62,697.46
Overtime	2,607.04	2,933.10
Contract balances:		
Trade Receivables	74,208.77	43,733.89
Advance from customers	18,717.26	12,672.68
Unbilled revenue	18.65	44.27
	92,944.68	56,450.84

The Company does not have any significant adjustments between the contracted price and revenue recognised in the statement of profit and loss.

There is no revenue recognised during the year from the performance obligation that is satisfied in previous year (arising out of contract modifications)

Amount of revenue recognised from amounts included in the contract liabilities at the beginning of the year ₹ 10,211.88 lakhs (31 March, 2025: ₹ 5,120.50 lakhs)

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

28 OTHER INCOME

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Interest income on financial asset - Bank Deposits	807.55	1,097.66
Interest income on financial assets - non convertible debentures carried at amortised cost	-	35.57
Foreign exchange fluctuation/MTM gain (Net of loss)	1,140.18	1,086.30
Miscellaneous income	182.09	145.42
Total	2,129.82	2,364.95

29 CONSUMPTION OF RAW MATERIALS, STORES, SPARE PARTS & COMPONENTS

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Stock at the beginning of the year	17,571.08	12,803.93
Add: Purchases	1,34,113.89	94,069.96
Less: Stock at the end of the year	23,617.47	17,571.08
Total	1,28,067.50	89,302.81
Consumption of major raw materials consists of:		
Copper (wires, strips, rods, sheet etc.)	28,548.77	20,143.77
Steel/ Laminations	16,239.31	12,315.00
Shaft Forgings	8,090.49	6,124.89
Stores & spare parts	1,694.29	1,060.46
Others	73,494.64	49,658.69
Total	1,28,067.50	89,302.81

30 PURCHASES FOR SPARES & AFTER MARKET BUSINESS (NET OF CHANGES IN INVENTORIES OF STOCK IN TRADE)

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Inventory at the beginning of the year	724.38	127.90
Add: Purchases for spares & after market business	1,615.22	1,299.27
Less: Inventory at the end of the year	274.93	724.38
Total	2,064.67	702.79

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31 CHANGES IN INVENTORIES OF FINISHED GOODS AND WORK-IN-PROGRESS

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Inventory at the beginning of the year		
Work in progress - A C Generators	14,321.11	10,708.89
Finished goods -A C Generators at Subsidiary	4,512.87	1,203.95
	18,833.98	11,912.84
Less: Inventory at the end of the year		
Work in progress - A C Generators	19,779.24	14,321.11
Finished goods -A C Generators machines in transit	4,461.43	-
Finished goods -A C Generators at Subsidiary	624.70	4,512.87
	24,865.37	18,833.98
Net (Increase) / Decrease	(6,031.39)	(6,921.14)

32 EMPLOYEE BENEFITS EXPENSE

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Salaries and wages	11,372.20	8,453.00
Contribution to provident and other funds	801.89	635.19
Remuneration to whole time directors including contribution to provident and other Funds (Refer Note No.44)	1,311.05	1,004.74
Director Sitting fees	34.10	30.80
Share based remuneration to employees (Refer Note No.50)	118.20	55.20
Staff welfare expenses	2,919.53	2,195.95
Total	16,556.97	12,374.88

33 FINANCE COSTS

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Interest	190.32	305.84
Total	190.32	305.84

34 DEPRECIATION AND AMORTISATION EXPENSES

Particulars	As at March 31, 2026	As at March 31, 2025
Depreciation on property, plant and equipments	1,953.39	1,630.54
Less: Depreciation on account of hyper inflationary reinstatement	(23.77)	(27.99)
Amortisation of intangible assets	369.73	367.30
Total	2,299.35	1,969.85

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35 OTHER EXPENSES

Particulars	As at March 31, 2026	As at March 31, 2025
Power and fuel	1,370.69	1,123.45
Rent (Refer Note No.45)	281.65	182.12
Repairs and maintenance		
- Buildings	110.07	87.71
- Machinery	1,012.71	727.05
- Others	124.65	70.19
Insurance	258.46	215.21
Manufacturing expenses	338.77	146.21
Rates and taxes	182.17	218.35
Payment to the auditors (excluding GST):		
- auditor fees (including audit of consolidated financial statements)	16.56	16.56
- for Limited review of quarterly financial results including consolidated financial results	10.05	10.05
- for other services - Certification fees	3.12	1.88
Legal and professional charges	1,217.07	916.76
Royalty	64.89	71.61
Travelling and conveyance	2,405.38	1,699.58
Bank charges	569.62	464.93
Software expenses	670.99	639.06
Corporate Social Responsibility (Refer Note No. 48)	337.89	242.45
Vehicle maintenance	94.18	82.73
Postage, Telegrams and Telephones	68.16	55.31
Printing & Stationery	79.19	55.88
Provision for doubtful debts	-	136.34
Carriage, freight and Selling expenses	2,373.56	2,025.50
Donations	13.29	4.34
Loss on sale of property, plant and equipment	6.32	6.17
Advertisement	95.38	57.49
Subscription to Technical Associations, Journals and Magazines	18.35	43.28
Miscellaneous Expenses	270.90	40.53
Total	11,994.07	9,340.74

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The Holding Company and subsidiary incorporated in India are in compliance with the requirement of Section 2(87) of the Companies Act, 2013 read with the Companies (Restriction on number of Layers) Rules, 2017.

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37 COMPONENTS OF OTHER COMPREHENSIVE INCOME (OCI) :

Particulars	As at March 31, 2026	As at March 31, 2025
Items that will not to be reclassified to profit or loss:		
Re-measurement gains/ (losses) on defined benefit plans	75.10	(118.08)
Income tax on Defined benefit plans	(18.90)	29.72
Items that will be reclassified to profit or loss:		
Exchange difference on translation of foreign operations	(312.17)	(28.95)
Income tax on exchange difference on translation of foreign operations	(17.24)	(4.38)
	(273.21)	(121.69)

38 EARNINGS PER SHARE : - BASIC

Particulars	As at March 31, 2026	As at March 31, 2025
Profit for the year after tax expense	23,877.49	17,457.51
Weighted average number of equity shares outstanding during the year	15,61,98,750	15,61,80,650
Earnings per share (in ₹)	15.29	11.18
Face Value of Equity share (in ₹)	2.00	2.00
EARNINGS PER SHARE : - DILUTED		
Profit for the year after tax expense	23,877.49	17,457.51
Weighted average number of equity shares outstanding during the year	15,62,24,585	15,62,30,270
Earnings per share (in ₹)	15.28	11.17
Face Value of Equity share (in ₹)	2.00	2.00

39 CONTINGENT LIABILITIES AND COMMITMENTS

Particulars	As at March 31, 2026	As at March 31, 2025
(to the extent not provided for)		
Contingent Liabilities:		
Performance Guarantees	12,246.21	11,159.24
Performance Guarantees given to customers on behalf of subsidiary companies	1,400.45	1,567.43
Advance Guarantees given to customers on behalf of subsidiary companies	-	69.05
Indirect Tax demand disputed by the Company	120.85	6.89
Income Tax demand disputed by the Company *	1,986.03	1,986.03
Other sums for which the Company is contingently liable	13.12	10.42

The management believes, based on internal assessment and / or legal advice, that the probability of an ultimate adverse decision and outflow of resources of the Group is not probable and accordingly, no provision for the same is considered necessary.

* During May 2021, the Company has received demand from Income tax department of ₹ 1,942.67 lakhs for AY 2017-18 with respect to Transfer Pricing and other disallowance u/s 143(3) r.w.s 144C (3) read with section 144B of the Income-tax Act. The Transfer Pricing Officer (TPO) has passed an order with demand considering transfer pricing adjustment on the overall turnover of the Company instead of restricting to transactions with Associate Enterprises. The Sales to Associate Enterprises for the said year is ₹ 1,964.90 lakhs as compared to the Sales of the entire Company of ₹ 36,944.03

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The Company has received assessment order u/s 143(3) r.w.s 260 read with section 144B of the Income Tax Act based on directions of Dispute Resolution panel. Further, consequent to a writ petition filed by the Company, the operation of the assessment order & recovery proceedings has been stayed by the Hon'ble High Court of Karnataka vide it's order dated March 21, 2022.

During the year, The Indian Subsidiary Company has received an order under section 74(9) of the Karnataka Goods & Service Tax Act, 2017 ("KGST Act") read with Rule 142 (1) of the Karnataka Goods & Service Tax Rules, 2017, passed by the Deputy Commissioner of Commercial Tax (Audit)- 6.6, that the Company has availed ineligible input credit, since it has no outward supplies and not utilised the input credit. Accordingly, the department has raised a demand for KGST and CGST for the period from 2017-18 to 2023-24 amounting to ₹.824.87 lakhs (including GST of ₹.412.43 lakhs) The Indian Subsidiary Company has preferred an appeal on such demand.

Commitments	As at March 31, 2026	As at March 31, 2025
Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	4,008.73	7,855.88

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(a) The reconciliation between Income tax and amounts computed by applying the statutory income tax rate:

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Total Profit/(Loss) before tax (A)	32,611.71	23,165.35
Income Tax Rate (B)	25.17%	25.17%
Tax Expense - (C) = (A) X (B)	8,207.72	5,830.26
Add - tax effect of the amounts as under:		
a) Expenses - not deductible for tax purpose	157.21	134.10
b) Adjustment on account of different tax rates of subsidiaries operating in other jurisdictions	240.08	(287.80)
c) Other adjustments (including eliminations) (net)	129.22	31.29
Total (D)	526.51	(122.41)
Net current tax expense (E) = (C)+(D)	8,734.22	5,707.84

(b) The movement in deferred tax liabilities (net)

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Deferred tax liabilities at the beginning of the year	276.79	36.18
- Change in difference between book value and WDV of property, plant and equipment and other intangible assets	167.59	72.76
- Change in Provision for employee benefits disallowed	(24.80)	(41.27)
- Change in expenses allowable on payment	(239.50)	209.12
Deferred tax liabilities at the end of the year	180.08	276.79
Deferred tax expense/(credit) in the statement of profit and loss	(96.71)	240.59

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(c) Income tax expense in the other comprehensive Income consist of the following:

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Tax on Re-measurement (loss)/gain on defined benefit obligation	(18.90)	29.72
Income tax on exchange difference on translation of foreign operations	(17.24)	(4.38)

41 FINANCIAL INSTRUMENTS - ACCOUNTING CLASSIFICATIONS AND FAIR VALUE MEASUREMENTS

- A.** The Fair value of cash and cash equivalents, bank balances, loans, trade receivables, trade payables and others approximates their carrying amount. Trade receivables are evaluated after taking into consideration for Expected Credit Losses. Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique.

Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities

Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

B. Financial Assets / Liabilities Classification:

Particulars	Carrying Amount	
	As at March 31, 2026	As at March 31, 2025
Financial assets at fair value through Profit and Loss (FVTPL):		
Investment in equity other than subsidiary - *	0.50	0.50
Mark to market gain on foreign exchange forward contracts (level 2) (Refer Note No.13)	-	181.98
Financial Assets at amortised cost:		
Cash and cash equivalents	7,834.03	7,496.30
Bank balances other than cash and cash equivalents	12,025.11	12,398.24
Trade receivables net of ECL	74,208.77	43,733.89
Other financial assets	5,389.24	4,059.85
Financial liabilities at amortised cost:		
Short term borrowings	1,809.62	1,220.75
Lease Liabilities	1.12	1.04
Trade payables	41,172.68	23,085.86
Other financial liabilities	12,954.54	10,157.43
Financial liabilities at at fair value through Profit and Loss (FVTPL):		
Mark to market loss on foreign exchange forward contracts (level 2) (Refer Note No.23)	674.82	-

* In view of the fact this investment amount is not significant and the cost is considered to be at fair value (level 3)

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C. Financial Risk Management

Objectives and Policies

The Group's Financial Risk Management is an integral part of business strategies. The Group's focus is to foresee the unpredictability of financial markets and seek to minimise potential adverse effects on its financial performance. The primary market risk to the Group is foreign exchange risk. In addition, Group is exposed to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements.

The Group's principal financial liabilities comprise short term borrowings, trade and other payables. The main purpose of these financial liabilities is to support entity's operations. The entity's principal financial assets include cash and cash equivalents, investment in Non-convertible Debentures and trade and other receivables that derive directly from its operations.

All activities for risk management purposes are carried out by experienced teams that have the appropriate skills, experience and supervision. It is the entity's policy that no activities in derivatives will be undertaken except foreign exchange forward contract. The Board of Directors review and agree policies for managing each of these risks, which are summarised below.

Credit Risk

Credit risk refers to the risk of default on its obligation by the counterparty resulting in a financial loss. The maximum exposure to the credit risk at the reporting date is primarily from trade receivables. The customer credit risk is managed as per Company's established policy, procedure and controls relating to customer credit risk management. It require different processes and policies to be followed based on the business risks, industry practice and customer profiles.

In order to contain the business risk, the creditworthiness of the customer is through scrutiny of its financials, status of financial closure of the project, to the extent available in public domain and if required, market reports and reference checks. The Company remains vigilant and regularly assesses the financial position of customers during execution of contracts with a view to restrict risks of delays and default. In view of its diversified business profile and considering the size of the Company, credit risks from receivables are well contained on an overall basis.

The Company's maximum exposure to credit risk at the reporting date is the carrying amount of trade receivables.

Particulars	As at March 31, 2026	As at March 31, 2025
Total Receivable	74,208.77	43,733.89
Receivable individually in excess of 10% of the receivable	40,655.40	20,802.97
Percentage of the above receivables to the total receivables of the Company	54.79%	47.57%

Receivables in excess of 10% of individual business receivables represents receivables from two customers/group as at March 31, 2026 and two customers/group as on March 31, 2025 .

Particulars	As at March 31, 2026	As at March 31, 2025
Customer A	43.07%	30.01%
Customer B	11.72%	17.56%

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Credit risk on cash and cash equivalents and balances with banks is limited as the Group generally invests in deposits with scheduled banks. Total Cash and Cash equivalents and balances with bank (including co-operative bank) as at March 31, 2026 is ₹ 19,859.14 lakhs (PY: ₹ 19,894.54 lakhs). Out of these balances held with banks as deposits was ₹ 14,493.43 lakhs (PY: ₹ 13,280.03 lakhs). The details of bank deposits are below:

Particulars	As at March 31, 2026	As at March 31, 2025
Bank A	10,373.13	11,869.11
Bank B (Co-operative Bank)	400.00	400.00
Bank C	331.62	409.92
Bank D	901.00	601.00
Bank E	2,487.68	-

Provision for expected credit losses

The life time expected credit loss ("ECL") is estimated on trade receivables, other amounts due from entities where there is no track record of short receipts. Delays in receiving payments from the customers pursuant to sale of goods or under contracts are not considered if such delays are commonly prevalent in the industry. Other short receipts other than arising from claims are duly considered in determining ECL.

The Group follows 'simplified approach' for recognition of impairment loss allowance on trade receivables. The Group has used a practical expedient by computing the expected credit loss allowance for trade receivables based on a provision matrix. The provision matrix takes into account historical credit loss experience based on past trend adjusted for forward looking estimates. Considering the above as well as business model of the Group, engineered-to-order products and the profile of trade receivables, the determination of a provision based only on age analysis may not be a realistic considering the economic and industry circumstances. Hence, the provision for expected credit loss is determined by the management for the specific trade receivables after considering the above facts and circumstances, particularly in view of the fact that there has no significant bad debts in the recent past.

Provision matrix (% , amounts) of ECL for trade receivables and the reconciliation of the movement in the provision is given below.

Particulars	As at March 31, 2026	As at March 31, 2025
Total Receivable	75,006.38	44,506.50
Provision for credit loss	797.61	772.61
Percentage	1.06%	1.74%

Reconciliation of expected credit loss

Particulars	As at March 31, 2026	As at March 31, 2025
Balance at the beginning of the year	772.61	636.27
Provision for credit loss allowance made during the year	25.00	136.34
Balance at the end of the year	797.61	772.61

Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash. The Company's approach in managing the same is to ensure, as far as possible, sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions.

The Company's principal sources of liquidity are cash and cash equivalents, balances with banks, investment in non-convertible debentures and the cash flow that is generated from operations. The cash and cash equivalent and other bank balances (including bank deposits with more than 12 months maturity) to ₹ 19,859.14 lakhs at

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The following are the contractual maturities of non-derivative financial liabilities due within one year based on contractual cash flows:

Particulars	As at March 31, 2026	As at March 31, 2025
Trade Payables	41,172.68	23,085.86
Borrowings	1,809.62	1,220.75
Other Payables:		
Employee dues	727.96	857.64
Mark to market loss on forward contracts	674.82	-
Other dues including lease liabilities	12,226.95	9,300.01
Total	56,612.03	34,464.26

Market risk:

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates that will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return.

The Company also operates internationally and a major portion of the business is transacted in several currencies and consequently the parent Company is exposed to foreign exchange risk through its sales and services and purchases from overseas suppliers in various foreign currencies.

i) Foreign currency risk exposure :- The parent company's and its Indian Subsidiaries exposure to foreign currency risk at the end of reporting year, are as follows:

- a) The foreign exchange forward contracts outstanding as on March 31, 2026 in respect of Euro is 1,20,00,000 (PY: Euro 3,33,00,000)

Currency	March 31, 2026			March 31, 2025		
	No. of Contracts	Amount in Foreign Currency	Amount in ₹	No. of Contracts	Amount in Foreign Currency	Amount in ₹
Euro	12.00	120.00	12,728.97	33.00	333.00	31,596.06

- b) The total foreign currency exposures as at the end of the year is as under:

In Foreign Currency in lakhs

Particulars	As at March 31, 2026			
	USD	Euro	JPY	Others
Assets/ Receivables	68.42	342.26	1,121.19	0.06
Liabilities (including advances)	171.59	43.85	1,052.93	0.03

Rupee Equivalent

Particulars	As at March 31, 2026			
	USD	Euro	JPY	Others
Assets/ Receivables	6,452.98	37,035.97	663.86	3.57
Liabilities (including advances)	15,633.86	4,780.35	632.71	4.21

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In Foreign Currency in lakhs

Particulars	As at March 31, 2025			
	USD	Euro	JPY	Others
Assets/ Receivables	63.09	257.59	1,401.62	0.06
Liabilities (including advances)	89.73	21.15	527.55	0.02

Rupee Equivalent

Particulars	As at March 31, 2025			
	USD	Euro	JPY	Others
Assets/ Receivables	5,375.62	23,566.35	790.37	3.67
Liabilities (including advances)	7,587.84	1,948.80	301.81	2.20

c) **Sensitivity analysis:**

A strengthening or weakening of the Indian Rupee, as indicated below, against the USD, Euro, JPY and others as at March 31, 2026 would have increased (decreased) profit or loss by the amounts shown below. This analysis is based on foreign currency exchange rate variances that the Company considered to be reasonably possible at the end of the reporting period. The analysis is performed on the same basis for previous year, even though the actual foreign exchange rate variances were different.

Currency	Impact on Profit or loss (before tax)			
	As at March 31, 2026		As at March 31, 2025	
	Strengthening	Weakening	Strengthening	Weakening
5% Movement in:				
USD	459.04	(459.04)	110.61	(110.61)
EURO	(1,612.78)	1,612.78	(1,080.88)	1,080.88
JPY	31.64	(31.64)	15.09	(15.09)
Others	(0.18)	0.18	(0.18)	0.18

ii) **Interest Rate Risk:**

The Company's investments are primarily in Fixed rate interest bearing deposits and non-convertible debentures. Also the borrowings bear fixed rate of interest which are reviewed periodically by the banks. Hence, the Company is not significantly exposed to interest rate risks.

iii) **Commodity price risk exposure:**

The Company is not exposed to significant volume of commodity price risk as the Company hedges major raw materials based on dips.

D. Capital Management:

While managing capital, the Group's objective is to safeguard its ability to continue as a going concern, so that it can continue to provide returns for shareholders and benefit for other stakeholders.

The Board of Directors monitors the earnings before interest, depreciation and tax (EBITDA), which the Group defines as result from operating activities before considering finance cost, depreciation & amortisation, exceptional items and tax expenses. The Board of Directors also monitors the level of dividends to equity shareholders.

The Group's EBITDA excluding other income is 17.77% for the year ended March 31, 2026 in comparison to 18.05% for the year ended March 31, 2025.

The Group monitors capital, using a medium and long term view, on the basis of a number of financial ratios generally used by industry and by the rating agencies.

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42 SEGMENT REPORTING

The Group is engaged in manufacturing of AC Generators and Electric Motors for various applications, which is monitored as a single segment by the chief operating decision maker in the context of Ind AS 108.

(i) Geographical Segment:

Particulars	Segment revenue by geographical Market	
	Year ended March 31, 2026	Year ended March 31, 2025
Sales from India		
Domestic Sales (including Deemed Export)	73,438.95	84,769.65
Export Sales	96,858.53	41,154.63
Sales of Overseas Branch and Subsidiary	59,261.53	39,706.28
Less: Sales to Japan branch	(1,333.96)	(1,511.54)
Less: Sales to subsidiaries	(42,601.67)	(36,242.85)
Total	1,85,623.38	1,27,876.17

Carrying amounts of Non current assets:

Particulars	Carrying amounts of segment assets		Additions to property, plant and equipment and intangible assets (Net of deletion)	
	As at March 31, 2026	As at March 31, 2025	As at March 31, 2026	As at March 31, 2025
Located in India	30,667.17	21,886.82	10,826.04	3,873.91
Located outside India	435.53	500.36	41.66	2.74
Total	31,102.70	22,387.18	10,867.70	3,876.65

(ii) Information about Major customers -

The revenue from operations from customers who exceed 10% of revenue from operations are given below.

Particulars	Current Year	
	As at March 31, 2026	As at March 31, 2025
Customer A	23.17%	14.10%
Customer B	10.74%	12.32%

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43 DISCLOSURE AS PER IND AS 19 ON 'EMPLOYEE BENEFITS'

A. Gratuity - Funded

The Parent Company has a defined benefit gratuity plan. Every employee who has rendered continuous service of five years or more is entitled to gratuity at 15 days salary (15/26 X last drawn basic salary plus dearness allowance) for each completed year of service subject to a maximum of ₹ 20 lakhs. The gratuity liability arises on account of future payments, which are required to be made in the event of retirement, death in service or withdrawal. The liability has been assessed using projected unit credit actuarial method. The Parent Company made annual contributions to the Employee's Group Gratuity scheme of the Life Insurance Corporation of India.

I. Movement in net defined benefit asset on Gratuity plan

Particulars	Defined benefit obligation - A		Fair value of plan assets - B		Net defined benefit asset (A-B)	
	Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2026	Year ended March 31, 2025
Opening balance (Liability/Asset)	1,970.81	1,725.02	2,217.13	2,010.60	246.32	285.58
Included in profit or loss:						
Current service cost	213.64	169.12	-	-	(213.64)	(169.12)
Interest Income on planned asset	-	-	153.67	142.97	153.67	142.97
Interest cost	125.94	115.27	-	-	(125.94)	(115.27)
Total amount recognised in profit or loss	339.58	284.39	153.67	142.97	(185.91)	(141.42)
Included in OCI:						
Actuarial loss (gain)	(75.10)	118.08	-	-	75.10	(118.08)
Total amount recognised in other comprehensive income	(75.10)	118.08	-	-	75.10	(118.08)
Contributions paid by the employer	-	-	347.61	220.24	347.61	220.24
Benefits paid	125.28	156.68	125.28	156.68	-	-
Closing balance (Liability/Non current Asset)	2,110.01	1,970.81	2,593.13	2,217.13	483.12	246.32

II. Details of Plan assets

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Schemes of insurance - conventional products	100.00%	100.00%
	100.00%	100.00%

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FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

III. Actuarial Assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Financial assumptions:		
Discount rate	7.10%	6.60%
Salary escalation rate	7.00%	7.00%
Demographic assumptions:		
Retirement age	58 Years	58 Years
Mortality table	Indian Assured Lives Mortality (2006-08) Ultimate	
Withdrawal rate % (All ages)	3.00%	3.00%

IV. Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the significant principal assumptions is:

Particulars	Year ended March 31, 2026		Year ended March 31, 2025	
	Increase	Decrease	Increase	Decrease
Discount rate (1% Movement)	(200.96)	236.01	(196.30)	230.86
Salary escalation rate (1% Movement)	204.59	(182.26)	201.00	(181.32)
Withdrawal rate (1% Movement)	5.08	(6.15)	(4.05)	4.26

The sensitivity analysis above has been determined based on a method that extrapolates the impact on defined benefit obligation as a result of reasonable changes in key assumptions occurring at the end of the reporting period. This analysis may not be representative of the actual change in the defined benefit obligations as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

V. Expected benefit payment of the gratuity plan in future years:

Particulars	Gratuity (Funded)	
	Year ended March 31, 2026	Year ended March 31, 2025
For the year ending:		
Less than 1 year	87.60	83.43
Between 1-2 years	170.53	73.13
Between 2-3 years	121.33	170.83
Between 3-4 years	115.59	111.97
Between 4-5 years	122.17	105.01
Between 5-10 years	736.91	616.50

VI. Risk Exposures

Valuations are based on certain assumptions, which are dynamic in nature and vary over time. As such company is exposed to various risks such as increase in salary, investment risk, discount rate, mortality, disability and withdrawals.

B. Defined contribution plan - Not-funded:

The Company has recognised the following in amounts in the consolidated statement of profit & loss during the year

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Contribution to Provident Fund	571.21	429.87
Contribution to Employee State Insurance	61.91	41.98

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

C. Long term Leave Liability - Not-funded

The parent company provides for earned leave benefit to the employees which accrue at 15 days (maximum) for the year. The earned leave is encashable while in service and upto a maximum of 105 days on retirement. The leave liability has been treated as other long term benefits and has been assessed using projected unit credit actuarial method.

I. Movement in net defined benefit liability

Particulars	Defined benefit obligation	
	Year ended March 31, 2026	Year ended March 31, 2025
Opening balance	915.97	744.42
Included in profit or loss:		
Current service cost	240.35	201.36
Interest cost	53.31	47.41
Actuarial loss (gain)	31.38	56.95
Total amount recognised in consolidated statement of profit or loss	325.05	305.72
Benefits paid during the year	216.40	134.17
Closing balance	1,024.62	915.97

II. Actuarial Assumptions

The following were the principal actuarial assumptions at the reporting date.

Particulars	Year ended March 31, 2026	Year ended March 31, 2025
Financial assumptions:		
Discount rate	7.10%	6.60%
Salary escalation rate	7.00%	7.00%
Demographic assumptions:		
Mortality table	Indian Assured Lives Mortality (2006-08) Ultimate	
Withdrawal rate % (All ages)	3.00%	3.00%
Retirement age	58 Years	58 Years

III. Sensitivity analysis

The sensitivity of the defined benefit obligation to changes in the significant principal assumptions is:

Particulars	Year ended March 31, 2026		Year ended March 31, 2025	
	Increase	Decrease	Increase	Decrease
Discount rate (1% Movement)	(95.16)	112.74	(88.74)	105.12
Salary escalation rate (1% Movement)	111.79	(96.12)	103.70	(89.25)
Withdrawal rate (1% Movement)	0.90	(1.03)	(3.05)	3.48

Method used for sensitivity analysis: The sensitivity results above determine their individual impact on the Plan's end of year Defined Benefit Obligation. In reality, the Plan is subject to multiple external experience items which may move the Defined Benefit Obligation in similar or opposite directions, while the Plan's sensitivity to such changes can vary over time.

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

44 RELATED PARTY DISCLOSURE

Sl. No.	Related Party	Relationship
1	Trident Automobiles Private Limited	Companies/Firms in which key management personnel/ close member of key management personnel are interested
2	Trident Automobiles (Bangalore) Private Limited	
3	Trilegal	
4	Nikhil Kumar, Managing Director	Key management personnel
5	Mohib N Khericha, Chairman & Non-Executive Director	
6	S. Prabhamani, Non-Executive Director	
7	Prathibha Sastry, Independent Director	
8	Rahul Matthan, Independent Director	
9	Karl Olof Alexander Olsson, Independent Director	
10	Bharat Rajwani, Company Secretary	
11	Deepak Kumar Sinha, CEO (wef April 02, 2026)	
12	M N Varalakshmi, CFO	

DETAILS OF TRANSACTIONS:

Sl. No.	Nature of transactions	Companies in which key management personnel/ close member of key management personnel is interested		Key management personnel	
		Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2026	Year ended March 31, 2025
1	Directors Remuneration:				
	Nikhil Kumar				
	Short-term employee benefits				
	Short-term employee benefits including commission of ₹ 995.02 lakhs (PY: ₹ 713.41 lakhs)	-	-	1,299.09	992.78
	Director Sittings fees			0.80	0.80
	Other long term employee benefit	-	-	11.96	11.96
	Dividend paid during the year	-	-	213.93	209.92
	Amount Outstanding at the year end *	-	-	4.87	4.28
2	Remuneration to Key Managerial Personnel:				
	Bharat Rajwani				
	Short-term employee benefits	-	-	28.35	24.97
	Other long term employee benefit	-	-	1.80	1.58
	Amount Outstanding at the year end	-	-	1.98	1.82
	M N Varalakshmi				
	Short-term employee benefits	-	-	96.12	71.32
	Other long term employee benefit	-	-	5.90	4.35
	Dividend paid during the year	-	-	4.85	3.63
	Amount Outstanding at the year end	-	-	5.38	2.94

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

Sl. No.	Nature of transactions	Companies in which key management personnel/ close member of key management personnel is interested		Key management personnel	
		Year ended March 31, 2026	Year ended March 31, 2025	Year ended March 31, 2026	Year ended March 31, 2025
3(a)	Directors Sitting fees				
	Mohib N Khericha	-	-	8.15	7.20
	Prathibha Sastry	-	-	7.65	6.70
	Rahul Matthan	-	-	6.25	5.50
	Karl Olof Alexander Olsson	-	-	5.65	5.20
	S. Prabhamani	-	-	5.60	5.40
3(b)	Consultancy charges:				
	S. Prabhamani	-	-	31.92	10.76
4	Servicing of Vehicles				
	Trident Automobiles Private Limited	2.16	-	-	-
	Trident Automobiles (Bangalore) Private Limited	0.28	0.20	-	-
5	Purchase of Vehicle				
	Trident Automobiles Private Limited	80.93	-	-	-
6	Professional Services				
	Trilegal	8.58	-	-	-

As the liabilities for gratuity and compensated absences are provided on an actuarial basis for the Company as a whole, the amount pertaining to the KMP and relatives of KMP is not ascertainable and, therefore, not included above

* The amounts accrued & due are reported

45 OPERATING LEASE

The group has taken office facilities, guesthouse and residential premises of employees under short term lease and are renewable on a periodic basis, and cancellable at its option. Rental expenses recorded for short term leases for the year is ₹ 281.65 lakhs (Previous year ₹ 182.12 lakhs).

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- The Group does not have any pending litigations which would impact its financial position as on the reporting date except to the extent disclosed in Note 39
- The Group does not have any long term contracts including derivative contracts for which there were any material foreseeable losses. Adequate provision has been made for losses in respect of short term foreign exchange forward contract (Refer Note.23)
- No amounts required to be transferred to the Investor Education and Protection Fund by the Group as on the reporting date.
- To the best of its knowledge and belief of the management, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company or subsidiaries to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company or subsidiaries ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

- e To the best of our knowledge and belief, no funds have been received by the Company or such subsidiaries, from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company or subsidiaries, shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries
- f The Company and its Indian subsidiary do not have any charges/satisfaction which is yet to be registered with ROC beyond the statutory period.
- g The group has not traded or invested in Crypto currency or Virtual Currency during the year.
- h The Company and its subsidiaries are not declared as a wilful defaulter by any bank or financial institution or other lender or Government or Government authorities. Accordingly, no disclosures are made in this regard.
- i The Company and its Indian Subsidiary do not have any such transaction which is not recorded in the books of account that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as, search or survey or any other relevant provisions of the Income Tax Act, 1961.
- j The Company and its Indian Subsidiary do not have transactions or balances with struck off companies.
- k Additional Information, as required under Schedule III to the Companies Act, 2013, of enterprises consolidated as Subsidiary / Associates / Joint Ventures.

Name of the entities in consolidated financial statement	Net Assets i.e., total assets minus total liabilities		Share in profit or Loss		Share in other comprehensive income		Share in total comprehensive income	
	As % of Consolidated net assets	Amount (in lakhs)	As % of Consolidated profit or loss	Amount (in lakhs)	As % of Consolidated other comprehensive income	Amount (in lakhs)	As % of Consolidated total comprehensive income	Amount (in lakhs)
	%	₹	%	₹	%	₹	%	₹
Parent								
TD Power Systems Limited	95.99%	1,02,882.07	90.65%	21,644.35	(39.33%)	107.45	92.15%	21,751.80
TD Power Systems Limited - Previous Year	97.16%	83,588.56	88.05%	15,371.00	61.92%	(75.35)	88.23%	15,295.65
Subsidiaries								
Indian								
DF Power Systems Private Limited	0.77%	821.61	(0.04%)	(8.75)	0.00%	-	(0.04%)	(8.75)
DF Power Systems Private Limited - Previous Year	0.97%	830.36	(0.04%)	(6.23)	0.00%	-	(0.04%)	(6.23)
Foreign								
TD Power Systems USA Inc	1.72%	1,846.21	5.16%	1,232.93	165.25%	(451.49)	3.31%	781.44
TD Power Systems USA Inc - Previous Year	1.24%	1,064.77	8.71%	1,519.84	43.92%	(53.45)	8.46%	1,466.39
TD Power Systems Europe GmbH	1.81%	1,943.51	2.55%	609.74	(34.63%)	94.60	2.98%	704.34
TD Power Systems Europe GmbH - Previous Year	1.44%	1,239.17	1.71%	299.11	10.33%	(12.57)	1.65%	286.54
TD Power Systems Jenerator Sanayi Anonim Sirketi	0.69%	738.28	(0.26%)	(61.12)	8.70%	(23.77)	(0.36%)	(84.89)
TD Power Systems Jenerator Sanayi Anonim Sirketi - Previous Year	0.96%	823.17	(0.15%)	(25.35)	(16.17%)	19.68	(0.03%)	(5.67)
Consolidation adjustments	(0.98%)	(1,055.25)	1.93%	460.34	0.00%	-	1.95%	460.34
Consolidation adjustments - Previous Year	(1.76%)	(1,515.59)	1.71%	299.14	0.00%	-	1.73%	299.14
Total	100.00%	1,07,176.43	100.00%	23,877.49	100.00%	(273.21)	100.00%	23,604.28
Total - Previous Year	100.00%	86,030.44	100.00%	17,457.51	100.00%	(121.69)	100.00%	17,335.82

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

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Provision for warranties towards sale of goods are made on an estimated basis as actual claims cannot be determinable. During the year, the group has made provisions towards warranty claims, the details of the same are as under:

Particulars	Warranty claims	
	As at March 31, 2026	As at March 31, 2025
Balance outstanding at the beginning of the year	620.88	474.95
Provision for the year	233.45	147.28
Withdrawn and credited to Consolidated Statement of Profit and Loss	-	1.35
Balance outstanding at the end of the year	854.33	620.88

48 CORPORATE SOCIAL RESPONSIBILITY

Sl No.	Particulars	As at March 31, 2026	As at March 31, 2025
i)	Amount required to be spent by the Company	337.55	242.45
ii)	Unspent amount of CSR of previous year brought forward	-	-
iii)	Amount of expenditure incurred (including set off of earlier years excess spent Nil (PY: Nil))	337.89	242.45
iv)	Shortfall at the end of the year	-	-
v)	Total of previous years shortfall	-	-
vi)	Reason for shortfall	Not Applicable	
vii)	Nature of CSR activities	Educational empowerment, School infrastructure development & construction, Health care & Sports Training	
viii)	Details of related party transactions, e.g., contribution to a trust controlled by the Company in relation to CSR expenditure as per relevant Accounting Standard	Not Applicable	
ix)	Where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year shall be shown separately	Not Applicable	

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(a) Interim Dividend

On October 30, 2025, (PY: October 29, 2024) the Board of Directors of the Company has considered and declared an interim dividend of ₹ 1.00 (PY: 0.60) per equity share of the Company.

(b) Final Dividend

On May 14, 2026, (PY: May 12, 2025) the Board of Directors of the Company have proposed a dividend of ₹ 1.10 (PY: ₹ 0.65) (sub-divided into ₹ 2/- each) per share in respect of the year ended March 31, 2026 subject to approval of shareholders at the Annual General Meeting.

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

50 EMPLOYEE STOCK BENEFIT PLANS

During August 2019, the Company had instituted an Employee Stock Option Plan I (GIL ESOP I) as approved by the Board of Directors and the Shareholders, for the allotment of 10,00,000 shares in aggregate, out of which not more than 5,65,000 shares to be acquired by the Trust through Secondary Acquisition and not more than 4,35,000 shares shall be issued by way of Primary / Fresh shares. The maximum number of options that may be granted to any employee in any year and in aggregate shall not exceed 2,00,000 options under the plan.

In accordance with the shareholders' approval in Annual General Meeting held on August 12, 2019, the Board, based on the recommendations of the Nomination and Remuneration Committee, has approved grant of 5,63,884 employee stock options ("ESOPs") and 3,99,216 employee stock appreciation rights ("ESARs") to the eligible employees of the Company and/or its Subsidiary Company(ies) under its TDPSL Equity Based Compensation Plan 2019 ("Plan"). These were outstanding at the year end.

Out of which 97,962 ESOPs and 56,160 ESOPs have been granted to former Company Secretary and Chief Financial Officer of the Company respectively.

The fair value of each equity settled award is estimated on the date of grant using the Black-Scholes-Merton model with the following assumptions:

Particulars	ESAR - Reissued	ESAR
	No. of Options	No. of Options
Market Price (₹)	254.7	134.45
Expected Life (in Years)	3 - 5	3 - 5
Volatility (%)	49.91 - 51.22	38.84 - 40
Risk free Rate (%)	6.99 - 7.03	5.93 - 6.26
Exercise Price (₹)	2.00	2.00
Dividend Yield (%)	0.39	1.49
Weighted Average Fair Value of the Vest (₹)	159.35	78.92

During the year ended March 31, 2026 (PY: March 31, 2025), 31,219 (PY: 13,511) Equity Shares of face value of ₹ 2 each were issued & allotted to the TDPSL Employee Welfare Trust (Trust) in respect of the exercise of 38,333 (PY: 14,075) ESARs by grantees. Consequently, the paid up capital of the Company as at March 31, 2026 (PY: March 31, 2025) stands at ₹ 3,124.30 lakhs (PY: ₹ 3,123.67 lakhs) comprising 15,62,14,831 (PY: 15,61,83,612) Equity Shares of ₹ 2/-each. As per the TDPSL Equity Based Compensation Plan 2019, the said shares were transferred by the Trust to the ESAR Grantees in settlement of the ESAR'S Exercised.

The details of ESAR as at March 31, 2026 is as under:

Particulars	As at March 31, 2026	As at March 31, 2025
Outstanding at the beginning of the year - Not vested (face value ₹ 2)	65,940	98,910
Outstanding at the beginning of the year - Vested & Not Exercised (face value ₹ 2)	32,970	-
Outstanding at the beginning of the year - Vested & Not Exercised (face value ₹ 10)	2,757	5,572
ESAR's issued during the year (face value ₹ 2)	27,000	-
Vested & exercised during the year (face value ₹ 10)	-	2,815
Vested & exercised during the year (face value ₹ 2)	38,333	-
Balance at the end of the year - Not vested (face value ₹ 2)	32,970	65,940
Balance at the end of the year - Vested & Not Exercised (face value ₹ 2)	54,607	32,970
Balance at the end of the year - Vested & Not Exercised (face value ₹ 10)	2,757	2,757

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

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The Company has borrowings from banks on the basis of security of current assets. The quarterly statement of current assets filed by the Company with banks during the year are in agreement with the books of accounts excluding conversion & carrying cost of inventory and Japan branch related assets. Below is the details of the same.

Qtr	Nature of current asset	As per Bank submission	As per books of accounts*	Difference	Reasons
		A	B	(A)-(B)	
Q1	Inventory	31,327.16	34,862.19	(3,535.03)	Due to conversion/carrying cost of inventory, Inventory in Japan branch & material at port.
	Trade receivables	47,416.22	47,415.69	0.53	Due to Japan branch related trade receivables adjustment as per sanctioned terms.
Q2	Inventory	32,416.38	36,617.65	(4,201.27)	Due to conversion/carrying cost of inventory, Inventory in Japan branch & material at port.
	Trade receivables	52,464.06	51,719.80	744.26	Due to Japan branch related trade receivables adjustment as per sanctioned terms.
Q3	Inventory	38,431.50	43,976.66	(5,545.16)	Due to conversion/carrying cost of inventory, Inventory in Japan branch & material at port.
	Trade receivables	55,038.24	53,977.05	1,061.19	Due to Japan branch related trade receivables adjustment as per sanctioned terms.
Q4	Inventory	45,721.24	49,681.21	(3,959.97)	Due to conversion/carrying cost of inventory, Inventory in Japan branch & material at port.
	Trade receivables	71,138.56	70,865.41	273.15	Due to Japan branch related trade receivables adjustment as per sanctioned terms.

* Amount reported above relating to Q1, Q2 and Q3 and based on unaudited books of accounts.

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The net worth of the indian subsidiary continues to be positive owing to substantial reduction of accumulated losses. The Company is awaiting improvement in market conditions which is gradually recovering due to the receding pandemic to evaluate opportunities from time to time with required support from the parent Company. Based on an assessment of risk of claims & counter claims which the Company will have against Creditors for supply of project related equipment, as well as project cancellation, appropriate write backs have been accounted in respect of these creditors in earlier year, resulting in the Company's Net worth turning positive. Accordingly, the financial statements of the Company continue to be prepared on a going concern basis which is considered appropriate by the management of the Company.

53 LABOUR CODE NOTE

On November 21, 2025, the Government of India notified provisions of the Code on Wages, 2019, the Industrial Relations Code, 2020, the Code on Social Security, 2020 and the Occupational Safety, Health and Working Conditions Code, 2020 (collectively referred to as the "Labour Codes"), which consolidate twenty-nine existing labour laws into a unified framework governing employee benefits during employment and post-employment. The Labour Codes, inter alia, introduce changes including a uniform definition of wages and enhanced benefits relating to leave.

The Company has evaluated the implications arising from the implementation of the Labour Codes and, based on the assessment carried out, no material impact has been identified on the gratuity liability, leave liability or other employee benefit obligations as at March 31, 2026. Accordingly, no adjustment has been considered necessary in the Standalone Financial Statements for the year ended March 31, 2026.

The Company continues to monitor developments relating to the Labour Codes and will evaluate the impact, if any, on the measurement of employee benefit liabilities.

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

54 RECENT ACCOUNTING PRONOUNCEMENTS:

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. For the year ended March 31, 2026, MCA has notified below new standards or amendments that are applicable or may have a material impact to the Company

Amendment to Ind AS 1 - Classification of liabilities as current or non-current and non-current liabilities with covenants:

The amendment specifies the requirements for classifying liabilities as current or non-current in the balance sheet, and clarifies the following:

- a. An entity's right to defer settlement of a liability for at least twelve months after the reporting period must have substance and must exist at the end of the reporting period. The classification of a liability as current or non-current is unaffected by the likelihood that the entity will exercise its right to defer settlement.
- b. If an entity's right to defer settlement of a liability is subject to covenants, such covenants affect whether that right exists at the end of the reporting period only if the entity is required to comply with the covenant on or before the end of the reporting period.
- c. In case of a liability that can be settled, at the option of the counterparty, by the transfer of the entity's own equity instruments, such settlement terms do not affect the classification of the liability as current or non-current only if the option is classified as an equity instrument.

These amendments have no effect on the measurement of any items in the consolidated financial statements of the Company. The Company did not make retrospective adjustments as a result of adopting the amendments to Ind AS 1.

Amendment to Ind AS 12 – Pillar-Two Tax Reforms:

The Organisation for Economic Co-operation and Development (OECD) has released model rules for a global minimum tax under the Pillar Two framework (Pillar Two model rules). The Pillar Two framework applies to constituent entities of Multinational Enterprise (MNE) Groups whose consolidated annual revenues meet or exceed the prescribed threshold of EUR 750 Million (approximately ₹ 6,800 Crore) in at least two of the four preceding fiscal years.

The Company and its constituent entities do not fall within the scope of the Pillar Two framework. These amendments had no effect on the consolidated financial statements of the Company.

Amendment to Ind AS 7 and Ind AS 107 – Supplier Finance Arrangement:

The amendments to Ind AS 7 'Statement of Cash Flows' and Ind AS 107 'Financial Instruments: Disclosures' clarify the characteristics of supplier finance arrangements and require additional disclosures for such arrangements. The disclosure requirements in the amendments are intended to assist users of financial statements in understanding the effects of supplier finance arrangements on an entity's liabilities, cash flows and exposure to liquidity risk.

These amendments had no effect on the consolidated financial statements of the Company.

Amendment to Ind AS 21-Lack of exchangeability

The Amendments introduces requirement to assess when a currency is exchangeable into another currency and when it is not. The amendment requires an entity to estimate the spot exchange rate when it concludes that a currency is not exchangeable into another currency.

These amendments had no effect on the consolidated financial statements of the Company.

The below amendments are notified but not yet effective :

Amendment to Ind AS 1 'Presentation of Financial Statements'- Classification of Liabilities as current or non-current and non-current liabilities with covenants:

The amendment includes specific provisions that will take effect for reporting periods beginning on or after April 01, 2026, retrospectively, as outlined below:

NOTES FORMING PART OF CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEAR ENDED MARCH 31, 2026 (CONTD.)

Amounts in Indian Rupees in lakhs, except as otherwise stated

- a. Breach of material covenant for long-term loan arrangement on or before end of reporting period with effect that liability becomes payable on demand as on reporting date, then it shall be classified as current liability, if lender agreed after reporting period and before approval of financial statements to not demand payment as a consequence of breach.
- b. Classify as non-current liability, if lender agreed by end of reporting period to provide grace period ending at least 12 months after reporting period within which entity can rectify the breach provided lender does not demand immediate repayment.
- c. Disclose information about the timing of settlement to understand the impact of the liability on the financial statements.

The Company does not expect this amendment to have an impact on its operations or consolidated financial statements.

55 PRIOR PERIOD COMPARATIVES

The previous year's figures have been regrouped where necessary to confirm with current year's classification. The impact of such regrouping is not material to the consolidated financial statements.

For and on behalf of Board of Directors of
TD Power Systems Limited
CIN No. L31103KA1999PLC025071

MOHIB N KHERICHA
Chairman
DIN: 00010365
Place: Ahmedabad

NIKHIL KUMAR
Managing Director
DIN:00062243
Place: Frankfurt

DEEPAK KUMAR SINHA
Chief Executive Officer
Place: Bangalore

M N VARALAKSHMI
Chief Financial Officer
Place: Bangalore

BHARAT RAJWANI
Company Secretary
Membership No. A50096
Place: Bangalore

Date : May 14, 2026

As per our report of even date attached

For VARMA & VARMA
Chartered Accountants
Firm Registration No. 004532S

ABRAHAM BABY CHERIAN
Partner
Membership No.218851
Place: Bangalore
Date : May 14, 2026



TD Power Systems Limited
REGISTERED OFFICE & FACTORY:
27, 28 and 29, KIADB Industrial Area
Dabaspet, Nelamangala Taluk
Bengaluru Rural District
Bengaluru — 562 111, India

www.tdps.co.in



TD POWER SYSTEMS LIMITED

Regd. Off: No. 27, 28 & 29, KIADB Industrial Area, Dabaspet, Nelamangala Taluk, Bengaluru - 562 111

CIN: L31103KA1999PLC025071, **E-mail Id:** tdps@tdps.co.in,

Website: www.tdps.co.in, **Tel. No.:** +91 80 22995700, **Fax:** + 91 80 22995718

NOTICE

Notice is hereby given that the **Twenty-Seventh Annual General Meeting (AGM)** of the Members of TD Power Systems Limited (Company) will be held at 2:00 P.M. (IST) on Wednesday 12th day of August 2026 through Video Conferencing ("VC") / Other Audio-Visual Means ("OAVM"), to transact the following business:

ORDINARY BUSINESS

1. To receive, consider and adopt the Audited Financial Statements of the Company (including consolidated financial statements) for the financial year ended March 31, 2026, together with the Reports of the Board of Directors and Auditors' thereon.
2. To confirm the payment of Interim Dividend (₹ 1 per share) and declare final dividend (₹ 1.10 per share, face value of ₹ 2 each) for the financial year ended March 31, 2026.
3. To appoint a Director in place of Ms. S. Prabhamani (DIN: 09695003) who retires by rotation and being eligible seeks re-appointment.

SPECIAL BUSINESS

4. **RATIFICATION OF REMUNERATION PAYABLE TO M/S. RAO, MURTHY & ASSOCIATES, COST AUDITORS, FOR THE FINANCIAL YEAR 2026-27**

To consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution.

RESOLVED THAT, pursuant to the provisions of Section 148 and other applicable provisions, if any, of the Companies Act, 2013 and the Companies (Audit & Auditors) Rules, 2014 (including any statutory modification or re-enactment(s) thereof, for the time being in force) M/s. Rao, Murthy & Associates, Cost Auditors (Firm Registration No.000065) appointed by the Board of Directors of the Company on the recommendation of the Audit Committee, to conduct the audit of the cost records of the Company for the financial year ending March 31, 2027, be paid a remuneration as set out in the Statement annexed to the Notice convening this Meeting.

5. **TO APPROVE THE CONTINUATION OF MR. MOHIB N. KHERICHA (DIN: 00010365) AS NON-EXECUTIVE – NON-INDEPENDENT DIRECTOR OF THE COMPANY**

To consider and if thought fit, to pass with or without modification(s), the following resolution as a Special Resolution.

RESOLVED THAT pursuant to the provisions of Regulation 17(1A) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended from time to time and other applicable provisions, if any, of the Companies Act, 2013 read with Rules made thereunder, including any amendment(s), statutory modification(s) or re-enactment(s) made thereof for the time being in force and based on the recommendation of the Nomination and Remuneration Committee and Board of Directors of the Company, approval of the members of the Company be and is hereby accorded for the continuation of Mr. Mohib N. Khericha (DIN: 00010365), as a Non Executive – Non Independent Director of the Company, liable to retire by rotation, who would attain the age of 75 years on August 04, 2027.

RESOLVED FURTHER THAT, the Board of Directors of the Company be and is hereby authorized for and on behalf of the Company to take all necessary steps and to do all such acts, deeds, matters and things which may deem necessary in this behalf.

6. **TO APPROVE PAYMENT OF REMUNERATION OF NON-EXECUTIVE - NON INDEPENDENT DIRECTOR EXCEEDING FIFTY PERCENT OF THE TOTAL ANNUAL REMUNERATION PAYABLE TO ALL THE NON-EXECUTIVE DIRECTORS OF THE COMPANY FOR THE FINANCIAL YEAR 2026-27**

To consider and if thought fit, to pass with or without modification(s), the following resolution as a Special Resolution.

RESOLVED THAT, in accordance with the Regulation 17(6)(ca) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,

2015, and other applicable provisions, if any, of the Companies Act, 2013 and the rules framed thereunder, the approval of the members of the Company be and is hereby accorded for payment of remuneration for the Financial Year 2026-27, in excess of fifty percent of the total annual remuneration payable to all the Non-Executive Directors of the Company to Ms. S. Prabhamani, Non-Executive-Non Independent Director, details whereof are set out in the Explanatory Statement annexed to this Notice.

RESOLVED FURTHER THAT, the Board of Directors of the Company be and is hereby authorized for and on behalf of the Company to take all necessary steps and to do all such acts, deeds, matters and things which may deem necessary in this behalf.

7. TO APPROVE SUB-DIVISION OF EQUITY SHARES OF THE COMPANY

To consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution;

RESOLVED THAT, pursuant to Section 61(1)(d) and other applicable provisions, if any, of the Companies Act, 2013 (including any statutory modification(s) or re-enactment(s) thereof, for the time being in force) read with the applicable provisions of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended and subject to the provisions of the Memorandum and Articles of Association of the Company and such other approval(s), consent(s), permission(s) and sanction(s) as may be necessary from the appropriate statutory authority(ies), the approval of the Members of the Company be and is hereby accorded for sub-division / split of the existing equity shares of the Company, such that each equity share having a face value of ₹ 2 (Rupees Two only), fully paid-up, be sub-divided into 2 (Two) equity shares having a face value of ₹ 1 (Rupee One only) each, fully paid-up, with effect from the "Record Date" to be determined by the Board of Directors for this purpose.

RESOLVED FURTHER THAT, the sub-divided Equity Shares having a face value of ₹ 1/- each shall rank pari passu in all respects with each other and carry the same rights as to the existing Equity Shares of face value of ₹ 2/- each of the Company.

RESOLVED FURTHER THAT, upon sub-division of the Equity Shares as aforesaid and with effect from the Record Date;

- (a) For Equity Shares held in physical form, if any, the existing share certificate(s) in relation to the said shares, shall be deemed to have been automatically cancelled and shall be of no effect and in lieu of the same the Company shall issue letter of confirmation(s) and/or credit the sub-divided equity shares, in compliance with the applicable laws/ guidelines in this regard; and
- (b) For the Equity Shares held in dematerialised form, the sub-divided equity shares shall be credited proportionately into the respective beneficiary demat accounts of the Members held with Depository Participants, in lieu of the existing credits present in their respective beneficiary demat accounts.

RESOLVED FURTHER THAT, the Board be and is hereby authorised to make appropriate adjustments to ensure fair and reasonable adjustment to the entitlement of the participants under the TDPSL Equity Based Compensation Plan 2019, due to the sub-division of equity shares as aforesaid to the outstanding stock options/ESARs (whether vested or unvested as on the Record Date) in accordance with the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations, 2021 as amended from time to time.

RESOLVED FURTHER THAT, the Board of Directors and/or the Company Secretary of the Company, be and are hereby severally authorised to do all such acts, deeds, matters and things including to fix and announce the Record Date, to make appropriate adjustments on account of sub-division of Equity Shares, to accept and make any alteration(s), modification(s) to the terms and conditions as they may deem necessary, concerning any aspect of the sub-division of Equity Shares, in accordance with statutory requirements as well as to delegate all or any of its/their powers herein conferred to any other Officer(s)/Authorised Representative(s) of the Company, to give such directions as may be necessary or desirable, to apply for necessary approvals, to settle any questions, difficulties or doubts that may arise and generally, to do all acts, deeds, matters and things as they may, in their absolute discretion deem necessary, expedient, usual or proper in relation to or in connection with or for matters in relation or consequential to the sub-division of Equity Shares



including execution and filing of all the relevant documents with the Registrar of Companies, Stock Exchanges, Depositories and other appropriate authorities, in due compliance of the applicable rules and regulations, without seeking any further consent or approval of the Members or otherwise to the end and intent that they shall be deemed to have given their approval thereto expressly by the authority of this resolution.

8. **TO APPROVE ALTERATION OF CAPITAL CLAUSE OF THE MEMORANDUM OF ASSOCIATION OF THE COMPANY**

To consider and if thought fit, to pass with or without modification(s), the following resolution as an Ordinary Resolution;



RESOLVED THAT, pursuant to Section 13, 61 and other applicable provisions, if any, of the Companies Act, 2013 (including any statutory modification(s) or re-enactment(s) thereof, for the time being in force), the Memorandum of Association of the Company be and is hereby altered by substituting the existing Clause V with the following new Clause V:

“V. The Authorised Share Capital of the Company is ₹ 35,00,00,000/- (Rupees Thirty Five Crores Only) divided into 35,00,00,000 (Thirty Five Crores) Equity Shares of ₹ 1/- each (Rupees One Only).”

RESOLVED FURTHER THAT, any of the Director or the Company Secretary of the Company be and is hereby authorised to do all such acts, deeds, matters and things as may be necessary, proper or expedient to give effect to the this resolution.”

By Order of the Board
For **TD Power Systems Limited**

Bangalore
Date: May 14, 2026

Bharat Rajwani
Company Secretary &
Compliance Officer

NOTES:

1. The AGM of the Company is being conducted through video conferencing (VC) or other audio-visual means (OAVM) in compliance with General Circular No. 03/2025 dated September 22, 2025 in continuation with the circulars issued earlier in this regard (collectively referred to as “Circulars”), which have allowed conducting Annual General Meeting (AGM) through Video Conferencing (VC) or Other Audio-Visual Means (OAVM) without the physical presence of Members.
2. The soft copies of the Annual Report 2026 and the Notice of the General Meeting will be emailed to shareholders. However, a hard copy of the full annual report will be sent to shareholders who request the same. Members whose email ID is not registered with the Company may write to investor.relations@tdps.co.in or rnt.helpdesk@in.mpms.mufg.com for obtaining the soft copy of the Annual Report and Notice of AGM.
3. The venue of the AGM shall be deemed at the Registered Office of the Company situated at #27, 28 & 29 KIADB Industrial Area, Dabaspet, Nelamangala Taluk, Bangalore, Karnataka- 562111, as the meeting is being convened through video conferencing (VC) or other audio-visual means (OAVM). Accordingly, the route map of the venue is not annexed to this notice.
4. The explanatory statement pursuant to Section 102 of the Companies Act, 2013 (“the Act”) in respect of the special business set out in this Notice and the relevant details according to SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“SEBI Listing Regulations”) are annexed hereto.
5. The relevant details, pursuant to Regulation 36(3) of SEBI Listing Regulations and Secretarial Standard on General Meetings issued by The Institute of Company Secretaries of India, in respect of the Director seeking appointment and re-appointment at this AGM, are annexed.
6. A member entitled to attend and vote at the AGM is entitled to appoint a proxy to attend and vote on his/her behalf and the proxy need not be a Member of the Company. Since the AGM is being held in accordance with the aforesaid Circulars through VC, the facility for appointment of proxies by the Members will not be available for this AGM. Accordingly, the Proxy Form and Attendance Slip are not annexed to this Notice. However, in pursuance of Section 112 and Section 113 of the Act, representatives of the members, such as the President of India or the Governor of a State or body corporate can attend the AGM through VC/OAVM and cast their votes through e-voting.
7. Mr. Sudhir V. Hulyalkar, Company Secretary in Practice (CP No. 6137), Bangalore, has been appointed as the Scrutiniser to scrutinise the e-voting process in a fair and transparent manner. After the conclusion of voting at the AGM, the Scrutinisers will submit a report after taking into account votes cast at the AGM and through remote e-voting in accordance with provisions of Rule 20 of the Companies (Management and Administration) Rules, 2014, as amended. The consolidated results in respect of voting, along with the Scrutiniser’s Report will be sent to the Stock Exchanges and will also be hosted on website of the Company.
8. Members of the Company under the category of Institutional Investors are encouraged to attend and vote at the AGM through VC. Corporate Members intending to authorise their representatives to participate and vote at the meeting are requested to send a certified copy of the Board resolution/ authorisation letter to the Scrutiniser at his email id sudhir.compsec@gmail.com or to the Company at the email id bharat.rajwani@tdps.co.in or upload on the VC portal/e-voting portal (CDSL).
9. Participation of Members through VC will be reckoned for the purpose of quorum for the AGM as per Section 103 of the Act.
10. In compliance with the aforesaid Circulars, Notice of the AGM along with the Annual Report 2025-26 is being sent only through electronic mode to those members whose email addresses are registered with the Company/Depositories. A letter providing the web-link, including the exact path, where the Annual Report 2025-26 shall be available, is being sent to Members who have not registered their email IDs with the Company/RTA/ Depositories. Members may note that the Notice and Annual Report for the year 2025-26 will be made available on the Company’s website at <https://www.tdps.co.in/investor-relations> and websites of the Stock Exchanges, i.e. BSE Limited and National Stock Exchange of India Limited at www.bseindia.com and www.nseindia.com, respectively.
11. Members are required to immediately inform the Company’s Registrars and Transfer Agents, MUFG Intime India Private Limited (formerly known as Link Intime India Private Limited) at C 101, 247 Park,



L B S Marg, Vikhroli West, Mumbai 400 083, Tel No: +91 22 49186000, in case of shares held in physical form and to the respective Depository Participants, in case of shares held in dematerialised/electronic form, the details about their email addresses, if any, so that all notices and other statutory documents which are required to be sent to the members, as per the provisions of the Act and SEBI Listing Regulations, can be sent to their registered email addresses.

12. The business set out in the Notice will be transacted through an electronic voting system and the Company is providing the facility for voting by electronic means. Instructions and other information relating to e-voting are given in this Notice under note no.18. The voting facility through the electronic voting system shall be made available during the AGM and members attending the meeting through VC who have not cast their vote by remote e-voting shall be able to exercise their right during the meeting through electronic voting system.

13. Pursuant to Finance Act, 2020, dividend income is taxable in the hands of shareholders w.e.f. April 1, 2020 and the Company is required to deduct tax at source from dividend paid to shareholders at the prescribed rates in accordance with Income-tax Act, 2025 ('the IT Act') effective from April 1, 2026.

For the prescribed rates for various categories, please refer to the IT Act. The shareholders are requested to update their PAN with the DP (if shares held in electronic form) and Company/RTA (if shares held in physical form).

A Resident individual shareholder with PAN and who is not liable to pay income tax can upload a yearly declaration in Form 121 along with PAN, on the link <https://web.in.mpms.mufg.com/formsreg/submission-of-Form-121-41.html> on or before the record date. (i.e. August 5, 2026). Shareholders are requested to note that in case their PAN is not registered, the tax will be deducted at a higher rate of 20%.

As per Section 262 of the IT Act, every person who has been allotted a PAN and who is eligible to obtain Aadhaar, shall be required to link the PAN with Aadhaar. In case of failure to comply to this, the PAN allotted shall be deemed to be invalid/inoperative and tax shall be deducted at the rate of 20% as per the provisions of section 397(2) of the IT Act.

The Company will be using functionality of the Income-tax department for the above purpose. Provisions are effective from July 1, 2023.

Shareholders may visit <https://www.incometax.gov.in/iec/foportal/> for FAQ issued by Government on PAN Aadhar linking.

Non-resident shareholders [including Foreign Institutional Investors (FIIs) / Foreign Portfolio Investors (FPIs)] can avail beneficial rates under tax treaty between India and their country of tax residence, subject to providing necessary documents i.e. No Permanent Establishment and Beneficial Ownership Declaration, Tax Residency Certificate, Form 41, any other document which may be required to avail the tax treaty benefits.

For this purpose, the shareholder may upload the above documents on <https://web.in.mpms.mufg.com/formsreg/submission-of-Form-121-41.html> on or before the record date.

No communication on the tax determination/deduction shall be considered after 6:00 pm of the record date fixed for the purpose of the dividend.

14. Shareholders may note that in case the tax on said final dividend is deducted at a higher rate in absence of receipt of the aforementioned details/documents, the option is available to shareholder to file the return of income as per the Income Tax Act, 2025 and claim an appropriate refund, if eligible.
15. The Statutory Registers & a certificate from Secretarial Auditors of the Company certifying that the ESOP Schemes of the Company are being implemented in accordance with the SEBI (Share Based Employee Benefits and Sweat Equity) Regulations 2021 and relevant documents referred to in the Notice or explanatory statement will be available electronically for inspection by the members during the AGM.
16. All documents mentioned in the Resolutions and/or Explanatory Statement are available for inspection by the Members at the Registered Office of the Company from 10:00 AM to 12:00 Noon on any working day and will also be made available at the Twenty- Seventh Annual General Meeting of the Company.
17. The Notice of the AGM of the Company along with the Annual Report for the financial year 2025-26, containing inter alia Directors Report, Statement of Profit and Loss, Balance Sheet and Auditors thereon, is being sent through electronic means to those

shareholders, whose email addresses are registered with the Company/depository participants as on July 11, 2026. The Notice of the AGM along with the Annual Report 2025-26 is being made available on the Company's website <https://www.tdps.co.in> and on the website of stock exchanges i.e. BSE Limited at www.bseindia.com and National Stock Exchange of India Limited at www.nseindia.com. Detailed procedure for attending the AGM and voting through remote e-voting and e-voting at the AGM is provided in the Notice of AGM.

Members who want to update their details with the Company may follow the procedure below:

I. REGISTRATION OF EMAIL ID FOR SHAREHOLDERS HOLDING PHYSICAL SHARES:

The Members of the Company holding Equity Shares of the Company in physical Form and who have not registered their e-mail addresses may get their e-mail addresses registered with MUFG Intime India Private Limited, by clicking the link: https://web.in.mpms.mufig.com/EmailReg/Email_Register.html in their web site in.mpms.mufig.com at the Investor Services tab by choosing the E-mail Registration heading and follow the registration process as guided therein. The members are requested to provide details such as Name, Folio Number, Certificate number, PAN, mobile number and e-mail id and also upload the image of share certificate in PDF or JPEG format. (upto 1 MB). On submission of the shareholders details an OTP will be received by the shareholder which needs to be entered in the link for verification.

II. FOR PERMANENT EMAIL REGISTRATION FOR DEMAT SHAREHOLDERS:

It is clarified that for permanent registration of e-mail address, the Members are requested to register their e-mail address, in respect of demat holdings with the respective Depository Participant (DP) by following the procedure prescribed by the Depository Participant.

III. FOR TEMPORARY EMAIL REGISTRATION FOR DEMAT SHAREHOLDERS:

The Members of the Company holding Equity Shares of the Company in Demat Form and who have not registered their e-mail addresses may temporarily get their e-mail

addresses registered with MUFG Intime India Private Limited by clicking the link: https://web.in.mpms.mufig.com/EmailReg/Email_Register.html in their website in.mpms.mufig.com at the Investor Services tab by choosing the E-mail Registration heading and follow the registration process as guided therein. The members are requested to provide details such as Name, DPID, Client ID/ PAN, mobile number and e-mail id. (This will only help us in getting in touch with them in case of reminder emails for unclaimed dividends. If any further data will only be used as referral data and will not be updated in the system.)

IV. REGISTRATION OF BANK DETAILS FOR SHAREHOLDERS HOLDING SHARES IN PHYSICAL FORM:

The Members of the Company holding Equity Shares of the Company in physical Form and who have not registered their bank details, can get the same registered with MUFG Intime India Private Limited, by clicking the link: https://web.in.mpms.mufig.com/EmailReg/Email_Register.html in their web site in.mpms.mufig.com at the Investor Services tab by choosing the E mail/Bank Registration heading and follow the registration process as guided therein. The members are requested to provide details such as Name, Folio Number, Certificate number, PAN, e-mail id along with the copy of the cheque leaf with the first named shareholders name imprinted in the face of the cheque leaf containing bank name and branch, type of account, bank account number, MICR details and IFSC code in PDF or JPEG format. It is very important that the shareholder submits the request letter duly signed.

MUFG Intime India Private Limited will verify the documents uploaded and will take on record documents only for valid cases. On submission of the shareholder's details, an OTP will be received by the shareholder, which needs to be entered in the above link for verification.

18. ELECTRONIC VOTING

According to the provisions of Section 108 of the Act, read with Rule 20 of the Companies (Management and Administration) Rules, 2014 (as amended) and Regulation 44 of SEBI Listing



Regulations (as amended), and MCA Circulars, the Company is providing the facility of remote e-voting to its Members in respect of the business to be transacted at the AGM. For this purpose, the Company has entered into an agreement with Central Depository Services (India) Limited (CDSL) for facilitating voting through electronic means, as the authorised e-Voting's agency. The facility of casting votes by a member using remote e-voting as well as the e-voting system on the date of the AGM, will be provided by CDSL. The instructions for shareholders for remote e-voting and joining the meeting are set out the end of the Notice.

The remote e-voting module shall be disabled by CDSL for voting thereafter. Once the vote on a resolution is cast by the member, the member shall not be allowed to change it subsequently.

Participation in the AGM:

The Members can join the AGM in the VC/OAVM mode 15 minutes before and after the scheduled time of the commencement of the Meeting by following the procedure mentioned in the Notice. The facility of participation at the AGM through VC/OAVM will be made available to at least 1000 members on first come first served basis. This will not include large Shareholders (Shareholders holding 2% or more shareholding), Promoters, Institutional Investors, Directors, Key Managerial Personnel, the Chairpersons of the Audit Committee, Nomination and Remuneration Committee and Stakeholders Relationship Committee, Auditors etc. who are allowed to attend the AGM without restriction on account of first come first served basis.

19. Members may note that the Board at its meeting held on May 14, 2026 has recommended a final dividend of ₹ 1.10 per share. The record date for the purpose of final dividend for the fiscal year 2026 is August 05, 2026. The final dividend, once approved by the members in the ensuing AGM, will be paid within the statutory period of 30 days electronically through various online transfer modes to those members who have updated their bank account details. To avoid delay in receiving dividend, members are requested to update their KYC with their depositories (where shares are held in dematerialised mode) and with the Company's Registrar and Transfer Agent (RTA) (where the shares are held in physical mode) to receive dividends directly into their bank account on the payout date.
20. The Company is obliged to print such bank details on the dividend payment Instruments as furnished by the DP and the Company cannot entertain any request for deletion/change of bank details already printed on the dividend payment Instruments based on the information received from the concerned DPs, without confirmation from them. In this regard, Members are advised to contact their DPs and furnish them with the particulars of any change desired, if not already provided.
21. In terms of the IEPF Rules, the Company has uploaded the information in respect of the Unclaimed Dividends in respect of the Financial Year 2018, 2019, 2020, 2021, 2022, 2023, 2024 and 2025 as on the date of the last AGM held on August 06, 2025 on the website of the IEPF viz. www.iepf.gov.in and under Investors' section on the website of the Company www.tdps.co.in under Unclaimed/ Unpaid Dividend.
22. Members who have not encashed their dividend instruments are advised to write to the Company or Registrar and Share Transfer Agents of the Company, immediately claiming dividends declared by the Company. Members are also requested to note that dividends that are not claimed within seven years from the date of transfer to the Company's Unpaid Dividend Account, will be transferred to the Investor Education and Protection Fund (IEPF). Shares on which the dividend remains unclaimed for seven consecutive years shall be transferred to IEPF as per Section 124 of the Act, read with applicable IEPF rules.
23. Members are requested to address all correspondence, including dividend-related correspondence, to the Registrar and Share Transfer Agents, (RTA) MUFUG Intime India Private Limited, C 101, 247 Park, L B S Marg, Vikhroli West, Mumbai 400 083, Phone: +91 8108116767, Fax: +91 22 4918 6060. Members must quote their Folio Number/DP ID & Client ID and contact details such as e-mail address, contact no. etc., in all correspondence with the Company/RTA.
24. SEBI has mandated the submission of the Permanent Account Number (PAN) by every participant in the security market. Members holding shares in electronic form are therefore requested to submit their PAN to their Depository Participant(s). Members holding shares in physical form are required to submit their PAN detail to the Registrar and Share Transfer Agents, MUFUG Intime

India Private Limited Unit: TD Power Systems Limited, C 101, 247 Park, L B S Marg, Vikhroli West, Mumbai 400 083.

25. Members may please note that SEBI vide its Circular No. SEBI/HO/MIRSD/MIRSD_RTAMB/P/CIR/2022/8 dated January 25, 2022 read with SEBI Master Circular No. HO/38/13/(4)2026-MIRSD-POD/I/4298/2026 dated February 06, 2026 has mandated the listed companies to issue securities in dematerialised form only while processing service requests viz. Issue of duplicate securities certificate; claim from unclaimed suspense account; renewal/exchange of securities certificate; endorsement; sub-division/splitting of securities certificate; consolidation of securities certificates/folios; transmission and transposition. Accordingly, Members are requested to make service requests by submitting a duly filled and signed Form ISR – 4, the format of which is available on the Company's website at <https://www.tdps.co.in> and on the website of the Company's Registrar and Transfer Agents, MUFG Intime India Private Limited at <https://web.in.mpms.mufig.com/client-downloads.html> and click on general section.

26. Effective April 01, 2024, SEBI has mandated that the shareholders, who hold shares in physical mode and whose folios are not updated with any of the KYC details [viz., (i) PAN (ii) Contact Details (iii) Mobile Number (iv) Bank Account Details and (v) Signature], shall be eligible to get dividends only in electronic mode. Accordingly, payment of the final dividend, subject to approval at the AGM, shall be paid to physical holders only after the above details are updated in their folios. Shareholders are requested to complete their KYC by writing to the Company's RTA, MUFG Intime India Private Limited at rnt.helpdesk@in.mpms.mufig.com. The forms for updating the same are available at <https://www.tdps.co.in/investor-relations>.
27. Pursuant to the provisions of Section 72 of the Companies Act, 2013, Shareholders holding shares in physical form may file a nomination in the prescribed Form SH-13 with the Company's Registrar and Transfer Agent. In respect of shares held in electronic/demat form, the nomination form may be filed with the respective Depository Participant of the Shareholders.

In this Notice and Annexure thereto, the terms "Shareholders" and "Members" are used interchangeably.

By Order of the Board
For **TD Power Systems Limited**

Bangalore
Date: May 14, 2026

Bharat Rajwani
Company Secretary &
Compliance Officer



EXPLANATORY STATEMENT SETTING OUT MATERIAL FACTS (STATEMENT) PURSUANT TO SECTION 102 OF THE COMPANIES ACT, 2013, IN RESPECT OF ITEM NO. 4 TO ITEM NO.8 OF THE NOTICE.

Item No. 4

The Board of Directors of the Company, on the recommendation of the Audit Committee, approved the appointment of M/s. Rao, Murthy & Associates, Cost Auditors (Firm Registration No.000065), Bangalore at their meeting held on May 14, 2026, to conduct the audit of the cost records of the Company for the financial year ending March 31, 2027, at a remuneration of ₹ 1,75,000 plus applicable taxes and reimbursement of out-of-pocket expenses.

In terms of the provisions of Section 148 of the Companies Act, 2013, read with Rule 14 of the Companies (Audit and Auditors) Rules, 2014, the aforesaid remuneration payable to the Cost Auditor for the financial year ending March 31, 2027, recommended by the Audit Committee and approved by the Board of Directors, is to be ratified by the members of the Company.

None of the Directors or Key Managerial Personnel of the Company or their relatives are in any way concerned or interested (financially or otherwise) in the Resolution as set out at Item No.4 of the Notice.

The Board recommends the resolution as set out at Item No.4 for the approval of members as an Ordinary Resolution.

Item No.5

In terms of Regulation 17(1A) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, a listed company shall not appoint or continue the appointment of a Non-Executive Director who has attained the age of 75 years, unless approved by the members by way of a special resolution.

Mr. Mohib N. Khericha is the Chairman, Non-Executive Director and one of the Promoters of the Company, who will attain the age of 75 years on August 04, 2027.

Mr. Mohib N. Khericha is a Chartered Accountant with over four decades of experience in capital structuring, restructuring, financial management and loan syndication. The depth of knowledge and context that Mr. Khericha brings to Board discussions, owing to his long association as a promoter, provides a continuity of perspective that is of considerable value to the Board's oversight and strategic guidance functions. His Chairmanship has been marked by a period of significant

growth for the Company, reflecting the Board's effective strategic oversight under his leadership. He is a person of high integrity who has consistently demonstrated sound judgment and provided valuable guidance to the Board on key strategic matters. His continued association would be of immense benefit to the Company.

Mr. Khericha actively contributes to the Company's governance framework through his roles as Chairman of the Risk Management Committee and Stakeholders Relationship Committee and as a member of the Audit Committee and Nomination & Remuneration Committee, bringing financial expertise and broad governance experience to each of these oversight functions.

Based on the recommendation of the Nomination and Remuneration Committee and taking into account his seniority, expertise and continued valuable contribution to the Company, the Board of Directors has considered and approved, subject to the approval of the members by way of a Special Resolution, the continuation of Mr. Mohib N. Khericha as Non-Executive, Non-Independent Director and Chairman of the Company, liable to retire by rotation, upon attaining the age of 75 years on August 04, 2027.

Mr. Mohib N. Khericha is not disqualified from being continued as a Director in terms of Section 164 of the Act. The Board is also confident of his ability to effectively discharge his duties and responsibilities.

Other than Mr. Mohib N. Khericha, who is Director of the Company, and their relatives to the extent of their shareholding interest, if any, no other Directors, Key Managerial Personnel or their respective relatives is in any way concerned or interested, financially or otherwise, in the resolution set out at Item No. 5 of the Notice.

The Board recommends the resolution as set out at Item No.5 for the approval of members as a Special Resolution.

Item No. 6

In accordance with Regulation 17(6)(ca) of the Listing Regulations, the approval of shareholders by way of Special Resolution is required to be obtained where the annual remuneration payable to a single Non-Executive Director exceeds fifty per cent of the total annual remuneration payable to all Non-Executive Directors.

Ms. S. Prabhamani is a Non-Executive, Non-Independent Director of the Company and is not a promoter or member of the promoter group.

Prior to her appointment as Director, she had been associated with the Company since 2001 as Head of

Engineering until 2018 and was elevated as Chief Operating Officer (COO) of the Company from November 1, 2018 to March 31, 2022, when she retired as an employee. She holds a Master's degree in Engineering from IIT and has an impressive career spanning two decades. During her tenure, she established a robust design foundation by building a skilled team of designers, developing solid design processes and systems, enhancing critical design analytics and implementing advanced design software applications.

S. Prabhamani expertise is being availed from time to time to guide design, technical aspects and other related strategic matters, leveraging her past leadership as the former Head of Engineering and COO of the Company. The services rendered by her are professional and advisory in nature, specifically in the domain of design strategy and technical consultancy. The consultancy arrangement is recurring in nature, depending on the business needs of the Company.

The engagement was made on the recommendation of the Nomination and Remuneration Committee and has been approved by the Audit Committee as a Related Party Transaction, determined to be at arm's length and in the ordinary course of business. The consultancy fee payable to Ms. Prabhamani is determined on a pro-rata basis depending on the actual time and effort devoted and has been determined it to be fair and reasonable, having regard to her qualifications, expertise and the nature of services rendered.

Considering the time devoted by Ms. Prabhamani in providing her valuable advice and strategic inputs to the Company on various critical business aspects, the remuneration, including sitting fees, payable to her for the Financial Year 2026-27 will exceed 50% of the total remuneration payable to all Non-Executive Directors of the Company. Accordingly, approval of the Members is being sought by way of Special Resolution under Regulation 17(6)(ca) of the Listing Regulations.

Other than Ms. S. Prabhamani, who is a Director of the Company and her relatives to the extent of their shareholding interest, if any, no other Directors, Key Managerial Personnel or their respective relatives are in any way concerned or interested, financially or otherwise, in the resolution set out at Item No. 6 of the Notice.

The Board recommends the resolution as set out at Item No.6 for the approval of members as a Special Resolution.

Item No. 7 & 8

The Equity Shares of the Company are listed and traded on the National Stock Exchange of India Limited and BSE Limited. The Company's strong performance and faith of the investors has led to a significant increase in the market price of its Equity Shares. In order to make it more affordable for small investors to invest in the Shares, widen investor base and thus provide enhanced liquidity for the shares, it is proposed to sub-divide, 1 (One) Equity Share of face value ₹ 2/- each into 2 (Two) Equity Shares of face value of ₹ 1/- each pursuant to the provisions of Section 61(1)(d) of the Companies Act 2013, the Rules made thereunder and other applicable provisions.

The Record Date for the aforesaid sub-division of Ordinary (equity) Shares shall be fixed by the Board of Directors (Board) (including any Committee thereof/ Company Secretary) after the approval of the Members is obtained for the proposed sub-division. In the opinion of the Board, the proposed sub-division of the Equity Shares is in the best interest of the Company and the investors and therefore, the Board at its meeting held on May 14, 2026, approved the aforesaid sub-division subject to the requisite approval of the shareholders.

The proposed sub-division of Equity Shares will not result in any change in the amount of Authorised, Issued, Subscribed and Paid-up Equity Share Capital of the Company. The Pre and post Equity Share Capital of the Company will be as under:

Share Capital	Pre Sub- Division		Post Sub- Division	
	No. of shares	₹ in Crore	No. of shares	₹ in Crore
Authorised	17,50,00,000	35,00,00,000	35,00,00,000	35,00,00,000
Issued, Subscribed and Paid-up Equity Share Capital	15,62,28,430	31,24,56,860	31,24,56,860	31,24,56,860



In accordance with Regulation 39(2A) of the SEBI Listing Regulations, the securities issued pursuant to sub-division must be in dematerialised mode. Accordingly, if the sub-division of the existing equity shares is approved as proposed, the Company shall, for the existing equity shares held in physical mode, if any, issue, credit and maintain the sub-divided equity shares of face value of ₹ 1 (Rupee One only) each in demat mode (in lieu of and by automatic cancellation of the corresponding share certificates held by the shareholders in physical mode), in a separate Demat Suspense Escrow Pool Account, in compliance with the prevailing law/guidelines in this regard. The concerned shareholders would have to claim their shares, in dematerialised mode, from the Company/Registrar and Transfer Agent (MUFG Intime India Private Limited) by submitting the requisite documents in this respect. As regards shares already held in dematerialised mode, the sub-divided equity shares will be directly credited into the respective demat accounts.

The sub-division of Equity Shares proposed under Item No.7 of this Notice shall also require consequential amendments to the existing Clause V (Capital Clause) of the Memorandum of Association of the Company as set out in Item no.8 of this Notice to reflect change in the face value of Equity Shares of the Company.

The sub-division will not in any manner affect the rights and obligations of the Members. It is purely an arithmetic exercise to improve market accessibility of the shares and does not result in any dilution of shareholding for any of the existing members as on the record date of this corporate action.

Accordingly, the consent of the Members is sought for passing of Ordinary Resolutions for sub-division of Equity Shares as mentioned at Item No.7 and for carrying out amendments to the Memorandum of Association of the Company as mentioned at Item No.8. A draft copy of the altered Memorandum of Association is available for inspection by the Members of the Company. They may follow the process for inspection of the document as mentioned in the 'Notes' section forming part of this Notice.

None of the Directors and Key Managerial Personnel of the Company or their respective relatives is concerned or interested in the Resolutions mentioned at Item Nos.7 and 8 of the Notice. The Board recommends the Resolutions set forth in Item Nos.7 and 8 for the approval of the Members.

ANNEXURE TO THE NOTICE

DISCLOSURE RELATING TO DIRECTORS PURSUANT TO REGULATION 36(3) OF THE SEBI LISTING REGULATIONS AND CLAUSE 1.2.5 OF THE SECRETARIAL STANDARDS ON GENERAL MEETINGS

Name	Mr. Mohib N Khericha	Ms. S Prabhamani
Director Identification Number	00010365	09695003
Date of Birth and Age	August 04, 1952 and 74 Years	June 18, 1960 and 66 Years
Date of first appointment on the Board	February 22, 2000	September 27, 2022
Qualification	Chartered Accountant	Master's Degree in Engineering
Brief Resume & Nature of his/her expertise in specific functional areas and Experience	He is a Chartered Accountant with over four decades of experience in capital structuring, restructuring, financial management and loan syndication. He ventured into merchant banking in the year 1994.	Ms. S. Prabhamani had been associated with the Company since 2001 as Head of Engineering until 2018 and was elevated as Chief Operating Officer (COO) of the Company from November 1, 2018 to March 31, 2022, when she retired as an employee. She is an esteemed holder of a Master's degree in Engineering from IIT. During her tenure, she established a robust design foundation by building a skilled team of designers, developing solid design processes and systems, enhancing critical design analytics, and implementing advanced design software applications.

Name	Mr. Mohib N Khericha	Ms. S Prabhamani
Directorships held in Indian Companies.	Chartered Capital and Investment Limited Mazda Limited DF Power Systems Private Limited Kirloskar power build gears limited Laburnum chemicals private limited	DF Power Systems Private Limited TD Power Systems Limited
Chairmanship/Membership of Committees held in Indian Company	TD Power Systems Limited: - Audit Committee - Member - Stakeholders Relationship Committee – Chairman - Nomination and Remuneration Committee - Member Chartered Capital and Investment Limited: - Stakeholders Relationship Committee - Member Mazda Limited: - Audit Committee - Member	TD Power Systems Limited - Stakeholders Relationship Committee – Member - Corporate Social Responsibility Committee - Member
Relationship with other Directors and Key Managerial Personnel	NA	NA
Number of Equity Shares held in the Company	NIL	262130 Equity Shares of ₹ 2 each
Number of Board Meetings attended during FY 2025-26)	4/4	4/4
Terms and conditions of re-appointment	Non-Executive and Non-Independent Director, liable to retire by rotation	Non-Executive and Non-Independent Director, liable to retire by rotation
Remuneration last drawn (FY 2025- 26)	Mr. Mohib N Khericha was paid ₹ 7.35/- lakhs in the form of sitting fees for attending the Board meetings and committee meetings held during the financial year 2025-26.	Ms. S Prabhamani was paid ₹ 4.80 lakhs in the form of sitting fees for attending the Board meetings and committee meetings held during the financial year 2025-26.
Remuneration is proposed to be paid	As per the existing approved terms of appointment	As per the existing approved terms of appointment
Listed entities from which the Director has resigned in the past three years	Nil	Nil

THE INSTRUCTIONS OF SHAREHOLDERS FOR E-VOTING AND JOINING VIRTUAL MEETINGS ARE AS UNDER:

Step 1 : Access through Depositories CDSL/NSDL e-Voting system in case of individual shareholders holding shares in demat mode.

Step 2 : Access through CDSL e-Voting system in case of shareholders holding shares in physical mode and non-individual shareholders in demat mode.

- (i) The voting period begins on Friday, August 07, 2026 at 9:00 AM (IST) and ends on Tuesday, August 11, 2026 at 5:00 PM (IST). During this period, shareholders of the Company, holding shares either in physical form or in dematerialised



form, as on the cut-off date of August 05, 2026, may cast their vote electronically. The e-voting module shall be disabled by CDSL for voting thereafter.

- (ii) Shareholders who have already voted prior to the meeting date would not be entitled to vote at the meeting venue.
- (iii) Pursuant to SEBI Circular No. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated December 09, 2020, under Regulation 44 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, listed entities are required to provide a remote e-voting facility to its shareholders, in respect of all shareholders' resolutions. However, it has been observed that the participation by the public non-institutional shareholders/retail shareholders is at a negligible level.

Currently, there are multiple e-voting service providers (ESPs) providing e-voting facilities to listed entities in India. This necessitates registration on various ESPs and maintenance of multiple user IDs and passwords by the shareholders.

In order to increase the efficiency of the voting process, pursuant to a public consultation, it has been decided to enable e-voting to all the demat account holders, by way of a single login credential, through their demat accounts/websites of Depositories/ Depository Participants. Demat account holders would be able to cast their vote without having to register again with the ESPs, thereby, not only facilitating seamless authentication but also enhancing ease and convenience of participating in e-voting process.

Step 1 : Access through Depositories CDSL/NSDL e-Voting system in case of individual shareholders holding shares in demat mode.

- (iv) In terms of SEBI circular no. SEBI/HO/CFD/CMD/CIR/P/2020/242 dated December 09, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Pursuant to the aforesaid SEBI Circular, Login method for e-Voting and joining virtual meetings **for Individual shareholders holding securities in Demat mode CDSL/NSDL** is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in Demat mode with CDSL Depository	1) Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login to Easi / Easiest are requested to visit cdsi website www.cdslindia.com and click on login icon & My Easi New (Token) Tab. 2) After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers' website directly. 3) If the user is not registered for Easi/Easiest, option to register is available at cdsi website www.cdslindia.com and click on login & My Easi New (Token) Tab and then click on registration option. 4) Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the evoting is in progress and also able to directly access the system of all e-Voting Service Providers.

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL Depository	1) If you are already registered for NSDL IDeAS facility, please visit the e-Services website of NSDL. Open web browser by typing the following URL: https://eservices.nsdl.com either on a Personal Computer or on a mobile. Once the home page of e-Services is launched, click on the “Beneficial Owner” icon under “Login” which is available under ‘IDeAS’ section. A new screen will open. You will have to enter your User ID and Password. After successful authentication, you will be able to see e-Voting services. Click on “Access to e-Voting” under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider name and you will be re-directed to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 2) If the user is not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select “Register Online for IDeAS “Portal or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp 3) Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon “Login” which is available under ‘Shareholder/Member’ section. A new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider name and you will be redirected to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting. 4) For OTP based login you can click on https://eservices.nsdl.com/SecureWeb/evoting/evotinglogin.jsp. You will have to enter your 8-digit DP ID, 8-digit Client Id, PAN No., Verification code and generate OTP. Enter the OTP received on registered email id/mobile number and click on login. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider name and you will be re-directed to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.
Individual Shareholders (holding securities in demat mode) login through their Depository Participants (DP)	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. After Successful login, you will be able to see e-Voting option. Once you click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider name and you will be redirected to e-Voting service provider website for casting your vote during the remote e-Voting period or joining virtual meeting & voting during the meeting.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at the abovementioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. CDSL and NSDL:

Login type	Helpdesk details
Individual Shareholders holding securities in Demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800 21 09911
Individual Shareholders holding securities in Demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.co.in or call at : 022 - 4886 7000 and 022 - 2499 7000



Step 2 : Access through CDSL e-Voting system in case of shareholders holding shares in physical mode and non-individual shareholders in demat mode.

(v) Login method for e-Voting and joining virtual meetings for Physical shareholders and shareholders other than individual holding in Demat form.

- 1) The shareholders should log on to the e-voting website www.evotingindia.com.
- 2) Click on “Shareholders” module.
- 3) Now enter your User ID

- a. For CDSL: 16 digits beneficiary ID,
- b. For NSDL: 8 Character DP ID followed by 8 Digits Client ID,
- c. Shareholders holding shares in Physical Form should enter Folio Number registered with the Company.

- 4) Next enter the Image Verification as displayed and Click on Login.
- 5) If you are holding shares in demat form and had logged on to www.evotingindia.com and voted on an earlier e-voting of any company, then your existing password is to be used.
- 6) If you are a first-time user follow the steps given below:

	For Physical shareholders and other than individual shareholders holding shares in Demat
PAN	Enter your 10 digit alpha-numeric *PAN issued by Income Tax Department (Applicable for both demat shareholders as well as physical shareholders) Shareholders who have not updated their PAN with the Company/Depository Participant are requested to use the sequence number sent by Company/RTA or contact Company/RTA.
Dividend Bank Details OR Date of Birth (DOB)	Enter the Dividend Bank Details or Date of Birth (in dd/mm/yyyy format) as recorded in your demat account or in the Company records in order to login. If both the details are not recorded with the depository or company, please enter the member id / folio number in the Dividend Bank details field.

(vi) After entering these details appropriately, click on “SUBMIT” tab.

(vii) Shareholders holding shares in physical form will then directly reach the Company selection screen. However, shareholders holding shares in demat form will now reach ‘Password Creation’ menu wherein they are required to mandatorily enter their login password in the new password field. Kindly note that this password is to be also used by the demat holders for voting for resolutions of any other company on which they are eligible to vote, provided that company opts for e-voting through CDSL platform. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential.

(viii) For shareholders holding shares in physical form, the details can be used only for e-voting on the resolutions contained in this Notice.

(ix) Click on the EVSN of TD Power Systems Limited to vote.

(x) On the voting page, you will see “RESOLUTION DESCRIPTION” and against the same, the option “YES/NO” for voting. Select the option YES or NO as desired. The option YES implies that you assent to the Resolution and option NO implies that you dissent to the Resolution.

(xi) Click on the “RESOLUTIONS FILE LINK” if you wish to view the entire Resolution details.

(xii) After selecting the resolution, you have decided to vote on, click on “SUBMIT”. A confirmation box will be displayed. If you wish to confirm your vote, click on “OK”, else to change your vote, click on “CANCEL” and accordingly modify your vote.

(xiii) Once you “CONFIRM” your vote on the resolution, you will not be allowed to modify your vote.

(xiv) You can also take a print of the votes cast by clicking on “Click here to print” option on the Voting page.

(xv) If a demat account holder has forgotten the login password then Enter the User ID and the image verification code and click on Forgot Password & enter the details as prompted by the system.

(xvi) There is also an optional provision to upload BR/ POA if any uploaded, which will be made available to scrutiniser for verification.

(xvii) Additional Facility for Non – Individual Shareholders and Custodians – For Remote Voting only.

- Non-Individual shareholders (i.e. other than Individuals, HUF, NRI etc.) and Custodians are required to log on to www.evotingindia.com and register themselves in the “Corporates” module.
- A scanned copy of the Registration Form bearing the stamp and sign of the entity should be emailed to helpdesk.evoting@cdslindia.com.
- After receiving the login details a Compliance User should be created using the admin login and password. The Compliance User would be able to link the account(s) for which they wish to vote on.
- The list of accounts linked in the login will be mapped automatically & can be delink in case of any wrong mapping.
- It is Mandatory that, a scanned copy of the Board Resolution and Power of Attorney (POA) which they have issued in favour of the Custodian, if any, should be uploaded in PDF format in the system for the scrutiniser to verify the same.
- Alternatively Non Individual shareholders are required mandatory to send the relevant Board Resolution/ Authority letter etc. together with attested specimen signature of the duly authorised signatory who are authorised to vote, to the Scrutiniser on his email id sudhir.compsec@gmail.com or to the Company on the email id bharat.rajawani@tdps.co.in if they have voted from individual tab & not uploaded same in the CDSL e-voting system for the scrutiniser to verify the same.

INSTRUCTIONS FOR SHAREHOLDERS ATTENDING THE AGM THROUGH VC/OAVM & E-VOTING DURING MEETING ARE AS UNDER:

- The procedure for attending meeting & e-Voting on the day of the AGM is same as the instructions mentioned above for e-voting.

- The link for VC/OAVM to attend meeting will be available where the EVSN of Company will be displayed after successful login as per the instructions mentioned above for e-voting.
- Shareholders who have voted through Remote e-Voting will be eligible to attend the meeting. However, they will not be eligible to vote at the AGM.
- Shareholders are encouraged to join the Meeting through Laptops/IPads for better experience.
- Further shareholders will be required to allow Camera and use Internet with a good speed to avoid any disturbance during the meeting.
- Please note that Participants Connecting from Mobile Devices or Tablets or through Laptop connecting via Mobile Hotspot may experience Audio/Video loss due to Fluctuation in their respective network. It is therefore recommended to use Stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches.
- Shareholders who would like to express their views/ask questions during the meeting may register themselves as a speaker by sending their request in advance at least 7 days prior to meeting mentioning their name, demat account number/ folio number, email id, mobile number at (company email id). The shareholders who do not wish to speak during the AGM but have queries may send their queries in advance, 7 days prior to meeting mentioning their name, demat account number/ folio number, email id, mobile number at bharat.rajawani@tdps.co.in These queries will be replied to by the Company suitably by email.
- Those shareholders who have registered themselves as a speaker will only be allowed to express their views/ask questions during the meeting.
- Only those shareholders, who are present in the AGM through VC/OAVM facility and have not casted their vote on the Resolutions through remote e-Voting and are otherwise not barred from doing so, shall be eligible to vote through e-Voting system available during the AGM.
- If any Votes are cast by the shareholders through the e-voting available during the AGM and if the same shareholders have not participated in the meeting through VC/OAVM facility, then the votes cast by such shareholders may be considered invalid as the facility of e-voting during the meeting is available only to the shareholders attending the meeting.



PROCESS FOR THOSE SHAREHOLDERS WHOSE EMAIL/MOBILE NO. ARE NOT REGISTERED WITH THE COMPANY/DEPOSITORIES.

1. For Physical shareholders- please provide necessary details like Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) by email to Company/RTA email id.
2. For Demat shareholders - Please update your email id & mobile no. with your respective Depository Participant (DP).
3. For Individual Demat shareholders – Please update your email id & mobile no. with your respective

Depository Participant (DP) which is mandatory while e-Voting & joining virtual meetings through Depository.

If you have any queries or issues regarding attending AGM & e-Voting from the CDSL e-Voting System, you can write an email to helpdesk.evoting@cdslindia.com or contact at toll free no. 1800 21 09911.

All grievances connected with the facility for voting by electronic means may be addressed to Mr. Rakesh Dalvi, Sr. Manager, (CDSL,) Central Depository Services (India) Limited, A Wing, 25th Floor, Marathon Futurex, Mafatlal Mill Compounds, N M Joshi Marg, Lower Parel (East), Mumbai - 400013 or send an email to helpdesk.evoting@cdslindia.com or call toll free no. 1800 21 09911.

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